

uh I think the trade-off if anything for
0:01
sure would be you know what one goes
0:03
through in college i I felt I learned
0:05
equally if not more uh in terms of what
0:08
I wanted to acquire exposure to a fast
0:10
growing startup looking at how a venture
0:12
builder a VC thinks i think having a
0:15
huge amount of ambition and a good
0:17
amount of naivety is what helps
0:19
entrepreneurs get started and having
0:21
that dreamer within you helps you do
0:24
things that are bolder one would not
0:26
conventionally take as well hi I'm
0:29
Gdoric Chu the co-founder and CEO of
0:31
Intellect we are a mental health care
0:32
company serving and building for
0:34
Asia-Pacific and eventually the world we
0:37
provide end-to-end mental health support
0:38
from proactive care all the way towards
0:41
coaching clinical and distress support
0:43
we've raised funding from the likes of
0:45
Tiger Global White Combinator Insignia

0:47

to date we've raised over \$30 million in

0:50

funding well poised to grow and scale in

0:52

the next uh many years to come as well

Chapter 1. Skipping college to start a business

1:01

i would say growing up I always had an

1:03

inkling that I wanted to be an

1:04

entrepreneur my parents aren't

1:06

entrepreneurs themselves but I always

1:07

been quite inspired by people who have

1:09

built things that they believe in

1:10

themselves i studied in Raffles

1:12

institution it's uh I would say the

1:14

leading secondary high school in

1:16

Singapore where many of our greatest

1:18

Singaporeans have been to i got in from

1:20

the benefit of a great educating system

1:22

and having worked hard to get there as

1:24

well but as I went through my my years

1:26

studying what I found out uh for myself

1:29

was that I had a clear want to to build

1:31

to do things and not necessarily go

1:33

through the career path that most of us
1:36
set out to do but I was quite clear that
1:38
I wanted to build i want to do something
1:39
that actually I care about that I
1:41
believed in and hence why I decided
1:43
against pursuing you know going to to
1:45
university or college and rather chose
1:47
to uh learn by doing learn by joining
1:50
companies that are have been that and
1:53
learn by doing myself as well first
1:55
company I started back then was uh a
1:57
digital media platform right where we
1:59
actually gathered thought leaders
2:01
experts CEOs doctors to contribute
2:03
thought leadership pieces expert
2:05
articles to help people learn and grow
2:07
at the point itself I I was huge on
2:09
personal growth you know think of your
2:10
Tony Robbins the like that actually
2:12
helps you grow and and develop who you
2:14
are i was huge on this back then in my
2:15
in my later teenage years and believe
2:17

that many others would benefit from
2:19
consuming such pieces of information as
2:22
well versus just you know etiquette or
2:24
your fun quiz type stuff as well that
2:26
company back then I would say was very
2:28
very lean it was entirely bootstrapped
2:31
we we had a whole network of anything
2:33
from volunteers to part- timers to to
2:36
guest writers that all contributed to
2:38
build that network of what we had in the
2:39
end I ran the first company for about
2:41
two plus years at the point in time the
2:42
biggest challenge was I really didn't
2:44
know what I was doing at a point very
2:45
candidly i didn't even call it a startup
2:47
it was a a website platform that I was
2:49
kind of doing one of the core things I
2:52
would say I I believe in it simply doing
2:54
right i do believe that one does not
2:57
have and would not have all of the
2:58
knowledge and all the skill sets at any
2:59
point of time you can be more
3:00

experienced but sitting by doing and
3:03
trying uh one gets there the challenges
3:05
was the fact that I didn't really know
3:06
what I was going about doing what I took
3:08
was very logical steps on you know
3:10
finding the right people to work with
3:12
the right content to create the right
3:13
audience that we wanted to reach and
3:15
then things followed through from there
3:16
as

Chapter 2. Learning on the ground and starting up

3:19
well after exiting my first company then
3:22
I actually spent a few years working for
3:24
other very exciting firms i spent time
3:27
at startups i spent time at venture
3:28
builders the the high level intent then
3:30
was I was quite aware that I was a very
3:33
young individual right I was about 19 20
3:35
or so and I had very little skill sets I
3:38
had gotten lucky to have done something
3:40
interesting I didn't have the experience
3:42
nor the skills to actually build

3:44
something at a large scale if I really
3:45
wanted to so I decided to spend time to
3:48
go and endeavor and find startups that
3:50
were growing faster I could learn from
3:52
that excited me and and that's what I
3:53
did so following the years that I had uh
3:56
you know doing my first company uh I
3:58
joined a a a Japanese travel tech
4:00
startup called Voyagen that actually I
4:02
led a component of their marketing team
4:03
as well the company got acquired by
4:05
Rocket which is a huge Japanese
4:07
conglomerate so that was a very eye
4:09
opening as well right what actually
4:11
happened next after you know that have I
4:12
actually moved towards a venture builder
4:14
sort of a VC venture builder firm called
4:17
that was the next chapter of my own
4:19
journey as well I wouldn't say there was
4:21
uh particularly regret or remorse you
4:23
know going through trade journey I was
4:25
very intentional about the choices I

4:27

made and what I wanted to pursue and the

4:29

way I looked at it was there were

4:30

trade-offs in both paths right I do

4:31

strongly believe in a good education

4:33

country with a strong education system

4:34

so I think it's fantastic that folks who

4:37

go to path have their own journey there

4:39

as well uh I think the trade-off if

4:40

anything for sure would be you know what

4:42

one goes through in college the

4:44

experience and exposures that go with

4:46

the college experience at the same time

4:48

I would say for myself I I felt I

4:50

learned equally if not more uh in terms

4:53

of what I wanted to acquire exposure to

4:55

a fast growing startup looking at how a

4:57

venture builder a VC thinks and actually

5:00

doing right learning from actually

5:02

practicing and doing on the job as I

5:04

built my own experiences as well you

5:06

know after existing my first company it

5:07

was quite clear to me that I was going

5:09
to build something that could reach and
5:10
help and impact more people as well uh
5:12
on a personal level mental health has
5:14
always been a very personal journey so
5:16
something that I went through in high
5:17
school in secondary school was actually
5:19
quite chronic ongoing anxiety i
5:21
struggled with anxiety in my teenage
5:23
years and I actually started having
5:24
panic attacks when I was 16 that's when
5:26
I started to see a therapist so and what
5:29
I remember quite clearly was my very
5:31
first therapy session was one of the
5:33
most cathartic experiences I had if
5:35
people knew how helpful therapy was
5:37
everybody would be actually doing it
5:39
there was a national survey actually
5:41
done pre- pandemic in Singapore one of
5:43
the key stats that stand out quite
5:45
scarily to me is that there is a 4 to
5:47
7year treatment gap of mental health
5:49
support and care that means to say if

5:50
someone's actually mentally unwell and
5:52
needing care they waited 4 to 7 years
5:55
before they got that care and that's for
5:56
those that actually eventually got the
5:58
care which is a scary long and and and
6:00
delayed period of time if you think
6:01
about it from a physical health point of
6:03
view so it's a huge huge issue and and
6:06
if you look at it from a outcomes
6:07
perspective as well as many of the
6:09
fastmoving cities have some of the
6:11
highest suicide rates as well so the
6:13
problem is extremely clear and extremely
6:14
real i mean from a from a top down
6:16
perspective the mental health market
6:17
across the world and even Asia is in the
6:19
tens of billions of dollars we believe
6:21
this market not from our belief but it
6:23
is growing annually in double digit
6:25
percentage rates as well so fast forward
6:27
years later into 2019 mental health was
6:30
something that I I was quite clear was

6:31
one of the key things I wanted to to
6:33
tackle and solve for and having gone
6:34
through many more lived experiences uh
6:36
having seen peers friends and friends of
6:38
friends gone through much much more
6:40
troubling and darker things themselves a
6:42
very clear thing popped up was how do we
6:44
actually change this how do you make
6:45
mental health care accessible as well as
6:48
everyday no matter how big or how small
6:49
your issues may be in the earliest days
6:52
of intellect I in a very very lean setup
6:55
we we actually went about to understand
6:57
mental health what is the problem around
6:59
mental what was the thing that needed to
7:00
be solved for as well and we came to a
7:03
very very simple problem statement
7:05
people in Asia need help they want help
7:08
but they don't know where to start so
7:09
our initial hypothesis is how do we
7:11
bring care to them in a way that it's
7:13
almost extremely uh too simple like

7:15
there there's no reason why one couldn't
7:16
access care that was a simple initial
7:19
hypothesis bringing access to everyone
7:21
first scaling access and then secondly
7:23
getting deeper and deeper in the care
7:25
that we bring as well and hence why and
7:27
like what we do spans across different
7:29
mediums there is self-guided content
7:31
that is anytime anywhere different
7:32
languages we have deeper live virtual
7:35
care we even have crisis support as well
7:37
and we've gone in that journey from
7:39
scaled up care towards deep immersive
7:42
facetoface support as well firstly
7:44
anyone starting at a company is hard no
7:46
matter how I believe how experienced or
7:47
how inexperienced one is there are so
7:50
many uncertainties so many variables
7:51
that never guarantees anyone's puff for
7:53
us in particular mental health you know
7:55
when we started the company back in 2019
7:58
it was a very very nent topic

8:00
particularly so in Asia most clients
8:02
bias investors were not seeing this as a
8:04
priority for them at a point in time as
8:06
so for us it was really stemming from a
8:08
strong conviction a belief that mental
8:10
health was not an if but a when mental
8:12
health is as important as physical
8:14
health in many ways even more important
8:15
sometimes because of how it affects all
8:17
that we do as well so for us the
8:20
challenge then was how do we build the
8:22
cali how do we build the market it was a
8:23
nent space how could we actually
8:25
convince our first investors users
8:27
customers it was hard to convince people
8:29
to actually meet you firstly or even you
8:32
know want to do a pilot and trial review
8:34
rather as well so much less finding
8:36
customers for us the early days were
8:38
really speaking with a lot of
8:39
individuals anyone from HR professionals
8:42
clinicians folks on the streets even as

8:44
well to try and very clearly understand
8:46
what was the problem we're trying to
8:47
solve for the first 10 customers a small
8:49
small pool of people to validate and
8:51
these were early stage startup that were
8:53
happy to actually test out and let us
8:55
know if it worked or not so I would say
8:56
what worked out well for us was actually
8:58
starting small knowing quite clearly the
9:00
broader vision and mission was but
9:03
starting in smaller steps that we could
9:04
chip away towards that larger goal

Chapter 3. Advice for first-time entrepreneurs

9:06
eventually as
9:08
well it's been quite a journey it's been
9:11
it's been not been uh relative towards
9:13
the bigger scheme of things not been a
9:14
huge amount of time but a time that a
9:16
lot has happened at least in in my life
9:18
so I'll say one of the biggest learnings
9:20
I've had that that I find useful and I I
9:23

keep reminding myself time and again is
9:25
that it helps to have a bit of naive in
9:27
terms of what one one has right in terms
9:30
of what I think is my my superpower if I
9:33
could say it's huge ambitiousness in
9:35
terms of what I believe one can actually
9:37
achieve and that has actually for better
9:38
or for worse guided me into taking the
9:40
steps I have taken from you know not
9:42
going to pursue higher education
9:44
starting a startup and and doing what we
9:45
have today as well i think having a huge
9:48
amount of ambition and a good amount of
9:50
naivety is what helps entrepreneurs get
9:52
started and having that dreamer within
9:55
you helps you do things that are bolder
9:58
that one would not conventionally take
10:01
as well so I would say in terms of what
10:03
my advice is for people aspiring to be
10:05
entrepreneurs young or old as well
10:07
definitely possible right I'll encourage
10:09
those who are interested to try to
10:11

definitely give it a shot i i i do
10:13
fundamentally believe that there is no
10:14
better time in our history for one to
10:16
actually start a company to have the
10:18
amount of access to information and
10:21
reach of audiences than than ever before
10:22
with the internet and with with all
10:24
that's happening definitely try but
10:26
definitely expect that outcomes may
10:28
differ from people to people i don't I
10:29
don't think that everyone is born or
10:31
meant to be an entrepreneur but I think
10:33
everyone definitely can try cuz if
10:35
anything one learns massively from this
10:37
experience in many cases one can
10:38
actually impact a lot more people as
10:41
well so I do believe fundamentally
10:43
there's many paths towards one defines
10:45
as fulfillment or or even success as
10:47
well and this is the path that I've
10:48
taken but there will be many more that
10:50
people can actually take on to to
10:51

achieve what they want to do as well

there was a lot of fight within the company out of 100 projects which one do we keep it alive we should actually keep some of it instead of dropping rest of the 99 problems but I said no we have to be the master of a one single product and one single problem we don't have resources to dilute our Focus I think I made the right call those 99 Problems 99 products didn't matter if you have one single killer item that's going to carry all the way through

[Music]

hello my name is hin Lee I'm the captain of Soul robotics Soul robotics is a B2B autonomous driving company so when you think about autonomous driving there's company like Tesla and way while they provide robotaxi services or a autonomous driving service that you can use on the public road we to be autonomous driving is not like that we provide autonomous driving Services where there's a lot of driver shortage we are currently focusing on two major areas first is finished vehicle Logistics when the car is manufactured somebody has to drive these cars to the ship or train or truck this requires 200 people perfect relocation for the car makers currently simply there's not enough drivers out out there who's providing this type of Labor forces so we are providing autonomous driving system to move these cars autonomously so that the the car can be transported safely to your doorstep the Second Use case we're focusing on as a B2B autonomous driving company is that we are focusing on the logistics centers when you order a product that product has to go through a large logistic

centers within this logistic centers
there is lot of manual driving needs to
be done somebody needs to move the car
to be charged to be cleaned to move to
the third floor or second floor we have
13 different nationality and now we've
been focusing on the B2B autonomous
driving for the last 3 4
years I went to us when I was 12 Junior
High small boarding school that's where
I spent my youth and then I went to Penn
State I guess that was my youth but
actually I want to rewind my clock L
back before I went to us until 12 I was
in Korea but my parents thought man the
robotics is going to be future well this
is early 2000 and when I went to Penn
State I studied mechanical engineering
thinking that well if I want to do
robotics I got to be able to build the
robots but I realized as I was studying
mechanical engineering the robotics is
not a hardware problem it is so much a
software problem that's where I as soon
as I graduated I started to study
software by myself but and then I came
back to Korea I went to Korean army cuz
I'm Korean citizen so I spent 2 years in
the Army as a tank mechanic so that was
pretty fun right after finishing my duty
as a tank tank mechanic in the Korean
army I started looking into studying Ai
and self-driving with groups of people
in 2016 I thought while the industry is
new They Don't Really teach Ai and
self-driving in the school yet and this
autonomous driving Market is just going
to be massive so why don't we start a
company to see how it can go so 2017
August with four of the co-founders I
started so robotics really not knowing
exactly what Market we're going to go
after our company started with the study
group that studied Ai and self-driving

and there was a competition the study group attended the competition and the competition member became the foundation of s Robotics and I was the captain of that study group and that title still stuck with me so still today after 8 years my title is still Captain that's a founding chapter of s robotics so our our first business model which was again this Sol robotics was my first kick it still is we didn't a whole lot we knew our computer vision technology was pretty good so our first approach was going after the oems so first couple years we really chased after that the amount of the capital resource that we had we couldn't go after kind of full autonomous driving system and have a business model that generates Revenue at the same time it was going to be a very long-term just purely R&D focused effort it turns out that first of all the car makers themselves moves extremely slowly and they're very conservative and we realized that man this trying to sell our system to OEM is just not going to work without then what else what else can we do since then we did bunch of different autonomous driving projects there's about 100 different project that we worked on sometimes we add a little bit of systems Control Systems maybe camera systems we are working as an Outsourcing company but a lot of this project just weren't scaling I got to feel that man this is going to be tough to commercialize there is simply not enough forerunners who have shown that using this kind of system redu ES cost or improves efficiency by significant amount to really widely adopt this type of technology for their B2B use cases the first major client was BMW so they

had a very interesting problem problem so significant that all the way to the sea level they wanted to solve this problem and the problem was when they make the car somebody has to pick up this car manually and drive them into the train station and this drive was anywhere 1 km 2 km or 3 km you need to have three four shifts of workers driving these cars and it's a large Factory you need a lot of people to do this in the automotive history this has been never been automated so it has been always driven by humans and that's the problem they want to solve because simply they couldn't find enough people to drive these cars and so this was one of our 100 project 99 failed and this project succeeded that's how we had a first glimpse of B2B aut autonomous [Music]

driving if I were to kind of explain what B2B autonomous driving is Tesla is not going to provide autonomous driving for every industry segment you can use Uber app you can use Facebook app but these are running on backend system of AWS and AWS makes a whole lot of money from all these companies AWS is a B2B cloud system you guys might know company like Oracle database related company or Salesforce who maintains the database of clients for companies and these are purely a B2B driven backend server so to say companies and B2B autonomous driving is like that we are a specific domain autonomous Driving Systems so that the societies can operate we're the backbone we the backend autonomous driving system for the society that's how I like to think of what we do the difference between average and the best maybe 100 to one yeah so our technology is quite unique it's very

different from weo and Tesla first of all we are still predominantly using lar second of all these Lars are not on the cars themselves these Lars are installed around the infrastructures you'll be able to see there's a poles and then there's camera and the lighters installed around the facility we have embedded our robotic system into the factory ground or into the building itself what we have essentially done is is along the path of this car has to drive we have installed these poles these sensors and then these cars will be guided from this infrastructure system the software is identical to the standard self-driving which it goes into the car we just have expanded on that idea to turn the infrastructure itself into a self-driving machine now when you do that you can solve a lot of critical issues that cannot be solved by a conventional method first of all you don't have to install hundreds and thousands of dollars of sensors per car you just need to install handful of sensors around the infrastructure second of all the issue with current self-driving is that it cannot handle heavy weather scenarios because when it rains when it snows the sensors are are blocked by precipitation but when you're using infrastructure first of all you're bypassing that limitation because the sensors are installed lot closer to each other so that firstable you can mitigate just for the shortage of sensors cuz you have just a lot more of them so kind of brute forcing this Problem by just putting more infrastructure system into it but obviously second of all it's not about the hardware it's about learning how to fuse those immense amount of sensor data processing them with the

data that you have collected for last 6 years to AI to figure out what is rain what is snow what is noise and filter all those out to exactly identify where my fleet of cars are now this technology which we call autonomy 3 infrastructure gets to solve a very almost is ur byproduct by doing so this was going to be solving one of the critical issue for the specially B2B use cases because the cars needed to move in Fleet groups of five groups of 10 groups of 50 groups of 100 cars and the current technology of autonomous risings wasn't going to solve that but if you're having infrastructure system orchestrates fleets of car simultaneously all of a sudden you can move the fleets of cars safely we didn't take the path of the least resistance we just took the path of what kind of makes sense to solve this problem at step by step and it turns out that our system is actually extremely cheap to deploy because conventional method you need to install systems for 100 cars for us it's a small parking lot handful of sensors then you can move hundreds of cars simultaneously so CES and especially Nvidia is they're looking into 10 15 20 years in the future now they're painting a picture of what in is to be and they I think they coined the term Fiscal AI most breakthrough application is going to be Robotics and fiscal AI is simply AI agent going all the way to actuating robotic arms and what's the difference between robotic arms and engine of the car it's the same it's a self-driving system or you could call it humanoid robotics etc etc etc and it is still few more years away from commercialization but it's slowly getting there and physical AI as well eventually it's going to get there what I admire about

Tesla and Waymo is that they stuck to the problem with the original design for actually longer than anybody else with extremely talented groups of engineers. This physical AI I think it just means that there's more degree of freedom robotics being rolled out for many different applications. Human a robot being kind of the epitome of that application use cases but I think if robotex and human is kind of similar as it's like a B2C application get be widely used for everybody else I think it's going to be the same there's going to be a lot of sectors actually that you need to provide product for B2B use cases for tunnel driving and there's going to be a lot of Robotics for B2B use cases as well that might not look like Humanity robotics maybe somewhere in between of those large industrial robotics that you see in the car factories and the human robotics a lot of Robotics that goes into B2B sector is somewhere in between it is going to be the future it is fixed thing that's always a big mistake is going after a giant market on day one

I think one of the things was a pivot again we pivoted several times until we kind of settle down on this B2B autonomous driving and there was a lot of fight within the company out of 100 projects which one do we keep it alive we should actually keep some of it instead of dropping rest of the 99 problems but I said no we have to be the master of a one single product and one single problem we don't have resources to dilute our focus I think I made the right call those 99 Problems 99 products didn't matter if you have one single killer item that's going to carry

all the way through I don't want to use Samsung as a bad example but you know Samsung and tsmc tsmc just focus on the single thing you know Apple and Samsung Apple focuses on a very handful of products Samsung does a lot of things if you look at the pure evaluation how the market perceives those two three companies tsmc and Apple has an higher evaluation than Samsung I think that makes sense one risk that has massive upside that if I failed in this it's okay because that was a massive upside instead of the mediocre Market distribute our focus on different autonomous driving projects that was just going to be mediocre all all around and that's the risk of starting a company if you fail we fail but if you succeed in this one market segment that is going to be so massive that just it wouldn't be matter and that kind of thing as the company grew people had a different opinions about what kind of product to build what kind of focus we need to have multi-product strategy multiple a strategy etc etc etc I didn't like that I think those were some of the kind of learnings let's take for example Tesla they started with focusing on the electric motor itself they actually could build a pretty good powerful Efficient Electric Motor so they start building that only and rest of the car component they just kind of Outsource it battery car body or whatever the next thing was the battery Focus on the better technology was going to be very important for Tesla's future and then after that they were trying to sell the car using the body of somebody else's and they learned that okay you actually got to build the body frame around your

core technology to build a solid product that you can sell and Tesla actually worked on Outsourcing some of their Battery Technology and the power train technology in the early days so they were doing some of the Outsourcing before they built their first product of the model S but that is building one success on top of each other to build verticalization of Technology into a singular solid product that outperforms everybody else's so is we kind of took the similar approach when it comes to tunnel driving perception was the most important thing so we really delve deeply into solving the computer vision problem on top of that we were meddling around many different applications but we found that in order to serve the B2B autonomous driving problems we got to build the entire product not just the perception side we got to build the planning and we got to build control we got to build a system around that to make our product work so that kind of verticalization was extremely important in order for that to work you still actually got to own that core differentiation technology for yourself you can Outsource that and I think that's one of the problem that a lot of existing car makers are having cuz their core technology is not batteries or software or electrical motor it's assembling parts so this core technology differentiation is kind of showing the impact today we want to kind of Rebrand ourselves and I thought .te is just the perfect domain for our website so robotics. .te sound perfect for our new chapter that's why we chose Tech domain if you're a hardcore tech company .te seems like the Just Right Choice like

hardcore robotics especially it's the perfect domain autonomous driving that we know is not just limited to robot taxi there's just lot to do in the world the driver shortage is severe in Korea and Asia we need to provide robust autonomous driving technology to the backbone industry it's still in the early days there's a lot to do right now we are the only very few companies in the world who's providing autonomous driving technology to multiple car makers and multiple logistics companies I think we're going to be one of the longlasting and very successful autonomous driving company that solved this severe societal problem we are based in Korea if you want to solve autonomous driving problems across the different domains of Industry please have a take a look at our website Sor bar.

Intro

0:00

a lot of people think that if you come

0:02

up with a really good idea that's all

0:03

you need but you need to understand isra

0:05

competition who has done this before

0:07

have they been successful if not why not

0:09

why would you be more successful than

0:11

other people you really need to deeply

0:13

understand why you will be better than

0:15

them and how you will be better than

0:16
them and you don't understand why you're
0:18
building when you're building it you
0:20
can't be successful hi everyone I'm
0:22
sheny co-founder in C at merch we help
0:25
companies add Integrations through
0:26
products really easily across categories
0:28
including Hrs ATS accounting serum
0:31
ticketing file storage and marketing
0:33
automation we've raised \$75 million from
0:35
investors including Excel Nea and
0:38
addition and we're currently operating
0:40
in New York City San Francisco and
0:42
[Music]

1. Be in the Phone Booth From 10 AM to 9 PM

0:50
Berlin oh my gosh trying to get your
0:52
first customers is so painful we spent a
0:55
long time building in stealth before we
0:57
started fundraising we were starting to
0:58
build a product and then once we
0:59
fundraised we continued building the
1:00
product and we actually didn't launch
1:02

for a year or so and once you come out
1:04
of steth you just expect all the
1:05
customers to come and they don't so we
1:08
were basically outbound begging people
1:10
to take a chance on us and to try our
1:13
product out and those early customer
1:15
sales processes taught me a lot about
1:17
what questions people would ask and I
1:19
think one thing that Gil and I did
1:20
really well was we really packed our
1:21
calendars with as many sales calls as
1:23
possible so we were pretty much like
1:24
from 10:00 a.m. to 9:00 p.m. both of us
1:26
just on calls it was a really tough
1:28
period in our life um we were just in
1:30
phone booths all day on calls and back
1:32
to back to back but it's it was a really
1:34
great muscle for just hearing the same
1:36
call over and over again AB testing
1:38
different pitches and seeing how people
1:40
reacted also just seeing the wide
1:42
variety of questions that people might
1:43

ask so by the time we hired our first
1:45
salesperson we were able to teach him
1:47
the answers to the questions that we
1:48
knew were always going to get asked if
1:50
we hadn't done that I think it would
1:51
have been really hard for us to ramp our
1:53
first salesperson we wouldn't know what
1:55
questions would come we wouldn't know
1:56
how to answer them and so by the time he
1:58
came we were able to say hey this is the
2:00
way that customers really like this is
2:01
what really resonates with them this is
2:02
what you shouldn't say so I think it was
2:04
really helpful for me and Gil to just
2:05
get those first reps in because it made
2:07
it so that the first salesperson that
2:09
came in and head of sales he was really
2:10
prepped and he was he was set up for

2. Stop Building, Start Researching

2:16
success to be honest we found product
2:19
Market fit pretty early on I think the
2:20
process of finding product Market fit

2:22
actually mostly happened before we even
2:23
started the companies user interviews
2:25
getting validation from people and how
2:26
much they would spend money all the
2:28
research had really happened before we
2:30
even started building I just didn't want
2:32
us to start building the product and
2:33
figuring it out later I wanted us to do
2:34
the research up front and we probably
2:35
spent six to nine months of just doing
2:37
user research before we quit our jobs a
2:39
lot of people think that if you come up
2:41
with a really good idea that's all you
2:43
need but you need to understand isra
2:44
competition who has done this before
2:46
have they been successful if not why not
2:49
why would you be more successful than
2:51
other people also the chances of you
2:53
thinking of an idea that no one else has
2:54
thought of before is extremely unlikely
2:56
probably someone else has tried this
2:58
before and they probably haven't

2:59

unsuccessful if you haven't

3:00

heard of them or they're maybe in the

3:01

early parts of the journey so you really

3:03

need to deeply understand why you will

3:04

be better than them and how you will be

3:06

better than them so we started every

3:08

week and we would spend a day together

3:10

just reading up on the industry trying

3:12

to better understand it trying to better

3:14

understand why companies out there that

3:15

were weren't solving this problem and if

3:17

they were trying to why it wasn't quite

3:19

the right solution so I think the

3:21

research is so so so important because

3:23

if you're not opinionated about it and

3:24

you don't understand why you're building

3:27

when you're building it you can't be

3:28

successful

3. Don't Be a Super Individual

3:34

I think a consistent characteristic of

3:36

billion dollar companies is successfully

3:37

operating at scale with each team
3:40
operating on its own so what that means
3:42
is that each manager is successful at
3:44
operating their team and the manager
3:45
about that as well there's no individual
3:48
that needs to contribute a ton in order
3:50
to make the company successful the teams
3:52
are just operating at skill on their own
3:54
and that's really hard to achieve
3:56
especially from an earlier stage where
3:58
each individual is the one that's
4:00
contributing a lot to the company so I
4:02
think that transformation from
4:03
individuals contributing a lot to the
4:05
company to each team operating
4:07
autonomously and operating on their own
4:08
cross functionally that's the goal but
4:11
it's hard to

4. Co-Founding = Raising a Kid Together

4:16
do it's not always natural for friends
4:18
to turn into co-founders and you really
4:20
have to have a foundation of trust you

4:22

also have to have complimentary Skillset

4:24

my co-founder is a genius he is the best

4:27

software engineer I know even to this

4:29

day Gil and I knew each other from

4:30

freshman year of college we met in

4:32

orientation and then we were in all the

4:33

same computer science class that's at

4:35

Columbia and so we knew each other

4:36

pretty well socially but we were also

4:38

fortunate enough to be on engineering

4:40

student council together in college and

4:42

that actually became a pretty helpful

4:44

proxy for what it would be like to work

4:46

together we were class president and

4:47

vice president our senior year and after

4:49

school we kept in contact and Gil and I

4:51

naturally just living our parallel lives

4:53

ended up getting skill sets that really

4:55

worked well together I'm kind of like a

4:57

master of none and I just I know a lot

5:00

of things I can code I can sell do

5:02

Financial forecasting but Gil is like

5:04
the best software engineer ever and he's
5:06
a great people leader and I felt like
5:08
the combination of the two would
5:09
actually be a really great pair the
5:11
advantages are it's just really fun
5:13
everyone that we've hired is so great we
5:15
have such a good time at work and a part
5:17
of that is because Gil and I are good
5:18
friends like we just really wanted to
5:19
make sure like the environment around us
5:21
replicated how much fun we had together
5:23
and it seems like so far we've been able
5:24
to scale that which is great
5:25
disadvantages are that your friendship
5:28
does change forever it's great because
5:30
it's more textured and it's deeper but
5:32
you probably don't want to hang out on
5:33
the weekends all the time together
5:35
because you're always together the
5:37
weekday you just end up like having a
5:39
friendship that's mostly just like okay
5:40
it's much more like you want to just

5:42
hang out you want to have a good time
5:43
but then now it's almost like you have
5:45
like a kid together and you always are
5:47
caring about this kid and you want to
5:48
talk about this kid together and that's
5:50
the company and a disadvantage of that
5:52
is just like your friendship completely

5. Talk About Everything Bad

5:58
changes one thing that has helped a lot
6:00
with the really hard parts of being a
6:02
Founder is just making friends who are
6:04
peers I have a really great group of
6:06
female founder friends in New York City
6:07
that I made after I started merge and we
6:09
just talk about everything like
6:11
everything bad especially and it's
6:13
really hard to break that barrier with a
6:15
lot of Founders because people just
6:16
don't want to share that kind of
6:17
information it's very very sensitive
6:20
like you don't want to share your
6:20

numbers you don't want to share like
6:22
things that are going badly you don't
6:23
want to share about people who hate you
6:24
you don't want to share about customers
6:25
that hate you but like having people
6:27
that you can talk about that with really
6:29
makes it easier because everyone's going
6:31
through the same thing and everyone
6:33
hates their lives and I think just once
6:35
you realize that every founder journey
6:37
is really painful and that no one has it
6:39
easy it just makes it a lot it makes it
6:41
a lot better I think one thing that I've
6:43
learned is as I'm living through life
6:45
I'm not really grateful for the time
6:47
that I'm currently in but then as time
6:49
passes and I'm in the following year I
6:51
look back and I'm like wow that was such
6:53
a great time period and that actually
6:55
has consistently happened every year now
6:57
and so now I've realized like I'm
6:59
currently living in a time that I will
7:02

like look very fondly on in the future

7:04

and at some point like this journey with

7:05

merge will end and I'll be really really

7:07

sad about it so I think right now I'm

7:09

just really trying to like appreciate

7:11

every single day as much as possible

7:15

so I think the one thing that I wish I

had done differently is I wish I had

made these pivots faster sometimes you

have to change your DNA faster but then

because you are who you are and you

don't want to change something that's

quite core to you that takes a long time

at least realize that the things that

you're doing are influenced by who you

are and and by the human aspect for

example we used should focus on drones

and then we had people that were quite

close to drones companies that we work

with and then also they spent a long
time developing the drones cells and the
drones design and when we say now we
pivot to EVS we to let go all that all
the relationships we build with those
people all the work that we did all the
momentum that we build we had to let
that go and that's not that easy it goes
back to Pivot when you make a pivot
there is a risk and the biggest risk is
you are letting go of something it's
quite natural for you to be emotionally
attached attach to the thing that you're
trying to let go but you have to let go
the sake of growth so I think I wish I
had let go of momentum the pass the DNA
faster so that we could actually pivot
faster my name is CH hul I'm the founder

and CEO of SCS aai we develop Next
Generation lithium metal batteries for
electric transportation both on land and
in the air we also use AI to accelerate
the pace of material Discovery and
improve EV safety we've been around for
more than 10 years we've raised more
than half a billion dollars now we're
listed on the lyc and we were the
world's first to develop Automotive a
sample and Automotive B sample lithium
metal sales and we partner with global
card companies including GM Hyundai and
Honda so when I was a child I was
fascinated by the universe and then in
terms of anime Transformers just like
any other kid that grew up in the late '
80s and the '90s everything that we have

today Once Upon a Time was an
imagination a lot of things in
Transformers for example cars flying
cars space travel nowadays we are quite
close to be living in a society where
you have these things everywhere I was
fascinated by physics show a lot of my
time and MIT in undergrad SCI physics
and then at that time when I started my
PhD in 2007 2008 it was a very special
time in the US
it's the largest lithium ion automotive
battery manufacturing plant in the
country and today the company A123
Systems will officially open their new
plant A123 was at the peak I would go to
these seminars MIT and then just hear
Founders top Executives at A123 give

talks about their experience A123 was the American hero in American Battery industry but then in 2012 they could not compete I think A123 was too early too advance for its time they had this lfp technology but back in 2009 2010 2012 the popular Chemistry by the Japanese and the Korean companies was not LP it was NCM at that time the OEM like GM Ford they would make A123 and the Korean and Japanese salemers compete and obviously A123 could not compete and they lost and then they went bankrupt so founder cosos and professional cosos are really different founder CEOs are very technology focused and they really care because as like your baby but when you are a professional CEO you don't know a

lot of the the Deep challenges and the
Deep issues and then you get funding
from the government and then you quickly
forget who you are then their
Professional Management forgot that
because they got a lot of funding and
they thought they could expand really
fast they hired 5,000 people in 3 months
build this giant Factory in Michigan and
then it was like from the moment they
announced this build out and the hire 3
months later they had 5,000 people they
had just barebone facility and then 3
months later they had to lay everyone
off growth was too inorganic was too
fast and if you make one mistake and
also they lost focus on quality they
were focusing on management focusing on

just public marketing they had an issue
with one of their I think was like a tab
welding those defects cells ended up
getting shipped to GM obviously that was
not good so they lost the contract to LG
so the A123 Professional Management care
a lot about revenue is a listed company
and revenue is important for your market
cap but they lost focus on the cost it
was huge Revenue with huge negative
margin just it was not sustainable and
the whole thing blew up I watched the
whole thing and I interface with
everyone both the founders Professional
Management back then I remember just
saying to myself don't let it happen to
CSI end of 2012 after A123 went bankrupt
because A123 is here in wam at that time

we were just just trying to raise our
series a we had no money so we went to
A123 because we had known those people
quite well and then their R&D facility
in Wan was was available it used to have
at the Peak 200 people at that time you
had like eight people and then all the
dry rooms all the equipment there were
new sale VR but then everyone's gone so
we went there and we just asked one of
those Engineers hey can you use the line
1865 line and help us build build a
couple of prototypes for free so they
did that so that was uh end of 2012 like
we would go to A123 and then just
leverage whatever they had and then just
build prototypes all for free looking
back that really saved us a lot of time

and then a lot of money was a a very
good experience no other battery company
in the US went through that we were the
only company in Massachusetts at that
time that leveraged that A123 and I
think both that experience leveraging
the A123 incubator learning from A1
123's mistake A123 had a good technology
but they expanded too fast they got a
lot of funding and they almost forgot
who they were I think one thing is when
the market is is really good we try to
get as much cash as possible but then we
don't don't invest many others for
example in 2022 in 2023 and also I will
say first half of this year when the
market was was actually quite quite hot
a lot of our peers invested a lot if you

go visit our peers in California in
other places I think you'll probably
like their facility more than our
facility we tend to be pretty pretty
cheap but then a lot of those companies
that invested in these things they are
now shutting it down the market is good
we trying to get as much cash as
possible which is what we did with the
spa in 2021 and 2022 but we don't invest
aggressively as many of our here
especially in CeX because I've seen
companies that spend \$100 on cack fire
cell situation will have to sell that
for less than one
cent yes so when you run a company
especially want to become listed there
is a lot of work that you have to do but

you also don't have to do you have to do
a lot of work for the sake of of a
shareholders Market investors but those
actually don't really add value to the
PO Mission I mean I think there are lots
of challenges we F raise seven times
sometimes Market is good sometimes
Market is tough and you have to raise
from private investors from Financial
investors from strategic investors it's
challenging technology is challenging
deal STS challenging these are okay
these are challenges that we have to
deal with I think the biggest challenge
that I hate the most is um is a bad
board so when you're the CEO of a
company there's a board right when
you're private the board is consist of

investors when you have like a bad investor that doesn't know anything but wants to get involved could be this investor has like a timeline and they need to exit or they have say this new fund and they have pressure from P the most challenging and then it's the worst kind of challenge it's not like a worthy challenge it's not like technology or business deals they're challenging but they're interesting and they are worthy of your time investment I think one you need to be as an entrepreneur when you raise money from investors you should be very selective in the type of investors some investors maybe it's a big name investor uh but then if they are too controlling you want to avoid that a

dollar from a big name investor is the
same as a dollar from a less known
investor it's it's really the value of
the dollar and you really want to select
a good board and a good investor
investors that have good chemistry with
you when you have these agreements
shareholder agreements and the Board
agreements be really clear with what
kind of power you have and I think um as
entrepreneur now is not a time to be
nice you have to be really clear in
terms of what power the CEO has and then
what power the board has and it's it's
really not the time to be polite if you
don't give me the power don't make me
the CEO make someone else the COO if
you're going to make me the CEO give me

the power I think that's really
important if you get too complicated
there it's hard to focus especially when
situations get bad when you have to make
pivots if there is not clear and
concentrated power it's actually hard to
make things
happen yes so the current EV Market is
challenging we are in the industry where
the validation process takes a long time
it should be because for someone to buy
a car and then drive that car with their
family that car should be safe it takes
a long time to qualify a new battery
chemistry in cars when you change a new
material when you change a new
manufacturing process when you change a
new design it takes a long time to

qualify this is also one of the reasons
why we develop the three AI Solutions so
that we can accelerate that timeline
actually taking 10 years of seeing how
it behaves under different real world
situations let's take one year and then
take all the data from one year play an
AI model and then have that AI model
tell us how it will behave in the next 9
years so I think the the use of AI can
accelerate the time that it takes
customers and the market to get
comfortable with new Innovations the
three AI solutions that we are
developing AI for science AI for
manufacturing and AI for safety really
start to form a new ecosystem that did
not exist before and this new ecosystem

is now forming because you have more data from all the gigafactories that are becoming available and also you have all these new models that are being developed large language models New Foundation models and all these new models that we are developing when these two converge the data from these gigafactories and these new models you can form this really exciting ecosystems that never existed before and then we are working with in addition to the car companies that we worked with before Hyundai Honda and and GM we're now working with computer companies for example like U Nvidia and and a few others to really establish very capable computer centers and also to develop

these new softwares new models that are
tailored to the type of computation that
we're doing so that we can really
efficiently and then quickly compute a
large amount of data from Material data
to manufacturing data to vehicle data I
think we are taking this this Challenge
and then turning this into a very
exciting opportunity where we're forming
a new AI ecosystem in the EV battery
industry that never existed before I am
personally very interested in
transportation related applications
Transportation a that's why EV
Transmission in the air so flying cars I
really believe flying cars will be
everywhere in 10 years worldwide it's
something I'm very passionate about and

I truly believe in when I was a child I
really like the Greek mythologist of
Hermes it was one that brought dreams
and then one application I'm
particularly excited about for the use
of lithium metal is high altitude Pudo
satellites so these are these drones
that fly in the stratosphere so 30,000 m
above the ground and then it's basically
a flying cell tower so you can imagine
these high altitude stud satellites will
fly in remote places and then provide
Wi-Fi provide signals to kids that have
no access to Wi-Fi in terms of the
spread of knowledge the spread of
information to uh people in remote
places I think it's a very exciting
application and also on the material

side we are building bigger and bigger

GPU clusters in the Arctic and this

Arctic Computing Center can power more

and more applications from batteries to

uh for flying cars but also I think is

going to expand Beyond transportation

for example there are many challenges in

climate change you can use this Arctic

Computing Center to address a ocean

plastic waste or to come up with new

antibiotics or to come up with new uh

models the Earth climate SCSi will uh

evolve from a battery company to power

company for transportation and then also

brain for to address climate

change I think as a human it's it's

quite natural to assign an emotion to

success and emotion to failure but

actually there are just different labels
of different States right I don't really
think too much about about these
failures obviously when these things
happen there is a cost emotionally
financially and whatever really in the
grand scheme of things it's just a state
temporary state I'm not that bothered by
those I'm a robot

Intro

0:00

So after three months of the launch, we only gathered about 200 users.

0:04

However, only seven months after we launched the product,

0:07

we see so many users saying like, I want to pay to jump over the queue

0:10

I want to pay to get a higher resolution.

0:12

I want to pay for more downloads, I want to pay for more credits.

0:15

And by the end of 2023, we had nearly 10 million ARR as well

0:19

as 5 million user signups.

0:21

But for the live streaming tool, we didn't save any time.

0:23

We didn't really help them make more money.

0:25

If you can't make more money or save time for your users,

0:29

they just feel like it's a cool product.

0:30

It's cool from look and feel, but not from a business perspective.

0:34

A product market fit is probably something that you see users are

0:38

Hi, I'm Young, I'm the co-founder and the CEO at OpusClip, so we.

0:42

OpusClip turns your long form video footage into social, engaging short video

0:47

clips in just one click that saves about over 99% of your time and resources

0:53

and expertise of social video production.

0:56

We've gathered user signups, supports and trust from over 5

1:00

million creators and businesses worldwide.

Chapter 1. How an Introvert-Engineer Changes the World

1:07

You can probably see that people who create social apps are really introverts.

1:11

They can't socialize in real life in real person, so they have to figure out another

1:16

hacky way to socialize with people.

1:18

Especially, I want to socialize with people when I'm not sober.

1:21

I co-founded a social app company that was called Sober.

1:24

So the name you can tell is that after you drink, how you want to socialize

1:27

with other people, right?

1:28

We raised about \$1.5 million back in 2013.

1:32

However, unluckily, that was just two months before Snapchat was launched.

1:36

We shared a very similar concept that all the friendship

1:39

and all the content will disappear in a few seconds or in just a day.

1:42

The company definitely failed after a year.

1:44

However, I really enjoyed being an entrepreneur through that experience.

1:48

I think in the early stage when people become an entrepreneur is

1:52

probably driven by solving their own needs and trying to expand that solution

1:57

to more people, right?

1:58

I think people who want to be an entrepreneur in the early days, by nature,

2:02

are people who want to impact more people, impact the society and impact the world.

2:06

So back in early 2015, I went to China with a couple

2:10

other friends from Silicon Valley.

2:11

At that time, the popular trend was to copy the successful business models

2:15

from the US to China,

2:16

and we discovered a pretty cool business model from Toast that helped restaurants

2:19

speed up everything all the way from POS to MarTech to HR tech.

2:23

However, it didn't really turn out well because of the completely different

2:28

landscape and ecosystem.

2:30

But throughout the journey that we realized, we are actually the helper

2:33

for the local restaurant and we should not only build a software,

2:36

but also services whenever needed.

2:39

So I quickly formed a talent agency focused on Food Review, just actually

2:43

four months after TikTok was launched.

2:45

I know that short video can redefine how people market themselves, and we

2:49

recognize the huge opportunity out there.

2:51

I spent about four years expanding that agency.

2:54

We had about nearly 500 creatives in the team.

2:57

After running the agency for about four years, we realized that all

3:01

the top talents left us because all of them want to be a solopreneur.

3:05

It is pretty easy and intuitive for a super creative person

3:09

to become a solopreneur.

3:10

They want to create content for themselves,

3:12

not for some local restaurants.

3:14

So I thought about it.

3:15

Instead of managing these creatives directly in my team,

3:19

why don't I build some AI powered product that can enable all of the creators?

3:25

There must be an AI solution that can automate as much as possible

3:29

and remove the pain for creating contents.

3:32

Because I was running the business, I know how painful it is.

3:35

All the successful entrepreneurs have some sort of altruism.

3:38

They want to help others.

3:40

It is pretty straightforward that they can get benefit.

3:43

The benefit is not commercial.

3:45

It's not business, but it's more spiritual benefit from helping others.

Chapter 2. How I Gained 5M Users In Just 7 Months

3:55

So the first product idea we came about is AI powered live streaming tool.

3:59

So that was during the pandemic and everyone is working from home

4:03

and watching live streaming content.

4:05

So we founded the company back in January 2022.

4:08

We spent about half a year building the live streaming product with all sorts of

4:12

cool AI features like AI generated memes, AI populated interactions, and so on.

4:18

We realized that it is not solving any real pain points.

4:22

So after three months of the launch, we only gathered about 200 users.

4:27

So these 200 users, we actually spend a lot of effort.

4:30

We want them to continuously use Opus Studio to give us feedback,

4:35

but none of them is willing to do so.

4:37

So we paid them like \$20, \$30 a session to use our product

4:41

so that we can gather the feedback.

4:43

But after we stopped paying for the stipend, none of them is

4:46

continuously using the product.

4:48

However, the last feature we built for the AI powered live streaming product

4:52

was a clipping feature because a lot of users keep asking us

4:56

that after the live streaming,

4:57

we want to repurpose the content so that we can reuse for distribution.

5:03

So we added a feature that during your live streaming, you can hit the button

5:07

and we will add a mark.

5:09

And after the live streaming content is ready,

5:11

we can deliver the clips for you directly.

5:14

And also we use some other AI to recognize the cool moments.

5:18

That was the only feature that these 200 users liked.

5:22

They say all the other stuff are nonsense. It doesn't help.

5:26

How can I only use this feature?

5:28

So we decided to turn the feature into a standalone product.

5:32

And amazingly, in just two weeks, tens of thousands of users sign up for OpusClip

5:37

And by the end of 2023, we had nearly 10 million ARR,

5:40

as well as 5 million user sign ups.

5:42

And that was only seven months after we launched the product.

5:45

The real product market fit comes from people who are

5:49

really willing to pay for it.

5:51

When we launched Opus Studio, we asked the user during the interviews,

5:55

like how much you want to pay for them and they're too shy to give us an answer.

5:59

They were like, I will probably think about it or something like that, right?

6:04

So you can know that they don't have any dedication or commitment

6:08

to pay for the product, but for open clip, we see so many users saying like,

6:12

I want to pay to jump over the queue. I want to pay to get a higher resolution.

6:15

I want to pay for more downloads, I want to pay for more credits.

6:18

We didn't have the payment setup on day one, but so many users just came in

6:23

to knock on our door and email us and calling us even because we

6:26

really saved tens of hours for them.

6:29

But for the live streaming tool, we didn't save any time.

6:31

We didn't really help them make more money.

6:34

If you can't make more money or save time for your users,

6:37

they just feel like it's a cool product.

6:39

It's cool from look and feel, but not from a business perspective.

6:43

In the era of AI, there are definitely way more teams

6:47

great at technologies, then teams great at building a product market fit.

6:53

They believe they have a really strong technology through like

6:55

a paper through academic research, but the user really want it.

6:59

So I think definitely start with what the user wants, stay with your user,

7:02

or even try to become a user.

7:04

And then think about whether your technology is the best solution,

7:09

whether AI is the best solution.

7:11

So many AI products that can deliver over 100% of quality at times, but also really

7:16

under deliver really disappointed users.

7:19

So I think from a user experience perspective, how you manage your

7:22

user expectations is really tricky.

7:24

Once AI delivers some results, can user touch up on that?

7:28

So that's why we spend a lot of our resources building some manual features.

7:33

That comes after the AI first approach, which means once I deliver the result,

7:37

if the user think is 80% perfect, they can still continue the workflow

7:41

from what we generate for the user.

7:43

This is going to really completely solve a user problem.

7:47

Because you are building a product, you are solving a business problem

7:50

that eventually has to be 100% resolved.

7:53

AI if AI can only do 80%, you have to make sure the other 20%

7:57

can be well handled by human hands.

8:00

Right now at OpusClip we launch new feature every single week.

8:03

That is one of our culture and that is one of the trend.

8:06

Users love our product.

8:08

They see opusclip not only the current product, but how fast we out.

8:12

Iterate the market by launching new features every single week,

8:15

making sure you experiment extensively before launching an AI product.

8:21

Because AI is not so controllable nowadays, the result can be versatile,

8:26

can go beyond even your expectation.

8:29

I see most of the AI features or AI products.

8:31

Start with like a lab, start with a beta version, and after quite a few more months

8:36

when it is really stable, when the cost really came down,

8:39

then it becomes part of a core product.

8:41

Don't spend too much time building an AI core product.

8:46

Try to launch it separately, try to launch some small experiments,

8:50

and get early users feedback before cutting down the cost.

8:54

Before integrating that into your main product.

8:57

And our product is also very unique in terms of user feedback

9:01

is that the user not only directly give us feedback through using the product,

9:05

but also once they post a video from our product to the social medias,

9:09

we can gather the number of user views, the number of comments, number

9:13

of favorites, and number of reshares.

9:15

So all these, what we call audience feedback is actually ten times or even 100

9:20

times more than our user direct feedback.

9:23

And we're going to use these amount of feedback to fit into our model training,

9:27

so that we can judge whether we are generating a good video clip

9:32

even before the user publish to the social media channels.

Chapter 3. The Survivor in the AI Era

9:40

So our vision is to enable anyone to become a creator

9:44

without the effort and hassle of video editing and prompting skills.

9:49

We don't want an AI to remove the human authenticity.

9:52

We want humans to focus and spend more time on creating an idea.

9:56

Create your script.

9:57

Film the relevant contents and then we OpusClip will take over all the boring

10:03

and tedious and time consuming work.

10:05

So there are in general, from video production perspective,

10:08

there are three major stages.

10:10

The first one is pre-production, where you edit a topic, you write the

10:15

scripts and you prepare the storyboard,

10:17

and then it comes to the production where you film the content, you record the

10:21

screen, or you prepare the media assets.

10:24

The last one is the post-production, right where you edit the video,

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you assemble, you cut the scenes and you sequence them in order.

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Previously, most of the AI or technology is only focusing on a specific scene

10:37

or a specific frame.

10:39

But nowadays the overall story, the overall narration and the curation

10:43

can be well enhanced and automated by AI. The second thing is definitely

10:47

the generative AI technologies.

10:49

We can see that most of the time it's really hard to feel the content.

10:53

But nowadays with Sora, with Pika, with other AI models, you can

10:57

generate like a few seconds long footage or B-roll from just a few words.

11:02

So I think one is the understanding, the other is the generation.

11:07

These two huge advancement of AI is actually automating the whole process

11:12

and also generating new footage.

11:13

I think with the advancement in these AI technologies,

11:17

creators are actually shifting from creating content to being creative.

11:23

They don't have to spend so much time to specifically create each piece of content.

11:28

I can do this job for them, but they should spend probably ten times more time

11:32

to think about how to be creative.

11:34

Because everyone is being more and more creative.

11:36

Everyone have more time to be more creative.

11:39

Everyone have more resources to be more creative.

11:41

I think the paradigm shift is how can you be ten times tenfold

11:44

more creative than before?

11:46

I think in the AI era, being authentic and being genuine is probably going to be

11:53

more of a rare find because it's easy.

11:56

It's super easy to leverage AI to generate a lot of fabricated content.

12:00

So my advice would be, just be yourself, be human, be real.

12:05

And, you know, maybe nowadays it's easy to be like that, but think about 5

12:09

or 10 years later when AI is everywhere, when AI generated content is everywhere.

12:14

Like being super real, being super genuine and authentic is probably going

12:20

to help you be the most creative.

most startups are going to fail very
very few of them succeed the chances
that you're going to succeed aren't very
high what you want to do depending on
how much money you have is you want to
give yourself as many chances to find
product Market fit as possible when you
find product ret fit you will feel it
you won't know why it happened but
you'll feel the market pull the only way
you can find that out is to my name is
Jim Rose I'm the CEO of circleci
circleci is a continuous integration
and continuous delivery platform think
of it we're the manufacturing system for
software so when developers make a
change to an application you want to be
able to build test and validate that
that change is good before you put it
into the hands of your Downstream
consumers we're at a pretty decent scale
so we're more than 100 million in
Revenue we're about 300 plus folks
distributed globally we work with
organizations of all sizes including
folks like hugging face and weights and

biases including the US government well it's been an interesting Market over the last 10 years I mean I think the first thing is you always want to recognize that the market is cyclical there's going to be ups there's going to be Downs as an entrepreneur and as a startup your job is to not get too high at the same token not getting too low you want to make sure that you're charting a path and staying stable and making sure that you're doing the best thing you can but if you're building a good business and you're building something that's valuable and then that your customers enjoy you're going to be fine there are very very very few overnight successes but usually if you look at most great companies they've been at it and working hard and growing over the course of 5 7 10 15 years what I have found is that you need two things to be successful as an entrepreneur one is you need to be inherently very curious you have to always be kind of trying to figure out what makes things tick what's Curious what's interesting right now what kind of problems are you running into and then I think the other part of it is you have to be able to step back and see problems not just at a small microscopic level you have to be able to step back a little bit and look for patterns cuz I think great opportunities and great businesses often times while they start with a very unique Point solution or Point Insight It's usually the companies that you to see succeed over a long period of time have that ability to zoom out a little bit and say oh that one point is actually related to these 15 other things what if we could solve seven of them what do you have to avoid as an

entrepreneurs you have to avoid getting too swayed by the flavor of the day or the trend of the moment Trends are Trends one of the things I see happening so much right now is the halflife of Trends right now is getting shorter and shorter and shorter and our attention span is getting shorter and shorter and shorter you have to figure out how to be aware of it but then ultimately be in a place you can ride out and understand the value that you're adding for a customer and not get not get distracted if you're focused on an area where there's a lot of users or a lot of money spent it just gives you a lot of ability and affordance to be wrong if you're going after a market and there's only \$10 million spent there and only \$10 million of potential you're going to have to figure out a way to get all 10 of it whereas if you're going after a market that's a 100 billion there's lots of different ways to get to \$10 million in Revenue and so focusing on very large opportunities in large pools gives you a lot of flexibility to try new things and a lot of different ways to Choose Your Own Adventure to get to size and to get to something that's meaningful often times the thing that you build that's going to be meaningful is going to be seen as a toy by everyone else that's the way that you can kind of establish a way to generate something that's meaningful to 10 users or 100 users once you can find that thing that that attaches that that becomes meaningful to your customer that's the the the spark so you want to Target markets that are big but you want to Target opportunities that you can get to quickly so that you can better understand am I on the right track my solving a real problem the

customers enjoy the thing that we're that we're building and delivering to them so that you can continue to kind of invest and reinvest and grow I'm Rob Zuber CTO of circle a co-founder relationship is a very long relationship and it's very difficult to exit I met Jim through our third co-founder at copius and so Jim and I went for coffee and he sort of gave me a bunch of insights into the business as someone who had never even worked on it that were really interesting and compelling to me like very insightful and I thought this is someone who really understands product really understands like the kinds of things that you face in a startup and so I think it would be really interesting to work together I will say many early stage investors spend all of their time trying to understand the Dynamics of the team and the relationships between the people because that is the biggest challenge if I was considering starting a company with someone I would be extremely honest about who I am what motivates me how I work what frustrates me and would want to hear the same from that potential co-founder to know that we're going to work together because otherwise we're going to invest years of our lives in something that's going to collapse your best Partnerships are going to be people that you enjoy as people you really want to not just find people who have the skills that you believe that you need that you find that might be complimentary to what you do but you need to find people that are socially compatible with you as a team can work well together even when things aren't working well they may all be incredibly skilled you know it might be like a

basketball team you have somebody who's great at shooting three-pointers great at driving to the hoop and somebody who's really good at getting rebounds but if the pieces don't fit well together you're not necessarily going to have a great team and what you're really trying to do is you're trying to build a great team and not necessarily get too fixated on the independent skills of all the individual players that I think gets lost far too often is that most founder blowups and I think that's a real struggle for you know super early stage startups cuz you can barely find anyone that's willing to like take a pay cut take all the risk do all these things and join you and you're super excited to have anybody that says they're willing but the reality is those early hires are the most important ones that you will have and they will work with you to Define and structure that culture so it's really important that those early folks are bought in and that's what helps you amplify and build the culture that you've defined you should focus on getting out and talking to as many customers as you can and inevitably the thing that you got to go fix or the thing that you have to really fixate on is what is the problem that we're actually solving for the customer and the only way you can figure that out is by going and talking to them customers are great at telling you what their solution would be they're not always so good about articulating what their problem is and be less concerned about the solution that they're telling you because their solution is inherently going to be directed at the at their specific instance of the problem often times when you're getting

negative feedback those are actually the most valuable conversations too often as an entrepreneur it can be very raw when you're talking to a customer sometimes customers will definitely not like what you've built and what you delivered when you're an entrepreneur the thing that you're building and putting into the hands of the customer is a representation of your time and effort often times when when you get negative feedback your natural reaction can be to basically lean back and recoil and sort of protect yourself you need to be leaning in and just digging in into the why of trying to like why are we a little bit off the mark why are we not actually able to solve it when you start you're solving the problem for the customer and whatever that problem is and as you get bigger as an organization as you acquire expertise there's some point in there where you become the expert in the problem and you have to go from consuming information from the customer to being in a dialogue with the customer where the customer is going to keep telling you what their problem is but what you need to start to do and what you need to be investing in in that relationship is your expertise in that particular problem in the world of circleci we've seen the customer problem probably from 18 different ways and facets more so than the customer has the customer tells us their problem we share with them what we've learned over time and then we can come up with some kind of joint solution it's a tight balance you have to figure out how much you listen versus how much you contribute that balance changes over time when I joined in 2014 the pricing model was established around that time as people

were getting more and more comfortable with things like elastic compute and Cloud offerings they were getting more oriented towards capacity or usage models meaning use this VM you know in ec2 for X number of hours and I pay exactly for those hours and those those models were even shifting to like by the minute pricing so pricing was becoming much more Dynamic based on usage and our customers were asking us why am I paying for this fixed bandwidth on the weekend we shifted our entire pricing model to be usage based and that took a long time to transition I mean introducing new pricing is hard getting people to shift is hard and then getting the last people right from a tech platform perspective you don't get to turn off all those parts of your platform until you've gotten the last customer off of them right it's like the first customers is exciting but then you're doing two different things so we went through a big transition but that is ultimately paid off so my takeaway and advice from our changes in pricing strategy is that ultimately when customers feel like they what they're paying you is directly aligned with the value they're getting they're much more likely to pay so in the usage based model for us it's when I'm building software I am paying you to help me build software and when I'm not I'm not paying you that much better aligns with their perception of the value that they get from versus a capacity model where even when I'm not using it I'm paying for it and so that transition really allowed us to have a better relationship with our customers around value and them paying for the value that they get from us startups don't die startups run out

of money what you want to do depending on how much money you have is you want to give yourself as many chances to find product Market fit as possible that means you have to keep your development cycle as short as humanly possible and you have to keep the feedback Cycles as immediate as possible so even big well-funded startups that that that may maybe don't succeed or they fail often times the length of the development cycle is way too long they're they're spending months if not quarters and in some cases years perfecting a technology that they have no idea if anybody's actually going to use so what you want to do is you want to be able to build something that's meaningful enough that when you put it into the customer's hands the customer can actually react in a way that's going to tell you whether you're on the right track especially with your early users your earliest users are going to expect that first version of the thing that you put into their hands it's going to be rough it's going to be Jagged there's going to be things that don't work but if you find something that that directly addresses the customer need they'll grab it right even though there are like rough edges in the product when you find product ret fit you will feel it you won't know why it happened but you'll feel the market pull the only way you can find that out is to ship fast and ship early having product Market fit and keeping product Market fit are not the same thing so don't assume that now you've nailed it and it's always going to be the same usually you hear the thing that guy you hear won't get you there the paranoia and drive to like absolutely understand your customer and their need should stay

the desire to iterate quickly and always
be improving and always be experimenting
don't lose that because you suddenly
feel like oh we found it now we do
something different so it's a question
of building on top of your drive for
brilliant product not parking that and
doing something else now what else do
you add on top of that you're going to
get much higher leverage sort of go to
market marketing strategy when you have
a product that people love and then
later you know depending on the scale of
your customers and the type of your
customers you might also do direct sales
direct sales is a can be an expensive
big proposition so you want to know that
you're in a place that that's the kind
of customer you have to go after the
more you can do on self serve you know
product L growth I think the better
you're going to be in the early days and
then a lot of it is tweaking like okay
people love the product but boy is a lot
of energy to get into the product right
maybe the onboarding flow is complex or
hard to understand or whatever how can
we tighten that where are we losing
people right so really paying attention
to how people are flowing through
because pre-product Market fit you
probably don't have enough numbers going
through your product right of users to
really even understand but now you're
seeing okay lots of people are going
through and they got all get to this
spot and something goes wrong right we
lose a bunch of people here great what
is that can we go talk to customers can
we look at the data how do I improve
that so really like opening up the
funnel to make sure people are
converting and then marketing pour fuel
on the fire drive people in but pay

attention because you'll you'll Drift from product Market fit and if you lose it now you're pouring money you know into something that's not working developers and the technologies that people ultimately select often times are selected because somebody else said it was cool a technology would kind of come and go maybe every 3 to 6 months now it's like 5 to 10 days and in the world of generative AI it's going even faster you know you talk to most development teams in generative AI you kind of plan your world on six we Cycles because the the technology that you started with 6 weeks ago may not even be relevant 6 weeks later and so you want to stay as close to at least in our case the developer and the user and the practitioner because they're the ones who ultimately best understand the technology that they're using and can give you the greatest feedback because they will continue to use a technology that actually solves their problem and they are very quick to throw away stuff that doesn't actually work I would say as a company or an entrepreneur if I were looking in the AI space is one I would the Slate clean and try and find things that I thought were inherently unique and just get very very creative again it feels very same right now I think the people that are really going to succeed come up with ideas that today are going to feel very radical but in 2 or 3 years are going to feel ex incredibly normal but what's normal in 3 years is going to feel very different today I would encourage people to be as creative as possible I think the second part of that is I would think very deeply about what can you do that's uniquely valuable to the customer bad is

defensible over time I think what you're seeing right now is as people have tried to take similar activities that we did before generative Ai and of just trying to make them a lot of it just gets easily displaced the big foundational models the big vendors of today basically look at kind of a unique Niche application that somebody might have and they just do it better and they can do it more cheaply than some of the other providers can and then you watch entire parts of the market disappear I think that's pretty natural but if you're an entrepreneur you want to find something that you think is inherently defensible there's there's some reason that you as a company doing it and doing it over time Acres more and more value and Acres more and more differentiation that somebody can't come in and basically take it away from you and that someone who comes in and takes it away from you is probably going to be a fortune¹ company that has infinitely more money and can do things at a lower cost so you have to find something that's very unique and valuable and one of the huge benefits of startups and being an entrepreneur is that you're unencumbered you don't have to worry about the way it was done before you don't have any customers and come up with something entirely new I think that's how you find success find something that's truly unique something that's truly inspirational and spend your time there because most startups are going to fail very very few of them succeed the chances that you're going to succeed aren't very high but the way succeed is by trying to do something meaningful if you're doing something that's truly inspirational and meaningful maybe as a

startup with the first thousands or millions of dollars that you invest you're able to get 20% of the way there and you're able to hand the Baton off and go join a larger organization who then helps you get it to the Finish Line right but if you're just doing something that's an interesting facet or feature of somebody else's platform that's easily copyable there's there's better ways to spend your time

0:01

People used to go to school to learn how to do the homework and do the exams.

0:06

Today, everyone needs to learn how to grade the homework.

0:09

This is the huge difference because someday if you want to do anything

0:13

in the world, the first thing you will do is you will ask ChatGPT.

0:16

The role of a person in the world is going to be to solve problems.

0:20

So that's why what the world needs now is a large scale way for everyone to learn

0:25

how to come up with their own way of thinking, not just how to do the problems.

0:30

Hi, I'm Po-shen Loh. I'm a mathematician.

0:33

I'm a math professor at Carnegie Mellon University.

0:35

I'm a social entrepreneur, and I'm also the national coach of the US

0:39

International Math Olympiad team.

0:45

If you have six match sticks, how can you

0:49

put them so that they make four triangles?

0:52

Four triangles where the side of the triangle

0:55

is the same length as the matchstick.

0:57

So if you have six of them, you might start putting

1:00

three of them like this okay.

1:02

But then you only have three more.

1:05

Now what? Okay.

1:06

It turns out that the answer is that you take the three matchsticks like this,

1:10

and then you use one more up here, and you put it down like a pyramid.

1:15

That's thinking outside the box. If you if you can call it that.

1:18

Because this is not just on a piece of paper anymore, it's still six matchsticks

1:22

or six toothpicks, but it's not what you were thinking of.

1:25

I've done lots of different kinds of teaching.

1:27

I teach people all the way from the International Math Olympiad team.

1:31

I will also go to schools and teach sixth grade in schools, where unfortunately,

1:37

there might not even be any math teacher for the whole seventh grade.

1:39

So I go and cover the entire range of education.

1:42

I find this to be very interesting because that helps me to learn

1:46

what the challenges are.

1:47

The whole point of a school math test is to see whether or not you listened

1:50

and you practiced.

1:52

In fact, all the math competition problems in the US and also in many parts

1:56

of the world are of this type.

1:58

Which is why today, the way that I approach education and training

2:01

is to try to help as many people as possible learn how to do those questions,

2:07

which they won't have seen before.

2:09

But I want to emphasize the reason I've been doing a lot of work on this nowadays

2:13

is because when I was doing math competitions in the 1980s,

2:17

the way you got good at it was by thinking every problem which was new was a chance

2:23

to practice mental flexibility.

2:25

Today, unfortunately, there's a huge industry around test

2:30

preparation and cramming where people try to help students get high scores

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on these strange math questions by showing you all of the strange math questions

2:41

that you might possibly see.

2:42

And that involves studying for many, many, many, many hours,

2:46

so that the hope of the parents is that when the students see the test questions,

2:51

they are never surprised that they have done everything many, many, many times.

2:55

By the way, as you may know, this causes students to have to go to school

2:58

and after school and so many others.

3:01

It's actually very bad for the student, but even worse, it takes away

3:04

the student's chance to invent.

3:11

Money doesn't buy you happiness, but money is important for impact and influence.

3:15

So in fact, it's very important that the things that we build

3:18

are capable of generating enough money to create the impact.

3:21

This just happens to be what drives me.

3:24

Ten years ago, I had this crazy idea that maybe if we made a website that would

3:29

collect people's ways of explaining math and science topics, then maybe people

3:34

would explain the math and science topics and it would be free, and everyone

3:37

would be able to learn math and science.

3:39

And I remember thinking, oh, that can't be very hard.

3:41

We'll be done with that in a few months.

3:43

I'm glad I thought that because I'm still working.

3:46

So I had this whole thing called XP. We were making a website

3:49

with free explanations, but that didn't actually have a business model of its own.

3:53

It wasn't generating money, so I had to find some way to support all of that.

3:56

In 2019 and April, we started creating our own version of that in the United

4:01

States of America, where we took charge of filming me teaching, and then we

4:05

had a product which consisted of me teaching math that people could watch

4:10

recordings of, and they would pay for it.

4:12

And this, this made some amount of money.

4:14

But then this one, we still found there were pain points.

4:16

And finally, about two years ago, I realized, you know what?

4:19

What people really want is to have a live human experience

4:25

with somebody else who is an expert.

4:28

The only problem is that's quite rare and hard to find.

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And there's also another challenge, which is that ideally that person

4:33

you're talking to is friendly.

4:34

If the person knows a lot but is not friendly,

4:37

that's actually not useful either, right?

4:38

This is the hardest thing to deliver in education because it's the least scalable.

4:42

Of course, in entrepreneurship world we always think about scalability.

4:45

And yes, you can find one brilliant coach who teaches ten students or maybe even 20,

4:51

or maybe even even 100.

4:52

That's a small scale compared to the size of the world.

4:55

And then that's when I suddenly realized I can make a giant win, win win situation.

4:59

So the main thing that I do now is an ecosystem.

5:02

It's actually an ecosystem that I invented, which unites many different

5:07

types of people to all contribute in ways where everyone is winning.

5:11

One pain point, which was for the people learning math.

5:13

Then the second pain point was from the people who are very,

5:16

very strong at math already, from which building the EC would be even better.

5:20

Although I do want to emphasize this is helping them finish up

5:23

to become extraordinary.

5:24

And the thing that made me realize the key that made me realize I could put

5:27

everything together, was an experience that I had about five, six years ago,

5:31

which is that I also took improvizational comedy classes myself, improvizational

5:36

comedy classes, our acting classes.

5:38

And I was doing that because I was trying to learn how to communicate better,

5:41

to get more people interested in math.

5:43

But I realized that even a math nerd like me can take those classes and then

5:47

become able to talk to a few more people.

5:49

So then I realized, let me add that.

5:51

And then I walked over to our drama department, and I found out that actually,

5:56

there are lots of people who have extraordinary drama skills

5:59

who are actually, indeed very interested in paid part time jobs

6:02

to help to coach the high school students.

6:05

So that's the third pain point.

6:06

The third pain point is there are people who absolutely love what they're

6:09

they're passionate about what they're doing in the acting and drama world.

6:12

But there's a practical need, which is, well, how to find a stable,

6:16

part time job, flexible hours that they can use to support their

6:19

passions so suddenly win, win, win.

6:21

We have all three lined up. And that's why this thing scales.

6:25

Actually, the everyone winning is very important

6:26

because I work with high school students.

6:28

And so in our in our company, any time anyone wants to ask high school students

6:32

to do anything, my answer to my employees is always that thing you want to ask

6:37

that high schooler to do.

6:38

Can we explain to their parent why?

6:41

For a very busy high school student, that thing is the best thing

6:44

they can do with their time.

6:45

If I cannot explain that, they're not doing it.

6:47

So this is the discipline that we run it to.

6:49

This is this is how strongly we make it a win win situation.

6:52

We will never have a high school student doing something unless I

6:55

could explain myself to their parent.

6:57

We suggested for your daughter to do this because it's

7:00

really good for her to do this.

7:01

The thing is, beforehand it was hard to imagine there would be a way to do that

7:05

until the answer became oh yeah, because while doing this, they will get to

7:09

learn from a Broadway or Hollywood quality actor or actress that's going to help them

7:13

become extraordinarily successful now.

7:15

But you see, this took eight years to come up with, two more years to scale.

7:19

The speed at which we grow is purely just based on how long it takes for people

7:23

who have middle school children to realize that, oh, there are these classes here

7:27

where the class looks as good as a Twitch gaming stream, and it's taught

7:31

by math geniuses who are smiling.

7:32

You know, these are things that people could not imagine that you

7:35

would put all together at the same time.

7:37

And as people discover this, they actually switch over.

7:39

They start joining our classes.

7:40

Then we can bring more high school students.

7:42

And the scaling power this can go to is we.

7:45

I estimate that this easily could grow to 100,000 high school students

7:48

in the US. That's 1% of the US high school students teaching

7:52

about a million middle school students.

7:53

If you look at our live program, it looks a little strange because you'll

7:57

see that the only subjects that we teach is a pretty small number algebra,

8:01

geometry, combinatorics, number theory.

8:04

Why do we cover these?

8:06

We cover these because these are a curriculum

8:08

that teaches you how to think the.

8:10

Only way to do that is by giving them questions that they have never seen

8:14

in school before.

8:15

So I need to find a source of problems that you will not see in school.

8:19

Actually, that turns out to be the middle school math competition curriculum,

8:23

because the people making those problems were trying to make problems

8:26

that you don't see in school.

8:28

But the difference between the way we do it and the way that lots of the training

8:31

centers do it, is that we are trying to use those as opportunities

8:35

to make you able to practice the thinking, instead of just showing you doing

8:40

the question that way enough times.

8:41

So the answer is the topics that we cover specifically chosen,

8:45

because that will be enough to teach a student how to generate their own idea.

8:49

Our philosophy is if you finish all of that, you will discover

8:52

that you can learn anything.

8:53

Our goal is not to make it so that we have classes for you

8:57

for every year of your life.

8:59

Our goal is to make it so that as fast as possible, you don't need any classes

9:03

from anyone ever again.

9:08

Today.

9:09

Everyone needs to learn how to grade the homework.

9:12

This is the huge difference because someday if you want to do anything

9:16

in the world, the first thing you will do is you will ask ChatGPT.

9:19

Let me make this analogy stronger.

9:21

If we look at any good software engineer, most good software engineers,

9:26

if they're given a task that they have never done before, the first thing they do

9:30

is to think about some similar problems and search on StackOverflow to see

9:34

examples they don't expect that will give them the whole code they need to write,

9:37

but they use this to research what kinds of technologies might be useful.

9:41

But as ChatGPT suggests, the solutions they need to be quick thinkers and

9:45

analytical thinkers to understand whether or not what ChatGPT said is correct.

9:49

So that's why what the world needs now is a large scale way for everyone to learn

9:56

how to grade homework, for everyone to learn how to come up with their own way of

10:00

thinking, not just how to do the problems.

10:03

My general philosophy is when you are learning, you should keep challenging

10:06

and you should not be repeating.

10:07

In the real world, when you're doing a task.

10:09

If it's repetitive, you should get ChatGPT to do it, or a calculator to do it,

10:13

or a computer to do it.

10:14

But in order to know how to control those well in the real world,

10:18

you need to learn how to think.

10:20

And that's the purpose of the learning process.

10:23

What I do for fun is I like to meet and try to understand people whose

10:28

backgrounds I don't fully understand yet.

10:31

This is actually what I do for fun. This is also why we're talking right now.

10:35

I happen to be talking to you in New York City.

10:37

The way I got here overnight is I took the bus, the overnight bus.

10:41

You know, some people don't take the overnight bus because who knows

10:44

who you're taking the bus with.

10:46

But for me, I'm actually not scared by that.

10:48

That's just called real world.

10:49

You can't understand the real world unless you actually start going

10:52

into various parts of the real world.

10:54

I think my message of how to create value is you cannot create value

10:58

if you don't interact with people.

11:01

You cannot just theoretically think about the value.

11:03

And the more people, the more you can understand.

11:05

People of different backgrounds understand means, have some idea

11:08

of how they tick, what are their needs, what are the limiting factors?

11:12

What do they want to do?

11:13

The better you are at modeling this, the more effective you will be

11:17

at coming up with a solution.

11:18

I started going to city after city after city giving math talks in public parks.

11:23

I actually set a schedule.

11:24

I put a schedule on my website, and I said, I'm going to go to all these

11:27

cities, and people could just sign up to show up for the talks.

11:30

And at the beginning, people were wondering, Will anyone show up?

11:33

But actually there would be like 50 to 100 people

11:35

showing up at these talks in parks.

11:37

And by the way, that was a fun journey because in order to do that,

11:40

I was traveling around from park to park with all the AV equipment, speakers

11:45

and everything to be able to have a stage in park shelters all around the US.

11:50

But while doing that in a inadvertently, that was customer discovery because I was

11:56

able to suddenly interact with and talk to thousands of parents and students,

12:01

which started to make me realize what kind of challenges people had.

12:05

And that's why just a probably about 1 to 2 months after that,

12:09

the big idea came the big idea of, oh, we can actually have all these

12:13

middle school students who I've met.

12:15

They can all learn how to think all at the same time.

12:19

While these people who are brilliant become extremely polished

12:23

so that someday later in their careers they can be really successful.

12:26

So that was that was the idea.

12:28

It was like, somehow you cannot really find pain points

12:32

if you're not seeing people.

12:34

That's also why with a lot of the work that I do, I will go into schools, right?

12:38

I love to work on education, and I do it in a way where even just last night,

12:43

I was writing to somebody who is involved with a large network of schools

12:46

and their schools, I believe, serve students who are also disadvantaged.

12:51

Now, instead of just putting money or putting resources from my side,

12:55

what I said is I'm very interested.

12:57

Can we arrange for me to go into some of your schools and teach sixth grade?

13:01

What I'm explaining is that the way I do anything, if I want to work in a sector,

13:05

I go and myself step in and start doing the work and see what happens.

13:09

And this is actually how I came up with all these ideas, because actually

13:12

the ideas that I'm doing are all things I've personally experienced myself.

13:16

I've experienced being a math person, taking acting classes.

13:20

I've experienced being a person, learning how to think, taught by somebody

13:23

who knows a lot of things and also smiles.

13:25

So all the different parts gave me these ideas.

13:30

Now I can understand why you identify you as a social entrepreneur.

13:38

Yeah.

13:38

We're not doing a very good job of maximizing lifetime customer value.

13:42

If our goal is to solve the customer's problem as fast as possible.

13:45

But this is what we want to do, right? This is the social entrepreneurship.

13:48

This is also why, if you ask me, what is my definition of success?

13:51

My definition of success is not just that we make a ton of money.

13:54

My definition of success is if we manage to convince

13:57

a huge number of people on this earth to enjoy being thoughtful, then I want.

14:02

I love the fact that entrepreneurship is about creating new things.

14:07

So the message that I've been sending in my entire tour is that this new world

14:11

of AI is going to be a Wild West.

14:13

There will be lots and lots of new opportunities.

14:16

The people who will be the most successful are the ones who are

14:19

very good at creating value.

14:21

Actually, in my public talks I tell everyone.

14:23

Everyone should be a bit of an entrepreneur.

14:26

They can be an entrepreneur, or they can even be an entrepreneur,

14:29

which is a word in English that we sometimes use to describe making

14:32

new things within an organization.

14:34

But the whole concept of creating value is actually going to be central

14:38

in helping the society survive and everyone flourish as we go forward

14:42

into this age of AI, into this new world.

Intro

0:00

There is a tension between how quickly you ship something

0:03

and how good it is

0:04

Before you ship it, everyone talks about how long it's taking

0:08

and after you ship it, everyone talks about how good it was.

0:12

And so for the very first thing that you ship,

0:15

no one will remember how long it took.

0:16

It only matters how good it was.

0:18

And you ultimately, you need to care about and be responsible for

0:23

how good the thing your team builds is.

0:25

My name is Mick Johnson, and I've spent the last 16 years sort of moving

0:30

between large tech companies and doing a couple of small startups along the way.

0:34

I was one of the first product managers on mobile for Facebook.

0:38

I went to Google and spent some time working on maps for automotive,

0:42

and then I went back to meta to work on Facebook again.

Product management is a learned skill, not a studied skill

0:50

I think I've probably mentored or managed over a hundred PMs.

0:55

Something I tell people who want to be a PM.

0:58

Product management is a learned skill, not a studied skill.

1:03

The best PMs are those who can take data and intuition and human response

1:08

and visual appeal and bring them together sort of as ingredients.

1:13

The first thing to teach someone at the early stage of their career.

1:17

there is a tension between how quickly you ship something and how good it is

1:22

Before you ship it, everyone talks about how long it's taking

1:26

and after you ship it, everyone talks about how good it was.

1:30

And so for the very first thing that you ship,

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no one will remember how long it took.

1:34

It only matters how good it was.

1:35

And you ultimately, you need to care about and be responsible for

1:40

how good the thing your team builds is.

1:43

With folks early in their career.

1:45

They think too much about the product and not enough about the humans around them.

1:50

And so the question you will ask junior product managers frequently is

1:56

what is your engineering lead think of that? What is your designer think of that?

1:59

and what I'm asking it not just to understand what other people think,

2:03

but how these leaders react to what other people think.

2:07

How do they internalize other people's opinions?

2:10

You often have this narrative of a PM as someone who, in a tower on their own,

2:16

dreams up the perfect product, writes it out on paper and is correct.

2:21

But almost every great product comes out as a set of compromises and discussions.

2:27

And so people who can have those strong opinions but flex them

2:31

as they get new information is critical.

2:33

Conversely, folks who are in the middle stage of their career might have the opposite problem.

2:38

They've learned how to collaborate really effectively.

2:40

They've learned how to build consensus.

2:42

They've learned how to bring people along,

2:44

but they haven't yet learned at what time they have to take that gathered credibility and spend it

2:51

to have people charge up the mountain that really matters.

2:54

A lesson I learned from a really smart woman called Molly Graham.

2:59

You create process when you don't trust people.

3:02

Having said that, diagnosing and solving cross-functional tension is an issue

3:08

that exists whether you're a PM or not.

3:11

So you can solve cross-functional tension by explicitly writing out,

3:16

you know, this is your job.

3:17

This is that job. If you disagree here, do it that way.

3:21

Let's come up with some, you know, skeleton piece.

3:24

But truly high functioning teams just say you are collectively responsible

3:29

for the output of this group.

3:31

You need to transform yourselves from sitting across the table from each other.

3:35

to sitting around the table from each other.

3:37

How do we solve this problem together?

You need to know how to breath under the water

3:44

There's a story I used to always talk about with rotational PMs

3:48

and they're early in their career typically motivated, intelligent, capable.

3:53

They start this job.

3:54

They can do everything they're asked to do.

3:57

They read the emails, they answer all the chats, they close all the tasks, they read all the docs,

4:02

and then they get more work.

4:03

And then they spend a bit more time. They stay a bit later at work.

4:06

They read all the emails, they do all the chats, they close all the tasks, they do all the docs,

4:09

and then they get more work

4:11

and the amount of work that they have to do.

4:13

It's like a rising tide of water coming up, up their neck and then their chin,

4:17

and they're struggling and fighting and trying to keep their

4:19

head above water as best they can.

4:21

And then we'd have a conversation a few months in about they need to learn

4:25

they need to learn to breathe underwater,

4:27

and the water is the work that they will not do.

4:31

There will be things they could do,

4:33

things even that they should do, that they will not do because there are more important things for them to do.

4:40

And this transition is going from a world where they judge themselves

4:45

by what they're capable of, to a world where they judge themselves

4:49

by what they choose to do.

4:51

What's amazing is once they make this transition,

4:54

you can see it in their demeanor.

4:56

The anxiety visibly recedes.

4:58

They're like, yep, there's these tasks, but I've chosen to do this other thing

5:02

and I'm confident in it.

5:03

And that often leads then to the world of startups,

5:06

where there's so many things that you could do.

5:08

You could do literally any of a billion things.

5:10

But your outcomes are determined by your choices, not your capabilities.

Eat the spike and Go straight the hardest things

5:18

Oftentimes when you're working on things, there's one thing that you have to do

5:22

and you don't want to do it right.

5:24

There's some job that you've been putting off, and it might be talking to a coworker

5:30

or filing taxes or letting go of an employee,

5:33

and you will find any reason to do anything else as long as it seems productive.

5:38

And the thing that you have to do is actually eat the spike

5:41

and just go straight at the hardest thing.

5:43

I had a time in my career where I was struggling to work with one of my close counterparts,

5:50

and I was finding every reason in the book why that didn't matter.

5:54

I'll decide which things I'm responsible for, and they can figure

5:57

out which things they're responsible for, and it'll just work.

6:00

And I got some really clear guidance from my manager at the time.

6:05

Look, if the two of you can't figure this stuff out, none of the rest of it matters.

6:08

It doesn't matter how good you are at your job if you don't solve

6:11

this interpersonal dynamic.

6:13

And it was sort of quite emotionally hard for me to solve,

6:15

there'd been some challenges and conflicts between the two of us,

6:19

but when I finally owned up to it, I was like, no, no.

6:21

This relationship and it working is the most important thing in this job right now.

6:27

I need to eat the spike and just solve it.

6:30

And I just dedicated the next month basically to solving that.

6:34

As soon as I decided to eat that spike, it got way easier.

6:37

And so I think the piece that was then professionally most important to me

6:42

is that area of greatest growth is always the thing that you will emotionally

6:47

and internally shy away from.

6:50

And that's why there's growth there.

6:52

And so that practice of examining those things that are most difficult for you,

6:56

that has just been fruitful for me time and again.

the more the manager dedicates the more the business grows

7:03

When you get to really senior folks, it's often about

7:07

helping the people they manage to make small mistakes

7:11

because when you're really good at something, the instinct is always to go in and fix it for them.

7:15

And so often the conversation that I have with more senior folks is

7:18

what small mistakes are your PMs making?

7:22

Are you allowing them to make is the best way for them to learn?

7:25

This was at a time when Facebook was growing quickly.

7:28

I was one of the first rotational PM managers

7:31

and then ended up running the program.

7:33

We would have a one year program.

7:35

Folks would come in with less than two years of experience.

7:38

We'd put them on three rotations of four months each roughly,

7:41

and by design, we would have them work in different parts of the company.

7:46

So they had to do at least one consumer and at least one non consumer.

7:50

The really significant thing that happened,

7:53

whereas managers normally responsible for the output of people on their teams,

7:57

what we decided was an RPM manager should be responsible for the growth of the PM.

8:03

They wouldn't be judged on how well those PMs projects went.

8:06

And the really interesting learning was that when we had managers whose sole job was to manage

8:12

the RPMs did way better.

8:14

Turns out that at the early stage of your career,

8:16

when you have managers who are really dedicated in helping you uncover and develop your skills,

8:22

the business output actually increases as well.

8:25

About half of my mentoring sessions are about personal aspects of work

8:31

as opposed to professional.

8:33

How do I deal with burnout? How do I stay excited?

8:36

How do I overcome this particular challenge internally?

8:40

Something I've learned that people don't do proactively enough

8:45

is you can curate your own life.

8:47

People often think that if you are struggling with burnout or struggling with

8:53

morale or struggling with excitement in your work,

8:56

you have to make a big change, Change jobs, change groups change careers.

9:01

In my experience, multiple small changes can have an enormous impact.

9:06

Just sit down and think of the ten meetings I had today,

9:09

which of them were my favorite and which ones drained me the most?

9:12

And then for the ones that drain you halve the frequency

9:15

and for the ones that enliven you, double it.

9:18

The small changes in your life, you can continually curate the things

9:23

that exhaust you in minor ways,

9:26

and almost always that has a huge impact.

9:28

And it leads on to, I would say, people's agency in defining their own life.

9:33

And I've found that just the act of making deliberate change in your life,

9:38

to make it something that brings you more peace or happiness or enjoyment

9:42

or excitement is of itself valuable.

Intro

0:00

[Music]

0:13

a very common question that I get asked

New Trends

0:18

is someone with a technical background

0:19

who started the company or what are the

0:22

new trends and what people expect to

0:24

hear from someone like me is like oh

0:26

it's IOT it's AI it's blockchain

0:28
whatever and those are all really
0:30
interesting technologies but honestly I
0:33
think there's a trend that's much more
0:35
significant and much more disruptive
0:37
that's happening and it's kind of a
0:39
Medic trend or a macro trend and it's a
0:42
trend that I've been obsessing with now
0:43
for the last couple of years and I think
0:45
it's gonna shape basically the entire
0:47
b2b landscape for the next ten years so

Growth Sales

0:51
what are these companies have in common
0:53
it's not blockchain it's not AI it's not
0:56
IOT so it turns out the thing that they
0:59
have in common is that they've decided
1:02
to go to market in a way that's very
1:04
different than traditional b2b so they
1:07
decided to first do what we call growth
1:09
which is a very consumer bottom-up
1:12
motion and then they decided to overlay
1:15
sales after that so we call this b2b
1:19

growth sales but the implication is
1:22
today you can build a company using two
1:25
motions which basically is fully
1:29
advantageous to startups and it's very
1:31
difficult for incumbents to to defend
1:34
against for number one they tend to
1:36
require a lot less money to start
1:39
they're much less focused on typical
1:43
execution to be a founder of a b2b
1:46
growth startup or b2b growth sales it's
1:49
much more about being very very good at
1:51
product and much less about
1:52
understanding channels and understanding
1:53
sales but right now like the incumbents
1:56
really don't have any defense strategy
1:58
against this like it's very hard for
1:59
like a Cisco or an IBM or an HP or an s
2:03
AP to defend against this sort of
2:05
emotion and not only that because the
2:09
growth motion we're talking to talk
2:10
about is really a marketing led motion
2:15
b2b starters can now really come from
2:17

anywhere and that's just not been the
2:18
case in the past there's really been
2:19
very very few centers for real strong
2:23
b2b companies and now we're seeing them
2:24
everywhere Berlin
2:26
Fran
2:27
UK certainly New York as well as Silicon
2:30
Valley now growth in some of these
2:34
motions have been around for a very long
2:35
time right when sales for especially in
2:37
vertical SAS so like you know sales
2:39
force for a very long time has been
2:41
doing like freemium the reason I'm
2:44
giving this talk now is because the
2:47
trend is so massive it cuts across
2:49
basically every vertical whether that
2:50
security it's open source its developer
2:53
tooling its bottom is obsessed its
2:55
infrastructure its cloud services I
2:57
would say any successful modern company
3:01
the chances are that it's using this
3:02
strategy today and if companies are not
3:06

using his strategy they're actually at a
3:08
disadvantage so let me talk to really
3:11
quickly what I mean when I talk about
3:12
about this trend so to do this I want to

Consumer vs Enterprise

3:16
back up and and split the world into
3:17
consumer companies and enterprise
3:19
companies traditionally and kind of how
3:21
the world views them so consumer
3:24
companies are typically marketing land
3:26
and that drives everything else about
3:28
the company why is it marketing Lev
3:29
because if your customers are consumer
3:32
there's no way you're gonna pay a sales
3:34
force to go talk to every one of them
3:36
there's just no way and so the way that
3:39
you get out to consumers is you do these
3:40
marketing campaigns and that drives the
3:43
company enterprise on the other hand has
3:46
been sales led which is if you're gonna
3:48
build a product for the enterprise the
3:50
expectation is somebody's going to sell

3:52

it more importantly if you're building a

3:57

product that a consumer has to adopt

4:01

organically through marketing it has to

4:02

be very simple simple to use simple to

4:06

understand where if you have a sales

4:09

person selling something you actually

4:11

benefit by more knobs because it'll

4:13

demonstrate more value I mean I hear

4:15

often people say why does IBM or SVP

4:17

make such complicated products don't

4:18

they know how to build products that's

4:20

actually missing the point the point is

4:22

is I want something as complicated that

4:24

shows as much value so I can extract as

4:26

many dollars as possible and that's why

4:28

Enterprise Products have just been gross

4:30

they've been gross for a very long time

4:31

in the consumer world you really care

4:34

about brand think coca-cola I think

4:36

Apple wear and the enterprise it's much

4:39

more about long business sales

4:41

the economics the way we value them are

4:43

very different so I want to kind of

4:45

double click on that let's take this

4:47

from the VC perspective so how do VCS

4:49

traditionally think about consumer

4:51

companies and enterprise companies we're

4:54

gonna start with consumer okay here's

4:57

the reality nobody knows how to evaluate

5:00

consumer companies before they go into

5:02

the market like you ask me the question

5:04

what do 19 year olds in Berlin like I

5:08

haven't a clue so I said of course in

5:11

all the partner meetings at injuries and

5:12

Horwitz we have many companies come in

5:13

I've probably seen nine dog-walking

5:16

companies in the last year

5:18

now what differentiates these

5:20

dog-walking companies it's not

5:21

technology they all kind of say the same

5:25

thing yet eventually one of them is

5:28

going to win and this plays out in many

5:31

consumer companies it's very rare that

5:33

you've got some sort of crazy technical

5:35
mote in a consumer company but some are
5:38
just good at making products that users
5:41
like and they end up becoming winners
5:42
and as a result the investment community
5:45
has kind of come up with this ethos
5:47
around investing and consumer which is
5:49
basically the graph is smarter than
5:51
whatever theory we have about the market
5:53
so if someone comes in and they pitches
5:56
me the next snapchat list and I'm a
5:58
40-year old like that grew up in the
6:00
country I have no idea if it's good but
6:02
if I look at the numbers behind it I do
6:05
and we as an investment community we've
6:07
created an entire calculus on
6:10
understanding what's a good consumer
6:11
company and not a good consumer company
6:13
so if you ever hear things like you know
6:15
mouths and dows and engagement and the
6:18
smile curve all of that came out of the
6:19
last ten years of investors trying to
6:23
understand how to evaluate consumer

6:25

companies and none of it is like oh I

6:27

looked at the app and it was cool

6:30

enterprise companies are much different

6:32

enterprise companies you assume there's

6:34

a core technology that's being developed

6:36

and you assume that the buyer is

6:40

rational consumer buyers are totally

6:43

irrational like why is something taking

6:44

off no idea that's weather prediction

6:46

but an enterprise buyer normally the

6:48

buying motion is based on some business

6:51

need and if I'm an investor in b2b which

6:54

I am I

6:55

just call the enterprise I don't say hey

6:58

do you need this yes or no

6:59

and if the answer is yes then it makes

7:02

sense to make the investment even prior

7:04

to having traction there's fewer people

7:07

to call and they're a much more rational

7:08

buyer so in general when you think about

7:12

investing in these two areas in consumer

7:15

you want very strong product founders

7:19
and you can't really invest until you
7:22
see that it's working right there's no
7:25
other way to really understand what's
7:26
going on
7:27
we're in the enterprise typically
7:30
there's a strong technical problem being
7:31
solved it requires a lot of money to
7:34
building this or product but you can
7:36
kind of understand what's going to
7:37
happen on the enterprise so you invest
7:39
early that's been in Silicon Valley for
7:41
the last 20 years but all of this is
7:44
changing now think Dropbox think Twilio
7:47
think Atlassian think SurveyMonkey think
7:50
github pretty much most of the modern
7:53
success stories and b2b lately have been
7:56
this combination of Bottoms Up growth
7:59
and then sales and that really changes
8:03
everything so let me very quickly talk
8:06
about how these are constructed normally
8:08
the company starts with some very simple
8:10
use case very simple product it could be

8:12
open source it could be freemium it
8:14
could be an app and they try and get
8:16
users just like a consumer company would
8:19
so they'll do all the Bottoms Up stuff
8:21
you do content marketing SCO
8:24
whatever you can to get adoption and
8:25
then once that's working and you'll
8:28
iterate on that until it's working you
8:30
grow that engine so you have a huge user
8:33
base and then you build a sales engine
8:36
is that user base and you have sales
8:39
efficiencies that are far better than
8:41
we've ever seen before in b2b and then
8:44
once you have that hook once you have
8:46
that user base you actually make the
8:48
product much more complex so that you
8:51
can actually deliver enterprise value so
8:54
why does this work now a taxi straight
8:55
forward we are the AppStore generation
8:57
buying software is something everybody
9:00
does it's a daily ritual for all of us
9:03
and so you know it's quite possible so

9:07
before you could really only sell
9:08
software to core IT on the enterprise
9:10
today it's literally it's HR its P&L
9:12
holders its marketing it to anybody else
9:14
so it's quite possible to get access to
9:16
these buyers so let me go through a few
9:20
examples of this and then why it's so
9:23
hard so here's one example is Survey
9:26
Monkey so Survey Monkey within what is
9:28
it ten years got to sixty million
9:30
registrations assuming you can monetize
9:34
say twenty bucks a year it's like three
9:37
bucks a month that's a one point two
9:40
billion dollar business it's very rare
9:43
that you have businesses this large in
9:45
the enterprise but if you actually read
9:46
the quote from the earnings call you'll
9:48
see that growth alone isn't sufficient
9:50
so you can build these beautiful curves
9:52
of users but then you still have to
9:55
build sales on top of that Dropbox is an
9:58
example of where you invest mostly in

10:01
bottoms up growth and less on sales
10:03
again you've got a great public company
10:05
looks like a consumer company again this
10:08
is very rare traditionally in the
10:10
enterprise but on the earnings call an
10:13
admission that the majority of the
10:15
growth is from organic methods and now
10:18
we need to start thinking about sales
10:21
it's very easy to for me to stand up
10:23
here and saying oh okay the new
10:25
companies have growth and they have
10:26
sales and it's great and we all win the
10:29
reality is it's way way more difficult
10:31
than that so much so I don't think
10:33
anybody right now actually understands
10:36
how to build these and as investors we
10:38
certainly don't understand how to
10:39
evaluate them and the reason is if

Failure Modes

10:42
you're a founder and you're managing
10:45
these two motions growth and sales the
10:50

interaction between the two is
10:51
incredibly complicated it's very
10:54
complicated for us to evaluate but there
10:57
are so many failure modes and there's so
10:59
many ways to get this wrong that the
11:01
majority of these end up failing so I
11:04
want to talk about this actual
11:06
complexity because doing something
11:08
that's pure growth is pretty
11:09
straightforward it's hard to execute but
11:11
it's pretty easy to understand doing
11:13
pure sales is pretty easy to understand
11:15
hard to execute but doing them both the
11:18
interplay between these two curves
11:21
it's incredibly complex so let me give
11:25
you an example this is a straightforward
11:27
case if you just do bottoms up growth in
11:29
those sales don't don't worry about the
11:31
graph that's notional it turns out that
11:34
your monetization can only grow as fast
11:37
as growth and growth tends to be slower
11:40
for b2b users than it does for the
11:42

consumer so unless you have a network
11:44
effect like github or LinkedIn and
11:47
you're really lucky you often end up
11:49
with slower growing companies on the
11:52
other hand let's say you do the
11:53
traditional process of only sales and no
11:55
bottoms up growth so I would say that
11:58
again today most successful startup
12:02
companies and b2b have to do bottoms up
12:05
growth because it's the only way to
12:06
actually get access to the buyer if you
12:09
don't have this you kind of have no
12:10
credu don't have a relationship and core
12:13
IT and core security buyers have too
12:17
many people calling them in existing
12:18
relationships so this is becoming more
12:20
and more difficult ok let's say that you
12:23
say ok all right I'm gonna do this I'm
12:25
gonna build my new company I'm gonna do
12:28
both of them and very common problem is
12:31
if you build a bottom-up growth engine
12:33
the users that adopt it may not end up
12:37

being the users that will actually buy
12:39
the product and therefore you'll end up
12:42
with a growth engine that at the end of
12:43
the day you really can't monetize
12:45
because if you send a salesperson in
12:47
there the person that's a user has no
12:49
idea who can actually pay for it and I
12:51
would say especially an open source this
12:53
is one of the number one problems that
12:55
we see people running into there's
12:57
another problem is like the first stage
13:00
of the company is to build this
13:02
beautiful growth engine right and you
13:05
want to anything you can to make that
13:07
look good because you want that nice
13:08
curve to monetize later the problem is
13:10
if you give too much away or you invest
13:13
too much in it you may have nothing to
13:14
sell again it's another classic problem
13:18
in open-source it's also a classic
13:21
problem in vertical SAS which is
13:22
listening if I open source everything
13:24

which I'm a huge fan like my company had

13:25

huge open source components I'm on the

13:27

board of many open source companies

13:29

bullets takes an example of many of

13:32

these core infrastructure components if

13:34

you're already giving it

13:34

way it's very hard to have something

13:36

that sell on the other end but if you

13:37

hold too far back you may not have the

13:40

independent growth engine there's

13:43

another problem which is actually even

13:45

worse where sometimes you have kind of

13:48

okay growth so you release your open

13:50

source project people kind of like it

13:52

you don't invest a lot in it and then

13:54

you build sales and then your sales

13:56

catches up to your growth well the

13:59

problem in these situations is either

14:01

you have two totally independent sales

14:03

motions one of them to your users and

14:06

another one to those that don't know you

14:07

which is very hard for early sales teams

14:10

to do or your sales is limited by your
14:13
growth engine I would say a good 70% of
14:18
open source companies run into this
14:19
problem as they they figure out a little
14:21
bit of the early growth side they kind
14:23
of get it working and then they try and
14:26
monetize that with the sales engine on
14:27
the back end and they quickly overcome
14:30
their ability to do it I'm just gonna
14:33
talk about one more here's another
14:34
really classic one is a lot of organic
14:37
growth is popularity it's being cool man
14:39
like I've got this thing and it's open
14:41
and it's branded and it's interesting
14:42
and people like it and whatever it is
14:46
but what happens if you do that then all
14:48
of a sudden now you have someone like me
14:50
walking in trying to sell it right like
14:52
I'm not cool you know as soon as you
14:54
take these organic phenomenon and you
14:56
have a sales engine to bonnet eyes it
14:59
you make it more complex you try and
15:00

extract value all of a sudden it may not
15:02
be the cool thing and it erodes the
15:03
organic growth this problem is very
15:06
complex tools and in vertical SAS so I
15:12
just want to do a very quick product
15:13
view and then I'm going to go ahead and
15:14
wrap up if you're going to execute on
15:17
this use you want to start the very
15:19
simple product you generally want it to
15:21
be horizontal in nature when you first
15:23
create it you want to use the product to
15:26
drive growth to drive virality to drive
15:29
network effects and then you want to be
15:31
able to take that product and make it
15:33
more complex and more vertical we are
15:36
right now standing at basically a new
15:38
wave of b2b companies I think the large
15:41
axis recently say it
15:42
I actually think many of the incumbents
15:45
are going to be unseated by b2b
15:47
companies and it's going to happen
15:48
and kind of faster and more value than
15:50

we've ever seen before and I think a
15:53
core core component is understanding how
15:55
to build your company so you can take
15:56
advantage of what's been learned in the
15:58
consumer world and you can apply it to
16:00
sales and with that I'm done I really
16:02
appreciate your time thanks so much

Intro

0:00
try to solve a problem that you yourself
0:02
have When you have an opportunity to
0:04
build tools that people use pretty much
0:06
8 hours a day you're making a huge
0:08
impact For the first 3 years I made no
0:10
money on Laravel at all It was totally
0:12
open source I see myself as a very
0:14
average developer Everything I've built
0:16
at Laravel was essentially solving a
0:19
problem that I had encountered in
0:21
reality When you're building open source
0:23
software there's a lot of voices Some of
0:25
them are coming from a place of like
0:27

genuine uh constructive criticism and
0:29
some of them are more like haters of
0:31
your project Say you're Metallica or
0:33
you're Taylor Swift If Metallica starts
0:35
trying to cater to like Taylor Swift
0:37
fans then they lose all of their core
0:40
fans In the same way like if Taylor
0:41
Swift changes her core sound she upsets
0:44
that core fan base And so play the hits
0:47
for your fans They're the core piece of
0:49
your community I think it can be very
0:51
tempting especially when other like
0:53
smart people try to tell you "Oh I think
0:55
it should work this way or I think you
0:57
should do this." The people that like
0:58
sit on the sidelines and sort of just
1:00
like shout criticisms at open source
1:03
projects If you were to follow their
1:05
feedback there's always like another
1:07
like carrot on a stick they're dangling
1:09
out there They're like "Oh thanks for
1:10
doing that but I don't like this
1:12

either." And like if you change this oh
1:14
that would be great You know you keep
1:15
jumping through the hoops but they never
1:17
actually like become a user of the
1:19
product do the hardest parts first This
1:21
is something that I think a lot of web
1:23
developers that are trying to start new
1:25
products get wrong While they're the
1:27
most motivated at the beginning they
1:29
build a lot of like of the easy parts
1:31
and then once you've wasted all of your
1:33
like initial enthusiasm kind of dancing
1:36
around you sort of lost your momentum
1:38
Especially as a solo founder I would
1:40
much rather fail after 2 weeks than
1:42
wasting 3 months It's changing from a
1:44
solo developer to running a bootstrapped
1:47
company to now VCbacked company and they
1:50
all work really differently honestly But
1:52
I think what hasn't changed is
1:58
Hi I'm Taylor Rotwell I am the creator
2:00
of Laravel an open-source PHP framework
2:03

for building web applications So I
2:05
started creating Laravel as a way for me
2:07
to build web applications faster And it
2:10
was actually not my original intention
2:12
to make it a big popular open-source
2:15
framework or community And so the
2:17
community's grown tremendously We've
2:19
gone from relatively a few downloads per
2:21
day when I first released Laravel to now
2:23
a quarter million downloads per day Our
2:26
first Laracon conference was in 2013 and
2:28
we only had 90 attendees At last year's
2:31
Laracon in Dallas Texas we had over 900
2:34
attendees Tons of developers around the
2:35
world and almost every country in the
2:37
world use Laravel to build incredible
2:39
applications

How a Techie from Arkansas Built \$57M Backed Startup

2:44
I grew up in Hot Springs Arkansas It's a
2:47
relatively small town in central
2:48
Arkansas I was always fairly interested
2:51
in computers and the web as a kid I

2:54
think I built my first website when I
2:56
was about 10 years old I think I was one
2:59
of the only kids I knew that knew how to
3:01
build anything on the web which was kind
3:04
of fun cuz like when you're the only kid
3:05
in school that can build a website
3:07
everyone wants you to build a website
3:09
for them So it was a pretty interesting
3:11
way to grow up not being around any
3:13
other techy people or kids or startups
3:17
It's a very different world programming
3:19
and being a developer in Arkansas than
3:21
being for example in Silicon Valley But
3:23
overall I think that being in Arkansas
3:26
has helped me maintain a level of focus
3:28
and clarity on what I wanted to build
3:30
that I probably wouldn't otherwise had
3:32
if I had been somewhere else College was
3:35
a good experience in a sense because a
3:37
lot of my professors were very old
3:39
school programmers Some of them had
3:40
worked at like NASA Many of them did not

3:43

even use like a gey on their computer

3:46

you know they were like very old school

3:48

nerdy programmer people teaching me like

3:50

core foundational programming concepts

3:53

that apply across all languages They

3:55

really understood the foundational

3:57

concepts of building good software which

3:59

I think was extremely helpful So when I

4:01

was working just like a day job as a

4:03

software engineer I always gravitated

4:06

towards building tools for the other

4:09

engineers at the company like I would

4:10

always um try to get side projects or

4:13

like get assigned to build things that

4:15

would make us as developers more

4:16

productive So I was always finding ways

4:18

to like optimize our workflow and I

4:20

always found that like actually more

4:22

interesting than what the business was

4:24

about I had some businesses that I

4:27

wanted to build some startup ideas and

4:30

PHP is a web programming language that

4:32

is very easy to deploy out onto the web

4:35

It's easy to run and maintain and to

4:37

ship I needed sort of like a toolkit to

4:40

build these web applications more

4:41

quickly And there was other ways to do

4:43

this in PHP There was existing

4:44

frameworks that were already out there

4:46

Many of them were kind of dated and

4:48

maybe getting a little older And I

4:50

thought that I could build a little bit

4:52

more modern take on how to build web

4:54

applications in PHP Once I was almost

4:57

done with it I thought like hm this is

4:59

actually kind of cool and maybe other

5:00

people would want to use Laravel to

5:02

build things So that's when I decided to

5:04

open source it put documentation around

5:06

it and try to you know share it with the

5:08

world And for the first 3 years of

5:10

Laravel's life I made no money on

5:13

Laravel at all It was totally open

5:15

source I had sort of written my own

5:17
scripts to automate this on my machine
5:19
but I decided to build user interface
5:21
around it and build like a product out
5:22
of shipping Laravel applications to the
5:24
web And I called that Laravel Forge And
5:26
I released that in 2014 And honestly I
5:29
had no idea how it was going to perform
5:32
like how many customers it was going to
5:33
have I still honestly expected that I
5:35
would need to work a day job Even after
5:38
I released Forge but within probably a
5:41
month or two of releasing Forge Forge
5:44
was making more money than I was making
5:45
at my regular job I was having to do
5:48
customer support and I was having to fix
5:49
bugs Then I was in a situation where it
5:51
was like very obvious I could not do
5:53
both things at the same time About six
5:55
months after launching Forge uh January
5:57
1st 2015 was actually my first full-time
6:00
day working on Laravel where I sat down
6:03
in my home office which was basically a

6:05
spare bedroom at the time And I was
6:07
working on Laravel all day that day and
6:09
have ever since The first couple of
6:11
years I was the only person at the
6:14
company So I wrote the front end I wrote
6:16
the backend I did the customer support I
6:18
did the docs I did everything And we
6:20
made our first hire I think around 2016
6:23
2017 I hired another engineer I think
6:26
this is actually one mistake I made is I
6:28
put off hiring too long This may be
6:30
common for other open source developers
6:32
where when you create something open
6:34
source or you create a product you're
6:36
like extremely protective of it like
6:37
it's your you know it's it's your thing
6:39
that you've created and you're scared
6:40
that anyone's going to like come in and
6:42
mess it up or like mess up your vision
6:43
for it And so that made me very hesitant
6:45
to hire but then once I did I was like
6:47
oh wow I should have done this a long

6:48
time ago Running a company by yourself
6:51
can be stressful and a bit lonely I
6:55
always felt like Laravel and PHP was a
6:59
bit of an underdog and web development
7:01
Even when I created Laravel in 2010 or
7:05
2011 PHP was already seen as like not
7:07
the most glamorous web language That was
7:10
nothing new Like even back then I think
7:12
that underdog mentality of like okay
7:14
well I actually think there's something
7:15
really great here and I think this is a
7:16
fantastic way to build applications
7:18
really quickly it really motivated me to
7:20
like prove it over many years And all of
7:24
them in a way were sort of born out of
7:26
my own like desire to make things easier
7:29
for developers

EO Partner Highlight

7:32
This episode is sponsored by Atio the AI
7:35
native CRM for the next era of companies
7:38
Connect your email and ATIO instantly
7:40

builds your CRM right before your eye
7:42
with every company contact and
7:44
interaction you've ever had enriched and
7:46
organized That's ATIO And here's what
7:48
makes it even more game-changing You can
7:51
build AI powered automations and use its
7:53
research agents to tackle some of your
7:55
most complex business processes freeing
7:57
you to focus on what matters most
7:59
building your company Join thousands of
8:02
companies who are already using to power
8:04
their businesses Visit the link in the
8:07
description to begin your 2e free trial
8:09
with Atio

Ignore the Haters, Play the Hits For Your Fans

8:15
I think opensource is powering almost
8:19
every business in the world at this
8:21
point It's become the norm You can
8:24
inspect it and read it and you can even
8:26
contribute to it It's almost like the
8:27
first thought is to release it on GitHub
8:29
You know that that's like the most

8:30
obvious thing you would do if you're
8:32
running an open- source company The most
8:35
obvious risk is just other people taking
8:37
your open source code you know and
8:39
building uh alternatives or competitors
8:42
built on pretty much everything you've
8:44
done over the last decade or however
8:46
long you've worked on your project I
8:48
think the way you avoid that in many
8:50
cases is how you run the community and
8:53
how you interact with the community I've
8:55
always tried to stay extremely receptive
8:57
to community feedback I'm still very
8:59
involved I actually still the first hour
9:02
and a half of my day is getting on
9:03
GitHub and managing pull requests to the
9:06
open source Laravel framework I'm
9:08
actually still the only person that does
9:09
that at the company I think if you
9:12
develop an attitude where you're not
9:14
listening to the community and they feel
9:17
that that's when like you start getting

9:20
grumbings in the community people get
9:22
unhappy and then you like run the risk
9:24
of a fork in the open source project
9:27
Forks the project renames it this is now
9:29
a better more community-friendly version
9:31
of your product That's the biggest risk
9:34
When you're building open source
9:35
software there's a lot of voices They
9:37
all have an opinion on where you should
9:39
take um the framework And some of them
9:41
are coming from a place of like genuine
9:44
uh constructive criticism and some of
9:46
them are more like just sort of like
9:48
haters of your project One really great
9:51
piece of advice that another open-source
9:54
founder Adam Wavin from Tailwind gave me
9:56
was that just like when you're in a band
9:59
say you're Metallica or you're Taylor
10:01
Swift if Metallica starts trying to
10:03
cater to like Taylor Swift fans then
10:06
they lose all of their core fans In the
10:08
same way like if Taylor Swift changes

10:10
her core sound that her fans love and
10:13
that they come to her concerts to hear
10:15
she upsets that core fan base And so
10:18
play the hits for your fans They love
10:21
what you build They're the core piece of
10:23
your community I think it can be very
10:24
tempting especially when other like
10:26
smart people try to tell you "Oh I think
10:29
it should work this way or I think you
10:30
should do this." It can be so so
10:32
tempting as an open source maintainer to
10:34
like go down these rabbit holes of like
10:36
"Okay well maybe if I add this feature
10:38
then like this group of people will
10:40
finally use Laravel and start building
10:43
with it." In my experience the people
10:45
that like sit on the sidelines and sort
10:48
of just like shout criticisms at open
10:50
source projects if you were to follow
10:52
their feedback and like jump through
10:54
that first hoop of what they want you to
10:56
do there's always like another another

10:58
like carrot on a stick they're dangling
11:00
out there they're like "Oh thanks for
11:02
doing that but I don't like this
11:03
either." And like if you change this oh
11:05
that would be great You know you keep
11:07
jumping through the hoops but they never
11:08
actually like become a user of the
11:10
product which it can be incredibly
11:12
frustrating So listen to just your core
11:14
audience that's already building with
11:16
Laravel and they love what you're doing
11:17
and they have businesses on Laravel It's
11:20
important to hear outside feedback too
11:22
but just use caution with how far you
11:24
stray from like your core beliefs and
11:27
what you think your product needs to be

Why I Decided to End 10 Years of Bootstrapping

11:34
I had never really considered taking
11:37
outside investment before Excel I used
11:39
to get emails about that pretty
11:41
frequently and I would always just
11:43

delete them which Excel found hilarious

11:45

The reason for that honestly is just

11:47

like we were happy at the company as

11:49

just a small team working on whatever we

11:51

wanted to work on not wanting someone to

11:54

mess up what I had built So that fear of

11:57

messing up everything we had put so much

11:58

work into made me hesitant in both

12:01

regards for hiring and raising money

12:03

especially as developer expectations

12:06

have risen quite a bit since 2011 like

12:09

the user experience and the tooling that

12:12

developers expect They expect it to be

12:15

really really good The bar just like

12:16

keeps getting higher for how polished

12:18

and how productive and how great your

12:21

products have to be And I knew that if

12:24

we wanted to like take Laravel to the

12:25

next level it was going to take a lot of

12:27

work and it was going to have to be some

12:29

pretty ambitious projects that were far

12:31

beyond anything we had built before and

12:33

it was going to take a much bigger team
12:35
to build these things And so that's what
12:37
sort of led me down the path of raising
12:39
money with Excel It's been a gradual
12:41
process changing from a solo developer
12:44
to running a bootstrapped company to now
12:47
trying to lead a VCbacked company And
12:50
they all work really differently
12:53
Honestly when I was bootstrapping the
12:55
company it was extremely flat But at the
12:56
same time when you go from 10 to 50
12:58
there are just new new layers of
13:00
organizational hierarchy and management
13:02
that comes with that But I think what
13:04
hasn't changed is our core mission to
13:08
build awesome developer tools Like
13:10
that's still the mission we're on And so
13:12
like our underlying mission of building
13:15
great products nurturing a really great
13:17
community with community events like
13:18
Laracon and Laravel lives and meetups
13:21
all of that is the same But I feel like
13:24

I should have grown this kind of team
13:26
much earlier but I was scared to and I
13:28
didn't know how to really and bringing
13:30
on people that can help us build these
13:34
products and help us grow this community
13:36
beyond what I'm capable of myself And
13:38
I'm super excited to see where we can go
13:41
in the next few years

The Secret to Building a Strong Community

13:45
When I first released Laravel we had you
13:48
know like discussion forums about the
13:50
framework where people could ask for
13:51
feedback or give ideas Every day I was
13:54
in those forums myself like answering
13:56
questions asking for feedback on new
13:58
features and I always try to be really
14:01
involved in the community early We built
14:04
sort of like a very friendly welcoming
14:05
vibe where everyone can pitch in and get
14:08
help And there wasn't a lot of like
14:10
posturing or judgment on what stage
14:12
people were at in their journey with

14:14

Laravel or with development in general

14:16

We were just all trying to help each

14:17

other and kind of be a part of building

14:20

businesses and building products where

14:22

people feel like they can come and learn

14:24

and and build something cool and they

14:26

have other people kind of have their

14:27

back Everyone wants to be a part of

14:30

something like they want to contribute

14:31

to something and it if they feel like

14:33

they can actually have an impact on the

14:36

software which you can I think for a lot

14:38

of people that creates a very strong

14:40

like sense of belonging and community If

14:43

you were to pull up a contributor list

14:45

of Laravel like their name is now on the

14:47

list forever I think of people like

14:49

Jeffrey Wei that founded Laracas

14:52

creating video content and educational

14:54

material about how to use the framework

14:56

He was actually the first person to

14:58

build a full-time career around Laravel

15:01
even before I did By embracing and
15:03
encouraging those relationships I think
15:05
it helped build a really vibrant strong
15:08
community And it's good for us as well
15:09
because people are constantly making
15:12
content about you know our framework

2 Tips for Founders From an Average Developer

15:17
I've always said I see myself as a very
15:19
average developer which that sounds bad
15:22
but I think it's actually been a really
15:24
good thing because there's a lot of
15:26
average developers in the world and I
15:28
feel like I build tools that helps the
15:30
average developer do their job quickly
15:32
And that is just statistically a lot of
15:34
people When you have an opportunity to
15:36
build tools that people use pretty much
15:38
eight hours a day at their job then
15:41
you're making a huge impact like on
15:42
someone's personal enjoyment of their
15:44
life I think is really interesting and
15:46

amazing and like this huge privileged
15:48
and it's something very few companies
15:50
and software tools really get to do The
15:52
most common advice I give first is try
15:55
to solve a problem that you yourself
15:58
have These are the problems that you're
16:00
going to understand the most deeply
16:03
Everything I've built at Laravel was
16:05
essentially solving a problem that I had
16:08
encountered in reality Many of them are
16:10
things that I needed And I think that if
16:13
possible you should try to build a
16:14
business that way to where you are a
16:17
customer yourself The second piece of
16:19
advice I would give would be do the
16:22
hardest parts first Um this is something
16:24
that I think a lot of web developers
16:26
that are trying to start new products
16:29
get wrong while they're the most
16:31
motivated at the beginning of that idea
16:34
they build a lot of like of the easy
16:36
parts Like they might build oh I'll
16:37

build the login form first And you spend
16:41
a month or two building all of these
16:43
really easy parts and you're kind of
16:44
procrastinating in this like clever way
16:47
of tackling the core like hardest
16:50
problems you need to solve to really
16:52
make this product great And then once
16:54
you've wasted all of your like initial
16:56
enthusiasm kind of dancing around you
16:59
sort of lost your momentum especially as
17:00
a solo founder And so for me when I have
17:03
a new product idea I absolutely try to
17:06
build the most impossible part first
17:08
Like the part I'm not sure that I even
17:10
have the skills to build or understand
17:13
or whatever I'll just try to get that
17:15
working Even though it's the hardest
17:17
part if you do that at the beginning
17:18
you're the most motivated And if you
17:21
crack it and you nail it the other part
17:23
is just like it's all downhill from
17:25
there as far as building the product If
17:27

you fail you would you would rather fail

17:29

earlier you know like building the

17:31

product I would much rather fail after 2

17:33

weeks than wasting 3 months So do the

17:35

hardest part first and try to solve

17:38

problems you deeply understand being

17:40

customer number one yourself

in the first day I think we added like 60K i remember one of our engineers was like "Guys we added 60K today oh my god." And you I jumped in was like "Yep it's cool but like this is you know this is like launch day this is going to go away." And that didn't happen every single day we kept adding more and more ARR in the first 2 months we went from 0 to 20 million of ARR everyone we were talking to had never seen anything like it we were actually we were going to go out of business last year you know we spent seven years building out the core technology of the product couldn't figure out how to actually effectively monetize it we had one last experiment that we ran um is it's a product called Bolt finding product market fit it is purely how many people you talk to it is purely that you people there maybe early in their product career to kind of have lots of cool ideas about things they could build and whatever that are not really attached to the reality of the actual end user customer using the product what they're trying to do with it the challenges they're currently running into with it one of the things we really invested in early on with Bolt

was like community you know we've hired in a couple of folks who their entire job is just talking to our users and so I think that's really the only way you can meaningfully scale the full cycle of user feedback is just having great people that are in your community or on your actual core team that's their entire job and they're all working together you have to learn how to be intellectually honest with yourself and it's like am I not giving up because that's what people say you should do or am I not giving up because I actually really like I have conviction in this and like I just want to see this I I really want to see this made possible i I think the only way I learned how to determine when it was time to pivot versus time to iterate was just I'm Eric Simons i'm the co-founder and CEO of Stack Blitz and we're the creators of Bolt new people went to bolt.new typed in the idea of a website or whatever that they wanted to make hit enter and 30 seconds later they had a a web application ready to go first two months of launching Bolt we went from 0 to 20 million of ARR the 3 months since then we've added another 20 million of ARR just about and we now have almost 4 million registered users and are continuing to grow like a weed i like computers from a pretty early age i was like building computers like be gaming computers and that sort of thing that was actually when my co-founder and I met was when we were you I think around 12 or 13 the first product that my co-founder and I built we basically built a version of Dropbox before Dropbox existed and this is back in like 2006 or 7 at that time the way that you kind of bring your digital documents

between school and home was like USB flash drives you're like 12 or 13 or whatever you're going to forget this right you're going to leave this at home happened all the time and so we had the idea of like hey let's just make a digital storage service that people can upload their homework to or whatever and it took off like wildfire like the entire many school districts in Illinois and just kind of across the Midwest started using this thing i think at that time I was I was like 18 or 19 i for come out Silicon Valley we had gone through one of these accelerator program at that time they would give you like 20K so we went through that money and then we're out of money but we the product wasn't ready to launch and so I was like what do you do we just so happened to had access to the AOL building at that time because one of our investors said was renting office space out of there so I had a key card to get into the AOL building and so there's couches here you know I could sleep on the couch there's a gym and so they have showers i was 19 expectations for quality of of living are pretty low I think at that age and so I I ended up just you know starting to live out of out of their headquarters i I would I was just coding from 9:00 a.m to 11:00 p.m 12:00 p.m i did that for like I think like 4 months um until they they eventually someone like someone finally caught on that I was living in their headquarters and they they found me and threw me out at like 5:00 in the morning i didn't know anyone in Silicon Valley i'm not from California i went and like slept on a table at Starbucks until they opened thinking was a company that we didn't

really intend to be a company basically we had a whole bunch of different startup ideas we were trying on the side we were building lots of different web applications as a result for each of these startups to stay afloat we were like "Okay you know we actually know a lot about building web applications cuz we're we're doing it so much we could probably like teach folks online and you know charge for like our courses and and make money to keep us afloat so we can keep trying other ideas." Kind of the funny thing is like of all the things we were working on at that time Thinkster was the most successful of all of them we were teaching a lot of people we had like I think it's at like 100,000 something people that were you know using this site uh to learn how to do web development and the biggest problem the people learning were having i mean this is common with anyone that's learning how to program is not even like learning how to write the code but it's actually setting up your development environment which is basically mean setting up your computer to be able to even like run code that is a huge huge huge challenge whether you're like a beginner or you're an advanced developer we were running into this problem with the people using Thinkster of they they just couldn't get the stuff set up in their environment to even learn how to write the code and we had the realization like okay actually it should be possible theoretically to just kind of like run an entire dev environment inside of the browser itself you know not using servers not install anything locally like we can actually run it in a web page you know inside of a browser tab and we were looking at all these

different technologies that have released in browsers and we were like someone must have done this already right like cuz we we were just trying to solve our own problem we weren't trying to start a company like we were just trying to teach people on Thinkster we looked around and there was just nothing there is nothing that could actually do it i kind of knew that this is like something very different at that point because it you know it's like I'd never run it across something like this where I kind of technically knew the underpinnings that this should be possible but yet no one had gone and done it that key insight was really what led us to start stacks cuz we were like "Okay well that would be huge for people learning how to code to not have to set up environments it would make it way more accessible people could just use this as an environment to just keep building in like why would you even need to set up a local environment necessarily so that was kind of the origin story of stacks and it came out of thinkster directly we had spent half a decade building building out this technology the the problem is that anyone that really understands how to write software already knows how to get stuff set up on their local computer and will tend to actually just gravitate towards that because they are super familiar with it the issue is if you're going to build something that's web- based that is getting people to actually leave their their environment is a huge challenge we tried out a whole bunch of different experiments um over the course of the past you know 2 years or whatever all of them were very cool generally like the

people that that try these things out thought they were really awesome but it didn't move the needle from like a a monetization standpoint my co-founder and I have like talked about you know do should we pack it in shut down the company and so that was you know like last year we made the decision my co-founder and I um with our with our board and stuff of like okay we're going to spend the rest of this year going and trying everything that we think is cool idea and and if that doesn't work out we'll have left no stone unturned and we'll go and kind of prepare to kind of start spinning things down how would I walk away from this knowing that I I gave it everything I had like last year when as this was kind of going on with the company I also had my first child and if you talk to anyone that has a kid you don't get a lot of sleep it's pretty high stress so I had a lot of challenges kind of going on just from the personal side the work side i woke up one morning last April after my daughter was born and I was like I'm going to do an iron man like a full iron man and and I and it was like 6 months from that i never ran a marathon or whatever the six months um you know of last year I was kind of bringing full intensity to every part of my life like physically going and training for this thing mentally with with my job uh going and you know really figuring out leaving no stone unturned and just trying a lots of different experiments etc and so kind of bringing full intensity to those things and and I got to tell you I've never been happier in my life um I've never been happier in my life really investing in in myself my co-workers and my products and my family and my business

with just such uh intense dedication and I is okay with whatever the outcome was if we end the year and you know our destiny is the same so be it let the the universe you know let the universe decide right um I've done everything that I possibly can do and Bolt was like the last the last experiment we had before we're going to kind of start winding things down uh what Bolt allows you to do is like to actually you know using just text you can type in an idea of an app or a website you want it'll build it the launch strategy for Bolt was like we put out a tweet like that was it there was no blog post there's no press release so there's just like a tweet and and that tweet ended up going viral so what ended up happening is people they saw our tweet they went to bolt.new typed in the idea of a website or whatever that they wanted to make hit enter and 30 seconds later they had a a web application ready to go in the first day I think we added like 60K i remember one of our engineers was like "Guys we added 60K today oh my god." And you I jumped in was like "Yep it's cool but like this is you know this is like launch day this is going to go away." And that didn't happen every single day we kept adding more and more ARR in the first 2 months we went from 0 to 20 million of ARR everyone we were talking to had never seen anything like it it was I mean just an unbelievable shift in the destiny of of our company

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So I'd actually had the idea for Bolt about a year ago, February of 24. At that time, the Frontier models like OpenAI or whatever have you, we had actually tried to build a prototype with Bolt. We spent a couple of weeks doing that, but what we ended up finding was the output just was not good enough. Like you would tell it to build an app and it just often times it would be broken or it wouldn't look good, it wouldn't function properly, which kind of like ruins the experience. So we put that project on the shelf and we're like "Okay, maybe we'll come back to this at some point in the future when these AI models get better." Back in May, we just so happened to kind of get a sneak preview of the new stuff that was coming from Anthropic with Sonnet 3.5, a coding model that has changed software development. Period, you got a kind of sneak peek of it and we were like "This is good, I mean this is going to change everything we think." And so we kind of pulled the plug.

the shelf and yeah took the the latest APIs from Anthropic pulled them together and launched it within 90 days of that back after chatbt had launched a lot of companies were just kind of like adding AI stuff to their products and not even in a very thoughtful way but it was kind of like people just wanted to be like relevant and kind of you know show that they were had an AI strategy and we didn't cuz we were just like we don't see the value of this it's not clear how this is actually going to make the experience that much better right and all of our competitors went were you churning on AI ideas we held off u because we just didn't see we didn't have conviction on it i think in retrospect the right move and when we did find the right thing we went all in and you kind of look at like the competitors that we were going up against then versus now it's like a lot of them have either shut down some of them have kind of started to pivot to AI but like from like a user and revenue perspective it's like bolt is the number one thing

you know we get thousands of emails and tickets and tweets and etc per day sorting the the signal from the noise is is you know very difficult challenge But one of the things we really invested in early on with Bolt was like community like we have a very great community around Bolt where you know folks really love the product and there's these people that that are really smart genuine awesome folks that have stepped up and really became like kind of leaders in this community yeah so that's really how we've been able to scale the both the support but also the product feedback function because these are

folks that are like in our Discord or Reddit or Twitter or whatever and they're hearing what people are running into then they themselves might be running into it and they'll and they'll be like "Hey this is something we're hearing a lot of here's maybe how you guys go about fixing it etc." And we also have people on our team who you know we've hired in a couple of folks who their entire job is just talking to our users helping them get unstuck with stuff hearing their feedback etc and so I think that's really the only way you can meaningfully scale you know uh support and and the the full cycle of user feedback is just having great people that are in your community or you know on your uh actual core team that's their entire job and they're all working together you know just bring in all the data points make good decisions and get the proper things prioritized in the product we like to work on things that users have specifically either like really asked for where it's a big a big pain point or alternatively it's something that we've validated that people want i think it's very easy for entrepreneurs and yeah people that are maybe early in their product career to kind of have lots of cool ideas about things they could build and whatever that are not really attached to the reality of the actual end user customer using the product what they're trying to do with it the challenges they're currently running into with it and so a lot of this comes down to just experience and like fortunately we've been doing this for a long time like my co-founder and I have been building stuff for almost 20 years you know having a good sense of these are cool

ideas but we should probably get to them later these are really important ideas we should do them now these are really important high priority things they need to be fixed and you know uh sorting accordingly and one of the interesting things too actually about what we did is we actually open sourced the core version of bolt when we launched and like even today it's like I think it's like the most popular AI product you know by users of revenue that actually has an open source version like there's nothing else out there that really has that other than us but it was clear to us was like this is this is knowledge that someone's going to open source this at some point and we think it'll just be actually a lot better for us and the AI model providers etc if this is available for people to try out and fork and improve and whatever have you which ended up being a really key decision cuz a lot of people use Bolt because they can play around with the open source version and fork fork it and make it better and you know whatever have you we've invested a ton in the open- source world in large part because like our product really wouldn't work without amazing open source software that's been built for web development and and otherwise for us it's you it's also really important that those people building different web development tool chains like Vite or whatever have you also care about us and they want to make sure that their these open source projects work well in our technology and our environment and that's been really key for us yeah we became the largest backer of Vite back in 2021 we have multiple people on our team that all

they do is work on open source full-time
you so I think uh developers love our
products i think in some part because we
genuinely care about open source and
ensuring that folks uh working on open
source get compensated and have a way to
actually continue working on it in a
sustainable way

i I think the only way I learned how to
determine when it was time to pivot
versus time to iterate was just trying a
lot of startup ideas like that was you
over the course of like a decade through
that I kind of I ended up building a
good gut instinct of when when we were
kind of at the end of the line on a
certain idea and it was like okay we
need to like pivot and try something
else instead so my recommendation would
be to to if you think you need to go
deep on something and go along do it and
typically you're gonna you're you're
eventually going to find out one way or
the other if you were right or wrong and
then you learn from that and and then
then if you were wrong if you're like
"Hey we went really deep and it didn't
pan out." You have to just take that as
a lesson as part of the journey when I
was younger and heard people give the
advice that I'm giving right now the
takeaway that I would take then was okay
so just don't give up like like no
matter what just kind of like hold on to
this idea and don't give up which is
like like I think generally
directionally good advice but there's
actually like kind of a line where you
have to learn how to be intellectually
honest with yourself and it's like am I
am I not giving up because because
that's what people say you should do or
am I not giving up because I actually
really like I have conviction in this

and like I just want to see this I I
really want to see this made possible
and then seeing it all the way through
right cuz I think when you're when
you're starting and you're trying to
find that passion in that's kind of one
challenge and then the other side of is
you know we saw which is okay we built
this amazing thing Now how do you
actually turn into a business the
important part there is you know when
you're driving through hell don't stop
if you're going to go and and build a
business go and try all the way through
and don't leave any stones unturned
because what you don't want then is to
look back and go "Ah man we had this
really cool thing i think it could have
been really really important but we
didn't actually we didn't do a full core
press and really make sure that we
exhausted all options before you know
spinning down or whatever
ai's impact on software development is
uh I mean huge like I think I think it's
it's clear at this point that software
development is going to be probably the
number one application of AI that as far
as like a high leverage uh high impact
high revenue sort of thing all the
world's software I think is going to be
meaningfully written by AI in years i
think I think probably you know
singledigit sort of years that doesn't
mean that software developers are going
away there's a lot of things in software
development that are just monotonous and
not intellectually challenging right
it's just common stuff that you're
having to do to build an application and
AI just kind of obliterates all that can
just take care of all that stuff for you
so you can actually work on like more
complicated high high value

intellectually challenging sort of tasks and so I think we're continue to see more and more of that right we're see more and more software built and it's also it's enabling people to that are not software developers to actually go and build software right whether you have an idea for a website or an app like you can go to Bolt today and do that the next 5 years of Bolt I think is it's it's going to be something that from the Fortune 100 to 10year-olds people are building the future of how you you know stream movies online how you check your bank account using a mobile app to a game that a 10-year-old had the idea of right all these things and some of that stuff you can even do now with Folk right but the the quality and the scale of which you're going to be able to do this stuff is going to be giant right compared to to what you can do now yeah

i grew up in India i had no idea or no concept of like what is Boston what is New York i hadn't been to any of these places boston generally is a very multicultural environment people come there from a lot of different countries and I went to Boston University where that's especially the case after graduating from college I actually started a PhD in machine learning which I actually dropped out of i left my PhD program and I joined a startup people thought I was crazy that I would just drop out of it and get kind of go join some startup right but I think it was the right decision looking back at it it was a very high-risk decision but it worked out especially in the US and I think that's what makes the US such a special place there's definitely so much

opportunity that I think it's better to be a little bit more of a risk-taker most of the time you can take a risk and actually get rewarded for it i think people don't bias enough towards taking risks if you just do what everybody else is doing then you'll just end up wherever everybody else is going right my name is Goraf and I am the co-founder and CEO of Captions captions is a video creation company our goal is to make it easy for anybody anywhere to be able to tell their story through video without actually going through the physical process of recording or editing a video we've raised over \$und00 million in funding it's gotten to tens of millions of users and over 100,000 plus users daily

i was in the US for the first four years of my life and my parents moved to India i grew up in India moving back to the US like I had no idea or no concept of like what it would be like what is Boston what is New York like I hadn't been to any of these places my parents were like Boston's great you should go there and I was like sounds great let me do that so at Boston University it was an interesting situation because coming from India sort of the curriculum there especially around computer science is just very advanced compared to the US and a lot of the things that we actually were being taught in college we had already covered in high school for the most part a lot of college classes were essentially repeating what I had already done in high school it probably was the case for a lot of people from India I imagine i think that did give me a chance to actually go and explore outside of just that and kind of see what else I can learn and what more I

can do i did tons of projects i like
worked on projects with my roommates i
worked on a lot of different apps that
we launched and this was like in 2012
2011 when the app store was still early
in high school and going into college i
had started a kind of a company in a
strange way i say that because i
actually didn't realize it was a company
until much later i was working on some
games and there was some need around
like security software for those games
and i decided to make it and the game
company decided to buy it for me not
knowing that i was like 16 years old and
i ended up selling it to a bunch of
other companies as well i didn't realize
at that time that this is what a company
is is like you make a product you sell
it but much later i was like wow that's
kind of what it was it was a interesting
sort of experience to go through because
it kind of transitioned from generally
games and gaming into sort of more
general skill set i really enjoy
learning new things how do you learn
things quickly and how do you figure
things out quickly it's something that
not a lot of people talk about but it's
like one of the most important skills in
my mind go to a new domain you know go
to a new area something that you haven't
done before try for the first time
figure it out quickly and be actually
useful and productive in it is like it's
a pretty cool skill and it's pretty fun
one to work on because you get to try
out a lot of different things you'll get
to learn a lot of different things and
focus on that as a skill in itself being
able to do all those different things
and figuring those things out is really
[Music]
important through the early part of my

career I was really focused on machine learning as a central aspect of what I was doing at Microsoft I joined them on this new team they were developing called Azure Machine Learning it's like a machine learning platform they were building and then at Snapchat there was a bit of a difference i got a chance to really get more on the product side and eventually ended up joining the design team which was like a huge shift from what I had done previously and the idea of like connecting technology to actual design and actual product made a lot of sense so I ended up starting a team there called design engineering which was like how do you bring together great design and great engineering to build amazing products right one of the things I learned at Snap if you think about Snap as a company I think Snap was one of the earliest companies to actually get into video for consumer use cases especially short video it did get me very immersed into the space of like video in general especially video for communication short videos and all the challenges both technical and product that are related to that but I think in general one of the things that I noticed was essentially a shift in the way that people were communicating a lot of people thought Tik Tok was just oh Tik Tok that's like just people dancing right it's for fun but I think the reality was that yes there were a bunch of people dancing but there was a lot of people talking and there were a lot of people telling stories and you know sometimes bad things that happened to them good things that happened to them people were like talking about ideas and like what could be done and what should be done and people were arguing with

each other right and I think that was like a shift in the way people communicated from like that's the type of stuff that would happen like on Twitter or like on text beforehand right and it was now happening on video for the first time so I got pretty familiar with all the different ways that people are communicating and kind of what works better and what doesn't work when we started the company we were thinking about building a social network and so we were thinking okay there's like a distribution part and then there's a creation part of the social network we thought hey let's start with the creation first so we started off with the idea of literally just adding captions to videos text on videos based on what people are saying the reason we did this is because we saw there was a big accessibility movement at that time there were a lot of people sort of manually writing text on top of their videos and it was spent an hour like typing it all out there wasn't actually a solution for this that was in the market at that time so we were the first ones to build it and the absolute first project we built it in one weekend just as like a test essentially and we put it on the app store and the next day we woke up and it was like 600 people per minute using it basically it was completely at the top of the app store with no marketing no nothing done essentially and I think that was like the moment where it was like wow it can't be this easy right like it really can't be because we had been told right like it's going to be a lot of work to find product market fit and things like that but I think that being said we had just started the company and we had this

idea of a social network and things like that i think we were like "Okay this is working but I wonder if we should go back and like really think about the social network aspect of this." And so we tried to figure out how to get people to post on the platform and things like that until we essentially rediscovered captions and this was a interesting moment where we were working on another application which was called Spam App it was like a photo sharing app it was actually doing really well while we were working on that we're looking at the bills and there was like a good \$10,000 a month going to captions you know I remember talking to my co-founder and we were like "Okay let's just delete it because we don't want to spend \$120,000 a year on this right?" We decided to delete it i remember going back home and on Saturday going through like you know the UI to be like "Okay I'm going to press delete now." And while I was going to press delete I was just thinking "Ah but like we worked so hard on this like I don't want to delete this right?" Like it's like I want to keep it for memories at least right so I had an idea just in the moment quickly design a little paywall where we ask people to pay for the app if nobody pays for it then it's essentially shut down but we can continue using it because you know we work hard on it and if someone pays for it then it pays for itself so we're not paying the bills basically so I quickly made that in about 2 or 3 hours put it on the app store and launched it and then completely forgot about it so we continued working on spam app and it continued growing through the next you know four five six months while we were doing that I for some reason decided to

check my account and when I checked it it was like at \$500,000 or more and growing and like the craziest part was not only did people pay for it people retained on it and it was growing in revenue completely on its own with like zero employees working on it so no employees there were like 2,000 open support tickets nobody was answering obviously right and it would continue to grow you know we had to have this like tough conversation of like oh my god like this is truly working right and it was tough because we already had another thing that was also working and that we were raising a new round on essentially right i think we discussed this for a couple of weeks and we ended up deciding we're going to switch to captions and we're going to just focus on creation as the primary we switched over and literally the moment we launched the first set of features on top of the existing app what was looking like a fast growth completely condensed because the new growth was exponential just like straight up i mean I think that's kind of the crazy thing that I think about at this point is like that split-second decision was the difference between two completely different paths here's the thing like we don't know the other side could have been even more successful that's the tough part about these decisions is like you have to choose one and you'll never know what the other could have been i think the big decisions are actually in the small decisions in a way and the small decisions are what actually you don't think about too much but actually turn the tide of like what will happen in the future i think that was the case over here too right because like what felt

like a very small decision of like other app should we delete it or not seem like kind of obvious anybody we would have asked would have told us yeah just delete it right whatever but I think those small decisions actually are way more important than the big ones sometimes and I think this shows quite a bit like if you look at any competition at a global scale right which building a startup is kind of a competition at a global scale like look at the Olympics for example right like people are like within seconds of each other right sometimes even milliseconds of each other that's not because of some major decision they made while training or something like that everyone's very good right it's probably like some minor micro decision that happened in the moment like you know while they're swimming and they moved one arm at this angle versus the other angle like that's what's deciding who wins and loses right i think it's like those small decisions that count the most

we did face challenges around like identifying the user and making sure we're building for the right user because when we launched the app like it was immediately sort of successful right and it immediately blew up it made things easier and harder in some ways i think one of the things that can happen when too many people join sort of your app or product very quickly is you kind of lose sight of who the customer is because there's a lot of people who are just checking it out there's a lot of people who don't actually care about the use case but they want to just see what's going on between all that noise it's difficult to figure out like which one of these people are the actual user

who's going to retain and for whom is this actually solving a real problem that's really important because at the end of the day without focusing on the right customer you'll end up building the wrong product captions was a paid app from the beginning and I think elements there that was interesting is like being paid actually helped filter our user base a little bit and to only those people who were willing to pay those people that were willing to pay were people who had real pain point and so with that we got really good feedback from users right around like what we should build and what we should prioritize and what they want from us in the future we decided to keep the app paid right from the beginning all the way till today because of that reason i think on the technical side we try to avoid as much as possible technical challenges that it's sort of unproven essentially right like I think one of the mistakes that can be made is like spending a lot of time building something very technically complex without fully recognizing whether there's product market fit there or not we spend a year building something and nobody wants it right that happens very often and it's happened to us too the key factor there is like how do you reduce the technical risk to like an MVP how do you test with like just the bare minimum get something out in front of people have them see it have them try it if they don't retain then don't invest more in it right try something else and I think that's the other thing is like not going deeper and deeper into the rabbit hole almost in a way i think there's also tendencies of like building the first version seeing that it doesn't

completely work and then justifying it by saying well if it only had this feature and that feature and that third feature then maybe it would have worked right but I think the reality is like it would not probably not have worked with as many features as you want it would only have worked with a single feature only one of those things right whatever actually people want at the end of the day so I think the better skill is to just learn how to quickly build stuff try as many things as possible the most important thing is getting stuff out in front of people testing it if it doesn't

Intro

0:00

to be honest like our first product

0:02

looks really rough we actually only used

0:04

two weeks one day we have over like 100

0:08

people just flowing this product our

0:10

users actually just you know like

0:12

doubled there is huge increase in the

0:15

user and there's huge increase in the

0:17

revenue that is a time we know okay we

0:19

hit something right we have over 10

0:21

million downloads in a year and we now

0:24

have over 10 million annualized revenue

0:26

within a year it's not just about

0:28

fantastic UI UX or how you're marketing

0:31

it right it's more like what result
0:33
users are get you don't need to wait for
0:36
the product to be perfect to launch it
0:38
most of the time in the AI era things
0:41
will change every day if you wait too
0:43
long you may never be able to launch
0:45
your product so you just need to launch
0:48
it develop it learn from it at the same
0:54
time hi I'm Ella i'm the founder and the
0:58
CEO of CRY AI criti is the agentic AI to
1:01
augment your marketing video at scale
1:04
just drop one product image and Criti
1:07
write your script shoot your video and
1:09
even do the processing for your
1:11
marketing video without the need of full
1:14
media crew cringy is growing pretty fast
1:17
we have over 10 million downloads in a
1:20
year and we now have over 10 million
1:22
annualized revenue within a year thanks
1:24
to our network effect between the
1:26
influencer and the
1:31
[Music]

Tip1: Apple's Rule: Talk to Your Users in Person

1:33

brands i started my career as actually a

1:36

hardware engineer at Apple we are

1:38

building the first generation of AirPods

1:41

we don't even know what product people

1:43

actually need so we invite a lot of

1:46

users to our small interview room and we

1:49

ask them a lot of questions like what do

1:51

you need actually for the earpods what

1:54

do you actually have the pinpoints for

1:56

uh things like that at Apple when we

1:58

conduct the interviews instead of just

2:00

doing online surveys we actually more

2:03

prefer to invite the users to the

2:05

interview room and conduct like

2:07

face-toface interviews right when you

2:09

ask people to fill out the survey online

2:11

people most of time they just you know

2:13

click the first one whatever they see

2:15

there right because they want to just

2:18

jump to the end no one really want to

2:20

get their feedback so you may get the

2:22
wrong answers and another more important
2:25
thing actually is when you are talk to
2:27
your users face to face you actually get
2:29
more than what you want to ask right
2:32
like people they always have some
2:34
assumption that okay maybe user need A b
2:37
and C but actually user don't care about
2:40
them like at all right like they only
2:42
care about what they care about like D
2:45
but you don't have that on your survey
2:47
so you'll get the wrong answer that's
2:49
the reason actually Apple prefer to have
2:51
face-to-face user interview when they
2:53
are building a new product and one
2:55
important thing we learn at Apple is you
2:58
know you really need to understand
3:00
people's pain points you need to really
3:02
know why people need it when you are
3:04
building it we have our like a lot of
3:07
fantastic ideas or imagination but those
3:10
are not solving the pain points of real
3:13
customers and that's not we want right

3:15
so meeting people or knowing people's
3:18
pain points actually is the first step
3:20
when you need to create a great product
3:22
the AirPods project is like it's amazing
3:25
uh experience for me many people said I
3:27
should stay there for longer but the
3:29
thing is that I always pursue for
3:31
building something new or building
3:33
something I think I feel most excited
3:36
for when I was a child I found I get
3:38
information much easier when I get it in
3:41
the form of video instead of like long
3:44
text or like blog post or things like
3:46
that so it is always my dream that in
3:49
the childhood that if one day we could
3:52
turn a lot of communication the learning
3:55
the information gathering just in the
3:58
video format that will be really helpful
4:00
for a lot of people sometimes you know
4:02
it's it's pretty pretty hard for people
4:05
from the giant company to actually quit
4:08
and really doing the startup when I

4:09

looking back I really miss the time

4:12

there at big company enjoying with my

4:14

friends and my family Still I think I

4:17

don't regret uh because I am doing what

4:20

I really passionate about and I believe

4:23

that will help a lot of people that is

4:25

more important to

Tip2: Done Is Better Than Perfect

4:31

me when I saw the generative AI even

4:34

it's back in 2020 I believe that one is

4:38

will change the world and it will be the

4:40

future because at that time I saw a lot

4:43

of people they spend over 80% of their

4:46

time just online instead of offline

4:48

right so there is a huge trend that

4:50

people actually are shifting from

4:51

offline to online and then people will

4:54

definitely need much much higher demand

4:56

for the great content online but on the

5:00

offset that I saw it's pretty pretty

5:02

hard for people to create great content

5:04

right the requirement for great content
5:07
actually growing higher and higher the
5:09
supply of the great content actually uh
5:12
have a huge gap between the supply and
5:14
the demand i'm pretty certain that you
5:16
know it's only the technology which
5:18
could like merge the gap and help people
5:21
with that that's a time that I think
5:23
okay even though I am not experts I
5:26
don't know a lot about software or I
5:28
don't know a lot about AI but you know I
5:31
can always learn once I find the
5:33
motivation I would know what I want to
5:35
do and I can shift to that and I can
5:38
learn that pretty quickly to be honest
5:40
like our first product looks really
5:43
rough we don't have really fantastic UX
5:47
or UI we even don't have the batch mode
5:50
in the beginning but that's totally okay
5:52
you know like sometimes when the product
5:54
is really rough but users still you know
5:57
like willing to use it that means
5:59

something if you have a really like bad
6:02
design product but people are still
6:04
using it they're like okay there's some
6:07
real value thing in that one it's not
6:09
just about fantastic UI UX or how you're
6:12
marketing it right it's more like what
6:15
result users are get whether they can
6:17
use it to get the benefit they want you
6:20
don't need to wait for the product to be
6:22
perfect to launch it because you know
6:24
like most of the time in the AI era like
6:27
things will change every day if you wait
6:29
too long you may never be able to launch
6:31
your product so you just need to launch
6:34
it develop it learn from it at the same

Tip3: Don't Chase Trends, Chase User Needs

6:41
time there's one lesson I learned as a
6:44
founder or I will say the most painful
6:46
lesson I learned our first product
6:48
actually is called ZMO.ai at the time I
6:51
was building Zmo i'm not sure like why
6:54
I'm building this like why people need

6:56

this the thing is at the time me journey

6:58

is super hot everyone is chasing that

7:01

right so just like so many other

7:03

founders I'm like "Okay text to image is

7:06

so popular we definitely need to enter

7:08

this domain so let's do it." But I don't

7:11

really know why people are generating

7:13

those images so I don't really

7:15

understand the users need when I was

7:17

building the product we actually don't

7:19

know what the business model will be and

7:22

we even don't know what the next step

7:24

will be right so the revenue actually

7:26

doesn't go that high as the users grow

7:29

right and we suddenly just get lost

7:31

right we don't know like why people are

7:33

using it like why some people pay why

7:36

some people don't pay for it when we

7:38

have this difficulty the only thing I

7:40

can think about is talking to your

7:42

customers right that is a thing I

7:44

learned from Apple we do email our users

7:48
or most active users email them like
7:51
over 500 and finally we get 300 actually
7:54
we have the face to face conversation
7:57
with them because I believe talk to the
7:59
users is the only way we can find
8:02
whether there is a true need or what do
8:05
they really need after talking to more
8:07
than like 300 users we find that a lot
8:10
of people they create the images it's
8:13
just out of curiosity the AI is so new
8:15
to them they just want to try it out but
8:18
they do a small group of people they
8:21
they actually do have the need for it
8:23
not designers they don't know how to
8:25
create all those cool images they do
8:28
need actually those content for
8:30
themselves for their company uh for
8:33
marketing so we're like okay we finally
8:36
find people who have real needs for that
8:39
most of them who are on Amazon or eBay
8:41
or Etsy they actually use their phone
8:43
directly to take the photos of their

8:46
product so they hope that okay the
8:49
social media is also on the phone photos
8:51
and the videos are also on the phone it
8:54
will make him much more sense if you
8:56
just build the product on the model
8:58
after talking to them we finally made
9:00
the decision okay we will reposition
9:02
this product and we will build it for
9:05
people who really have the needs which
9:06
is marketing and we will also shift it
9:09
actually from the PC side to mobile
9:11
that's the time when the pivot is
9:13
happening

Tip4: The Growth Flywheel Behind \$10M ARR

9:18
we are building the mobile version of
9:20
creati in a way that it's not actually
9:23
just a tool but it's more like a
9:26
community for both influencers and the
9:28
brands the reason actually we have
9:31
features or templates for both
9:32
influencers and brands is actually we
9:35

find if some brands they want to do
9:38
marketing it's impossible actually to
9:41
avoid uh the influencers contribution
9:43
because influencers they are the people
9:46
who actually know best about the social
9:49
media who actually know much better
9:51
about what content is more engaging and
9:54
more attractive to users so when we are
9:57
building creat from day one we know okay
10:00
we need to create the actually the
10:03
network effect between the influencers
10:06
and the brands they they know the
10:08
internet so well after they create the
10:10
template they will also will post those
10:12
videos uh on their own channel on the
10:15
social media and if that video templates
10:17
actually is a great one that video will
10:20
actually go viral it will actually get
10:22
millions or tens of millions of views
10:25
right and Those viral videos actually is
10:28
the best marketing strategy for us to
10:30
acquire more and more brands because
10:32

when the video go viral that will bring
10:34
a lot of lot of users to the
10:38
createl the end of funnel there will be
10:40
the brands that will really use this
10:42
video templates to create their engaging
10:44
ads video so the brands actually when
10:46
they are using those brands as video
10:48
they will pay more uh to create this
10:50
platform so that we can hire more
10:52
influencers in the community and the
10:54
influencer can create more viral video
10:56
templates for the brands so it's
10:59
actually a very nice flywheel actually
11:01
we're building between the influencers
11:04
and the brands and we believe that is
11:06
the key differentiation CR is have
11:09
compared to all other like AI marketing
11:11
tools is because we believe the
11:13
ecosystem actually need both sides we
11:16
need both influencers and brands to help
11:19
them to grow marketing at scale

Tip5: Adapt Fast. Users Are the Signal

11:26

the AI world just changed daily every

11:28

day you wake up there will be new

11:30

technology and new product right and I

11:33

think building in the AI era is quite

11:36

different from like 20 to 30 years ago

11:39

when people are just enter the mobile

11:41

boom the thing is actually I believe

11:45

maybe 99% or maybe all the products that

11:48

you saw today maybe not the final

11:51

version of what they will be at the end

11:54

of AI evolution the requirement for the

11:56

founder in the AI era for AI startup

11:59

actually is kind of different from

12:02

previously because those founders really

12:04

need to adapt really quickly and

12:07

flexibility to those changes and one

12:10

thing we think actually is helping us to

12:13

adapt to all those changes is we talk to

12:16

our users every day and to learn what is

12:20

the key thing that won't change even if

12:23

the technology change so the thing that

12:25
we find out you know is what kind of
12:28
content will go pretty like viral on the
12:31
social media is all the things that our
12:34
users or our customers care about even
12:36
though technologies change the important
12:38
thing is once you get those industry
12:42
insider data and knowledge uh for that
12:45
vertical that will build your mode and
12:47
that will actually be your key value
12:49
along with those all technology changes
12:52
daily or those technology change will
12:54
just help you instead of you know like
12:56
disrupted to your product

work kill it and start again and keep
doing that as quickly as possible

early stage Founders are often told to quickly build and launch the first version of their product also known as the minimum viable product and then iterate from there in this video I'm going to explain why this approach no longer works and what to do instead hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business so let's get into it why not start with an MVP first I'd like to warn you that mvp is an overloaded term with many different definitions some people Define an MVP as the first iteration of a working product While others Define it more Loosely as anything that helps you learn from customers which could include things like prototypes and landing pages I subscribe to the more strict MVP as the first iteration of a working product definition which is what I'm going to use in this video but as you'll see shortly my advice for not starting with an MVP applies equally just the same to all these other definitions the premise behind starting with an MVP is to avoid wasting precious months or years building a perfect product at the risk of building a much larger product that nobody wants the logic goes something

like this rush to build and launch something quickly and then use customer feedback to iterate and refine from there so what's wrong with this approach this approach used to work at a time when barriers to entry were higher and customers had fewer product choices going back a decade you could afford to give customers a half-baked alpha or beta and then iterate with them to create something better but this no longer works it no longer works because the cost of building new products is at an all-time low which means that customers today have many more product choices competing for the same job when they encounter a half-baked MVP that doesn't immediately deliver value they don't turn into early adopters or beta customers they ghost you and switch to another product entirely without Direct customer feedback you're left guessing how to fix your MVP you try one feature after another in search of the mythical killer feature which after a while feels like throwing spaghetti on the wall to see what sticks now sure if you throw enough spaghetti on the wall you can sometimes get lucky and you've probably heard of stories like Groupon that brute force their way to an idea that worked but for every one of these stories there are far more startups that simply ran out of resources so is there a better way top reason why products fail is building something nobody wants more specifically building a product that doesn't solve a big enough customer problem it follows then that the first thing you should start testing is nailing whether you have identified the right customer problem to solve the best way to do this isn't by building a working product but a demo think demo cell build versus build demo cell here's how it works most people start with building a product first then demo it to make a sale this is where they get stuck if you think about the steps a little more carefully you'll realize that customers don't really buy a working product they buy a demo or a promise of something better a demo serves as the perfect proxy or standing for your product and it's a much better place to start if you can sell the demo why build the product now if you ever funded a crowdfunding campaign or placed a pre-order for a product that was demo cell build at work and before you dismiss this as just a tactic that could only work for simple b2c products the more complex the sale the more demos play a role in the buying process before the pilot we can take this even a step further when you package a demo into an offer like say on a landing page or a product pitch you get to test three of the riskiest assumptions in any business model the first is your unique value proposition or promise of better in other words are you solving a big enough problem that earns the attention of your prospects the second is your solution does your approach to solving this problem resonate with your prospects and finally you get to test your pricing model will your customers pay you enough to solve this problem now while starting with the demo is much cheaper and faster than an MVP like first MVPs most first demos also typically fall flat because you're often still guessing at what you think customers want you only get a few chances to pitch customers before they get impatient and move on and if you're delivering your offer on a landing page it's easy to fall into the offer trap this is where you rely on analytics and metrics to tell you what's going on but metrics can often only tell you what you already know that no one is buying but they don't tell you why again without Direct customer feedback you're left guessing this time on how to fix your landing page you fix the headline the copy the pricing model something else entirely each AB test you run consumes more time and traffic and weeks quickly turn into months this is also not the most optimal way to get to something that works so how do you craft a better offer that converts customers the key to building better demos and MVPs lies in uncovering better customer problem insights the way to get to better problem insights isn't through better demos but through better customer

Discovery conversations your objective in these conversations isn't to pitch Your solution but to deeply understand your customer's problems and identify possible root causes now this may sound strange but when you deeply focus on studying your customers you can often understand their problems better than they do this is because your customers are too busy firefighting to study their own problems there's a reason people hire therapists and coaches to uncover deeply rooted issues uncovering customer problems is no different contrary to popular belief you don't need to conduct 600 surveys or Run 100 customer interviews to uncover these insights with the right problem Discovery process you can get there with just 20 to 30 interviews which is well worth the effort when you deeply understand your customers better than they do you gain two superpowers the first superpower is that designing the right solution becomes a whole lot easier a problem well understood is half solved now when this happens it's critical to still resist the urge to start building an MVP because your solution while important is still only one part of a working business model following the demo cell build process your next step is to turn your solution design into a demo and assembling an offer this is where the second superpow kicks in when you can describe your customer problems better than they can pitching Your solution becomes a whole lot easier they start viewing you as the expert and think that you surely must also have the right solution for them marketer Jay Abraham calls this phenomenon the strategy of preeminence and you've probably experienced it at the doctor's office when you excitedly follow the doctor's prescription after they accurately diagnose your symptoms now when these two superpowers come together you don't just end up with an offer but a mafia offer a mafia offer is a term I coined after the movie The Godfather it's an offer your customers cannot refuse not because you Strongarm them but because your solution solves your customers problems exactly this is the step in the process where the rubber hits the Rope if you can't get enough people to buy your offer you don't get to build your MVP until you fix your offer on the other hand if and when you do get enough people to buy or offer not only do you know exactly what to build but you go from hoping people will buy your MVP to knowing they will which greatly multiplies your odds of success so how do you know how many people are enough this comes from your traction road map which is an artifact from your business model design blueprint that I've covered before I'll link some resources for that in the description below if you enjoy this video I've got lots more techniques like this one coming please subscribe to the channel and leave a comment below thanks for watching and until next time take care

every entrepreneur wants to be able to quickly pitch their idea to someone they just met but it's not that easy and so in this video I'm going to show you how to craft and deliver a compelling elevator pitch that you can use to hook anyone hey there Ash Moria here if you're new to this channel I'm an entrepreneur and author and the creator of the one-page business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business now an elevator pitch is meant to be a quick description of your product or idea that you can share with anyone in the time it takes to ride an elevator but the problem with most elevator pitches is that they assume too much and sound like this we build lightsabers or they try and cram in too much information and sound like this we build plasma based weapons powered by a four sensitive kyber Crystal both of these pitches are too solution Centric but people don't start out caring about your solution not without some context some of the better elevator pitches sound like this we train Jedi or we help Jedi fight the evil empire now while

these elevator pitches don't drown you in a barrage of buzzwords they're still assume too much and often fall flat because they have no story a good elevator pitch should be like a movie trailer The goal isn't to cram in the entire story in just 30 seconds but rather to get the audience to want to watch the entire movie the mistake too many entrepreneurs make is trying to explain their solution and their elevator pitch that's not the job of an elevator pitch the job of an elevator pitch is to Peak Interest and if you're successful to get the other person to ask for more versus making an excuse to leave so how do you do this the answer lies in using the same story structure that Hollywood uses to get you into the theater the hero's journey Joseph Campbell found a universal story pattern that runs through many mythological stories that he codified in a book that he wrote in 1949 a hero with a thousand faces and he appropriately named it the hero's journey years later George Lucas was inspired by the hero's Journey archetype and used it as a model for Star Wars now even if you're not a Star Wars fan you can find the same story pattern in many other movies such as the Matrix Harry Potter and even Cinderella the same story arc can also be used to craft and deliver a compelling product elevator pitch now as with any good story the first step is defining the characters in your story it goes without saying that all Hero Journey stories at a minimum need a hero and a villain so let's start there so who do you think the hero in your story is now it may come as a surprise to you but you aren't the hero in the story and neither is your product the hero is your customer think back to movies like Harry Potter or Star Wars you don't want to be the hero because Heroes don't start out as Heroes they start out rather ordinary and even often helpless and transform into Heroes by the end of the story okay so how about the villain character this one is a bit easier this is your competition think of the villain as the obstacle or problem that prevents your customers from achieving something they want so where do you the entrepreneur fit in as Hero Journey stories are transformation stories from ordinary to Hero you want to be the person guiding this transformation this is Obi-Wan in Star Wars or Dumbledore in Harry Potter or Gandalf in The Lord of the Rings now that brings us to the final bit your product your product is the gift you give the hero that makes their transformation from ordinary to Hero possible with your characters defined you're now ready to outline the elevator pitch using the Hero Journey story arc here are the steps step one start by setting context this is where we quickly show our hero living an ordinary life until something happens that triggers a change and raises the stakes for Action now any worthwhile change comes with a set of challenges or obstacles this is where you introduce the villain in the story remember that this is something that holds our hero back until a guide character you appear and give our hero a gift that helps them overcome these obstacles and save the day teasing this gift which you do with the promise of your product or unique value proposition is where the elevator pitch ideally ends I've created a Fill in the blanks template that I've Linked In the description below for a story-driven elevator pitch let me quickly walk you through how to use it with an example now this template is broken into three acts act one sets the context act two breaks the the status quo and act three teases your better new way here's what act one sounds like when customers encounter a situation they need to get some job done to achieve a particular desired outcome this is where you're establishing the customer's Ordinary World in act two you describe some external triggering event that breaks this Ordinary World for them they would normally use these existing Alternatives but because of this switching trigger these existing Alternatives no longer work because of these problems and finally in act three you tease your better way so we built a solution that helps customers achieve this desired

outcome through this unique value proposition now here's an example of this elevator pitch template in action with one of my own products when entrepreneurs get hit with a killer idea they often struggle to get others to see what they see they would normally write a 60-page business plan but in today's fast moving startup World business plans take too long to write get outdated quickly and no one even reads them anyway so we built a solution that helps entrepreneurs communicate their big idea clearly and concisely in under 20 minutes this lets them secure buying from Key stakeholders faster so they can spend more time building versus planning their business now notice that nowhere in this pitch do I name the product or try to describe it because that's not the job of the elevator pitch the job of the elevator pitch is to get the other person to understand the movie trailer for your product featuring the customer as the hero one once they understand the movie trailer they'll ask for a demo or know enough about what you do to refer you to someone that wants to see the demo your customer I've linked this elevator pitch template in the description below so that you can use it to craft Your Own Story driven elevator pitch if you enjoy this video I've got lots more techniques like this one coming please subscribe to the channel and leave a comment below thanks for watching until next time take care

launching a startup has become a lot cheaper and easier than before but most startups still face dismal odds of success in this video I'm going to Outline Three mindsets I've learned over the years as a Founder that could help you 10x your odds of success hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the one-page business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business now since this video is about increasing startup AUD of success let's start by defining how we are going to measure startup success an idea typically takes 7 to 10 years on average to reach its full potential but I'm not going to use that as a success milestone for a couple of reasons first because different Founders have different definitions of success some people value freedom and want to build a small company that gives them autonomy While others value power and may want to build a thousand person company or a unicorn now while I think it's critical to get clear on what type of founder you are before getting too deep into the startup game I've linked another video here where I take on that topic in case you're interested but irrespective of how you define your ideas's full potential all ideas go through a pivotal inflection point which also serves as a reliable leading indicator of success and that is product Market fit Now product Market fit is another one of those overloaded terms with many varying definitions out there so to keep things simple I'm going to Define it as the inflection point in the hockey stick when a business model starts to work repeatedly and is ready to transition into scale according to data from some of the top accelerators and investors and from my own experience building products and coaching teams it takes roughly two years to achieve product Market fit and 80% of products never get there now this 2-year product Market fit rule isn't absolute but it is a good rule of thumb that you can witness in both solar preneur type businesses as well as VC backed unicorns and an 80% failure rate means that only 20% or one in five startups will get to product Market fit so how do we improve these odds this brings us to the first mindset the first mindset is separating your success as a Founder from that of your idea too many Founders over index on their initial idea but it has been shown statistically that most Initial Ideas don't work more than two-thirds of all successful startups report drastically changing their initial idea along the way and so what that means is that what separates successful found

ERS then isn't necessarily starting with a perfect idea or a plan a but finding a better plan b or c or Z before running out of resources and because good ideas are rare you have to be prepared to go through lots of ideas and realize that most of them are going to be bad versus good ones the challenge of course is that all ideas sound equally amazing and crazy at the beginning and so it's not easy to tell good ideas from bad ones and that is your true job as a Founder your job isn't to make your original idea work but rather find an idea that can turn into a repeatable and scalable business model you increase your odds of success when you can vet good ideas from bad ideas quickly which brings us to the second mindset shorten your idea cycle time idea cycle time is the time window or Runway you give each idea before you kill it off and move on to another one or pivot the same idea to something better waiting too long to Pivot away from a bad idea is another one of those top contributors to Startup failure now while I agree that product Market fit is a significant milestone for a startup I don't recommend using it for your idea cycle time because 2 years is still too long if you gave each of your ideas two years of Runway to achieve product Market fit with a 20% success rate you would think it would take up to five idea Cycles or 10 years on average to find one successful idea that hits product Market fit it's actually a lot worse than that as Benny house reminded me after my first First Take on this video this is not how probabilities work you can look up the math yourself on this page and here's how the numbers actually play out even after 10 years your success rate doesn't go up to 100% but just 67% in order to hit an 80% success rate you would need 14 years to hit 90% you would need 21 years and in order to hit a 95% success rate you would need 27 years in professional sports betting 55% is considered a great success rate VCS use a 10% success rate across their portfolios but in both of these cases betting is done with a leveraged asset money as a Founder you bet with your time which you can never get back plus there is opportunity cost while you're working on your startup you aren't working on other things for these reasons I recommend being much more conservative and stricter about your odds and basing your calculations on the 90% success rate scenario one way to increase your overall success rate is to shorten your idea cycle time this would allow you to fit more idea iterations into the same window and you take more shots on goal how short could you make the idea cycle time how about 90 days or 3 months it's obvious that 90 days is much shorter than 2 years but it's still long enough to test some of the riskiest assumptions in any idea this is where a different Milestone comes in problem solution fit compared to product Market fit which takes 2 years to achieve you can achieve problem solution fit with any type of idea in just 90 days this means that instead of testing one idea in a 2-year period you could potentially test up to eight ideas in that same time frame if we assume that the success rate of each idea iteration stays the same at 20% shrinking your idea cycle Time by 8X increases your odds of success also by 8X now granted problem solution fit does not address all the same risks as product Market fit and an idea can still fail post problem solution fit I'd still argue that your overall success rate goes up by an order of magnitude and here's why from earlier product Market fit is a measure of a working business model ready for scaling to achieve product Market fit you need to have a product with demonstrable traction that addresses a big enough monetizable problem in a big enough market problem solution fit on the other hand is a measure of a business model ready for a new product in other words it helps you s step one of the top contributors to Startup failure building a product that doesn't address a big enough problem or a product that no one or not enough people want and this brings us to the final mindset mindset number three invalidate bad ideas quickly the

tangible deliverable from problem solution fit is getting you to an evidence-based go or noo decision on a new idea in 90 days you do this by recognizing that the risk profile of startups has changed Going Back a decade building products used to be hard and difficult and expensive this isn't the case today given enough time money and effort we can build almost anything these days the challenge for most startups today isn't can we build it but rather should we build it the counterintuitive Insight here is that you don't need a working product or an MVP to answer this question and when you do answer this question favorably you go from hoping people will buy your product to knowing that they will I have a separate video on how to do this that I'll link up above but the big takeaway here is that customer and Market risks are far more critical for most startups today to address upfront than technical or product risks think of problem solution fit as validating demand for a product before wasting needless time money and effort building something nobody wants and burning through your idea cycle time when you don't achieve problem solution fit with an idea you don't simply give up and kill off that idea if you follow the process outline in the video above you always end up with evidence on why the idea didn't work which helps you either pivot to a better idea or avoid going down a deadend path that would never work now when you do achieve problem solution fit success or achieving product Market fit isn't guaranteed because you could still fumble on the execution of your product but for the reasons I outlined earlier while you'll still have real product risks these risks are a lot lower than the customer and Market risks you should have mitigated in the last calculation I kept the idea iteration success rate the same at 20% % but in practice that number is a lot higher this is because you aren't building a working product during problem solution fit but using a demo sell Bill process it's much faster to iterate on a demo than a working product that said I would still allocate up to two 90-day cycles for the problem solution fit stage which comes from data we have collected from thousands of teams we have gone through our Flagship boot Start program which covers that Journey from idea through problem solution fit yes it is possible to achieve problem solution fit in 3 months across any type of product but most of the teams we coach don't achieve problem solution fit on their first try we found that it typically takes up to two 90day cycles or 6 months to achieve problem solution fit and I attribute a couple of reasons to this first the mindsets and skill sets needed to achieve problem solution fit are very different from how people have traditionally been taught to build products for instance you don't start with a build first approach but a action first approach you don't build the product and then try to sell it you learn to sell before you build and most importantly you have to start with a business model that has a Fighting Chance of hitting your definition of success or there is no point in pursuing the idea in the first place mindset change like habit change doesn't happen overnight like a good tea some steeping time is required this is why some students take a few days but others need a few weeks to internalize this new way of working now even when students learn how to vet good ideas quickly the most common result we see is that they end up killing their first bad idea because remember good ideas are rare and hard to find this is still a success in my book because not only do they avoid going down a dead- end path sooner but more importantly they learn how to search for a better idea next which always goes a lot faster the second time around so where does this all leave us with my earlier claim of 10 Xing your overall startup success rate so if we assume it can take up to two 90day cycles to get to problem solution fit that gets us to the six-month Point remember that at this point you have validated demand for your product and your primary risks shift to product execution if you manage these Cycles well you should be able

to hit product Market fit within the 2-year Mark increasing your overall success rate now even if you add an extra year or two to the journey your odds of success are still significantly better than the alternative if you enjoy this video I've got lots more more videos like these ones coming please subscribe to the channel and leave a comment below thanks for watching and until next time take care

many startup Founders struggle to identify their true competition they either believe they don't have any or incorrectly positioned against the wrong competition both of these can be costly mistakes in this video I'm going to share why this happens how to identify your true competition and how to use these insights to strengthen the position of your product hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the one-page business modeling tool lean canvas on this channel I share systematic iies and techniques for starting and growing a business now when asked about competition startup Founders typically fall into two camps the we have no competition camp and the we are better than the competition Camp within the first Camp some Founders genuinely believe this to be true While others only pretend to believe it the founders that genuinely believe they have no competition do so because they manage to convince themselves that they have indeed built something so Innovative and disruptive that there is no competition as we'll see shortly this is a policy no matter how disruptive or Innovative the product every successful product in the world always has competition when it enters the market Founders who pretend they have no competition do so because they don't want to publicly acknowledge that the competition exists in a product pitch for instance they leave out the competition because they don't want to tip off or steer their prospects to them this too is a mistake because sophisticated customers will comparison shopping anyway and when they do so without the founders in the room the founders have no influence over how the comparison is made which puts them at a disadvantage this brings us to the first counterintuitive Insight stronger positioning comes from anchoring against the competition not by pretending they don't exist so between these two camps the we are better Camp is the better path that said communicating better has its set of pitfalls too when communicating better Founders often rely on either trying to convey that they have more features or better features and some try to do both a popular way to convey more features is with a feature chart like this one where you list all your features over the competition the first obvious problem with taking on more features is that it increases the scope of what you need to build when you are first launching an MVP this increases both your time and money investment next not all features are Creed equal communicating too many benefits at ones dilutes your unique value proposition which can get lost in the noise however by far the most common Pitfall I see here is comparing your product to the wrong competitors many startups think they are competing with other startups that look just like them they anchor and position against these other startups but if no one or not enough people are using these other startups they aren't your true competition these startups could be just as clueless as you are and when you anchor and position against them them and move at 100 m an hour in a different direction you could still drive your startup off the wrong Cliff For example say You're Building collaboration or analytics software your true competition may not be another high-tech startup but email or spreadsheets email and spreadsheets are free and ubiquitous but they are never listed as competitors on the feature Matrix so what about conveying better features a popular way to

convey better features is to use a 2X two feature quadrant like this one this is where you pick two axes and show that your product is in the top right quadrant while this is certainly an effective way of visualizing your difference the real question is whether this difference matters to your customers if it doesn't matter to them then it doesn't matter this brings us to the next insight your MVP is all about balancing the tradeoff between minimum scope and maximum value in order to build something fast you have to think minimum feature set and in order to build something that grabs your customer's attention you have to think maximum value so how do you do this by getting yourself out of the solution context STP and here's how that happens when you get hit with an awesome idea it's tempting to quickly formulate a possible solution and ask what problem can I solve with the solution this unfortunately triggers the hammer problem when you have decided that you want to build a hammer everything starts looking like a nail this is when you either start believing that just because nobody else is building hammers you have no competition or you start positioning your Hammer as a better Hammer because maybe it's bigger or heavier or has some other attribute don't worry this happens to everyone I still struggle with this constantly which is why I gave this phenomenon of name I call it the innovator's bias like any bias the best way to address it isn't by trying to avoid it because biases work at an unconscious level the best way to address a cognitive bias is by devising trip WI ERS to detect them when they occur and thinking processes to overcome them I devis such an antidote to the innovator's bias something I call the innovator's gift the basic premise behind the innovator's gift is quite simple some of you might even think it's too simple but it forces you to think differently about your competition and here it is new problems worth solving come from old Solutions in other words when you're trying to build something new and Innovative sure you need an Innovative solution but you don't want an Innovative problem an Innovative problem is one that your customers either don't know they have or one that requires extensive explanation instead you want to address a visceral problem that your customers regularly feel know and struggle with think back to any successful product before there was ride sharing there were taxis before we stayed in airbnbs we hired hotels and before we drove cars we used hor drawn carriages do you see the Common Thread here every new solution had a predecessor old solution and the reason the new solution got adopted wasn't because it solved some new problem but rather an old one ordering a taxi over the phone was painful where do you stay when all the hotels are sold out and horr carriages weren't fast enough and big cities were literally filthy with piles and piles of horse manure the best way to uncover these types of problems isn't asking what problem can I solve with my solution but rather what broken with the current existing Alternatives this is precisely why you won't find a competitor box on my onepage business modeling tool the lean canvas but instead an existing Alternatives box when people think of competition they often think about products in the same category but when you think more generally about existing Alternatives you transcend category this is how you move from the solution context to the bigger context okay let's next look at how you apply the innovator's gift to strengthen your products positioning there are three tenants in the innovator's gift you've seen the first one already new problems come from old Solutions the implication here is that there is always an old way no matter how Innovative or disruptive the product for those of you who believe you have no competition this is a foundational tenant that you must reconcile and internalize before you can effectively apply the innovator gift now even if you believe this to be true with your product I'd still encourage you to challenge this statement as a universal truth and

try to find an exception to this rule here's how to do this try to think of a product this can be at any time in history that was so disruptive or innovative that it had no competition or existing alternative if you can find one or more products leave a comment below based on your responses I'll create a follow-up video and address each one once you're on board with the first tenant the next two flow quite easily the next tenet in the innovator's gift is that all innovation is fundamentally about causing a switch from some old way to your new way and the best way to cause the switch is to break this old way not literally but through positioning the best way to do this is in your product pitch which is why you don't want to ignore your competition and instead identify who you're truly trying to cause a switch from some of the best product pitches start by acknowledging their true competition then go on to break these alternatives by demonstrating how they get the job done a whole lot lot better Steve Jobs was a master at this when he introduced the iPhone in 2007 he set the context by identifying his true competition as other smartphones he then went on to break existing smartphones for everybody with this product quadrant where he plotted smartness on one axis against ease of use regular cell phones were not so smart and not so easy to use smartphones were smarter but much harder to use why because half the phone is taken up by a plastic keyboard board that is not all that easy to type on and then he posed the question so how are we going to take this to a mobile device this is when he shows you a picture of the iPhone as a single piece of glass and he has the audience where he wants them the rest as they say is history that's the power of the innovator's gifts at work it's not about solving new problems no one cares about but demonstrating how you solve your customers's existing problems a whole lot better if you enjoy this video I've got lots more videos like the one coming please subscribe to the channel below and leave a comment thanks for watching and until next time take care

so for a long time I used to think that failing to find a big enough customer problem worth solving was the top reason why startups fail but I was wrong about this and so in this video I'm going to break down why I used to think this way what changed my thinking and how I now search for new and breakthrough ideas and the one thing I look for here if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and Tech techniques for starting and growing a business so why do startups fail a quick online search will result in a list of reasons like this one the problem with lists like this is that many reasons cited here are symptoms not causes let's take the first one for instance no funding or no money while it's easy to blame a lack of money for getting stuck in a startup many companies raise a lot of money and still fail many bootstrap companies start with very little capital and become massively successful and so money by itself does not cause success at the core of every successful product is building something people want which is why I used to think that solving a big enough customer problem was the key to success but then I ran into this Ted Talk by Bill Gross a few years ago and it changed my thinking completely bill is a Serial entrepreneur and the founder of idea lab in this talk he describes how he studied hundreds of companies across five key factors the quality of the idea the quality of the team the business model funding and timing he expected the quality of the idea or team to rank at the very top but to his surprise he found that timing was the critical ingredient in other words the same idea with the same team business model and funding could succeed or fail depending on whether it was too early or too late to market after listening

to this talk I look back through my past products and could certainly see that two of my products suffered from being very early into Market while the one that instantly took off did have great timing in 2002 I launched my first product 6° which was a social networking product even before the term existed later that year frster launched followed by a dozen other companies however the company that managed to create the largest and most successful social network on the planet Facebook wasn't among them they launched much later in 2004 and completely took over the market by 2006 I had pivoted to a fil sharing solution named box Cloud similarly when I launched there were only a handful of other startups in the space until a couple of years later when Dropbox launched and stole the spotlight the problem with my products wasn't a lack of a big enough problem worth solving but timing then in 2009 I launched lean canvas which took off almost instantly this was followed by a best-selling book running lean and a year later I started a new company lean stack which I still run to this day in hindsight you could say that lean canvas and running lean benefit benefited from good timing I launched both of these products at the Tipping Point Of The Lean Startup movement which undoubtedly played a significant role in their success now this pattern isn't just limited to these products you can see it at work in all these companies too none of these companies were first to market for the products that made them successful Google didn't introduce the first search engine Ford didn't build the first automobile and Tesla didn't build the first electric car none of these companies were first movers but fast followers with better timing now while I was starting to see that timing was a plausible explanation for startup success something still bothered me timing an idea requires being in the right place at the right time this felt largely random and dependent on luck which meant it was out of our control I started wondering if there was a way to intentionally increase a startups luck which led me to Naval Rubicon according to Nal there are four ways to get lucky the first three are most applicable here which is what I'm going to cover first you can simply stumble into blind luck this is how we traditionally think of luck it's also the least actionable way to get lucky and is not directly under our control second you can increase your luck surface area through hustle or hard work working hard is a Time slicing hack that attempts to diversify the number of bets you place the pitfall here is equating busy work with productive work if you work hard on the wrong things you simply keep yourself busy without increasing your luck and finally you can improve your luck by making good decisions think of this as working smarter versus working harder you do this by investing your time in the right things that stand to drive the biggest impact and ignore everything else not unsurprisingly this was the approach that caught my interest working smarter versus harder on a startup idea means prioritizing what's riskiest not what's easiest about your idea first then tackling those riskiest assumptions as quickly and early as possible and finally using that learning to double down on the idea or pivot it to something better the timing of an idea is one of those riskiest assumptions and instead of Simply hoping that your idea is well timed you can instead take control and test the timing of your idea before going all in so how much time do you need to do that after much trial and error I have found that if you truly make that a priority you can test the timing of any idea within a 90day time box explicitly time boxing an idea to 90 days holds you and the idea accountable and keeps you from wasting precious time on an idea whose time hasn't yet come and instead Focus your resources on finding well-timed ideas when you test ideas in 90-day Cycles rather than one year or twoe Cycles you move quickly across many different ideas significantly increasing your luck surface area I have another video I've linked here that covers this in more detail if you're interested next

let's cover how you test the the timing of an idea in just 90 days I have found that a well-timed idea has three essential ingredients that need to come together inflection impact and insight think of inflection as an external triggering event that signals the potential of a new idea whose time has come every successful idea rides on the shoulders of one or more inflections it's easy to find many examples of technology inflections such as the steam engine the internet or now ai but inflection aren't limited to the introduction of new technologies regulatory changes climate change and even Black Swan events like the pandemic are all examples of inflections that create openings for new ideas to take hold so identifying one or more inflections is the first ingredient the next is measurable impact no matter the promise of an inflection people tend to ignore inflections until there are real Stakes at play climate change is an excellent illustration of this we have been aware of climate change for decades but only now are people all over the world witnessing undeniable and measurable impacts on weather patterns which is a necessary ingredient for Behavior change Stakes can be positioned as aspirational gains like improved productivity or unbearable pains like being left behind if you don't act and yes Stakes or impact are synonymous with a big customer problem worth solving this is what I used to think was the most crucial ingredient but impact alone without an inflection is often a non-starter that said most startup Founders end up sharing similar inflections and many also manage to find positive and negative impacts of these inflections but what truly separates successful Founders is the third ingredient Insight an Insight is a new and often contrarian perspective or way of seeing the world that most other people don't yet see Peter theel takes this concept even further in his book 0 to 1 in which he labels these insights as Secrets like a good magic trick secrets are simple and obvious in hindsight the challenge is having the foresight to see them to illustrate these Concepts in action let's apply them to my first social networking idea 6° my social networking idea was baked in multiple inflection points in 2002 we were in the middle of a recession and I had seen many of my friends lose their jobs and relocate to different cities in search of new jobs I was in the same boat too the Telecom startup I was working for had just been acquired for a big n figure exit and I had decided to leave and venture out on my own I had also recently learned about the Six Degrees of Separation concept which is this idea that we are all connected by six or fewer social connections even though this is not an original idea Duncan Watts a professor at Columbia University had just tested the concept in 2001 using an experiment he conducted over email that's what inspired me to start building 6° as a web application I of course was not alone like many of the other social networking Founders I believe that people wanted to be connected but my secret at the time was that I thought they would also value their privacy in other words I didn't think people would openly share their social graphs and personal data on the internet and so I went to Great length to build a private social network however as other social networks proved out over time this was a flawed Insight but even building a public social network wasn't enough even though frster and Myspace grew to millions of users Facebook came from behind and started growing even faster Mark Zuckerberg's secret was quickly recognizing that a social network wasn't about building a new Social Network which is what these other companies were doing but instead about moving existing social networks like those on college campuses online on the internet social networking wasn't about friending strangers but deepening your existing relationship with friends this sounds obvious in hindsight which is a crucial characteristic of secrets so how do you uncover a good secret a strong belief or a leap of faith is a good start but often isn't enough good insights are rooted in data and

evidence which lead to deep understanding of people's desires wants and fears which is not something you can easily extract just at the surface level in 2002 I didn't know how to uncover these insights without first building a product the problem with first building a product is the sunk cost fallacy once you built a product on a specific idea pivoting to something different while not impossible is certainly a lot harder because you've invested lots of time money and effort into your idea today however we have learned many new strategies and tactics for not only uncovering good insights but also testing them before going all in if you're interested in learning how then you should watch this next video don't start with an MVP thanks for watching and until next time take care

when trying to get a new idea approved you're often asked to write a 60-page business plan or build a business case complete with a 5-year Financial forecast and an 18-month product road map however much of this information needed to build an accurate plan is simply unknowable at the stage and you end up writing a completely fictional novel this is why many startup Founders completely forgo the business planning process entirely but this isn't any better so in this video I'm going to show you a faster and simpler way to do business planning so you spend more time building versus planning your business hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the one-page business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business now have you ever written a business plan before did you enjoy this process I've posed these two questions to thousands of makers entrepreneurs and innovators all over the world and here's what I found only 30% had ever written a business plan and less than 2% enjoyed the process I asked the investors and stakeholders in the room if they actually read the entire business plan again less than 2% admitted to doing so instead they preferred a one-page executive summary the 10-page slide deck or a 30-second elevator pitch so why then are we still forcing people to spend weeks writing a 60-page document that no one reads and it's seldom kept up to date the problem with traditional business plans is that they are just too heavyweight they take too long to write our best guesses at best but most importantly they don't even get read at the other end of the spectrum many startup Founders completely forgo the business planning process and instead opt for a just do it or wait and see approach but a no plan alternative isn't any better and often leads to creating a zombie startup that is neither dead nor alive these are startups that end up on too small a market with little or no growth potential and then they get stuck the good news is that most zombie startups can be completely avoided with a little bit of business planning But A business plan is the wrong tool for this this is where business models come in unlike business plans which attempt to describe a perfect plan business models assume that a perfect plan is a myth and they instead help you capture the best snapshot of your idea at the moment when you're trying to launch a new and innovative idea under conditions of extreme uncertainty you don't want static and heavyweight plans but something a lot more Dynamic and lightweight that are quick to create quick to update and most importantly get it a lean canvas is one such model a lean canvas replaces long and boring business plans with a one-page business model that takes just 20 minutes to create and because it fits on a single page it gets read if you've ever written a business plan or created a slide deck for investors you'll immediately recognize most of the building blocks on the lean canvas I like to think of these building blocks as Lego pieces when you're first starting out you

learn to assemble these building blocks to create simple models like this one but with a little bit of practice you quickly able to build much more complex models like this one so let's take a deeper dive into these building blocks and start with a short backstory of the lean canvas I created the lean canvas in 2019 while I was working on my startup lean canvas is derived from the business model canvas and if you're wondering what's different I changed four boxes and added three new subboxes my goal with the lean canvas wasn't to try and create a better business model canvas but something completely different The BMC came out of the academic world and does a great job at describing existing business models but when you're trying to create something new as in a startup I found that you need a completely different point of view for instance during the early stages of an idea I found that thinking about customers problem s in Solutions is much more actionable and impactful than thinking about key Partners Key activities or key resources which matter once an idea is established but getting there is the riskier story to model out this is one reason why more startup Founders prefer the lean canvas over the business model canvas but your mileage may vary if you're on the fence I'd recommend using both canvases to model out your idea both models offer a huge improvement over business plans and are equally fast to create then pick the canvas that best captures how you think if you're interested I've also linked a more extended article down below describing the differences between these two canvases but back to the building blocks of the lean canvas I often get asked why aren't they laid out logically my first answer is that because I derived it from the business model canvas I wanted to preserve the overall shape and keep as many original boxes as possible a better answer though is that ideas don't start logically but as flashes of inspiration these flashes of Inspirations could technically start in any one of these boxes for instance many ideas are inspired by the introduction of some new technology this is currently happening with AI these ideas start in the solution box from there you might then explore what problems you can solve with this new solution and who are most affected or you might start with a personal pet peeve or problem you deem worth solving these are scratch your own H ideas that start in the problem box from there you might identify who's again most affected and then formulate a compelling solution larger companies often start in the unfair Advantage box they might have an exclusive resource like a patent or an invention that they want to commercialize and bring to Market from there they might explore customers or problems and then start defining Solutions and unique value propositions so for all these reasons I actually find the somewhat halfhazard layout of the lean canvas to be a lot better and more helpful because it doesn't pigeonhole you into just one way to think of your idea ideas are like jigsaw puzzles it doesn't matter which piece you start with as long as you assemble a coherent picture at the end a lean canvas is no different that said even with jigsaw puzzles we often solve them by grouping certain pieces together the same is also true With The Lean canvas certain boxes come together to offer a specific point of view which can help make the business modeling process a lot more effective I'll present one way that I use a lot based on this definition of a business model by Saul Kaplan a business model is a story of how a company or product creates delivers and captures value from its users and customers in case you're wondering what I mean by capturing value that's just a fancy way of saying how your business model makes money let's see how these three jobs are mapped onto the link canvas you create value with your unique value proposition or uvp in order to craft a compelling unique value proposition you need to deeply understand your customer segments and their problems you deliver your value Through

Your solution and channels and finally capturing value you are getting paid lies at the intersection of your cost structure and revenue streams these three jobs also come together to help you describe a working business model if you can create more value for your customers than you capture from them through your pricing model then you create a compelling value proposition this is the value equation and if you can capture more value from your customers than the cost to deliver that value then you have a sustainable or profitable business model this is the monetization equation but you'll notice that there are two boxes here that we haven't yet covered the lean canvas also helps you describe two bonus essential jobs in a business model measuring value and defending value you measure the output of a working business model using the key metric box and finally once your model starts to work it will inevitably attract copycats and competitors you deter those copycats and competitors using the unfair Advantage box and there you have it this is how you take a big idea in your head and deconstruct it into a set of key assumptions that you can then start weaving into a business model story if you'd like to give it a go head on over to [Lan canvas.com](http://Lan.canvas.com) where you can get started for free when creating your snapshot remember that Perfection isn't the goal but taking a snapshot getting others to see what you see is the first battle you'll have ample time to refine and test your big idea from there if you enjoy this video I've got lots more videos like this one coming please subscribe to the channel and leave a comment below thanks for watching and until next time take care

measuring product analytics used to be complex and challenging just a decade ago but today we can measure every user action or Mouse click but instead of driving more clarity we now drown in a sea of non-actionable metrics and it's become a lot harder to find the real signal in all this noise so in this video I'm going to show you how to Baseline the performance of any product using just five key metrics identify what to focus on and avoid drowning in a sea of numbers hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the one-page business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business now tell me if the story sounds familiar you launch a new product with great enthusiasm and are optimistic that customers will come rushing in but your first month's paid conversion rates are lower than expected and so you decide to invest in some metrics you start with some free tools like Google analytics and after just a few lines of java script code you start getting hundreds of data points to analyze while this is interesting data it doesn't help you increase your conversion rates so you invest in a few more tools and then some more and pretty soon you're drowning in metrics the problem is that all these metrics tell you what you already know that no one or not enough people are buying but they don't tell you why without that it's unclear where to focus and what to optimize and you keep chasing your tail the good news is that you don't need lots of numbers to drive Focus but a handful of actionable metrics meet the customer Factory a few years ago I stumbled into a mini Epiphany it struck me that all businesses regardless of their business model or type of product share one universal goal to make happy customers in other words all businesses have customers and want more customers and the work of making more customers happens inside a customer Factory in this metaphor the customer Factory represents everything inside your business your Marketing sales customer service and product and the job of your customer Factory is to make happy customers by taking in unaware visitors on the left and

turning them into Happy passionate customers on the right as output the process of making customers can be further broken down into five macro steps universally found in all types of products I'll illustrate these steps using a flower shop and a software product the first step in the customer Factory is acquisition this is where you acquire raw materials or leads for your customer Factory in the flower shop case getting someone walking by your window display to stop and come into your shop is an acquisition event on a product website I recommend measuring acquisition when you can uniquely identify a visitor and start a conversation with them such as when you capture their email address the next step in the customer Factory is activation this is where your newly acquired Prospect has their first gratifying user experience with your product ideally reinforcing why they came into your factory in the first place in the flower shop case if the prospect finds your shop in disarray once they come inside that would be a disconnect from the promise you made at the front of the store and they'd probably leave and never return on the other hand if your shop is well organized and smells of fresh flowers you activate the Prospect and they are more likely to spend more time in your store which you measure as retention retention is the time they spend with your product on the first and subsequent visits taken together activation and retention create what I call the happy customer Loop this is where you repeatedly deliver value to your prospects and convert them from users into paying customers through the revenue step now you might be wondering if Revenue always comes after activation as there are many products where customers pay upfront before using them even in those cases I still like to lock logically Place Revenue as step four because most products have some trial or customer satisfaction period even when you buy a big screen TV at a retail store you given 30 days to return it if you're not satisfied so the retail store doesn't technically earn your Revenue until you go through the happy customer Loop a few times and decide to keep the TV finally if you deliver enough value to your customers they pay you twice once with revenue and then if they are really happy with the referral shown here as step five in the case of the flower shop this could be as simple as telling another friend about your store for the software product this could range from social sharing features like share with a friend to explicit referral campaigns so these are the five Universal steps you can find in any product it's important to note that each of these macro steps is often made up of many substeps that you can and should also measure which can be helpful for further troubleshooting when needed but you don't always need to see all these sub metrics simply visualizing just these five metrics is a great way to build a one-page companywide dashboard which gives you a bird's eye view of your product's performance if you're familiar with the pirate metrics model popularize by Dave McClure yes these are the same five steps Dave called these metrics pirate metrics because the first letter of each step spells out the word r which is something Pirates like to say what's the pirate say bud I became an instant fan of pirate metrics when I first learned about them years ago and I used to visualize them as a funnel but the problem with a funnel is that it assumes a linear progression of steps and customers don't usually behave this way this is why I redrew the pirate metrics as a customer Factory not only does it help you visualize the customer Journey as nonlinear steps but the real power of the customer Factory is that it opens the door to systems thinking specifically the theory of constraints theory of constraints is a system optimization approach pioneered by eliahu gold Rat and described in his groundbreaking book the goal the basic premise of the theory of constraints is that a system is always limited by a single constraint or Weakest Link at any given time imagine being tasked

with improving the throughput of a real factory you could interview the line workers or managers but doing that would most likely result in a long list of problems and possible solutions who do you listen to and what advice do you follow this is the drowning in metrics challenge a better approach would be to start by baselining the Factory's throughput as a series of Steps then identify the slowest step on the line the slowest step represents the bottleneck or current limiting constraint in the system every system always has one and this is the step to focus on improving hopefully this illustration shows that attempting to improve any other steps will not improve the fact B's throughput because the slowest machine is holding up the throughput trying to work on other steps is premature optimization the same is also true in a customer Factory at any given time there's always going to be exactly one step that is the slowest step and your job is to identify that and ignore the rest now identifying the constraint only tells you where to focus not how to break the constraint when people identify a limiting constraint the common tendency is to want to overcome the constraint by acquiring more resources for example hiring more Factory workers or buying more machines while this would certainly break the constraint they can also be needlessly wasteful what if you could break the constraint by upskilling your current workers through training servicing the slowest machine or running that machine on overtime gold Rat calls this exploiting the constraint and this is a critical skill to master especially if you're running a resource constrained startup as a start founder you might not have the luxury of hiring more people or buying expensive equipment but with a little out of box thinking you can often find ways to exploit the constraint and break the bottleneck one of my favorite examples to illustrate this is how the Audi race team won the lemon race they had set a goal of winning the race that year because their closest competitors BMW and Mercedes had won the race before which made the goal particularly worth pursuing for them the obvious way to win a race is to build a faster car however building a significantly faster car is non-trivial and they didn't have the time to do that so the chief engineer at Audi posed a different propelling question to his team he asked how can we win long if our car cannot go faster than anyone else's Al won the race that year can you guess how they won the race not by building a faster car but a more efficient car the Lama is a grueling 24-hour hours race during that time cars have to be refueled multiple times and by putting diesel technology into their race cars a reduce the number of pit stops their car had to make which was the edge they needed to win this is an excellent illustration of not falling victim to a constraint but exploiting it this is why I like to think of constraints as gifts they are gifts because once you correctly identify them one you stop drowning in all of distractions and can simply Focus all your energy on breaking this one constraint and two if you can get to the root causes behind the constraint it opens innovative ways for exploiting the constraint like the Audi team did this is the key to avoid drowning in a sea of non-actionable metrics and instead focus on uncovering the right actions that stand to drive the biggest impact in your product if you enjoy this video I've got lots more videos like this one coming please subscribe to the channel and leave a comment below thanks for watching and until next time take care

many startup Founders reach for personas to Define their ideal customer profile but personas are Overkill at the early stages of a product and can be outright harmful in this video I'm going to share why that is and what to do instead hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and

growing a business so what's wrong with starting with personas I'll share three reasons with you first most startup Founders Define their ideal customer profile or ICP by listing demographic or psychographical attributes that they've either observed across their customers or think best describe their ideal customers but not all attributes are created equal while it's easy and fun to brainstorm attributes like age gender or the household income of your ideal customer good customer segmentation is about chasing causality not correlation just because most of your customers are male and in their 20s doesn't automatically make 20y old males your ideal customers in other words if a particular attribute does not cause someone to become your customer it doesn't belong in your ICP definition getting to causality though requires a lot more data than a handful of customers which is why personas make a lot more sense for companies at scale than startups another consequence of adding more attributes to your ICP is that it makes finding and targeting these prospects a lot harder and more expensive more importantly adding more attributes to your ICP shrinks your total addressable Market which is the opposite of what you want to do you want to grow your total addressable Market not shrink it but the real danger of narrowing down on your ICP is that you might actually find some customers in this segment and think that you have validated your ICP this however may be a false positive you might end up focusing on climbing a small hill and totally missed the neighboring mountain of opportunity because you weren't looking for it and by the time you notice this mountain it might be too late because someone else has already scaled it to make this more concrete let's assume I Define a startup founder using the old stereotype of two 20 something guys in a garage in Silicon Valley if I go looking there I will find these entrepreneurs who meet the criteria and if I don't bother looking any further I'll miss the much larger Mountain which is a much bigger Market of a 100 million plus entrepreneurs all over the world that transcend age gender and geography the art of good customer segmentation isn't chasing after the most distinguishing characteristics but the fewest distinguishing characteristics that cause someone to buy from you so how do you do this there's nothing wrong with brainstorming your ideal customer profile provided you treat these as assumptions or guesses that still need to be validated with evidence or data when I build my ideal customer profile I clear the slate and start with just one distinguishing characteristic I know that all my customers will have can you guess what that is let me share a little marketing puzzle that might help you figure this out if you are a marketer at a mattress company looking to sell more mattresses when is the best time of day to run an ad now I've posed this question to thousands of people and the two responses I commonly get are in the morning when people wake up and at night right before they're going to bed while these are good answers neither of these are the optimal time the problem with the morning is that yes while people may have had a sleepless night from a bad mattress they have too many other competing jobs to do in the morning such as getting ready for work or getting their kids ready for school they don't have time to buy a mattress the evening may not be any better because it's human nature to procrastinate they're probably tired from the day's work and just want to relax versus research and buy a mattress which is more work so with that when would be a good time then to sell a mattress to someone how about at 2:00 a.m. in the middle of the night when they can't sleep this is an actual case study from a well-known mattress company that discovered several people buying their mattresses in the middle of the night at first they were confused so they called some of these customers up and then it made perfect sense here is what they found these people couldn't sleep so they pulled out their phones and started browsing the web or

turned on the TV and started browsing channels then they accidentally stumbled into a mattress ad and ended up buying a mattress just 30 minutes later this may seem like an impulsive purchase but it's not because all these customers encountered a switching trigger that caused them to want to buy a new mattress a switching trigger is an event like not being able to sleep at 2: a.m. that changes something in the prospect's mind causing their existing solution their current mattress in this case to break and prompting them to look for a new solution a switching trigger event is one attribute that all customers share think back to any recently purchased product such as a new phone or laptop and you'll find a prior switching trigger event switching triggers help you determine when to show up with an offer and as this story illustrates when can be a lot more powerful than who when creating your ICP what do you think the mattress company did with this insight they started running infomercials and ads between 2: a.m. and 4:00 a.m. and sold a lot of mattresses while their competitors were sleeping then they went looking for other switching triggers so what are some other types of switching triggers I've identified three types of switching triggers bad experiences with an existing solution a change in circumstance and awareness events in the mattress example above not being able to sleep is an example of a bad experience switching trigger can you think of other other switching triggers that could cause someone to consider buying a mattress how about when someone goes from being single to in a relationship they may need to get a bigger bed this would be an example of a change in circumstance triggering event or how about when someone injures their back and are at the doctor's office their doctor might advise them to buy a therapeutic mattress and this would be an example of an awareness switching trigger notice that none of these criteria have any demographical attributes yet yet they are pretty actionable I'm not saying that demographics have no place in your ICP they can be important and should be added in if they are instrumental in the buying decision and hopefully you're convinced by now that going overboard on demographics especially without evidence can be pretty costly and potentially can do more harm than good good insights are like magic tricks they are hard to see initially but simple and obvious in hindsight you can't simply guess at insights they have to be learned or earned and the best way I found to do this is through carefully scripted customer interviews like the mattress company did if you have customers start by interviewing them to determine what switching triggers cause them to buy from you this will be way more actionable than the industry or type of customer they are if you don't get have customers the next best place to start is interviewing customers of your closest competitors or alternatives to determine these switching triggers after switching triggers I aim to determine why they bought or their desired outcome as you saw in the mattress scenarios that I shared earlier the switching trigger shapes or determines the kind of mattress someone buys and finally I aim to learn what product they picked for the job these three attributes the switching trigger desired outcome and chosen solution are the basic Foundation of a good ICP If you're familiar with the jobs to be done Theory you'll recognize these as jobs- based customer segments now the good news is that you don't need to run hundreds of interviews to define a good jobs based segment once you learn how to conduct good customer interviews patterns emerge quickly after just 10 to 20 conversations if you're interested in learning how to run these types of interviews I dedicate an entire chapter to this in my book running lean which I'll link in the description below we've also built an AI co-pilot called customer forces that teaches you how to run these interviews and it's been trained with this model to help you automatically extract insights from your conversations I'll link that here too in

the description below in case you're interested in checking it out thanks for watching and until next time take care

what separates successful entrepreneurs today isn't different skill sets but different mindsets as the cost of building and launching products as in an all-time low competition for customers is at an all-time high this fundamentally changes how successful products are built so in this video I'm going to share some practical strategies and tactics for building the next generation of products that matter hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the one-page business modeling lean canvas over the last 10 years I've had the privilege and opportunity to travel the world and work with thousands of entrepreneurs in my travels I realized quickly that the Persona of the entrepreneur had changed it's no longer two guys in a garage in Silicon Valley but entrepreneurs are everywhere and they transcend age gender and geography while we may look different and speak different languages we all want the same things fear the same things and even make the same mistakes after a while I started seeing all founders fall into one of two personas I named them Steve and Larry both Steve and Larry studied at similar universities and worked similar jobs where they quickly grew into key roles after a few years they both got hit with an idea for a startup and decided to quit their jobs and venture out on their own even though I've given these characters names to make them more familiar I want to emphasize that what makes them similar isn't their age gender or GE geography but they both were struck by a big idea and decided to act on it they were aspiring Founders what differentiates them though is how they look just a year later a year later Steve is still building his product he has no product revenue and relies on part-time freelancing work to fund his product development and he works alone on the other hand Larry has a growing customer base growing revenue and a growing team how did they end up in such different places to answer that question let's travel back in time a year ago Steve is at his desk lost in thought earlier that day his manager had told him that their parent company falling on from a recent acquisition would be shutting down their offices in a couple of months and Steve was given the choice to relocate to headquarters or take a severance package Steve reads this as a sign he had always planned on starting his own company when the timing was right and even though his startup had had a few bad product starts they eventually managed to get a Acquired and he had really felt proud to be part of the core team he decides to take the evening to think things over he estimates that if he keeps his expenses in check the severance package and his savings will provide him with a year of Runway to get something off the ground he does have this one idea that he's been noodling around in his head for a few months already the next day he decides to take the plunge and accepts the severance package and it's Off to the Races Steve wastes no time getting to work he anticipates that if he stays stays focused and works full-time without distractions he should be able to launch the first version of his product in 3 months he wants to go about doing things the right way so he begins designing and building his product like a Craftsman but little things start taking longer than expected and the delays quickly add up weeks quickly turn into months it's now 6 months later and Steve is getting a little nervous the product isn't up to his standards and his revised estimates put the launch date out at least another 3 months or maybe even six he'll be out of money by then and he decides he needs help so he hits up some of his close friends and tries to recruit them offering them generous equity in exchange but they don't see

what he sees and it find it hard to justify leaving their secure well-paying jobs Steve attributes the setback to a lack of Vision on his friend's part but he's even more determined than ever to find a way to finish his product he decides to hit the pitching circuit next and raise funds he starts by contacting his previous startups founder Susan who readily agrees to meet with him Susan likes Steve's idea offers to introduce him to several investors but advises him to put together a bulletproof business plan first Steve has never written a business plan before so he downloads a few templates and picks one that he likes as he starts writing he finds that he doesn't know the answers to many of the questions being asked but he does his best to complete the plan anyway he's a especially encouraged by the financial forecast spreadsheet the more he plays with the numbers the more he's convinced that he's on to something really big he even tweaks a few numbers downward to downplay the Fantastic Model he has created because it's so good that he thinks people might not believe them he knows a lot is at stake so he spends several more days developing his elevator pitch outlining his product road map and polishing his 10 page slide deck he reaches out to Susan a week later who helps him set up half a dozen meetings with invest ERS he doesn't get an instant yes but at least he doesn't get an outright rejection either he debriefs Susan later who reluctantly burst his bubble and tells him that feedback like you're too early for us and let's touch base in 6 months are all code for we're not interested but too polite to say no Steve is in a classic catch22 he can't make people see his vision until he completes his product but investors won't give him the resources to complete his product so what is he to do Steve still believes in his product and is determined to build it he Retreats back into his metaphorical garage and decides to self-fund his idea with part-time freelancing progress is slow but at least he's still working on his product nights and weekends moving his idea forward one step at a time now let's s to Larry he too was hit by an awesome idea a year ago but unlike Steve he doesn't start with a bill first or investor first approach Larry recognizes that those approaches used to to work at a time when building products was hard and expensive but the world has changed investors used to Value intellectual property and funded teams that demonstrated that they could build stuff but this is no longer the case investors today value traction above everything else traction isn't about being first to Market but first to market adoption traction is evidence that people other than yourself your team and your mom care about your idea more importantly traction is evidence of a working business model this leads to an epiphany for Larry where he realizes that a working business model not just a working solution is the true product of an entrepreneur instead of writing a business plan Larry spends half an afternoon sketching out a one-page business model for his idea using a lean canvas template that was recommended to him by one of his trusted mentors he then tests the viability of his business model using a quick backup the envelope calculation and from there builds out a traction road map and validation strategy a key difference between Larry's validation strategy from Steve's is that he prioritizes testing what's riskiest versus what's easiest in his business model Larry correctly recognizes that in the new world what's riskiest for most products has shifted from technical risks to customer and Market risks the challenge today isn't can we build it but rather should we build it this is why he decides to take a traction first approach but how do you demonstrate traction without first building a product aren't we back to the classic catch22 well not really because contrary to popular belief you don't need a working product to uncover problems worth solving or even to land a first batch of paying customers unlike Steve who is still perfecting and polishing his product a year later Larry manages to

Define his minimum viable product or MVP through carefully scripted customer interviews in less than 8 weeks he avoids spending needless time money and effort building a product he hopes customers will buy and instead defines and Builds an MVP he knows customers will buy this puts Larry's idea on solid footing and he spends the next four weeks building out the first version of his solution and once that's ready he immediately starts charging his customers from day one who are happy to pay because his MVP Nails their musthave problems and delivers value right out of the gate Larry continues to refine his product from there through many more customer conversations and producted ation this allows him to continuously out learn his competition and always stay a step ahead of them by the end of the year there's customer base is growing his revenue is growing and so is his team his business model is on the right track to achieve product Market fit the difference between Steve and Larry isn't differing skill sets but differing mindsets Steve is operating like an artist and is primarily driven by his love for his product or solution you can easily substitute artist here with software developer designer creative maker writer author hacker inventor and so on he takes a bill first approach which in today's world is highly risky Larry on the other hand is operating like an innovator innovators turn inventions into working business models he recognizes that we are living in a new world where the rules have changed many Founders start off looking like Steve that was definitely my story at some point I had a triggering event where I too realized that how we bu products was no longer the same and succeeding in a new world required new mindsets in this video I shared the first three starting mindsets from the continuous innovation framework viewing the business model as a product taking a traction first approach and starting with customer problems before Solutions I have seven more mindsets that go into the process of launching and growing a successful product if you'd like to go deeper I've linked a free continuous innovation foundations course in the description below thanks for watching and until next time take care

many Founders and investors view product Market fit as the first significant Milestone of a startup this is the inflection point in a product's hockey stick curve where traction or growth starts to take off rapidly while treating product Market fit as the first Milestone makes sense for VCS it doesn't make a whole lot of sense for Founders because it's too far out into the future to be actionable product Market fit takes roughly 2 years on average to achieve for most products and 80% of products never get there this is why the early stage journey is is often depicted as a wavy squiggle of aimless wandering and is commonly viewed as a high-risk or unstructured Journey but it doesn't have to be this way with the right mindsets and thinking processes it is possible to turn this wavy squiggle into a more systematic and structured process in this video I'm going to show you how using my three- Rings framework hi there if you're new to this channel my name is Ash Mora I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canus on this Chan satellite shares systematic strategies and techniques for starting and growing a business the three- Rings framework breaks the journey to product Market fit into a series of smaller Milestones visualized as a set of rings that you close in sequence as you make your way up the hockey stick curve the first ring is the founder ring the second ring is the customer ring and the third ring is the market ring the framework is built on the premise that the true product of an entrepreneur isn't just building a working solution but a working business model thinking of a business model as a product is particularly empowering because it allows us to apply product development principles to business models

much as we can build a product in stages we can do the same with business models the three rings in the framework map to the three stages of building a working business model there is a business model design stage a validation stage and a growth stage let's start with stage one the founder ring this is where you the founder get to design a blueprint of your business model now before taking on any complex project like building a house or a skyscraper you wouldn't rush into construction without some kind of a blueprint or an architectural sketch but many Founders skip the step when it comes to the world of startups and products which is a costly mistake this is because during the early stages of an idea everything seems possible and it's easy to say yes to too many things lose focus and either build something nobody wants or end up in a suboptimal market then you get stuck this is when the painful work of searching and pivoting to a more viable business model begins much of this pain can be avoided if you simply take the requisite time to start with a business model design blueprint a good blueprint doesn't guarantee success but helps clarify your thinking and avoid obvious pitfalls and traps so you don't waste time on suboptimal ideas instead you focus your limited resources on ideas that stand to realize the full potential of your vision this brings us to the first segment of the founder ring that you need to close founder goal fit when it comes to business planning too many Founders get hit with an idea and then try to estimate how big it can get this is backward it's backward because if you had three ideas you could work on wouldn't you always start with your most promising idea this is why instead of starting with an idea you should start with a goal now goal setting by itself is nothing new what's new here is how you set your goal I don't recommend trying to estimate your goal or maximum upside potential of your idea because this is even further out from product market fit and a much harder if not impossible number to estimate instead I recommend aiming to roughly ballpark your minimum success criteria which I define as the smallest outcome you would need to achieve in three years or less to make your project a success this simple exercise helps you determine the non-negotiable outcome that you can use to evaluate any idea you do this by turning your big idea into one or more business models using a template like the lean canvas a business model helps you deconstruct your idea into a set of key assumptions or beliefs that need to come together like a jigsaw puzzle to make your idea work with your key assumptions identified you then stress test them against your minimum success criteria think of these stress tests as thought experiments or simulations much as Architects stress test their designs with models and simulations we do the same thing here with ideas if a design for a building fails to meet the required specifications and architect doesn't move forward until they fix the model similarly if your business model fails to deliver on your minimum success criteria you should first fix your model before investing additional time money and effort on the idea this is how you close the next segment in the founder ring and Achieve goals model fit the final segment to close is the model founder fit this is where you come back full circle and test whether your business model aligns with your personal mission vision purpose and strategy it's critical to ensure that you have model founder fit because startups are roller coasters they test your perseverance and grit and not all business models that work on paper will work with all founders before moving on to the next ring I wanted to quickly mention that I run a 30-day business model design challenge which is all about closing this first founder Ring The Challenge comes with daily training tools and accountability to help you Baseline design and stress test your business model for founder model fit if you're interested in participating in the next 30-day design challenge you can find a link to the challenge in the description below okay with your

business model blueprint designed the next step is constructing the foundation for your business model all business models are built on a tower of foundational assumptions and beliefs and you need to ensure that these assumptions are solid or your idea will come crashing down you do this by prioritizing the riskiest assumptions or beliefs in your business model first what's riskiest for most products today isn't technical feasibility but rather customer and Market risks in other words given enough time money and effort we can build almost anything these days the bigger question is will anyone care this is why the second ring to tackle is the customer ring so what do customers care about customers don't care about your solution but their problems if your solution fails to solve a big enough customer problem it will fail to earn your customer's attention and everything else in your business model will come crashing down this is why the next segment to close here is ensuring you have customer problem fit the most effective way I have found to do this is through carefully scripted customer interviews that allow you to understand your customers deeply where you don't just study obvious surface level problems but get down to root causes as Charles King found a problem well understood is half solved once you deeply understand your customer's problems you are in the best position to then Define or refine a solution you know customers will care about this is how you close the next segment and Achieve problem solution fit notice that I said define and not build a solution and that's because it is still possible to misread customer problems at the step and build something nobody wants instead of wasting weeks or months building a working product why not show your customers something sooner and test if you're on the right track now we traditionally do this by building a product then demo it to customers to try to make a sale but what if we could swap some steps here customers don't really buy working products they buy a demo which is a promise of better what if you swap some of the steps and assemble the demo first try to pitch and sell that and if you can sell the demo why even build the product in other words think demo cell build versus build demo cell if you can sell your demo to enough customers you turn that into an MVP and close the third segment in the customer ring Solution customer fit think of Solution customer fit as demonstrating a smallscale version of a working business model at this point you validated that you can create and deliver value to your customers Through Your solution and capture some of this value back as payment the next stage and the final ring to close is the market rate this is where you attempt to grow and scale value delivery to the inflection point in your hockey stick curve and Achieve product Market fit the first segment to close here is Market Channel fit this is when you start shortlisting and testing scalable channels to reach customers the specific channels you test here will largely depend on who you're trying to reach and the price point of your specific product it's not always readily appar parent which channel will be your best and most optimal so a good practice here is to test several channels in parallel using small and fast experiments to find your most promising one once you find a promising Channel you double down on it which often requires additional investment in your product to optimize it for that particular Channel this is how you close the channel product ring and start your final March towards achieving product Market fit hopefully you can see how the three- Rings framework turns the one wering squiggle I showed earlier into a more structured and systematic Journey now entrepreneurship is never a straight shot which is why I like to visualize this journey as a labyrinth your mission is to enter the Labyrinth with a plan a or the first snapshot of your business model and exit the maze with a repeatable and scalable business model before running out of resources as you make your way

through the Labyrinth you'll encounter twists and turns dead ends and backtracking because startups are inherently uncertain but hope you will appreciate that with the right mindsets and thinking processes the journey doesn't have to be chaotic and unstructured now if you enjoy this video I've got lots more videos like this one coming please subscribe to the channel and leave a comment below thanks for watching and until next time take care

I've built all my products books Services software from the ground up reaching millions of users all through bootstrapping back when I started bootstrapping was born out of necessity because funding wasn't as accessible but today I believe bootstrapping is even more powerful and relevant than ever even if you plan to raise funds later in this video I'll break down why bootstrapping should be every founder starting point the earliest and optimal times to seek funding if at all and some practical and actionable steps to launch your bootstrap Journey if you're serious about building a sustainable startup let's dive in hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and techniques for launching and growing a startup so why is bootstrapping even more relevant than ever because the startup landscape has drastically changed over the years going back just a decade starting up used to be quite expensive you had to hire software licenses or equipment to build a product office space to meet with your team and spend months building a product you hoped people would buy but thanks to Technologies today like the internet cloud computing and now ai and methodologies like lean design thinking and continuous innovation all these things are free or near free and starting up is a lot easier than before which has sparked a global entrepreneurial BOS you can now find startups in every corner of the world R estimates p the number of startups created per year at 100 million startups that's three startups a second but with more startups come more competition and more choices for investors this is why investors especially DCS have moved further down the startup funnel and they no longer fund product development or IP but traction now there are always exceptions of course but most Founders today are expected to be able to build and launch at least an MVP and secure some initial paying customers in order to demonstrate early traction but how do you find traction without first finding funding to build your product this is where bootstrapping comes in and what I'm going to cover next but first let me dispel some common myths about bootstrapping a lot of Founders dismiss bootstrapping as an option because they think that bootstrapping is only for small ideas here's a list of the most valuable companies in the world all recognizable names and yes they were all bootstrapped had the stereotypical two guys in a garage start Jeff Bezos ran Amazon from the basement of his parents house and meta or Facebook started in a dorm room at Harvard University when I share this list with people many are quick to point out that most of the companies here did go on to raise funding which brings us to the second myth that bootstrap startups never raise money people love to pit bootstrapping versus Venture Capital but the two are not mutually exclusive all the companies on the list here started by bootstrapping their ideas got to early traction and then chose to raise external funding not for survival but to pursue growth let's take apple as an example yes Apple raised Angel funding in April of 1977 but Steve Jobs and Steve wasag bootstrapped Apple for 9 months prior to that by selling their Volkswagen bus and a scientific calculator they used these funds to build their first Apple 1 computer by hand which they demoed at a home brew Computer Club three months later which resulted in

200 units in sales in today's dollars that would be roughly \$675,000 and note that this is not an insignificant amount of Revenue it was in the back of this success and a growing pipeline of more orders that they decided to pursue and raise additional funding to pursue growth like the bootstrapping versus VC debate a lot of people simply boil down bootstrapping to sell funding versus external funding but that only captures a sliver of what bootstrapping is all about yes bootstrappers self fund their ideas to get started but they prioritize switching to customer funding through sales over external funding to demonstrate early traction and gain leverage then they have a choice some bootstrappers choose to bootstrap all the way While others pursue external funding for growth this is largely dependent on the ambition and goals of the founders and the type of product that they are building some products like building computers are inherently Capital intensive and a company like apple decided to raise external funding but in that space a different company Dell which was founded 8 years later went a very different path they bootstrapped all the way to an IPO so while both companies bootstrapped at the start got to a working business model they chose different paths for growth from there even though this was a different time when startup Capital wasn't as accessible as it is today I still believe that bootstrapping to start is the predominant Playbook and something I call Boot starting every startup I believe should boot start for the reasons I shared earlier there are a lot more startups today competing for the same finite number of customers and investors today expect to see a product with traction this brings us to the third myth around bootstrapping that bootstrapping Founders are cheap bootstrapping isn't about being cheap but efficient with resources yes because bootstrappers invest their own money they need to be careful with how they spend their money but there is another resource even more valuable than money and that is time a bootstrapper aims to minimize their switching time from being self-funded to customer funded if this requires spending more money in the short term to drisk an idea and accelerate customer revenues then that's money well spent in other words if the ROI is baked in they go all in so I've talked about why I believe every founder should boot start their startup to First validate their business model before pursuing growth what is that fork in the road where you make that decision that's what I'm going to cover next I'll share the earliest time optimal time and ideal time to raise funding let's start with the earliest time during the early stages of a product you need to focus on learning before growth but investors only care about growth reconciling the two when the hockey stick is largely flat can be highly challenging and distracting this is where there are better times than others to pursue fundraising as investors value traction of above everything else unless you have a proven track record it would be smarter to aim for early traction first through boot starting consider the following two scenarios as an angel investor which would you invest in a startup that has launched its MVP 3 months ago with three paying customers and a handful more in the pipeline or a startup with a growing waiting list of currently over 100 companies that have put down a deposit to get early access to their soon Tobe launched product in 2 months the second is of course a more compelling traction story than the first and more indicative of problem solution fit problem solution fit is demonstrating repeatable demand for a product and what I consider to be the earliest time to consider any type of external funding contrary to popular belief you don't need to First build a product and then attract customers to demonstrate early traction it is possible to go from idea to paying customers in just 3 months across any type of product whether it's Hardware software or a service when you follow a demo cell build approach for more on how to do this I've linked a video in case you're interested the

optimal time to raise your big round of funding is when you and your investors are aligned for growth this is when you are hovering around product Market fit where the early stage fog of uncertainty lives at this point you are better able to measure accurate unit economics demonstrate profitability and chart a believable 5-year growth both forecast with a 10x story now the ideal time to raise funding is probably never if you can bootstrap all the way you maintain full control of your company but this of course has its set of trade-offs as I've discussed already some companies will require external Capital to grow but don't automatically assume that you will before rushing into the fundraising bandwagon like a lot of Founders do it's important to assess your underlying ambition and goals would you rather own 50% of a 10 million business or 5% of a 100 million business while these are similar outcomes the journeys are very different there is no right or wrong path here as we are all wired differently but I recommend getting clear on the journey that you want to travel as early as possible be warned that this can be a deep y exercise but one that can save you much heartache later this is why I strongly Advocate starting with a business model design before anything else now there's a long list of happy bootstrap companies that never needed to raise funding because it didn't align with their goals jumping into the fundraising or accelerator bandwagon because everyone else is doing it is the absolute wrong reason the good news is that starting a company is easier and cheaper than ever and there isn't a one size fits all in the final section of this video I'm going to share seven practical tips for boot starting your startup to early traction I've boot started all my products and here's how I did it one keep your day job many successful ideas start as side projects the first stage finding problem solution fit can be done part-time with very little burden it typically has a lot of waiting time built in like contacting customers scheduling interviews collecting metrics and testing what works until you can find a problem worth solving quitting your day job doesn't make a whole lot of sense number two build a minimum viable audience while you're learning is the best time to also start building an audience around your problem domain there are many ways to do this you could start a newsletter post on LinkedIn comment on other people's posts speak at events and so on the idea here is to test and spread your unique point of view you will know quickly if it sticks or not number three sell before you build before delivering value to customers your customers must want your product or MVP the best way to do this isn't by building an MVP but by testing the promise of your MVP using your unique value proposition through an offer this is where demo cell build comes in start with the demo not a working product if you can sell the demo why build the product number four conserve your burn rate the biggest burn rate at this stage is your time you need to be ruthlessly efficient rent don't buy don't scale till you have a scaling problem don't hire until it hurts and don't hesitate to spend money on the right things that accelerate the right kind of learning remember that time is more valuable than money and don't trade short-term spending for long-term growth number five build a minimum viable Runway pricing is one of the riskiest assumptions in your business model and getting paid is the ultimate customer validation so don't defer price testing to later start charging from day one this aligns nicely with bootstrapping too where cash flow is kicked I generally aim to hit 10K in monthly recurring Revenue per founder as quickly as possible that's when I'm no longer stressed about paying the bills and can start running much Bolder experiments to grow my startup further number six only consider selling related stuff along the way it is very tempting to take on unrelated Consulting to survive but it becomes difficult if not outright impossible to build a great product in parallel instead look for other related stuff you can sell along the way

license out a piece of your technology write a book around a problem domain or give workshops and get paid to speak shortly after I started building my technology platform in my first company another entrepreneur contacted me who essentially needed what I was building but for a different use case he ended up funding my platform's development in exchange for a right to use license Not only was this related work but it allowed me to validate my technology my next company started as a series of blog posts which I turned into a book and then workshops and then that led to lean canvas and the leanstack platform each product that I built was a learning tool and also a product that I sold along the way and still do to this day the Airbnb Founders you may know sold branded cereals while testing their idea to both generate awareness and much needed cash while they were boot starting their company now learning to make money is an essential entrepreneurial survival skill that they don't unfortunately teach at school but it's something that is learnable number seven hold yourself externally accountable getting hit by an idea is like falling in love the first stage is what I often refer to as the honeymoon stage of an idea when it seems like anything is possible this is also the stage where we easily lose track of time and quickly days turn into weeks and months this is why it's important to chart a road map and build an external accountability system with other stakeholders to hold yourself regularly accountable products are inherently risky but prematurely going all in is even riskier instill a boot starting mindset to get you to the first significant Milestone problem solution fit this is when you go from hoping you'll create something people want to knowing that you will spend 3 months now to save yourself 3 years later now if you enjoyed this video I've got lots more videos like this one coming please subscribe to the channel and leave a comment below thanks for watching and until next time take care

so a few weeks ago I shared a video on what startup Founders get wrong about competition where I introduced my innovator's gift mental model

in that video I made three assertions that every successful product no matter how disruptive or Innovative always has competition when it enters the market two that Innovation is fundamentally

about causing a switch from the competition to your product and three that the best way to cause

the switch is by positioning differently again against this competition at the end of that video I issued a challenge I asked viewers to challenge these assertions especially the first one by trying to find a product at any time in history that was so disruptive or Innovative that it had no competition here are the top responses I got in this video I'm going to show you how to apply the innovator's gift to these products and share some additional techniques for uncovering your true competition so let's dive in but first if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the one-page business modeling tool lean canvas

on this channel I share systematic strategies and techniques for starting and growing a business okay so the first thing you'll notice in this list is that they all represent the introduction of a new invention inventions are new methods or technologies that live in the solution context the premise behind the innovator's gift is that Innovation is all about applying new inventions to solve existing existing problems created by existing Alternatives and in order to uncover

these existing Alternatives you have to transcend the solution context and move to a much bigger

context you do this by first asking what it's for in other words what's the use case or job that customers are trying to do and then you look for the most popular existing solution that people are currently using to get the job done and finally that's where you're going to find the true competition so next let's apply the three steps to this list what was the use case for automobiles when they were first introduced sure it was for transportation and before automobiles

how did people get around they either walked or used hor drawn carriages when they wanted to go

further or faster even though this is an often misattributed Henry Ford coat it captures the essence of the positioning that automobiles had when they anchored against the hor drawn carriage

which is the true competition in the story the first automobiles were faster and I would argue a cleaner means of transportation than a hor drawn carriage and the first early adopters of automobiles weren't people moving from walking to automobiles but most likely from hor drwn carriages to automobiles it's also no coincidence that we still use the term horsepower as a measure

of performance for cars to this day now the wheel is an interesting one you might think that the use case here is also Transportation related but the wheel was used for hundreds of years for a completely different job which wasn't Transportation can you guess what that was yes the wheel was used to make pots with a pottery wheel before the pottery wheel people made pots by hand

which was laborious and time consuming the true competition here was the manual pot making process and the pottery wheel represented a significant breakr then hundreds of years later someone had the insid to also use the wheel for moving heavy object objects and a new use casee

or job was born this is a good illustration of how the same technology can have multiple jobs or use cases and insights that often seem so obvious in hindsight aren't all that obvious because we

live our lives looking forward okay so let's keep moving down this list what about space travel the

use case here is exploration as a civilization we have always been explorers that is how we migrated

from the cradle of life in Africa to populate the planet inventing all kinds of Technologies along the way to navigate both land and sea space is no different we have been looking up at the stars for

centuries and have invented things like telescopes Rockets satellites and Rovers to explore space

and the planets from a distance the furthestest though we have been able to go physically is the moon but now some private companies like SpaceX blue origin and Virgin Galactic are building new

technologies that promise to take us even further it's again no coincidence that we still use terms

like ships which came from navigation to describe these vessels as space ships the next one here

is vaccines and the use case here is fighting or preventing a disease or infection before vaccines

when people got sick we would socially distance them and let their immune system try to fight off the infection this by the way was the same solution we fell back on before the covid vaccine was invented during the pandemic and prior to the invention of vaccines people have devised all kinds of Remedies over the centuries ranging from herbal medicines to bloodletting some of these

remedies actually did more harm than good and were subsequently replaced with better Solutions

okay so the last one here on the list is fire and I'm going to slow down on this one and use it to illustrate how we might actually brainstorm and design a business model from scratch let's pretend

to go back in time and assume that we have just invented a way to control fire and now want to build a startup around this idea what lean canvas should we carve up on our cave wall first you have

to recognize that Fire 2 is a technology and not enough by itself to answer this question we need

more context starting with the use case so let's start with what could people use fire to do well for one fire can be used as a heating source to keep us warm so instead of being cramped up in our cave with layers of f coats trying to stay warm we could be sitting around a campfire with other tribe members exchanging stories that's one lean canvas around the core job of staying warm next animals are also afraid of fire and so we could light up our camp with torches which would keep them out fire is also destructive and we could light up arrows and cannonballs similarly

and propel them at our enemies to wage Wars which unfortunately we still do to this day with modern

Weaponry both these represent another lean canvas around the core job of protection and finally

there's the use case that changed our place in the food chain before fire we didn't have cooking technology and could only eat raw foods that we could naturally digest we were gatherers and became Hunters once we learned how to cook grains and meat which opened up many more food

sources this is yet another lean canvas around the core job of nutrition notice that each of these business models reveals very different existing Alternatives depending on the context or use case

once you identify the use case and the existing alternative or true competition crafting a promise of a better or unique value proposition becomes a whole lot easier a compelling unique value proposition anchors against the shortcomings of a familiar existing alternative and demonstrates a different and better way of getting the same job done for our fire startup the final step here would be pitting de these business models against each other and starting with the most promising unique value proposition that would cause a switch if for instance we lived in a warm climate the keep yourself warm value proposition would probably land flat if we weren't

being threatened by Predators or waging Wars at others the protection Valley proposition would also land flat I'd argue that everyone at that time was probably searching for more food so maybe

opening up more food sources would be the winner here I say maybe because whenever we introduce

a new way of doing something it will be met with some resistance and as compelling as the story

might sound to us it still needs to be tested with customers and the market another Common Thread you'll see here in all these examples is that the true competition looks nothing like the new solution it doesn't even belong in the same category this is often why startup Founders think or believe they have no competition they think that they are operating in a brand brand new

market or category and use terms like direct and indirect competition hopefully I've convinced you

that thinking you have no competition is a policy labeling your competition as direct or indirect or labeling Your solution as category defining is also irrelevant because at the end of the day you still have to cause a switch from whatever your customers are currently using to start using your product it's tempting to think that a more unique and category defining Innovative solution would make this switch easier but ironically the opposite is true most first movers of innovative solutions have historically failed to convince enough customers to switch before they have run out of resources take a look at this list of companies none of them were first to market with the products that made them household names they were all fast followers I go even so far to say

that being truly first to Market with a highly Innovative product can be an unfair disadvantage Advantage versus an unfair Advantage this is because people are creatures of habit and their first instinct is to resist change this is the principle of inertia from physics which applies equally to people just as it does to physical objects this gets even more challenging because entrepreneurs typically live in the future and often over index on their Solutions which causes them to enter markets too early Force movers have to simultaneously build a new and Innovative

better solution and also convince early adopters to overcome their inertia and switch which can be

quite hard to do this is why the timing of an idea has been attributed as one of the top contributors

to a startup success the same idea can fail one year and be successful two or 3 years later but timing an idea feels a lot like luck how do you deliberately time or test the timing of an idea I cover that in this video which you should check out next I hope you enjoyed this video thanks for watching and until next next time take care

lean principles can be a lot like Common Sense easy to understand but hard to put into practice and so in this video I'm going to share how I cut my teeth with lean principles many years ago which led me to accidentally write a best-selling book create a popular business modeling tool and start a new company that completely changed the trajectory of my entrepreneurial Journey hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and

the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and techniques for launching and growing a startup so our story is set in the summer of 2009 writing a book back then was never part of my master plan because I was too busy running a software startup at the time I had recently launched my second product box cloud after a hard pivot from a failed first product the actual product specifics don't matter all that much but in case you're curious box cloud was a large general purpose filesharing product like Dropbox but started 2 years earlier I'd launched it as a premium software as a service or SAS product while I had managed to attract thousands of users I only had a few dozen paying customers the startup had been bootstrapped until this point but now I was running out of money with only a few months of Runway left that's also when I considered raising a seed round of funding and I reached out to a few people for advice one of them was nifty who some of you might recognize as one of the co-founders of angelist he had recently taken a class with Steve blank on customer development someone who I'd never heard of until then and instead of connecting me to investors nifty advised me to start speaking to my customers this was not the response I expected and so I complained that I had been listening to user feedback all this time and was building features based on that feedback that's when he taught me the difference between user feedback and customer feedback he told me that users use a product that customers pay for that product and then I should focus on what paying customers want and not what free users want that little inside hit me like a ton of bricks back then and so the next day I reached out to a few of my customers and got them on a phone call with me I still vividly remember this one conversation I had with an attorney who told me that he loved my product and shared how it helped him simplify his workflow on sharing large files what he couldn't understand was why I kept complicating the product with more features and he advised me to stop building more stuff and instead start charging more for what I already had he was worried that if I didn't collect enough money from him I would go out of business and he'd have to move back to the old solution my next few customer conversations sounded similar which led to a mini Epiphany for me I had been talking to free users all this time who kept asking for more features and even when I built them they didn't buy on the other hand I had paying customers asking me for Less and wanting to pay me more so over the next few weeks I transitioned my product away from premium repositioned my product for business use cases and managed to charge 10 times more for the same exact product I just experienced the power of good customer insights and decided to go all in and learn everything that I could I bought Steve blank's book the four steps of the Epiphany and follow the trail to Eric Reese who some of you might recognize as the author of The Lean Startup he hadn't written the book back then but was sharing a lot of his learning on his blog startup Lessons Learned and in talks I read and watched everything I could find leaving me with many more questions than answers that's when I too decided that the best way to get some answers for myself was not to write a book but to start a blog instead which would help me clarify my thinking and share my learning publicly so in October of 2009 I launched my blog and covered topics like how I was talking and learning from customers how I was building my minimum viable product and how I was measuring product Market fit something about these posts struck a nerve with other people and readership started to grow by March of that following year some of my readers even started asking me if I would consider writing a book now I initially laughed off the idea and did nothing because I was too busy running my own startup spending hours writing a Blog was hard enough I couldn't imagine taking a year or more

to write a book cuz it's not that something you do on a sabbatical in the mountains but these suggestions kept coming in and after about a dozen or so such requests I realized that this was the first time people were actually trying to pull a product out of me all this time I had been the one trying to push a product on them this felt very different from my other products and something worth exploring and so I decided that I was going to invite some of these readers on a call and learn from them on the call I asked them a bunch of questions and most importantly I wanted to know who they were what kind of products they were building and most importantly why they wanted me to write this book I learned that many of them were early stage Founders like me who had started their startups around a big vision and then gotten stuck they had found the early works of Steve Blank and Eric Reis and were also trying to piece together a practical step-by-step way of putting these principles into practice many of them use words like simple practical and step-by-step how-to to describe my writing style which helped me better understand the unique value proposition of my posts and gave me confidence to take the next step I quickly outlined a table of contents in the day that I shared with some of these readers and asked them if I wrote this book would you buy it now they didn't immediately say yes but instead gave me more feedback and after a few durations I landed on a book outline that all of them said they'd buy now while this was early validation it still wasn't enough getting a dozen readers to agree to buy a book for \$20 to \$30 was not enough to justify me spending two to three years of my life writing and launching a book I'd done this one too many times before with my other startup products and I didn't want to repeat the same mistake again so this time around I started asking myself how would I define success for this book but instead of focusing on how many books I wish I could sell over time I asked myself a different question I focus on something I now call the minimum success criteria which estimates the smallest not largest outcome that one would use to deem any project a success in this case I asked myself what would be the smallest number of books I would need to sell in a 2 to three period to deem this book project worth doing a thousand copies seem too little 100,000 copies for a first-time writer seemed Out Of Reach and so I settled on 10,000 copies assuming a 10% conversion rate one would need an audience 10 times as big so 100,000 people and I extrapolated that number backwards and made it a goal to build up my audience for the book using a 10x road map my goal was to get a thousand people on my list in year 1 10,000 people in year 2 and 100,000 by the end of year three now I knew audience building took time and so I immediately started getting to work I turned my table of contents into a teaser landing page and announced the book on my blog and also started promoting it in other places my goal was to collect at least 1,000 email addresses which was my litmus test or trip wire for moving forward with the project now it's important to emphasize that during this time I wasn't writing the book I only spent a few hours a week monitoring my landing page metrics and running promotional campaigns it wasn't until June a few months later that year that I reached my 1,000 email tripwire that was my o crap moment until now the book was just an idea in my head but now it was time to get real I started writing that first chapter of the book but it was a lot harder than I expected I initially thought the book would be mostly a repackaging of my blog content but copying and pasting my post didn't feel right because a lot of my thinking had already changed in just a few months I thought to myself what have I gotten myself into I knew I needed to build something smaller and faster than a book writing a book is like putting together a massive jigsaw puzzle I needed something like a minimum viable product that allowed me to start testing and iterating while delivering

value to customers what could serve as an effective MVP to a book that was the question that's when I had the idea to use live workshops as that mvp the reason for this is that the job of a non-fiction book is to teach and a live Workshop does exact exactly that but in a real-time format so I decided to go with that I turned my table of contents into a halfday workshop landing page and announced that in Austin where I live my first Workshop was free and I got 30 people interested while I'm not a fan of offering free products for a long time I ran the first one as a trial did some price testing and then started charging for subsequent workshops I ran these paid workshops throughout those summer months in different cities across the US and even got to travel to Canada I bundled a future copy of the book with every Workshop ticket and with every Workshop I was refining the content for the book not through writing but by tweaking a slide deck and working on my workshop delivery by the end of the summer I had a 500 page slide deck and a pretty good understanding of what I wanted to write and how I wanted to say it but there was another problem I promised my book would be ready by the end of summer and by now summer had come and gone a few people started inquiring about the book and so I came up with another type of offer for them the pre-order offer I apologize for not finishing the book and told them what I've been up to with the workshops I gave them the option to pre-order my book and in exchange I promised to deliver them two chapters of the book every two weeks in a PDF format along with weekly open Office hours where I would answer questions about the book that way they wouldn't have to wait another 6 months of the book and could get to talk to me as I was writing the book now I thought most people would surely take me up on this offer but less than half of my list bought the book I thought I'd lost half my readers at that point I emailed those that didn't buy and learned that they didn't want to wait for the finished product they didn't want to read the book as a PDF but rather wanted to wait for a finished print version or a Kindle version instead now my initial reaction as an entrepreneur was to solve this problem right away I started thinking of ways to support the Kindle format first which wasn't hard but definitely a lot of work then I stopped myself I realized that a PDF was the fastest format for me to support and the fastest way for me to iterate on the book and I already had enough readers to learn from which was the original goal of my MVP the people who bought my PDF were my true early adopters because they were mostly interested in getting the content no matter the format and didn't care as much as the others about the packaging this was another counterintuitive Learning lesson for me when searching for early adopt it's okay to have some sign of friction because early adopters are usually as excited as you are about your product and willing to jump through a few Hoops if needed now customer feedback during this 2E iteration cycle was incredibly helpful in accelerating and improving the book from here since I was only releasing two chapters at a time it was both a small enough batch for my readers to review but also easy for me to quickly incorporate their feedback since they were also testing this content on their own products I got a lot more questions and feedback with every update which helped me write a much better book in just a few months then when I was about pre4 of the way through a surprising thing I never expected happened I got an email from a major book publisher they had read my PDF and were interested in publishing the book I quickly got them on the phone and the first thing I asked them was why they wanted to publish my book I assumed that they didn't know the book was being distributed as a PDF with many copies freely floating around and that once they found out they wouldn't want to publish the book they instead told me that they wished more authors wrote their books this way at first I was a bit confused but then it made

perfect sense the fact that I was able to sell over a thousand copies of the book on my own demonstrated early traction for them which deis the project the publisher shared with me that the average published book sells only 700 copies at scale and so I was already ahead of the game traction changes everything had I approached the publisher when I was just thinking of the book when it was just an idea in my head I would have had to write a book proposal and probably not even get past the Gatekeepers without an agent this is not unlike how investors view startup ideas today the ideal time to attract major investors Partners or Publishers in my case is after you have demonstrated some traction this is also when you have the most leverage which gives you options now that's exactly what I did I was able to shop around and negotiate with traction as leverage on my side to pick the best publisher for the project I had already sold close to 2,000 copies of the book as pre-orders the publisher helped me better package the book and we together sold 25,000 copies by the end of year 2 which by the way was way over my initial minimum success criteria of selling 10,000 books in 3 years now no one Falls you with revising your goals upwards and so that's what I did next the book went on to sell hundreds of thousands of copies got published in dozens of languages and is currently in its Third Edition now if you look back on this timeline you might be wondering whether it's just easier and faster to build a product and then start optimizing the problem with this approach is that entrepreneurs are a lot like artists and like artists we tend to be perfectionists and often wait too long to release our product into the world during this time it's very easy easy to go astray and either build too much or build the wrong product entirely but when you immerse yourself like I did in the world of your customers you build your product iteratively not only do you end up building the right product but more importantly you get to demonstrate traction to your customers other customers and investors Partners along the way which paves the way forward so this is how I turn my early fumbling with lean principles into a bestselling book I use the same product to to launch the lean canvas product by turning a blog post on my blog into a software product that is now used by millions of people around the world and since then I've launched dozens of other products much the same way now while the tactics can change when launching a book versus software or service or a physical product the principles are Universal and stay the same now if you enjoy this video let me know if you want to see more case studies like this one in the comments below thanks for watching and until next time take care

now maybe you've heard this bad lawyer joke how can you tell when a lawyer is lying their lips are moving well the same is true when it comes to entrepreneurs and pitching how can you tell when an entrepreneur is pitching their lips are moving now pitching is a key skill all entrepreneurs need to learn because you don't just pitch for investment you pitch to acquire customers advisers and even recruit co-founders and team members but the mistake many entrepreneurs make is trying to pitch their ideas the exact same way to every one different audiences share different worldviews and require different types of pitches to get them to see what you see so in this video I'm going to share the different audience worldviews of a startup which will help you craft better pitches and secure buyin from your key stakeholders hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and techniques for launching and growing a startup so let's start with what a worldview is in his groundbreaking book all marketers are liars Seth Cen describes a worldview

as the set of rules values beliefs and biases people bring to a situation good marketing is not about changing a person's worldview but rather framing your story in terms of their pre-existing worldview the same is true in entrepreneurship good entrepreneurship is not about brute forcing your idea or solution but rather framing a business model story in terms of your audience's pre-existing worldview your audience in this case comprises of investors customers advisors team members and even competitors I'll illustrate these different worldviews of a startup using a onepage lean canvas which also happens to be a great business model storytelling tool so let's begin with the story We Tell ourselves when we get hit with an idea what we see most clearly is the solution or product that we want to build I show this as the awesome box on the lean canvas we spend a disproportionate amount of time discussing the uniqueness of our product features or its underlying technology and we believe that if only we could bring this solution or product to life everything else would work itself out but building a product takes resources so what keeps us up at night is establishing enough runway in order to bring our solution to life to do that you might have to turn to investors but investors don't really care about your product or solution they care about one thing a business model story that promises them a return on their investment within a set time frame more specifically this is what they want to know how big is the market opportunity they don't care about who your customers are but how many in other words how big is the market the next thing they care about is how will you make money they want to understand the intersection of your cost structure and revenue streams to gauge your profitability and growth potential and finally they want to know how you will defend against copycats because anything worth copying will be copied what unpaired advantages do you possess now or will acquire in the future to deter competition but what gets investors attention above everything else is traction if you walk into an Investor's office with the beginnings of a hockey stick curve you'll trigger a paean response they'll sit you down and try to understand the rest of your business model story so what is traction traction is evidence that people other than yourself your team and your mom care about your idea the people that count here of course are customers and so traction is nothing more than a measure of your products engagement with your customers and any traction is better than no traction and so it naturally follows and before trying to win over investors maybe you should try to win over a few customers first so how do you do that what do customers really care about now customers too don't care about your product or solution either they care about the problems or obstacles standing in their way of achieving a desired outcome or getting some job done you probably didn't wake up today with a burning desire to buy some random app but if you've been struggling with a problem like say finding a better or more fulfilling job you might have signed up for a job listing service that used the headline we help you find your dream job in 30 days or we give you your money back this headline is an example of a promise or unique value proposition and it's the first thing that customers care about a good unique value proposition or uvp doesn't communicate how your solution works but what using your solution does for your customers now in order to craft a good unique value proposition you need to understand who's it for while it's tempting to position your product for everybody when you try to reach everybody you end up reaching no one the way you stand out from the crowd isn't by going broad but narrow you do this by focusing not on your broader Market but early adopters who are a much smaller and highly motivated Subs segment of your overall customer segment The Next Step here is identifying what problem or obstacles these early adopters are struggling with and anchoring your unique value proposition or promise

against that if your promise connects you now have permission to tell your early adopters about your solution typically through a demo the art of the demo is showing the smallest thing possible that helps your early adopters visualize how they go from point A riddled with their problems to point B where your solution removes these problems if you can deliver a convincing demo the only thing left to address is what you want in return I show this as the value currency exchange captured under revenue streams on a lean canvas now in a direct business model this may be a direct money exchange however in multi-sided models like an ad driven product like Facebook or Google search this may instead be a derivative currency like attention or data which is converted to money through a secondary transaction in this case with advertisers the investor pitch and the customer pitch are the two big business model stories to tackle first you always want to lead with your strongest foot forward with investors this is with a strong traction lead and with customers this is with a strong promise or unique value proposition lead the next worldview is a bit different we all need people other than ourselves to guide us in our startup Journeys call our BS and Hold Us externally accountable this is where advisors come in good advisors bring a unique worldview to the conversation but unlike the others their worldviews are driven by their past experiences strengths and interests when faced with an internal startup problem good ideas can come from anywhere and so the key here to building a good ad Advisory Board is to surround yourself with a diverse set of advisors and be as open and honest with them as possible practicing success theater with them where you only share good news may result in a pat of the back but it misses out on a tremendous learning opportunity communicating effectively with advisers requires using a learning versus pitching frame and you can say that this is less of a pitch and more of a transparent open progress update when talking with advisers I find it best to provide a quick business model progress update in 5 to 10 minutes using a lean canvas and your metrics as visual storytelling AIDS then I shut up and listen I listen for objections and possible solutions to my problems without getting defensive or trying to change their mind now no one has a crystal ball and you alone own your business model your job isn't to blindly follow all the advice you receive no matter who it's coming from but to rigorously test the most promising ideas and make them your own now there's one more story to cover the competitor story we also have conversations with competitors these are not your nice sitd Downs or coffee type conversations rather these conversations test your marketing pricing and positioning stories in your business model in other words they test your unfair Advantage I put this one at the end because too many Founders prematurely pay attention to their competitors too early this is predicated on the fact that your supposed comp competition has a clue what if they are a startup in the early stages like you are and maybe as clueless as you are at the beginning simply positioning against the competition guarantees a different approach but not necessarily the right approach your true competition then is not determined by who you might think they are but rather who your customers think they are this is something you uncover from your customers or more specifically your early adopters your true competition is whatever existing alternative your early adopter are currently using to get the job done that you are now trying to displace and they belong in the existing Alternatives box so hopefully I've convinced you that startups are conversations and your true job as an entrepreneur is to systematically drisk your startup through a series of conversations each box on the lean canvas represents a different facet of risk that you uncover through these conversations or stories now there are four fundamental pitches or stories every founder should Master the first one is the elevator story

pitch you use this to provide a 30second overview of your big idea and get anyone to ask for more think of this as the movie trailer for your product the second one is the founder story pitch you use this to share your origin story and build credibility think of this as your personal Yu for this idea positioning the third one is the customer story pitch you use this to acquire customers now while job of the elevator pitch is to earn attention this pitch is the Workhorse that earns trust and turns prospects into paying customers and finally we have the business model story pitch you use this one to tell your startup's business model story to recruit co-founders attract advisors and secure investors for your idea now the elevator pitch is the foundational pitch that I recommend everyone start with because all others build upon it if you'd like to learn how to craft a compelling 30-second EI elevator pitch you should check out this video thanks for watching and until next time take care

anything worth copying will be copied if you manage to build a product that starts getting traction you will inevitably attract competition and copycats it's not a question of will others copy you but when the problem is that most startup Founders don't have any real unfair advantages on day one to defend against these competitors and copycats and most Founders don't prioritize developing unfair advantages until it's too late I'm ignoring you I'm used to that so in this video I'm going to start by defining what a real unfair Advantage is talk about when you need one and share one unfair advantage that I think all startup Founders should aim to have on day one hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canas on this channel I share systematic strategies and techniques for launching and growing a startup so let me start with what is not an unfair Advantage I review thousands of lean canvases a year and see things like we have unique features or we have the most features or the least features these are usually not defensible unfair advantages because remember that anything worth copying will be copied this is especially true today when the cost of building new products is at an all-time low or I see things like we are the best at a specific scale or we are really passionate about the space or we'll work harder than everyone else these two are not real unfair Advantage the problem with these statements is that they are intangible and hard to measure and so don't offer a good explanation for how you can make this claim or more importantly how you will be able to deter copycats who might also be skilled passionate or willing to work hard it is always better to leave the unfair Advantage box blank in these cases rather than stuffing it with a weak unfair Advantage especially when pitching to sophisticated investors another frequently cited unfair Advantage I see is the first mover Advantage but being truly first to Market could actually turn out to be an unfair disadvantage because you have the doubly hard work of both building a new and innovative solution and convincing customers to trust it statistically most first movers fail consider this list of successful companies none of these companies were first movers but fast followers another more subtle Pitfall I see on Lane canvas is listing competitive advantages as unfair advantages some people use the too interchangeably and while they are related they are not the same thing a competitive Advantage is something that allows a company to deliver a better product than the competition unfair advantages though on the other hand are competitive advantages but with the added properties of exclusivity and defensibility this is what makes them unfair to make this more concrete here is a definition of a real unfair advantage that I really like from Jason Cohen a real unfair Advantage is something that cannot be easily copied or

bought if it can easily be copied or bought it's not defensible and so not a real unfair Advantage for example design is one of Apple's competitive advantages but while good design is hard to create it's easy to copy and so not a real unfair Advantage by itself Apple's real unfair advantages come from elsewhere like their brand promise which is something they have hard earned over the years and is not something that can be easily copied or easily bought so you have probably wondering what other types of things pass this unfair advantage definition yes a strong hard ordered brand certainly is one of them here are a few more defensible unfair advantages Insider information things that help you see things that others don't personal Authority in a space where you're viewed as an expert or getting endorsement from other experts or celebrities or influencers and large Network effects or economies of scale that deter others from entering the market now as you look down this list you probably realized the next big challenge most startup Founders typically don't have any of these unfair advantages at the outside of their idea because many of them take time to develop and that's okay the good news is that your unfair Advantage doesn't get tested on day one but when you have traction so you have some time until then the bad news is that developing unfair advantages does take time and so you have to start thinking about your unfair Advantage story a lot sooner than you think consider Mark Zuckerberg with Facebook he wasn't the first to build a social network and many of his competitors already had a huge head start with millions of users and millions of dollars in funding that didn't prevent him from building the largest social network on the planet while Mark didn't have an unfair advantage on day one he had an unfair Advantage story he knew his unfair Advantage needed to come from large Network effects this Clarity of focus helped him prioritize a systematic launch and growth strategy that helped Facebook build features into their product that help them eventually realize this Advantage so the good news again is that you don't meet an unfair advantage on day one but you should aim to create an unfair Advantage story that explains how you intend to develop one or more real unfair advantages over time that said I believe that every startup should strive to have one unfair advantage on day one and that is counter positioning let me cover that next a counter positioning unfair Advantage strategy is built upon the premise that startups always have competition in the form of existing Alternatives when they enter a market the startup's job is to cause a switch from these existing alternatives to their new way and the best way to cause this switch isn't by positioning their product as better than the status quo but different this is because it's hard to win the better game against an established incumbent when you compare yourself to them using their rules of the game they might already have a brand BR and even if your product is indeed better it's also riskier because remember you're a startup to compensate for this your product would need to be significantly better as in 3 to 10 times better which is not that easy to pull off for example if you are looking to compete with a major Hotel chain could you build a hotel that was 3 to 10 times more comfortable than a major Hotel chain maybe not this is why it's much easier to change the game and play with different rules a good new game turns your incumbent strengthen the old game into a weakness in your new game that's what counter positioning is all about and exactly what Airbnb did the promise of a major Hotel chain is delivering a consistent experience in Prime City locations when Airbnb positioned its product as live like a local it turned that strength of hotels which was consistency into a weakness a Marriott or Hilton in Barcelona Rome or bonus ives looks and feels more or less the same but with Airbnb every one of those experiences would be unique and different in those cities you would live like a local counter positioning involves

developing a business model that the incumbent cannot or will not copy due to damage to their existing business this forces a choice and not a comparison Airbnb becomes the better choice for some people and worse for others which is how they won with their early adopters another famous example of counter positioning is Netflix versus Blockbuster when Netflix launch they are male dbd service they touted no late fees to counter position against Blockbuster Blockbuster could have easily eliminated their fees in response but we're unwilling to do so because these fees accounted for half their income this allowed Netflix to gain traction and cannibalize Blockbuster's customers and by the time Blockbuster decided to respond by eliminating these fees it was too late now the reason I recommend using counter positioning as the first unfair Advantage for startups is that startups already have to formulate a unique value proposition to stand out from the competition in order to attract early adopters a counter positioning strategy is a twofer it piggybacks on your unique value proposition by taking your unique value proposition to extremes instead of just being different to attract customers you can also be so different to deter copycats and competitors a counter positioning unfair Advantage doesn't deter copycats forever but buys you time to develop other modes or unfair advantages along the way now if you'd like to dive into this deeper and develop your unfair Advantage story consider joining my 30-day business model design challenge where I share many more examples and outline six other sources of real unfair advantages I'll link to that in the description below if you're interested thanks for watching and until next time take care

if you're looking to start or launch a new startup or product in 2025 then hopefully this video is going to help you out if you're new here my name is Ash Moria and I'm the author of running lean and the creator of the one-page business modeling tool lean canvas I've been an entrepreneur for over a decade now and throughout most of that time I've been obsessed with creating a more systematic framework for starting and growing startups I build this framework by battle testing it against thousands of products and I now teach and license it to do of startup accelerators and universities around the world so in this video I'm going to take my last 10 years of experience from building products and coaching startups and try to condense it into a three-part framework that I would follow if I were building a startup completely from scratch today I call this framework the bootst start blueprint because I believe that every startup should be able to bootstrap their product to paying customers in 90 days or less and I've taught this system to more than 10,000 students over the last 10 years now there are three levels to this framework if you're at the idea stage of a startup you're going to start with level one level one is business model design or Foundation Building and it roughly takes about 2 weeks to get through this is where you take the big idea inside your head and you start to make it real by turning it into a business model story that you can start sharing with other people if you're starting completely from scratch and this is your first startup then a huge hurdle that holds people up from acting on their their idea is actually just not getting started on their idea in the first place so what I'd be doing is getting your idea out of your head and sketching out a few business models first the lean canvas which is a tool I created is great for this but I can still feel that it can be Overkill at the stage so I'd recommend starting with something even smaller than a lean canvas something I recently created that I call the leaner canvas the leaner canvas helps you quickly identify who your idea is for where is the best place to start and what problems to start tackling with a few additional prompts you can then start sketching and stress testing how

you will solve this problem what you could charge customers and how you'll position and grow your idea so that it's worth pursuing the answers to these questions help you see your idea more clearly but even more importantly they help you test if your idea is worth pursuing in the first place and if not what simple fixes you can make to make it better I'd recommend sketching up to three of these variations of your idea and then pitching it to a few friends and potential customers the first challenge with any idea is getting others to see what you see and this is a low stakes way to share the highlevel concept of your idea and get some pretty good insights into whether other people care about what you're trying to build now Perfection isn't the goal at this stage because as with any skill especially in startups it takes time to get good but at least at the start you've made some effort to move your idea forward and start sharing it with other people now it's through these kinds of conversations that you get to see what others see and move your idea forward for example if you're watching this video right now and you haven't yet started on your idea I suspect that the thing possibly holding you back is probably overthinking you're probably overthinking how to get started how you'll find a co-founder and maybe how you'll find the time to work on your idea all of this overthinking just gets in the way of doing that's why level one is just about sketching those first three business models sharing them with other people and seeing if they care about your idea because to be honest a startup can easily consume years of your life and before signing up for that you should know if the journey is going to be worth the ride now once you've shared your business models with a few people you'll quickly hit the first fork in the road you'll know if it's something you want to take further and turn into a business or maybe keep as a side hustle or hobby now there's nothing wrong with leaving your idea as a hobby hobbies are good for tinkering with new technologies and learning new skills but if you're like me and driven to build a business then it's important to recognize that the key difference between a hobby and a business is revenue if you're serious about turning your idea into business then you have to take it seriously and commit to testing not only can you build it but more importantly will enough people care if you're ready to commit you're then ready to go to level two level two is what I call demand validation or sell before you build this is where you test if enough people will care about your idea enough to buy it before you build it and this is quite different from what most entrepreneurs do at this stage most entrepreneurs at this stage would start with building their product first but this is often a recipe for building too much or building the wrong product entirely because you don't yet know what your customers really want Plus there's the added pressure of how you'll fund your product development you tap into your savings or work slowly nights and weekends or try to raise funding from investors in my opinion it's still too early to make that choice which is why I recommend setting aside the next 10 weeks or so to First design and sell your product before going all in and committing to build it so how do you sell a product without a working product using a demo cell build approach build a demo not a product and sell that if you can sell the demo why even build the product that's the essence of demo sell build and yes selling a product using just a demo is possible across any type of product category we buy demos of new products all the time and it isn't just limited to Consumer products even large companies sign Pilots for \$100,000 products not after using a working product but after seeing a working demo in fact the more complex to sale the more demos and Discovery conversations play a larger role in the sales process now if you're new to selling like I was here's news for you you have to get good at found or Le sales because no one else is going to come in and do this for you many Founders like myself start off as artists with a

lot of passion for products and product building but if you can't sell your art your art will suffer you have to get good at things like prospecting and setting up calls with potential early adopters running problem Discovery interviews to learn from those early adopters designing and scoping your product to solve just the right problems and then of course pitching and selling and closing your product the good news is that all of these things are learnable skills and if you're willing to do the work that's what I would spend the next 10 weeks doing and getting good at I would spend the first two to four of those weeks for setting up conversations with potential customers to map the opportunity space and really understand what your customers struggle with this may sound weird but with the right kind of questioning it is possible to understand your customers and their problems even better than they do and once you do that everything else becomes a whole lot easier from there because a problem well understood is half solved once you can nail a must solved customer problem designing a solution becomes easier setting up follow-up conversations becomes easier and selling them on your demo becomes a whole lot easier too the goal of level two is designing a solution you know your customers will buy and securing enough tangible commitments from them using tools like letters of intent or pre-orders for your product once you've achieve level two you now have the ultimate choice to make do you go All in or do you keep this as a side hustle or hobby again if you want to keep your IDE as a hobby that's totally fine but if you're like me you're and more prone to building a aable and scalable business and decide that you do want to build a business at the stage that is time to go from being an amateur in your startup to turning pro this is when you'll need to decide to go full-time maybe recruit a co-founder and commit to building and launching your product as a professional that takes us to level three which is what I call the 10x launch and growth stage and at this point you need to understand the game of getting to product Market fit up until now we've been trying to understand your business model and the demand for your business model in level three you get to make your business model Real by turning your idea into a product and driving it to product Market fit and product Market fit ultimately comes down to just one thing making happy customers repeatedly and scalably now making happy customers is not the same thing as making your customers happy you make happy customers by solving their problems repeatedly and helping them achieve better outcomes s all this work happens inside a customer Factory which is a system's way of thinking about the three activities that go on when you make happy customers they spend more time with your product spend more money with your product and refer you to other people which is the best way to grow and acquire more customers we can map these three activities in the customer Factory into activation retention and referrals now activation is about delivering a great first experience no one is ever going to come back to your product unless you can get them to some meaningful value realization point if you can activate your customers the next step is retention bringing them back to your product so that they repeatedly get value from your product now activation and retention when put together create what I call the happy customer Loop and this is what you need to First focus on notice that I didn't emphasize Revenue earlier and that is because if you can repeatedly activate and retain your customers Revenue takes care of itself the last and most important lever for growth is the third step referrals once you can create enough happiness in your customers they pay you back two ways first with revenue and then through word of mouth or referrals now doing all of these things in the customer Factory can get overwhelming which is why it's important to build systems and tackle each of these steps systematically even though we draw the Rocky stick as

a smooth curve growth doesn't happen this way it is more like a staircase each step in the staircase requires unlocking a key skill or insight which is why I call level three 10x launch and growth you don't have to tackle all these steps at once with a big bang product launch but you can tackle them in stages and use metrics and systems to make the journey to product market fit more manageable now if you've got to the end of this video and you are potentially interested in making 2025 the year of your idea using systems that's exactly what I teach in lean Foundry which is a Founder First Community of over 20,000 Founders I'll be kicking off a brand new cohort on the bootstrap blueprint in January of 2025 we have put over 10,000 students to this program and it's got everything you need from tools step-by-step how-tos and live workshops to bootstrap your startup idea in 90 days or less as our mission is to democratize entrepreneurship all over the world we support purchase parity pricing also where we provide additional discounts to people who might need it anyway that will all be linked in the description below so you can check it out there thanks for watching and until next time take care

becoming a startup founder is hands down one of the most rewarding decisions I've ever made in terms of the learning opportunities growth opportunities and the freedom it has given me but venturing out on your own can be scary and startups are roller coasters and so in this video I'm going to share my top 10 tips for aspiring Founders who are maybe considering starting a company hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business so coming in at number 10 is there is no better time than the present to start I believe that we are living through an incredible time for an entrepreneur something I call the global entrepreneurial Renaissance now going back just a decade starting up was expensive you needed to get expensive software licenses or equipment to build your product or office space to meet with your team or you had to hire a whole bunch of people but today all these things are free or near free thanks to the internet globalization remote work and now ai enabled agents and tools you no longer have to move to Silicon Valley or some other startup hotspot to start a company you can start from anywhere but while we are building more products today than at any other time in history the challenge today is also quite different the question today isn't can we build this but rather should we build this the good news is that with the right mind sets you don't need lots of money people or time to answer this question and so the very next thing I recommend doing if you have already started or are considering starting on an idea is number nine designing a business model blueprint for your idea this is because most Founders rush into building a product or solution too quickly this is a mistake I see over and over again before writing a single line of code or spending any money on product development you need to first design a business model blueprint this is because the true product of a startup isn't just building a working product but a working business model I've seen tons of founders with great products fail because their business model didn't work they either ended up building something nobody wanted or built a product that didn't solve a big enough problem or failed to build enough awareness around their product now creating a business model blueprint doesn't mean writing a 40-page business plan instead use tools like the lean Canvas OR the traction road map to capture your key assumptions on a single page this forces clarity and helps you identify the riskiest parts of your idea which brings us to tip number eight practice right action right time there's this myth that entrepreneurs

love taking risks but some of the best entrepreneurs that I know are actually quite risk averse they work hard to eliminate the riskiest assumptions in their business model early to remove as much downside as possible in their idea you do this by practicing right action right time time yes there is always more work to be done in a startup but the key to making the biggest impact isn't by doing more or going fast and everything but rather by focusing on the few key actions at the right time and ignoring the rest for example most Founders obsess over their text stack or logo design before validating if customers even want their solution this is like fine-tuning your race car before knowing if you're even on the right track right action right time is about focusing on activities that reduce risk and uncertainty first and at the earliest stages what's riskiest is ensuring that you're solving a big enough problem your customers will care about which brings me to tip number seven love the problem and not your solution this is perhaps one of the most important mindset shifts you need to make as a Founder most Founders fall in love with your solution and then desperately search for a problem it might solve it's like building a key but not knowing what door it could open and this is backwards instead fall in love with the problem be obsessed with understanding it deeply and the right solution will emerge from misunderstanding most Founders skip this advice because they think it would be far faster to build a product first but this isn't true products always take longer than we expect and here's the counterintuitive bit customers don't care about your solution but their problems and the best way to test if you're solving a problem they care about isn't by getting them to first use your product but starting a step earlier which is my next tip tip number six sell before you build this might sound controversial but you should always sell your product before building it think demo cell build not build demo cell now I don't mean taking money from your customers for a non-existent product you don't intend to build I mean showing prospects a demo of what you plan to build and testing their interest first that they're interested get a tangible commitment like a pre-order or down payment and this is how you really know if they want what you're going to build or if they're just being polite think of it this way if you can't sell your demo a working product won't make a difference and remember it's always easier to build something people want than to make people want something that you have built this single tip can save you a bunch of time because it's far easier to build a demo and iterate than a working product at the same time speed is still key in a startup and it's very easy for a few weeks to quickly turn into months and so at number five I emphasize the importance of setting a 90-day time box for your idea so why 90 days because a 90day cycle is long enough to Derisk an idea using a demo cell build process and get meaningful results at the same time 90 days is still short enough to maintain urgency and let you dip your toes into the world of startups before going all in so yes it is possible to run a 90day cycle parttime as a side hustle which is what I've done with all my products and what I usually recommend others to do as well that way you prioritize de-risking demand for your idea before quitting your day job or breaking into your savings or your piggyback so how do you know when to go all in this brings us to tip number four traction is the goal traction is evidence that people other than yourself your team and your mom care about your idea traction for your idea is what you're aiming to demonstrate in those first 90 days getting there will change everything once you have traction you gain more confidence in your idea and can take a leap from treating your startup as a side hustle to going all in traction also allows you to attract more early adopter customers advisors and even early co-founders this is because these types of people are attracted to something new and exciting especially when it's starting to work and traction is the

best evidence of that now I don't want to make it sound like startups are easy far from it the reason I allocated 90 days to the demo cell build process is that most first ideas or demos don't work immediately if they did this would probably require just a 14-day time box most ideas meet the full 90 days for you to learn from customers experiment with new ideas hit a few dead ends and then course correct from there statistically speaking most ideas don't work at the very beginning and more than 2third of all successful Founders report drastically pivoting along the way so you have to be prepared for this at number three replace f failing with learning most Founders change course too quickly at the first sight of failure and call that a pivot but that isn't a good pivot because they are typically not grounded in enough learning trying a bunch of random stuff is like throwing a bunch of spaghetti on the wall to see what sticks yes you might get lucky but this isn't an optimal strategy and for every idea that could work far more won't go anywhere good ideas require chasing your failures instead or to use a better term unexpected outcomes in your business model to get to root causes every failed experiment every rejected pitch every unsuccessful launch these aren't failures think of them as data points and learning opportunities that bring you closer to what will work you do this by asking why and this is how you uncover true insights insights typically have to be learned or earned they can be guessed and they are how you unlock the next inflection in your hockey stick now this kind of experimentation requires a certain kind of mindset which I've captured in tip number two have faith in yourself but be ruthless with your ideas now this is a subtle but crucial distinction having faith in yourself means believing in your ability to eventually succeed being ruthless with your ideas means admitting when something isn't working chasing root causes and pivoting as needed one of my mantras is Life's too short to build something nobody wants so don't won't tie your identity to any single idea the best way to find your next big idea is to be open to multiple possibilities and with that my number one tip is just start stop thinking that you first need a perfect idea or that you need to first take some kind of course or move to a startup City to start there is no perfect time to start the market is always changing technology is always evolving and your life circumstances will never be completely ideal but startups are like the martial arts or learning to play golf you can get better on the sidelines watching others you have to learn by doing the good news of course is that you don't have to go all in in the start and hopefully these tips have given you some ideas for how to start small with a plan a and then systematically iterate from there the best way to learn how is to give yourself permission to start in the first place now if you found this video helpful and want to dive deeper into these Concepts consider joining my 90-day startup challenge I'll link it in the description below thanks for watching and until next time take care

the one habit that I can say hands down has had the biggest impact on my startup and product growth is making time to regularly talk to customers but go talk to customers is about as useful as go build something people want it's easy to say but hard to do well and so in this video I'm going to share how I got started talking to customers why I think it's absolutely critical for every founder to do and some practical tips I've learned over the years for structuring your customer conversations for maximum learning hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the one page business modeling tool lean canvas on this channel I share systematic strategies and techniques for launching and growing startups so first off talking to customers didn't come easily or naturally to me like a lot of

technical Founders I preferred spending most of my time on my product and when I needed customer feedback I relied on tools like emails surveys and analytics because they felt more efficient than talking to customers it's not that I hadn't tried talking to customers the few times that I did the conversations either felt like a waste of time or they sent me off on Wild Goose chases I'd leave a conversation with a customer with a laundry list of features to build and then after I had built them even the people who requested these features would inv buy instead they'd come up with some other laundry list of missing features I'd all but giving up on talking to customers until a conversation with niy babok one of the co-founders of Angel list changed my mind and made me give it another try I was meeting niie for advice on my startup that I recently launched it was a software product and while I was getting thousands of free users a month only a few of them were actually buying he advised me to talk to my customers I of course smiled and rolled my eyes as I started recounting one of my wild goose stories May quickly interrupted me and pointed out that I had been talking to users and not customers he went on to clarify that users and customers are not the same not all users become customers and most users have no intention of ever buying a product the irony is that often times they even don't know this and so they think they're trying to help by giving you feedback but instead they're sending you off on these Wild Goose chases he then told me to shift my focus entirely to the much smaller number of paying customers that I had and try to identify why they were buying the next day I reached out to several of my paying customers and still vividly remember this one conversation with an attorney he was blunt and quite effective he told me to stop building more features and to raise my pricing instead yes he wanted to pay me more money because he liked my product and was afraid that I might go out of business because I wasn't charging him enough my other customer conversation sound it similar which led to a mini Epiphany all this time I had been chasing free users who kept asking for more features and still didn't buy when I built them on the other hand I had paying customers asking for less and wanting to pay more so over the next few weeks I transitioned my product away from premium repositioned the product's value proposition without changing any product features and managed to charge 10 times more for the same product I had just experienced the power of talking to customers the right way and I was sold I picked up a copy of the four steps of the Epiphany by Steve blank which was a book nivy recommended I read if you have read this book you know it's not an easy read but it's chalk full of valuable insights I committed to putting the customer development principles in the book to practice but as I got going I had a lot more tactical questions and answers on how to effectively structure these customer conversations this prompted me to start a new journey into the world of startups where I began rigorously testing and refining many different customer interviewing techniques until I settled on the approach I now use for all my products I outlined this customer interviewing approach with step-by-step scripts in my book running lean and I'll share some of my top tips from there next but before I get to them I want to First quickly dispel the top three objections against talking to customers that I still hear from Founders in case you're still not convinced about why why you should make time to talk to customers this might help so here's the first customers don't know what they want a lot of people site the following misattributed code from Henry Ford and declare it hopeless to talk to customers if I'd asked people what they wanted they would have said Faster Horses but even hidden in this code is a customer problem statement had customers really said Faster Horses what they were saying is that they were dissatisfied with the performance of their existing alternative which happened to be a horse for

the job they were trying to do which was Transportation they desired something faster now one could take this literally and try to train or breed horses to go faster or you could think differently and find a way to mass-produce Mechanical horses or automobiles which is the path Henry Ford took now it's no coincidence that even though an automobile looks nothing like a horse we still use horsepower to this day as a measure of performance I guess if horsepower car would be the equivalent of 500 horses pulling a horse-drawn Carriage the key takeaway here is that given the right context customers can clearly articulate their problems but to channel Steve Jobs it's not the customer's job to know what they want that's your job as the entrepreneur as the innovator the next objection I often hear is that talking to customers takes too long this is when a Founder will typically propose using a survey instead or driving traffic to a landing page and measuring click-throughs while running a survey seems more efficient than interviewing customers starting there is usually a bad idea and here's why surveys assume that you know the right questions to ask and also the right set of possible answers which you present as a list of multiple choices to pick from but at the earliest stages of a product we often don't know what we don't know and so it's impossible to design a good survey that uncovers new insights because you only end up confirming what you already know which often isn't enough to build a breakthrough product this is why the best way to learn from customers is through carefully scripted open-ended conversations now what about landing pages landing pages also assume you know how to pitch your product well but most initial landing pages start out as guesses and miss the mark completely the problem with metrics is that they can only tell you what actions your visitors are taking and when you miss the mark visitors don't take any actions on your page they abandon the page which leaves you guessing as to why now this is a multivariate guessing game did they abandon your website because of a bad headline bad copy was it something with your visuals pricing or something else you could try endless combinations of fixes but each test requires more traffic and more importantly more time to run it's a lot more efficient and faster to just ask a customer why they are in Buy in a face-to-face conversation the last objection I'll share with you goes along the lines of I am my own customer or I have spent years working in the space and so I don't need to talk to anyone else first scratching its own itch is a great way to get started on an idea many of my products like the lean canvas started out this way but it's still not an excuse for not talking to customers for starters can you really be all that objective about the problem and about pricing especially when you are role playing as both the entrepreneur and the customer as for having extensive prior experience if you already understand the problem space well use that in your customer conversations to establish Authority and Trust if you can describe a problem better than your customers can they automatically believe you must also have the right solution and start viewing you as the expert you have probably experienced this firsthand in the doctor's office when you excitedly follow your doctor's prescription after they accurately diagnose your symptoms so hopefully I've convinced you that contrary to Common belief the best and fastest way to learn from customers isn't with a survey or landing page or metrics but by talking to customers one-on-one I went from devising ways to avoid talking to customers myself to Now setting aside dedicated time on my calendar weekly to have these types of customer conversations but remember just talking to customers isn't enough you have to also know how as Richard Fineman used to say the first principle is that you must not fool yourself and you are the easiest person to fool it's quite easy to fool yourself in a customer conversation by Leading your customers to answers you want to hear or unconsciously

misreading or exaggerating their responses only to justify the solution you want to build in the first place this is our innovator's bias or love for the solution at play the danger of misreading a customer conversation has far-reaching implications than just the time you spend talking to customers this is because you could start building something on a false premise only to be rudely awakened months down the road when no one wants what you built which can be a very expensive detour in the last section of this video I'll share my top three tips for sidestepping our innovator's bias and maximize your conversations for learning I've already shared the first one but it's so key and often miss that it's worth repeating Target customers not users or active buyers when founders start talking to customers they target potential users or active buyers of their solution but remember that these people most likely still don't know what they're looking for and sure sometimes you can get lucky and find a good user that becomes a customer but it takes a lot more conversations to find them and to filter the right signal from the noise in contrast since your goal is to make customers it's far more effective and faster to talk and model after customers either of your own product or if you haven't launched yet then customers of whatever existing alternative they are currently using to get a similar job done so what do you ask them during these interviews here's what not to do don't ask customers to summarize or rank their problems problem is a red flag word and I recommend avoiding it completely in a customer conversation for the following reasons one it's can Spotlight a specific problem and lead the customer down a path where they exaggerate its importance relative to other problems in their world many customers also don't understand the root causes for their problems and may give you surface level problems or worse they make up stuff to sound smarter and finally they may not even want to admit they have a problem in the first place because they don't want to feel weak or vulnerable in front of you someone that they may not yet know like and Trust so if you don't ask them about problems what do you talk about in these interviews you should instead ask them about how they get the job done today instead of speaking in generalities I recommend homing in on a recent instance when they either used your product or a close existing alternative ask them about what caused them to start using the product what were they trying to accomplish and study all the steps from the initial triggering event to the job being done were they satisfied in the the process was the process enjoyable were there obstacles or complications along the way the answers to these questions are where you'll find real problem work solvings the good news of course is that customers are more alike than unlike and so you don't need to run dozens of interviews for patterns to emerge if you script your interviews well I find it starting with just 10 conversations is often enough to extract 80% of the most actionable insights again if you want step-by-step Scripts for how to set up and run these types of conversations you can check out my book running lean thanks for watching and until next time take care

every week I meet aspiring startup Founders who are stuck they know startups face dismal odds of success and so before taking the plunge they try to First find a perfect startup idea but a perfect idea is a myth and waiting for the perfect idea is a recipe for never starting the number two reason why Founders fail is not starting and so in this video I'm going to show you how to not find a perfect idea but a good enough startup idea to begin with hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies and

techniques for starting and growing a business so where does this myth of the perfect idea come from I blame the press and the media the media loves to celebrate stories of visionary Founders who saw the future and shorted a course to intersect it with a revolutionary new product offering while these make for great stories and movies behind every Visionary and overnight success story usually lies years of hard work experimentation and a series of drastic pivots or course Corrections that the storytellers conveniently skip more than 2third of all successful startups drastically pivot their ideas along the way and what actually ends up working almost never looks anything like where the founder started this means that what separates successful entrepreneurs isn't necessar necessarily starting with a perfect idea but rather a plan a the true job of an entrepreneur then is to turn this plan a into a plan or business model that works and this is the key bit they need to do this before running out of resources and before someone else does this because every business model has a finite window of opportunity before it closes this requires a fundamental search versus execution mindset shift good founder don't execute ideas they search for working business models they're okay with starting anywhere because all startups come enveloped in a fog of uncertainty and the only way to vet good ideas from bad ideas isn't through more fictional planning or analysis but by taking those first few initial steps good Founders don't chase Perfection but rather balance speed and uncertainty with learning and iteration to shape their early ideas into working business model so this begs the obvious next question how do you find a good enough idea spark or plan a to start with now you'll hear the experts say to start with problems but I don't find this to be a particularly helpful or useful starting point because simply asking what problem can I solve is too open-ended a question you easily end up with big and wicked problems like ending world hunger or trying to solve poverty which are too complex or you end up with obvious surface level problems that are not specific enough a slightly better and more common question is asking what problem can I solve with X where X is some new technology that recently became accessible like AI at the moment or blockchain or the internet before that now while this is a slightly better starting point it's still to open-ended and especially if you're a technical founder it's easy to over index on the initial hype that follows any new technology and fall into the innovator's bias track this is where once you've decided to use a hammer everything starts looking like a nail and you unconsciously start inventing problems just to justify the solution that you want to build the Trap here is being too early to Market and creating a solution looking for a problem which is not a very good place to be all good ideas need to address specific and existing problems that people struggle with not future or unknown problems that they don't yet care about but these problems are often not so obvious at the beginning and so the idea generation approach that I recommend and have used many times for my own products doesn't involve starting with problems or Solutions but rather existing Alternatives it's built on a mental model I call the innovator's gift the basic premise of the innovator's gift is simple Innovation is fundamentally about causing a switch for from some old way to a new way in other words every successful product displaces some existing product so the best way to uncover a real problem we're solving is by asking what's broken with this existing product here's how to make this practical make a list of all the products or Services you have bought or used in the last 3 to 6 months these don't have to be big ticket purchases but don't pick something routine like buying a cup of coffee pick things where you struggled or spent time researching Ing and evaluating the product or service now your objective is to imagine something better new problems word solving

come disguised as disappointing outcomes pet peeves struggles or workarounds try to uncover these things by asking the following questions did the product achieve the outcome you were expecting was it easy to use could you create something that either delivered a better outcome or would be easy to use or both here's the origin story behind lean canvas the one-page business modeling tool I created in 2009 that followed this process at the time I was cutting my teeth on putting Lean Startup principles into practice with my own products I needed a way to capture and prioritize the riskiest assumptions in my products and I used a set of worksheets that I found at the back of Steve blank's book the four steps to the Epiphany the problem with these worksheets was that they weren't very Visual and were difficult to maintain and update over time this is when I stumbled into Alex auster walder's business model canvas I was drawn to its one-page Simplicity and modeled my current products using it while it was a huge improvement over the worksheets and business plans that I had written in the past I found many of the boxes on the business model canvas to be more applicable to established companies than early stage startups like the products I was working with many of the same boxes described scaling risks such as key Partnerships which would be important down the road but I struggled to capture what I found to be most risky and important at the start of my products things like problems and solutions I noticed the business model canvas was released under a creative commment license and the creators encourage remixing and so I started tinkering with a few of these boxes I ended up changing four boxes and adding three new ones if you want to know why I made these changes I'll link an article in the description below this tinkering of the business model canvas was the initial idea spark that eventually led to the lean canvas and the Frameworks I now teach on lean Foundry and lean stack new problems word solving come from old Solutions and you can see the progression of problems and Solutions in the business modeling business planning space on this timeline now I find the best place to capture my idea Sparks is also on a lean canvas and yes being the technical geek that I am I had a meta recursive lean canvas where I built a lean canvas on on the lean canvas itself as you explore your idea Sparks I encourage you to keep an idea journal or sketch out a rough lean Canvas OR leaner canvas if you're looking for a free lean canvas tool you can find one at lean canvas.com now at the start of this video I said that the number two reason why Founders fail is not starting and hopefully this technique of idea generation will help you generate several ideas that you can start considering but once you generate a few ideas don't rush into building them out because the number one reason why startups fail is wasting resources on building something nobody wants the next step is not rushing to build an MVP but rather prioritizing and then stress testing your most promising startup ideas to find the one idea to go all in on if you're serious about finding and validating a startup idea consider joining my 30-day business model design challenge where I outline the exact process I've used to bootstrap all my products from concept to scale I'll link the challenge in the description below thanks for watching and until next time take care

a few years ago I attended a session by Kathy Sierra at South by Southwest in Austin which completely changed my identity as a startup founder if you had asked me what I did before that session I would have told you that I was a technical founder who buil software products software was my world and my identity today I don't just build software products but write books deliver Keynotes run workshops and coaching programs and have even built a few physical products

breaking out of the solution context changed not only my identity as a startup founder but also the trajectory of my startup and business model and it's something I recommend every startup founder consider doing hi there if you're new to this channel my name is Ash Moria and I'm the author of running lean and the creator of the one-page business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business and so this session at South by Southwest couldn't have come at a better time at the time I was busy busy running an early stage software startup but at a Crossroads my blog which I had created as a personal accountability system and a way to clarify my thoughts on products and Entrepreneurship was starting to take more and more of my time and one Post in particular had recently taken off in it I Shar an early version of a one-page business modeling template lean canvas as a remix of the original business model canvas by Alex ostra waler the outflow of feedback and interest in this temp template had been unexpected and after a few readers created their own online versions of the lean canvas I wondered if I should do the same and offer it up as a SAS products now my advisers didn't think that was a good idea for one it would take me away from my core startup product and possibly be a distraction two there was no guarantee that people would find the canvas useful enough to pay for it and three as one adviser put it even if some people on my blog were using it now the big question is will they use it over time in other words will it scale now while I agreed with their arguments I couldn't shake off this feeling that there was something here but I didn't know the best way to proceed that's when I attended Kathy's session and this one concept of focusing on the bigger context helped me find a path forward she talked about how every product in the world lives in two contexts as a tool in the solution context but also in a much bigger and more compelling context when a photog pher is trying to impress someone they don't talk about being the best tripod expert they talk about and better yet show their photographs in this example tripods and cameras are tools that live in the solution context and photography is the bigger and more compelling context another way to think about this is that your product's features live in the solution context and your customer's desired outcomes live in the bigger context and desired outcomes not product features are what people really care and talk about and then she shared the following prompt for uncovering a product's bigger context don't make a better X make a better user of X it's a perspective shift from making better products to making better users of your product and here's how you would apply it if you're a camera manufacturer don't make a better camera make a better photographer now sure focusing on making better photographers might lead you back to building better features and making better cameras but this this shift in perspective can lead to more profound insights for instance you could also make better photographers by teaching people how to take better pictures through a course or online class here your camera features don't change but people's ability to use them to take better pictures does and once they start seeing the world around them in higher resolution they buy more cameras and lenses and tripods from you or you could completely foro the need for educating people in the first place on how to use cameras by making them dead simple to use but while the canons and Sony's and nikon's of the world were building more powerful features into their camera Apple came along and showed everyone how to become a better photographer by using something they already had in their pockets a smartphone instead of trying to make sense of all these features by reading a manual or attending a class to learn about f-stop and aperture you could just pull out your phone and click a single button they redefined what it means to be a better photographer

and you can see the impact smartphones had on the camera industry in this chart shifting perspective from better features to better users has three immediate benefits one it forces you to define the hero in your product story and know this isn't you or your product but your customer number two Heroes don't start out as Heroes and that's where you come in your job is to build something that turns ordinary customers into superheroes and three finally as you saw with the simple example shifting Focus from delivering better product features to better customer outcomes can help you transcend your product category and move from the solution context to the more compelling bigger context and this is why it's completely okay for a camera company to offer photography training and how a smartphone completely disrupted the camera industry my mini Epiphany happened when I tried applying this framing to my startup at the time I was building software that simplified the transfer of large files but as I completed this sentence don't make a better file sharing product make a better blank I struggled to fill in the blank not because I didn't know who my customers were my biggest customer segment at the time were wedding photographers who needed to organize and move large files quickly after a wedding shoot I struggled not because I didn't know who my customers were but because I had founded my company around a technology vision and had already pivoted customer segments a few times where the market led me was not where I thought I'd end up while there is nothing inherently wrong about wedding photographers I wasn't into photography myself or weddings for that matter and couldn't see myself getting fired up about their bigger context I realized then that I had more passion for my solution the technology side of things than my customer and that was a problem it explained my many hours and my blog posts and why I wanted to keep working on tools like the link canvas it also became clear to me that I either needed to find a co-founder or team member who had the drive and passion for photography to grow my current startup or I needed to do something else entirely now I eventually chose the latter which wasn't a simple decision and here's how I went about evaluating my options I started by applying Kathy Sierra's prompt to my lean canvas product and wrote down don't make a better business model can make a better startup founder this begged the obvious next question what do early stage startup Founders struggle with and more importantly what could I possibly do to help to get some answers I interviewed several of my blog readers I wanted to understand their more compelling bigger context and more specifically how they saw the lean canvas fitting into that picture what immediately struck me was that no one cared about whether the lean canvas was online or not or the long list of features I had already dreamed up of building things like versioning of canvases and other collaboration features everyone I talked to was struggling to turn their big idea into a working business model and was looking for a prescriptive step-by-step framework they could follow that's when I realized that was their bigger context and I didn't need to build software to deliver that and so instead I designed a one-day paid Workshop where I showed people how I was using the lean canvas in my startup instead of an online tool I used printouts of the lean canvas template and that's also when I discovered another benefit of transcending category and breaking out of your solution context and that was speed of learning these workshops gave me a front row seat to my customers helping me see how they used the lean canvas where they got stuck and how to improve it in The Lean Startup world today we now call this tactic a concierge MVP where you first become the product and deliver value through a service which is a much faster way to learn than building a fully baked product first and because I was using print outs in the workshop versus having to write and build software these were

essentially a paper prototype that I could quickly iterate on and make changes a whole lot faster as well for instance one of my goals was to make the lean canvas as intuitive as possible I didn't want people to have to read a manual or a book to have to create one and so at the start of every Workshop I would hand out the canvas set a timer for 20 minutes and ask people to create their first snapshot without any instruction whatsoever then I'd watch where they got confused or stuck that's how I learned what to simplify on the Lean canvas and I test these improvements over time in future workshops once I had a version that worked repeatedly that's when I turned my paper prototype into a software tool and started using that in my workshops instead of the printouts again seeing where people got stuck allowed me to improve the usability of the product and once the lean canvas tool was good enough for the workshop I then opened it up to the public and even then I didn't just offer people the tool because remember that people don't care about tools but their bigger context I turned my workshop content into a book running lean which taught people how to use lean canvas to iterate their big idea from concept through product Market fit and I built a bunch of simple courses to go along with it writing a book can be an even bigger undertaking than building software and so I used a very similar process for iteratively testing and selling my book before I wrote it if you're interested in that story you can check out this video over here now I did all of this as a side project while running my core startup and once I validated for myself that there was enough demand for these products and that I could see a business model materializing that's when I decided to sell my original startup and go all in in finding more ways to make better startup Founders under a new company called lean stack notice that I didn't call it lean canvas because that too would have been too solution Centric and too limiting now sure enough along the way more tools got built another book got written and a series of step-by-step playbooks started taking shape and that's when I Revisited this prompt again don't make a better blank make a better startup founder and realized that the left half didn't matter all that much and so I simplified it even further to just make better startup Founders and this is how I now think of our true product at leanstack writing books building business modeling tools and creating Frameworks were never part of the original secret master plan while they seemed random and disconnected at the start it's easy to see in hindsight now how they were built and how they align with the overall mission transcending the solution context and chasing the bigger context has been a fundamental mindset shift for me and a GameChanger and something I recommend that you also consider applying in your business product optimization lives in the solution context this is where you search for better features but product Innovation lives in the bigger context this is where you search for different and better outcomes which is how you stand out as a startup founder now if you like this video you should also check out this video over here on how to win against the competition by picking different axes are better

startups are inherently risky and can easily consume years of your life for the journey to be worthwhile you have to chase asymmetric risks where the potential upside of your startup is much greater than the potential downside not enough to Simply aim for a 1x or 2x return on your salary you have to think a lot bigger and aim for a 10x return while ruthlessly eliminating your downside so in this video I'm going to share my top seven costliest mistakes that first Founders make so you can actively reduce your downside while swinging for the fences hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the

popular onepage business modeling tool lean canvas on this channel I share systematic strategies and techniques for launching and growing a startup so coming in at number seven is quitting your day job to work on your startup there's this myth that you have to just believe in your ideas strongly enough and take a leap of faith but quitting your day job as soon as you get hit with an idea is like jumping off a cliff with no parachute and no safety net even professional trapeze artists don't just leap into the air they first practice with safety nets and wires professional or serial startup entrepreneurs are no different the reality is that many successful ideas can and do start as side projects and with the right tools and knowledge it is possible to first sufficiently de-risk any idea before deciding to go all in for me that is achieving problem solution fit with an idea I consider problem solution fit to be the first significant milestone of a startup idea and it's when you go from hoping people will buy your product to confidently knowing that they will with the right tools and knowledge it is possible to achieve problem solution fit with any idea irrespective of what solution you're building in just 90 days and working part-time 10 to 15 hours a week until you can demonstrate problem solution fit I find that quitting your day job or going full-time on any idea just doesn't make a whole lot of sense the main reason founders think they need to quit their day job is because of reason number six they think they need to first build a working product and this too is a false belief in a study on startup failure most of the founders who failed didn't fail because they failed to build the product they set out to build they failed because they built something that no one or not enough people wanted in other words given enough time money and effort we can build almost anything these days the bigger question is will anyone care customer and market risks are much riskier than technical or feasibility risks now it's common to think that the only way to test customer and market risks is with a working product but this too isn't true customers first buy a promise of something better a promise can be delivered through an ad or a landing page or if you're even in an enterprise setting through an email phone call on LinkedIn or a webinar if this promise of better earns their attention they might then ask for a demo and if that checks out they then ask for pricing or to start a pilot nowhere in these steps do you need a working product if you can grab sufficient customer attention with your promise you don't get to show them a demo and if you don't show them a demo you don't make a sale so it should logically follow that until you can sell your demo why bother building a product I call this tactic demo sell build versus build demo sell and it's a huge shortcut that significantly de-risks the downside of you wasting needless time money and effort only to build something nobody wants the other costly distraction or trap that founders fall into is number five premature fundraising or joining an accelerator because the cost of building products is at an all-time low invest today don't typically invest in an idea or a working product but rather traction you'll have a much higher chance of grabbing an investor's attention with a pipeline of customers that want to buy your product once it's built versus trying to convince them to give you money to build your product so you can attract customer interest and so until you have some demonstrable traction why bother wasting precious time chasing investors and the bigger subtext here is that one you may not even need investors in the first place if you can get to traction and customer revenues on your own and two not all ideas require investment especially VC investment every year I meet hundreds of founders and startup accelerators with uninvestable ideas they had no problem getting into these accelerators their problem is getting out these founders would be much more successful if they focus instead on bootstrapping and acquiring customers versus doing what everyone else is doing joining accelerators and chasing

investors okay so let's move a little further down the timeline assuming you have a product or MVP built the next costliest mistake I often see is pursuing a public launch public launches consume a lot of resources and a common trap here is falling into the premature optimization trap this is where it's easy to over index on scaling needs whether it's investing on more servers or marketing campaigns or ads we are often told to go big or go home and this too is just bad advice every hockey stick starts out with a long flat curve not because the founders don't want to grow fast but because they have to go through lots of stuff that doesn't work before they find what does a better mindset here is deliver value or go home and value delivery doesn't need to start with hundreds or even thousands of customers just 10 carefully selected initial customers will do the logic here is that if you can deliver value to just 10 carefully picked hand selected customers what makes you think you can deliver value to hundreds or thousands of customers on your own now if delivering value to 10 customers is easy then don't just stay there turn your attention to 10 Xing that to a 100 customers and then to a thousand I call this tactic a 10x product launch and I prefer it to public launches because it helps you play the hockey stick in stages versus letting the hockey stick play you and Whiplash you around the next costly mistake along the same lines is number three starting with the premium model the thinking here goes that when launching a new product it's often a good idea to give away your product for free so that one you can learn from users two you can get them to try before they buy and three setting pricing them based on what users will be willing to pay while sound in theory things seldom work this way in practice because again most first launches typically miss the mark when users encounter a half big product they don't give you feedback instead they go to you and leave without user feedback there is no true learning just guessing which is a recipe in my opinion for going around in circles and more importantly pricing is one of the more riskier parts of a working business model it separates your users from customers and it's not really your customer's job to set pricing that's your job so finally what I'll say here is that charging from day one extends your Runway which is why I'm a big fan of starting with premium before freemium a closely related motivation for doing public launches and starting with premium is reason number two which is going too broad in order to pursue a large Market which is what we're again told to do a common mistake is to think that your product should be for everyone but when you try to Market your product to everyone you end up reaching nobody while all companies at scale address many different customer segments we have to remember that they all started with a much smaller and focused early adopter segment before Facebook opened their social network to the public they built much smaller networks on college campuses and their first initial early adopters were college students on just one campus Harvard Apple's early adopters were creative professionals like graphic designers and Publishers while Microsoft's early adopters were largely business gers and hobbyist programmers early adopters have above average motivation to use your product and so the logic here is that if you can deliver value to them it will be much harder to deliver value to other types of customers early adopters also tend to be less price sensitive than mainstream customers and so it's also easier to start with premium before premium with them this brings me to my number one costly mistake which is at the root of many of the other mistakes I've covered so far number one falling in love with your solution we entrepreneurs are naturally wired to think in terms of solutions but for the all the reasons above starting with a solution no matter how easy it initially seems often consumes more time money and effort than we originally estimate but the real kicker is that it's also usually not what's riskiest

in a startup after years of building what I thought were awesome Technical Solutions that didn't turn into awesome working business models I switched my focus to chasing problems toward solving and solution building got a whole lot easier and a whole lot rewarding in exchange problems not Solutions create new spaces for Innovation and not all problems are created equal going back to my earlier recommendation finding problem solution fit ideally before you build your solution is the key to drastically reducing your downside while searching for the biggest possible upside or biggest problem worth solving all you need is 10 to 15 hours a week and 90 days to achieve problem solution fit I built a set of guided playbooks for new Founders that walks through all the steps if you'd like to learn more I recommend starting with my free boot start course which I'll link in the description below thanks for watching and until next time take care

when entrepreneurs get hit with an idea too many Founders make the mistake of rushing up this Vision strategy and product pyramid only to prematurely fall in love with their product this is the classic build first or product first approach where the tendency is to lead with what you are building instead of taking the requisite time to first get your vision and strategy in order vision and strategy are foundational layers without which even a good product cannot withstand the weight of its market and can come crumbling down but how do you build a simple yet powerful vision statement that defines your mission aligns your team and shapes your strategy that's what I'm going to cover in this video hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the popular onepage business modeling tool Lan canvas on this channel I share systematic strategies and techniques for starting and growing a business so let me start by defining the job of a good vision statement a good vision statement starts with communicating your why maybe you've come across this talk from Simon Sinek on the Golden Circle in this talk he made a case for how great leaders communicate differently they lead with their why or purpose then describe their how or unique value proposition and finally describe what they do their products he opens the talk by asking why is Apple so innovative why are we perfectly okay buying an MP3 player from them but not from Dell both are computer companies with access to similar resources talent and media this talk was delivered after Apple released their first outlier product the iPod which is where the MP3 player question comes from it was so different from their other laptop and desktop products that it led them to drop the word computer from their name opening the way for Apple to transcend category over the next few years today you can extend the same question to ask why are we perfectly okay with buying smartphones tablets watches and smart speakers from Apple in addition to computers the reason is that Apple communicates differently they lead with why they do what they do versus just talking about what they do simply by reversing the order of how they present their Golden Circle apple is able to inspire action both inside and outside the company now even though the Simon Sinek talk was on how great leaders communicate I find that the Golden Circle is just as applicable to how Founders should think of their startups and Maps perfectly to the vision strategy product pyramid Vision maps to your why strategy to your how and product to your what so before rushing to what you're going to build start with your why so what does a good vision statement look like a quick online search will reveal a list like this one a good vision statement should be an inspirational vision of the future it should be focused on a common goal and it should reflect your core values the problem is that when you attempt to fit all this into one statement you easily end up with a bland and generic 50 to 60w MBA like

mission statement that sounds like this the mission of insert any company here is to deliver superior quality products and services for our customers and communities through leadership Innovation and Partnerships and it goes on and on and on guy Kawasaki makes a strong case for ditching this MBA mission statement and instead opt for a three to five statement mission that serves like a mantra and creates meaning here are some iconic examples organizing the world's information from Google accelerating the transition to sustainable energy Tesla authentic athletic performance Nike I know that when most people think of Nike they probably think just do it that's their tagline which is different but related to a vision statement with apple think different might come to mind which I'll get to a little bit later also but Apple's early mission statement was really around democratizing access to technology both Steve Jobs and Steve Wozniak were driven to use innovation to empower people through technology and make a positive impact on society we'll clarify this or simplify this even further in the next section notice how none of these sound like they came from a corporate mission statement generator they're clear concise and create meaning more importantly they all start with why now I'm guessing that you have probably seen these examples before for and maybe even struggle to create something as memorable for your own startup I know that I certainly have and so in the next section I'll show you how to break this down into three manageable steps and I'll use these three steps to show you how I created a vision statement for my company leanstack before you start with why I find it super focusing to start with who you have to get razor focused on who or more specifically who it's for because when you try to address everyone you end up addressing no one for Nike their who is athletes everything they do is in the service of helping create better athletes y who is the hero in your startup story in fact Steve Jobs was so inspired by Nike's ads and positioning where they never compared themselves to other shoe companies like Reebok and instead always honored great athletes that it led him to launch their own famous think different campaign where they made their who creatives who Change the world or as he referred to them The Crazy Ones a good prompt for finding your who is applying the following to your startup don't build a better X build a better user of X for Nike that's build better athletes for Apple that's build better creatives I use this prom to find the right who for my startup as well like many entrepreneurs I to had rushed up the product pyramid and after a few FSE starts and pivots I finally discovered my who as entrepreneurs and more specifically startup Founders the mission or reason for being shifted from just being around building cool and awesome products to building better startup Founders and that single mindset shift not only clarified my mission but it completely changed my trajectory as a startup founder if you're interested in seeing that story you can check out the full video over here now I'm sure you can probably appreciate the focusing power of identifying your who but it's just as important to identify who it's not for for example at leanstack we focus exclusively on putting Founders first not investors not service providers and not even advertisers only Founders so whenever we are confronted with a new feature or product idea or even a sponsorship campaign for this channel we always ask will this help or distract us from making better Founders if it doesn't help we just don't do it once you have your who the next step is identifying the value creating action your who or here takes in their journey of getting better this becomes the verb in your Mantra athletes perform in the case of Nike creatives make or create stuff in the case of Apple think of this as further defining what better means for your customers what makes a better athlete in the case of Nike that's performance this is how Nike for instance arrived at authentic athletic performance when crafting your own value creating

action you can either choose to focus on helping your customers achieve their goal or removing obstacles standing in the way of their goal authentic athletic performance is an example of helping athletes achieve their goal for leanstack I chose instead on removing obstacles for my customers Founders start companies but they do so under dismal odds of success nine out of 10 startups fail and so I chose our mission to be helping startup Founders succeed a few years in my journey I also realized that Founders are no longer limited to just starting in Silicon Valley or some other startup hotspot Founders are everywhere and so I evolved this statement to helping startup Founders everywhere succeed and even more recently I shortened this even further to democratizing entrepreneurship it's simple meaningful and I'll get to measurable in the next section but more importantly it serves as our foundation every product decision every strategy every feature flows from this vision statement I share the story to highlight that your vision statement can and will change over time and that's perfectly okay you don't need to worry about getting it perfect start with a first draft and iterate from there even create better startup Founders is a perfectly good first draft the final step is identifying your nordstar metric or key traction metric that you're going to measure this step helps you ballpark how you will know that you're creating enough better athletes or creatives or Founders or whoever the hero is in your startup story while a mantra creates meaning it should also be measurable or its meaning loses value over time my recommendation here is picking not five ways but just one way to measure it this one traction metric serves as your singular nordstar Compass guiding your journey this is where I find most people go wrong they either don't set any clear goals or try to set overly ambitious and fictional 10year goals when they can barely see 6 months ahead this is why I instead recommend starting with your minimum success criteria the minimum success criteria is the smallest outcome that would deem your mission a success just 3 years from now for more on why 3 years you can check out this video over here the power of the minimum success criteria is that helps you start small and adjust from there think of the minimum success criteria as the smallest not largest outcome that would create meaning for you then 10x that number to create a worthwhile destination this gives you both a realistic starting point and an ambitious stretch goal or Target to strive for for instance when I was first considering writing my book running lean as a side project before there was even a company behind it I set my minimum success criteria as being able to sell 100,000 books in the first three years and then 10 Xing that number to reach my stretch or impact goal of 1 million Founders a few years ago we crossed the 1 million Founders impact Mark and so I 10x that goal to 10 million Founders remember that no one ever faults you for revising your goals upwards if and when it's warranted having a clear goal makes the mission more concrete which in turn shapes your how and defines your what in other words it shapes your strategy and defines the products you build all in service of the mission this is what our complete Vision strategy product pyramid looks like the mission is to democratize entrepreneurship or help create more successful founders everywhere we do this by creating simple and practical startup playbooks that help turn the often chaotic startup journey into something more manageable and systematic and this in turn drives everything we build tools content and coaching resources in all fairness I didn't sketch this visual in one setting most ideas start with a little spark maybe we see a problem that needs to be solved or we get inspired with a solution idea but before rushing up the pyramid and getting lost in the product world where weeks can quickly turn into months or years I would highly recommend creating space to even roughly craft a starting mission statement I recommend starting with who's it for

then defining your unique value proposition and figure out product details from there a good exercise for distilling Clarity around your big idea is sketching a onepage lean canvas it takes less than 20 minutes to do and you can create one for free at [Lan canvas.com](https://lan.canvas.com) thanks for watching and until next time take care

so here's a surprising statistic more than 2third of all successful startups report drastically changing or pivoting their original idea along the way Twitter or X didn't start as a micro blogging service Instagram wasn't originally a photo sharing app and slack well they started as a gaming company the difference then between startup success and failure isn't necessarily starting with a perfect idea it's knowing when and how to successfully pivot from your original idea or plan a to a plan that works before running out of resources so in this video I'm going to share how to know when it's time to Pivot and more importantly how to do it systematically hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and creator of the popular one-page business modeling tool lean canvas used by millions of Founders around the world on this channel I share systematic strategies and techniques for launching and growing a startup the challenge with pivots is knowing when to Pivot and one of the first pitfalls in is pivoting too quickly and too often here's how that typically plays out you start on an idea and rush to build and launch something new and exciting into the world however most initial launches don't typically go as planned and so when you don't get the result you expected some initial disappointment sets in this disappointment quickly turns into resignation until you come up with a new angle you think of a new direction that might turn things around and this is what most people label as a pivot which brings me to the first misunderstanding about pivots a pivot is not about changing direction at the first signs of failure all ideas even good ones like a good tea typically require some steeping time before they start to work so when you start changing your idea too quickly it's easy to give up on an idea because you were too impatient even when you have a bad idea on your hand if you don't know why it's bad it's hard to come up with something better which brings me to the second misunderstanding about pivot pivots aren't about trying a bunch of random stuff trying a bunch of random stuff is like throwing spaghetti on the wall to see what sticks and sure if you throw enough spaghetti at the wall maybe you'll get lucky and something will stick but I think you can appreciate that this is not an optimal strategy most startups run out of resources before they find a breakthrough inside the takeaway here is that breakthrough insights can't be simply guessed they have to be learned or earned this is where the importance of learning comes in a pivot not grounded in learning is simply a disguised SE what stick strategy which can be a recipe of going around in circles until you run out of resources this brings me to the final misunderstanding about pivots pivots aren't simply about going fast speed of execution is often cited as a startups unfair Advantage but simply going fast under conditions of extreme uncertainty with a flawed plan is a recipe for just getting lost faster so speed alone isn't enough speed of learning is a startup's true unfair advantage and the way to do that isn't by rushing through a failure to come up with the next solution to test but rather slowing down to understand the root causes behind the failure through breakthrough insights are often hidden just on the other side of these root causes even when a Formula 1 driver approaches a turn they don't speed into the turn or they'll lose control they first hit the brakes to slow down then they read the turn turn to see the racing line which is the optimal path through the turn they then skillfully maneuver through the turn before accelerating out of it startups are

no different now the Other Extreme isn't any better many startup Founders hold on to a bad or flawed idea for too long and think that if they just believe in their Vision or idea strongly enough with enough determination and perseverance things will eventually turn around for them now while passion and determination are certainly essential attributes to cultivate as a Founder you have to be wary of blind passion and blind determination racing through a fog without any data or evidence that you're heading in the right direction is also a recipe of getting lost faster the real danger in this case is staying stuck with a flawed business model while someone else takes over the market with a slightly different business model that you could have pivoted to knowing when to Pivot then is a classic Goldilocks problem if you pivot too early you might miss out on a key breakthrough inside and if you pivot too late you might run out of resources or Worse miss the market so in the next section I'll show you how to know when it's time to Pivot and more importantly how to do it systematically the key to determining when to Pivot is building an external accountability system the problem with relying on our own judgment for when to Pivot is that it's too easy to fall into the post rationalization trap as we saw earlier if you try something new and don't immediately get the outcome you expected it's much easier to post rationalize and move on if for instance you launch a product during the summer month and it doesn't sell you might conclude that it's because everyone is on holidays if sales don't pick up immediately after the summer it's because well they might have just returned from their holidays and might need some time to settle in then here in the United States we have Halloween in October then Thanksgiving in November and Christmas in December and then the new year and a few other holidays mixed in all these holidays conspire to distract your customers from buying your product by this logic it's never a good time to sell this is exactly the post rationalization bias at work and while reasonably smart people can rationalize anything I find that entrepreneurs are especially gifted at this the antidote to this bias is establishing an external accountability system which is also the best way to tackle pivots systematically here's how I build my external accountability system I start by recruiting a few external stakeholders working in 90-day cycles and constantly reviewing progress let's walk through each of them it's hard to objectively review your own progress because of the post- rationalization bias I talked about earlier and so to do this well it helps to recruit a few trusted external stakeholders who can hold you accountable and call your BS these stakeholders could be advisers investors or domain experts but they don't have to be sure it's good to be surrounded with good advisers but the key here is external accountability when I first quit my day job to start a company my first external stakeholder was my wife then I included a few other startup Founders who were roughly at the same stage as I was and we kept each other accountable it was only over time that I recruited more season advisers and domain experts and coaches for my startup so the key here is to start small and focus first on accountability over were seeking the best possible advice with your external accountability team assembled the next step is establishing a non-negotiable progress reviewing Cadence I have found that working in 90day Cycles works best for this it's too easy for us entrepreneurs to fall into Flow State once we start working on our ideas this is where we lose sense of time and weeks quickly turn into months and years without us noticing time is the scarcest resource in a startup and I found that the best way to hold on to time is by setting explicit and non-negotiable time boxes think of these time boxes as regular checkpoints or pit stops in your startup Journey where you stop your Formula 1 race car to evaluate your progress I find that 90 days is long enough to take on meaningful work and make measurable progress in

a startup at the early stages 90 days is long enough to demonstrate early traction for an idea especially if you follow a cell before you build process it's also long enough to build and launch the first iteration of most products what we typically call the MVP especially if you're open to out of box techniques to speed up learning like using concierge or Wizard of Oz for testing an idea if you're unfamiliar with these strategies or tactics and want to learn more you can check out this video over here and just as importantly 90 days is also long enough to give you enough steeping time to rigorously test an idea or new campaign and not give up on it too quickly now at the same time 90 days is still short enough to drive a strong sense of urgency a typical startup roughly takes 2 to 3 years to achieve product Market fit if we break this into 90-day Cycles you'll quickly realize that there are only 8 to 12 such Cycles which is not a lot of cycles and so you have to make each one count Okay so we've got our external accountability team and 90-day cycle defined next I'll cover how I review my progress in these meetings I start first by scheduling a 45-minute meeting on my calendar with my external accountability team way in advance that way there are no scheduling conflicts or excuses to postpone I kick off each meeting by giving a quick progress report typically in 10 minutes where I review what I thought what I did and what I learned over the last 90 days I use a few key artifacts to make this more concrete such as sharing a snapshot of a lean canvas to capture what my key beliefs look like 90 days ago which I contrast against any new learnings and new beliefs that I have now I also capture my business model progress by highlighting a few key metrics on a traction road map which on the surface may look a lot like a typical forecast chart but it isn't unlike typical forecasts that tend to be overly optimistic because they often describe ambitious stretch goals traction road maps on the other hand are a lot more realistic because they capture an idea's minimum not maximum success CR IIA in other words think of this curve as the water level on a beach you should always aim to be above the water level and if you're not that should make you uncomfortable for more on the concept of minimum success criteria and how to create traction road maps you can check out this video over here okay so after the quick progress update I then spend the rest of the meeting driving toward a 3p decision 3p here stands for persevere pivot or pause if we are above our minimum success criteria curve it means our business model is working so far and this is the persevere case we use the remaining time of the meeting to identify our next 90-day goal from our traction road map and we pick one or more strategies or campaigns for achieving the goal if we are below our minimum success criteria curve this is a clear sign that our business model isn't quite working and we need to confront a pivot or pause decision how we do that depends on the quality of learning or key insights that we gathered during the last 90 days for instance if we are below our traction goal and have some evidence-based learnings for how to course correct this usually leads in a pivot conversation we spend the rest of the meeting discussing and prioritizing possible new strategies or campaigns to run which we'll test in the next 90-day cycle if we don't have good learnings instead of rushing or forcing a pivot we'll instead prioritize more root cause analysis or run more Discovery to gather evidence I follow the same approach with the decision to pause or kill off an idea I don't like to give up on things just because they aren't working even killing off an idea ideally requires learning why the idea is flawed so you can confidently stop it and channel your resources to something more productive when done this way killing off an idea is not failing as a Founder but rather eliminating dead end paths which is still a success in my book the key to making a good 3p decision is constantly revisiting your key beliefs key metrics and key insights and Having the

courage yes I'll call it that the courage to separate your success as a Founder from the success of your idea ideas are fickle and will constantly change that's what startups are all about so be ruthless with your ideas but have faith in yourself as a Founder more importantly cultivate a discipline to pursue evidence-based decision-making that is what I find to be the high order bit when it comes to suc with startups thanks for watching and until next time take care.

did you know that 80% of all billion doll companies have had two or more Founders that's right Steve Jobs had Steve wnc Larry Pig had Sergey Brin and Bill hue had Dave Packard and even Jeff Bezos who many think of as a solo founder co-founded his company with his wife and then quickly built a solid team around him so even he didn't build the Amazon Empire alone but finding the right co-founder isn't just about grabbing anyone willing to join you I've seen countless startups fail because Founders either when Solo or Worse partnered with the wrong person so in this video I'm going to break down exactly what to look for in a co-founder and how to find them whether you're a business-oriented Founder looking for a technical founder or vice versa so let's dive in hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the popular one-page business modeling tool Lan canvas on this channel I share systematic strategies and techniques for starting and growing a business so let me start by breaking down three compelling reasons why having a co-founder dramatically increases your odds of success especially if this is your first startup first we all only get 24 hours in a day while it's absolutely possible to start building a startup by yourself there inevitably comes a point when progress hits a wall because there's a limited number of working hours in a day plus getting a startup up and running requires both inside the building activities like building a product and outside the building activities like talking to customers you can be in two places at once and trying to juggle both types of work by yourself spread your already limited resources even thinner when you're juggling product development customer conversations marketing and sales something has to give either your progress crawls to a halt or you start cutting Corners where you shouldn't a co-founder here gives you leverage by helping you multiply your impact for first-time Founders especially this can be the difference between getting stuck and breaking through next finding good ide ideas requires a diversity of perspectives we all have our unique skill sets and worldviews that we use to make sense of the world but when left unchallenged this can lead to something I call the curse of specialization and this is what it looks like when faced with the problem it's not atypical for technical Founders to gravitate towards build solutions for designers to gravitate towards design Solutions and marketers well towards Marketing Solutions in other words when you've been trained to specialize in hammers everything starts looking like a nail but good ideas especially in a startup where you're trying to create something out of nothing typically don't originate from a single perspective they require a diversity of perspectives the best way then to find good ideas is to have lots of different ideas reasonably smart people can rationalize anything and I find that Founders are especially gifted at this and having a co-founder helps break you out of your own cognitive biases and keeps you grounded in reality now my final reason for having a co-founder is for morale and emotional support because let's face it startups are roller coasters one day you're convinced you're building the next big thing the next day a customer cancels your product hits a technical wall or an investor passes and suddenly you're questioning everything having a

co-founder can help balance these ups and downs and keep you going this emotional support isn't just a nice to have it's often what keeps you in the game long enough to win okay so if you're convinced that you need a co-founder your next question is probably what makes an ideal co-founder finding the right co-founder isn't about settling for whoever is available it's about finding someone who complement your superpowers the biggest mistake I see firsttime Founders make is looking for a clone of themselves when they're drowning in work they think I need another developer or I need someone who sells exactly like me this is usually exactly wrong what you need is someone with different skills and perspectives to counter your curse of specialization here's how I do this I visualize a complete team as having three core roles hacker designer and Hustler if these terms don't resonate with you think developer designer rain maker or Builder designer marketer or technical creative business here's what each role breaks the hacker role is the Builder if you're creating a product you will need someone with strong product development skills on your team prior building experience is crucial here along with expertise in the specific technology you envision using design for me goes beyond Aesthetics to also include usability your product isn't just a collection of features it's user flows and experiences you need someone who can create interfaces and experiences that match how your customers think and finally The Hustler role covers sales and marketing you need someone who can put themselves in your customer shoes craft compelling messages and Clos deals good writing and communication skills are essential here plus understanding of metrics pricing and positioning will go a long way the next question you're probably wondering is how do you fit three roles across two people the answer is that most Founders typically have two superpowers a primary and a secondary the key to building a successful founding team is covering all three roles where each co-founder brings a unique primary superpower and overlaps on at least one secondary superpower this overlap is critical for creating a common connection or shared language between the co-founders let's consider Steve Jobs and Steve wac they both met each other at HP in 1971 jobs was in high school at the time and wac was working at HP they bonded quickly over their love of electronics which was the source of their overlapping superpower I'd categorize Steve wac's primary superpower as hacker and his secondary superpower as designer and Steve job's primary superpower as Hustler and his secondary superpower as designer you can see how this overlap and passion for Building well-designed Products gave them a shared purpose while allowing each of them to bring additional difference Trends to the table in other words they both needed each other to build Apple I've applied this simple framework in my startups and you can too here's how start by identifying your number one and number two superpower for instance my number one superpower is Hustler and my number two superpower is hacker which can be written as Hustler hacker if I were looking to add a co-founder I'd complete my team by bringing on a hacker designer or a designer hacker by deliberately seeking skills that fill your gaps rather than duplicate your strengths you'll build a much stronger founding team the next thing you need in a co-founder is alignment on a common Mission Beyond complimentary skills alignment on mission to me is non-negotiable I've watched many promising co-founder relationships fall apart because one person wanted to build a lifestyle business while the other expected a venture Scale company or one founder wanted to exit at the first decent offer while the other was in it for the long game as a first-time founder you might not have Clarity on all these questions yet and that's okay but you need to have explicit conversations about what success looks like for each of you your minimum success criteria or

what's the smallest outcome that would make this worthwhile your time frame your expectations around workstyle decision-making and conflict resolution at the end of the day you both need to be playing the same game to win if one co-founder is playing chess while the other is playing checkers you're heading for conflict no matter how perfectly aligned or complimentary your skills are okay so we have covered why you need a co-founder and what to look for in an ideal co-founder but the most common question by far that I get is how do you find the co-founder this is what most firsttime Founders struggle at where do you actually find this idea person and how do you make them quit their fancy or comfortable day job and come join you so in the final section that's what I'm going to cover the first step is to start a lot earlier than you think now this might sound obvious but finding a co-founder almost always takes longer than you expect so you need to start looking before you desperately need someone if you're just beginning your entrepreneurial journey start building relationships with potential co-founders now even before you have a specific idea join startup communities attend industry events participate in online forums where like-minded people gather like the one on lean Foundry the best co-founder relationships often develop organically over months or years for firsttime Founders especially your existing network is incredibly valuable former classmates or colleagues already know your workstyle and strengths next date before you tie the knot finding a co-founder is more like marriage than hiring you'll spend more time with this person than almost anyone else in your life during these intense startup years to avoid a painful divorce date before you commit this means ideally having some prior working relationships or even better working together on side projects related to your startup these experiences reveal how someone handles pressures and setbacks communicates during disagreements follows through on commitments makes decisions when things are certain which as we know is par for the course in a startup I remember coaching a firsttime Founder who was ready to split Equity 50/50 with someone they'd only known for 2 weeks after I convinced them to work on a small two-week project first they discovered their potential co-founder avoided tough conversations and disappeared when things got challenging imagine discovering that after you've incorporated and divided Equity next in order to get someone to even commit to working with you on a side project you will need to get good at getting others to see what you see all startup ideas sound a little crazy at first and so a common challenge firsttime Founders encounter is getting other people to see what they see having a shared overlapping superpower and Mission is a helpful First Step but you need to additionally help them see the opportunity or business model behind your idea the vision and a path forward you can just pitch them building a great solution together you have to pitch them a plan for building a great business model together in my business model design course I cover step-by-step how-tos for how to turn a big idea into a business model how to formulate a solid go-to Market strategy and how to pitch your idea to co-founders using a business model story pitch template if you're interested in checking that out I'll link that in the description below by the way your ability to pitch a compelling business model story isn't just for attracting co-founders it's a skill you'll need to attract customers investors and advisers to but no matter how exciting your idea and plan is it's still very challenging to get someone talented to quit their comfortable job for your seemingly risky startup unless you have done this last thing and that is to risk your idea with some early traction when non-technical founders tell me they're stuck because they can get someone technical to join their startup or the other way around I always tell them the exact same thing don't wait move ahead on your own to get demonstrable early traction and

everything else will get easier after that the true job of a Founder is to systematically De risk their business model and the best evidence of a working business model is traction traction is evidence that people other than yourself and maybe your mom care about your idea specifically paying customers now wait a minute how do you get to early traction without a co-founder or a working product this might seem a lot like a chicken and egg problem but it's not even if you can build a full product by yourself you can run customer interviews to validate the problem create landing pages or deliver offers to test demand use a demo cell build process to get pre-orders and even secure letters of intent from potential co-founders all these forms of traction are incredibly powerful When approaching potential co-founders they show you're serious and that your idea has Merit I've seen many non-technical Founders successfully attract technical co-founders because it already validated the market and even pre-sold the product at that point the technical challenge becomes much more appealing it's not just building something speculative it's building something that you know people demonstrably want so if you're a business-oriented Founder looking for a technical co-founder show evidence of market demand and customer willingness to pay and yes even if you're a technical founder and can build the full product by yourself my advice is still the same and that is to adopt a traction first versus a build first approach this is because statistically speaking most initial products fail to hit the right customer problem at the outset and what's riskiest with most products today isn't building a working product but rather ensuring that people will actually care and buy your product once it's built and here's the counterintuitive a bit you don't need a working product to test demand for a product and even land paying customers for more on how to do this you should check out this video over here thanks for watching and until next time take care

Charlie Munger famously said that when people use the word common sense in investing what they really mean is Uncommon Sense the same is true in startups where it's easy to find a bunch of seemingly common sensical first principles that often go ignored because Founders don't really understand them so in this video I'm going to share my top 10 Uncommon Sense startup maxims and highlight the most misunderstood bits in each of them so let's dive in here if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the popular one-page business modeling tool lean canvas on this channel I share systematic strategies and techniques for starting and growing a business so let me kick things off with Uncommon Sense Maxim number one love the problem not your solution the top reason why products fail is building something nobody wants why does this happen I attribute this to something I call the innovator's bias where entrepreneurs prematurely fall in love with their Solutions when they get hit with an idea they either rush to build out their solution or rush to secure resources to build out their solution but customers don't really care about your solution they care about their problems problems not Solutions create spaces for Innovation and when you start with a solution it's like building a key without a door you then have to face the challenge of figuring out what door to open this is the classic solution looking for a problem challenge a better alternative is switching perspectives when you start with problems with for Solutions you first identify what door you want to open and then key building or solution building becomes a whole lot easier now while starting with problems before Solutions is a simple concept many Founders fail to identify the right problem because of Uncommon Sense Maxim number two solve problems customers are currently trying to solve this one seems obvious right

of course you should solve problems customers care about but here's where most Founders get it wrong they either subconsciously invent or make up problems or they run a bunch of surveys where they ask people a bunch of leading or hypothetical questions like do you have this problem or will you use my solution these types of questions only serve to confirm or justify the solution they already wanted to build in the first place and the misstep here is interpreting a false positive for validation also since many startup Founders believe they are building new category defining products they often fall into another track of trying to solve problems customers don't even know they have while it may sound visionary to create needs customers don't know exist it's incredibly difficult and expensive most startups don't have the resources or runway to educate a market so instead focus on solving problems customers already know they have and have tried solving themselves next while starting with problems before solutions is the first step not all problems are created equal which brings us to Uncommon Sense Maxim number three you need to ensure that you chase problems worth solving some problems are simply not worth solving at least not as a business a problem worth solving needs to meet three criteria customers know they have it customers want it solved and customers are willing to pay to solve it that last point is crucial I've seen many startups solve genuine problems that customers simply weren't willing to pay for the best evidence of a problem worth solving is that people are already spending money to solve it with existing alternatives before you invest time building a solution verify that the problem is worth solving by understanding how customers currently address it are they currently spending money time or effort if not you might be chasing a problem that isn't worth solving as a business the reason this distinction between problems and problems worth solving is critical is because of Uncommon Sense Maxim number four the true product of an entrepreneur is a business model not solution while building a great solution is key it's only one piece in the jigsaw puzzle you need to put together as a Founder to build a great business it helps to think of your true product as a business model thinking of your business model as a product is particularly empowering because if you already know and love to build products you can apply the same thinking processes to building business models that you already do with building great products for instance the first step when taking on any complex product is to design a simple model or blueprint this is where business modeling tools like the lean canvas come in a lean canvas helps you deconstruct any big idea into a set of key assumptions to create a simple business model that describes how your business works this is the first step in distilling clarity the next step also taken from the product development Playbook is Uncommon Sense Maxim number five stress test your business model before testing it this one surprises people don't you need to test your business model to know that it works yes yes of course you do but not right away much like Architects first stress test their building designs before starting construction you can stress test business models before building out your product testing a business model takes time and effort and the real danger here is executing a flawed model and getting stuck in a suboptimal business or a zombie startup a zombie startup is neither dead nor alive and it's a fate that can be far worse than the failed product because of sunk and switching costs the good news is that most zombie startups can be completely avoided with a bit of business model stress testing stress tests are run inside the building they use thought experiments and simulations to identify and correct obvious cracks or flaws in your business model during the design stage I test all my ideas against seven factors Mission Clarity viability desirability feasibility defensibility and timing now passing all these

stress tests doesn't guarantee success but it does guarantee not going down many dead end alleys I've saved countless Founders months of wasted effort by having them first stress test and bulletproof their business models against these obvious pitfalls in my business model design challenge if you're interested in doing the same check out the link in the description below now once you have stress tested your business model you are then ready to start testing your business model which brings us to the next Uncommon Sense Maxim also taken from the product development Playbook prioritize testing your riskiest not easiest assumptions if you were building a complex technical product under a tight deadline you wouldn't start with the easy stuff because you can do that at any time you would start with what's riskiest we often forget this when building a startup many Founders start with building a solution because of their innovators bias but that usually isn't what's riskiest give it enough time money and effort we can build almost anything these days what's truly riskiest are typically things like customer and Market risks that is will anyone care and will they pay for it so it should naturally follow that before attempting to spend weeks or months building something you should validate demand and willingness to pay first which brings us to Uncommon Sense Maxim number seven demo cell build versus build demo cell this is perhaps the most counterintuitive maximum on the list the traditional product development path is build your product demo it to customers then try to sell it but this approach is back backwards and risky you invest months or years building something before you know if anyone will buy it the more smarter approach is demo your concept using mockups prototypes or even just a conversation sell it in other words get commitments pre-orders or letters of intent then and only then build it knowing you already have customers waiting this doesn't mean you sell vaporware it means you validate demand before investing in Supply if you can sell the demo why build the product I've used this approach dozens of times myself and help hundreds of Founders do the same this tactic isn't just limited to b2c or digital products it works just as well with high ticket B2B and physical products so let's move on to the next maximum talk to customers not users there's a fundamental difference between customers and users customers pay you money users don't many Founders proudly tell me they have thousands of users but when I ask how many customers they have the number drops dramatically and here's the misstep they spend more time talking to users hoping to convert them into customers but the real insights for how to create more customers come from customers not users in other words all feedback is not created equal free users will ask for everything under the sun paying customers will tell you what's actually important if you want more customers talk to customers not users Uncommon Sense Maxim number nine Chase failures or unexpected outcomes for explanations most people run away from failures successful entrepreneurs chase them not because they enjoy failing but because unexpected outcomes are the source of breakthrough insights when an experiment doesn't work as expected most Founders either ignore the results or give up entirely but the real gold is in understanding why things didn't work as expected the common theme across all these breakthrough discoveries listed here microwave x-rays plastic and some of these business model discoveries Google's auction-based ads system slack and PayPal is that they all started as failed experiments in each of these cases the inventors or Founders were seeking a specific outcome or business result and instead got a very different outcome but instead of throwing away their failed experiments they did something very different from most people they asked why achieving breakthrough is less about luck and more about a rigorous search the key is

having the discipline to chase explanations for unexpected outcomes rather than simply moving on to the next idea this is how real breakthrough happens now I know there's a lot of taboo around failure in many cultures and so I'll make one suggestion here that has greatly helped me personally replace the word failure in your vocabulary with unexpected outcomes there is no such thing as a failed experiment only unexpected outcomes then when you encounter an unexpected outcome train yourself to be naturally curious and Chase why and the final Uncommon Sense Maxim is number 10 Focus on repeatability before scalability too many Founders are in a rush to get the right side of the hockey stick curve they do this by trying to go fast on everything but when you go fast on everything it doesn't necessarily make you go faster and it's often a recipe for just getting loss faster and focusing on the wrong things at the wrong time premature optimization is one of the top startup Killers because you can scale something that isn't first repeatable repeatability here means that you can consistently acquire customers you can reliably deliver value and that your unit economics are starting to work the best part is that you don't need thousands or millions of users to establish repeatability I've seen too many Founders raise millions in funding and hire dozens of employees before they figured out a repeatable business model the results are almost always painful and expensive repeatability then is a pre-requisite for scalability now since this video is about Uncommon Sense here's one more bonus maximum just start perfect idea not required we have been taught to prepare prepare for the test prepare for the big trip prepare for the next project our natural tendency is to apply the same thinking to our ideas when we get hit with an idea or in preparation for getting hit with the right idea we try to find the perfect time to act the perfect book to read or the perfect course to take but entrepreneurship and startups are different riddled with extreme uncertainty new ideas have no perfect time perfect book or perfect course that can fully prepare you to act you have to take a leap and just start so if you've been waiting to start just start use these uncommon maxims to guide your journey and if you'd like to go even deeper down the rabbit hole take my free just start email course that I'll link below thanks for watching and until next time take care

when I ask startup Founders what an MVP means I get wildly different answers it's a landing page it's a prototype it's the first version of our product they can't all be right but they all use the same term and this creates real problems in practice and so in this video I'm going to break down how the term MVP lost its meaning along the way why this matters and how to reclaim the concept with a clearer definition that actually helps your startup move forward toward product Market fit hi there if you're new to this Channel my name is Ash Moria I'm an entrepreneur and author and the creator of the popular onepage business modeling tool Lan canvas on this channel I share systematic strategies and techniques for starting and growing a business so let's get into it most people associate MVP with Eric Reese and The Lean Startup and the term blew up after that but while Eric popularized the term he didn't invent it the concept was actually introduced about a decade earlier by Frank Robinson in 2001 Robinson was running his own software development company and noticed something problematic his teams were bragging about adding hundreds of new features to their products treating feature counts as a badge of honor back then more felt like more but he observed that adding more features doesn't usually improve the business case adding more features just makes the product longer to build less usable and most importantly carries a lot more risk his solution was what he called the

minimum viable product he described it as being the right size product for a company and for the customer just big enough to cause adoption satisfaction and sales but not so big to be bloated and risky in other words it was the smallest version of a product that delivered the maximum ROI divided by risk then came The Lean Startup era fast forward a decade Eric observed that the way we build products had drastically changed products had gone from being delivered in a box to being delivered over the internet and customers no longer wanted to just wait for long release cycles they wanted value delivered to them continuously some of the best companies at the time like Amazon Facebook and Google were already leveraging the internet to release early and often and using customer feedback loops to iterate on their products quickly he recognized that speed of learning not execution had become the new unfair Advantage which he codified in this image that became the bumper sticker for The Lean Startup movement the basic premise behind this build measure learn Loop was to one build something quickly measure how customers interact with it and learn from those measurements to build something even better while minimizing total time through the loop since learning is a way to de-risk a product he co-opted the term MVP and defined it as the version of a new product which allows a team to collect the maximum amount of validated learning about customers with the least amount of effort then like all good things things got a little messy Drew Houston shared a case study at Eric's startup lesson learn conference in 2010 on how he used a 3-minute video demonstrating how Dropbox would work while he was still building it this video racked up 5,000 email addresses and helped him get into YC combinator the video then went on to collect another 75,000 email addresses which helped them greatly de-risk demand for their product was it a brilliant tactic absolutely was it a product no it was a demo or a promise of a product it wasn't until 18 months later that they publicly launched their actual product to a 100,000 users which shot up to a million in short order now this was such a massive success story that people reduced the punchline of Bill measure learn to Simply minimizing total time through the loop and the emphasis shifted entirely to speed of learning with minimum effort to where the product part of the MVP began to get forgotten this is where we started seeing all kinds of things being called MVPs things like landing pages and mockups and prototypes basically anything you could use to learn from customers was being passed off as an MVP so what's the big deal why is this a problem because I believe definitions matter if we don't call a duck a duck it gets really confusing to understand what people mean especially in the World Of Products where Precision is key building a landing page is a far cry from building the first ver version of a working product so we're not talking about splitting just a few hairs here these are very different things that all get rolled up into one big term and as if that wasn't confusing enough people then also started questioning the viable part of MVP now viability is only one type of product risk and back when Robinson coined the term maximizing viability or ROI was probably the riskiest thing on his mind but if you are building a multi-sided product with users and customers like say a YouTube or TikTok today desirability not viability is usually what's riskiest at the outset if YouTube didn't attract millions of users their customers advertisers would simply not show up this led to Andrew Chen proposing the term minimum desirable product Brian the half proposing the term minimum lovable product and Jason Cohen proposing another term simple lovable and complete and there were a few others like minimum marketable product minimum awesome product and a bunch more we have reached the point where the original term seems to have lost its meaning and some people have even dug their trenches and picked their version of a definition that

works for them if that's you you can stop watching now if on the other hand you'd like to see my attempt to reconcile these definitions into what I believe is a more coherent and precise set of definitions then keep on watching first I'm also in the camp that especially today viability isn't the only product risk that matters and so we need another term to move Beyond just putting the spotlight on viability where I defer though is I don't believe desirability alone deserves that Spotlight you can build a highly desirable product but if you don't address viability to the product will die a quick dep remember the Doom days and what about feasibility we take that for granted but science fiction novels are full of Highly desirable and potentially viable ideas that we simply don't know how to build today this is why I encourage the startups I work with to think of MVP not just as a minimum viable product but as a minimum desirable viable feasible product now I admit MD vfp is quite a mouthful and it was intended to be more of a functional definition than a practical one until I found a way to reconcile all three risks into one term that I still managed to call MVP and here's how I did it the true product of an entrepreneur isn't building a working solution but a working business model and every business model has to fulfill three jobs it has to create value to customers through a unique value proposition it has to deliver value to customers Through Your solution and finally it has to capture some of this value back in the form of payment or Revenue the common denominator across all working business models is value and so I repurposed MVP to Simply mean minimum valuable product and it's the smallest solution that creates delivers and captures monetizing ible value from your users and customers the minimum part is still important because we want to scope down for Speed the product part matters because we are building something real but I emphasize valuable because ultimately that's what matters for your business model so what about the Dropbox video tactic or landing pages or other types of experiments that could be used to drisk building an actual MVP where do they all fit in I used another term offer for that an offer to me is the smallest solution that promises value to your users and customers the job of an offer is to drisk demand for your MVP before actually building it that's exactly what Drew did with his Dropbox demo video that went viral but Dropbox is an outlier simply putting up a demo of a half-baked MVP will not work so how do you define the right MVP that grabs attention builds trust and converts visitors into customers for that you should check out this video over here where I outl a step-by-step process for Designing what should go into your MVP and offer thanks for watching and until next time take care

if you're a product oriented founder like me you probably get a little nervous too when you get to the pricing conversation during a product pitch I used to avoid and postpone these conversations and really prefer that someone else ideally with sales in their title step in and take care of it until I discovered that when done right founder sales are actually the highest converting type of sales I went from dreading these pricing conversations to actually looking forward to them And in this video I'll show you how I made that transition and how you can do the same Hi there If you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the popular one-page business modeling tool Lean Canvas On this channel I share systematic strategies and techniques for launching and growing a startup So let's get into it I'll start by outlining three reasons why I used to get nervous talking about pricing First most entrepreneurs are like artists We are super passionate about our art or product and love to talk endlessly about it during the demo portion of the pitch but transitioning from demoing

to pricing can feel abrupt and awkward especially when number two we're not sure about our own pricing model Most entrepreneurs also price their products like artists They either pull a number out of thin air or do some basic costbased analysis to come up with a pricing model When you pull pricing out of thin air or when you can't confidently justify the value of your product it's normal for both you and your customer to get emotional And the last reason is that talking about money is uncomfortable for most people In many cultures talking about money is taboo which is why many founders also avoid putting off this conversation and don't want to put a value on their art And when you're forced to have this conversation it's tempting to either postpone the pricing conversation to later by offering a free trial or pilot or underpricing your product But the difference between a hobby and a business is money or revenue And if you want to build a successful business you'll need to get over these false beliefs In the next section I'll show you how I did it The key to overcoming anxiety during pricing conversations is recognizing that talking about price doesn't have to be an emotional conversation It is entirely possible to make a rational case for your pricing model And this starts with determining a fair price for your product The fair price not optimal price for your product sits somewhere between two anchors the cost of how your prospect currently gets the job done today without your product and the value your product helps the customer realize understanding the cost of how the job is being done today is where customer problem discovery comes in This should ideally be done before ever pitching your product The critical next step and this is where many founders go astray is getting the customer to own these anchors before you share your pricing model When you do they emotionally buy your product before you even get to pricing And by the time you get to the pricing slide all the heavy lifting has already been done All that's left to do is summarize what you've showed them and get them to rationally then buy your product Let me show you how this works during a product pitch I structure all my product pitches into three acts Act one is confrontation This is where you set up the pitch and break their old way All product purchases are switching stories where a customer switches from an old way of getting a job done to your new way And before you can sell your new way you have to break their old way I used to skip this step because I incorrectly assumed that customers will make the right comparison and decide accordingly I found that most of the time they don't You have to explicitly do this How you do this varies depending on whether you're pitching an inbound or outbound lead and whether you're pitching online or on a sales call To keep the steps specific let's assume you're on a sales call with an inbound lead I would start the pitch by asking them what brought them to the call in the first place My goal would be to identify what existing alternative they currently use to get the job done what highlevel business problem they are currently struggling with and what are the negative impacts of this problem ideally measured in monetary terms This establishes the existing alternative anchor Next I would suggest one or more underlying root causes with their old way that's keeping them from achieving better outcomes And then I would tease what a better outcome could look like Taken together this breaks their old way in their mind and creates an opening for them to consider some new way Let me give you a quick example Say you're selling a project management tool You might say "So you mentioned your team struggles with hitting project deadlines How do you currently manage your project?" Now they might say "We use spreadsheets and email." And then you could say "I see In our experience spreadsheets are great for static data but they often fall short with collaborative projects because there's no single source of truth changes aren't tracked in real

time and visibility across the team is limited. Has that been your experience as well? Now if they nod and say yes, you continue. Those issues typically lead to an average of 23% of project time being wasted on status updates and miscommunication, which for a team of your size translates to roughly X in lost opportunity or productivity per month. What if you could reclaim that time and put it towards delivering projects ahead of schedule? Instead if you get them again nodding their head here, you've established the anchors for your pricing model to fit into later. This is emotional buy number one. And the currency at play here is attention. If you can nail their problem and describe it better than they can, you earn their attention and they automatically assume that you must surely also have a solution to this problem, which naturally leads to act two: resolution. Now that you've earned their attention, the next step is earning their trust. This is where you walk through a carefully scripted demo that shows how your solution solves their root problems exactly how they'll avoid the negative impact of the old way and how they'll achieve the desired outcome you teased earlier with your new way. It's important to note here that your demo shouldn't be a feature dump. Instead, it should be a before and after story that connects directly to the problems you just discussed. Continuing our example, you might say, "Let me show you how our platform addresses those challenges exactly. Instead of scattered spreadsheets, here's how your team would have a single source of truth. Notice how changes are tracked in real time. And here's how everyone on the team gets full visibility into project status without those time-consuming update meetings." At the end of your demo, ask them how your new way compares to their old way. Based on what you've seen, how do you think this approach would compare to your current spreadsheet system? If they acknowledge the value of your new way, you've just got past emotional buy number two. They emotionally want your solution now, and the only thing left is to get them to rationalize the purchase. This is where act three: call to action, comes in. With all the heavy lifting done, now you can share your pricing model by recapping their old way and the cost of using the old way. This is where you re-emphasize the existing alternative anchor. How your new way helps them achieve a better desired outcome. This is your value anchor. And then you state and rationalize how you determined your fair pricing model. For example, as we discussed earlier, your current approach is costing your team roughly X in lost productivity each month. Our platform is designed to help you reclaim that time and actually deliver projects ahead of schedule, which could mean an additional value of Y dollars in completed work. Given that value equation, we have structured our pricing at Z dollar per user, which represents just a fraction of the value you'll receive. Most of our customers see a full return on investment within the first 6 to 8 weeks. Finally, share next steps that reduce anxiety and friction in getting started with your new way. And here's how you might do that. To help you get started without any risk, we offer a 30-day implementation period where we'll work directly with your team to ensure you're up and running successfully. After that, if you're not seeing the value we have discussed, you can walk away with no further obligation. So how does that sound now? Here's a bonus tip: Pay attention to how easily they agree to your pricing model at this stage. If they agree too easily, that's often a cue that you should raise your pricing. A highly underutilized lever for most startups. I once had a customer who immediately said yes to our initial pricing without any hesitation. That was a clear signal that we were leaving money on the table. We doubled our pricing for the next prospect, and they still said yes. We eventually landed at the price point 5x higher than where we started. All because we paid attention to these little signals. Now I need to add this important disclaimer: Your success with this method is directly

proportional to the quality of your customer and problem insights When you deeply understand your customers better than they do it grants you superpowers The opposite is also true If you haven't done proper customer problem discovery work this approach won't magically work You need those insights to effectively break their old way and demonstrate value with your new way When you do this well you end up with something I call a mafia offer Named after the movie The Godfather a mafia offer is an offer your customers cannot refuse not because you strongarm them but because you demonstrate problem solution faith If you want to learn more about mafia offers you should check out this video over here Thanks for watching and until next time take

when founders get hit with an idea they often spend weeks or months first building out their product or MVP Then they line up a number of demos with potential prospects and then spend several more weeks and months attempting to drive sales This is the traditional build demo sell build approach that most founders follow But there's a much better way that I'm going to show you in this video that is three times faster converts three to five times better and guarantees that you only build what customers want So let's dive in Hi there If you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the popular onepage business modeling tool Lean Canvas On this channel I share systematic strategies and techniques for launching and growing startups So let me start by describing why a build first or a build demo sell build approach is not the best approach anymore for launching a new product First building a product always takes longer than we expect This is because building anything new has lots of unknowable unknowns What we initially estimate as little tasks start taking a little longer and weeks can quickly turn into months which delays launching and testing of your product Next it's easy to fall into the scope creep trap once you start building a product where you start coming up with just a few more additional features here and there to complete out your product This is the overbuilding trap Maybe you've seen this project management illustration before where all the customer wanted was a simple tire swing but what they got instead was a roller coaster But the real danger of a build first approach is not just overbuilding but far worse building the wrong product When you rush to build a product without adequate customer validation it's easy to go astray and build the wrong product entirely Unlike the before times where we could launch a product and then learn from customers customers today have many more product choices than before When they encounter a half-baked product they don't stick around to give you feedback they leave to try out the next product and you're left on your own guessing how to fix your own product The underlying problem then with taking a build first approach is that you spend most of the time derisking technical risks But that's not what's riskiest with most products today With the advent of no code tools and now AI the real question isn't can we build it but rather should we build it or more specifically will anyone care enough to buy it and here's the counterintuitive bit You don't need to first build a working product to answer this question The best way that I found for answering this question isn't with the traditional build demo sell build approach but using a different demo sell build process With demo sell build you don't start with building a product but a demo of your product that you then try to sell If you can sell the demo why build the product now when people hear this they often ask "Well don't I need a working product first to build a demo." And the simple answer is no The job of a demo is to tell a story of what your product delivers not demonstrate how it works And sure while you can certainly demo a working product it's just as possible to deliver a demo using mock-ups

screenshots a picture of what your product will look like or even just a verbal description of what your product will do The art of the demo is showing the smallest thing possible to make a sale Now thinking you need a working product or prototype to create a demo to make a sale is a common myth in the product world I see this all the time when I'm working with earlystage founders In fact here's a recent conversation I had with one founder I was sitting across from this founder who had done a great job of identifying a real customer problem and he had a solid technical solution in mind When I asked him what was keeping them from closing customers he told me they were waiting to finish their demo I was curious about the timeline and he told me it would take them two months 2 months When I pressed for details he explained that they were building a complex machine learning solution and needed a working prototype with the right data set to show potential customers I asked him if their potential customers had specifically requested a working prototype demonstration and the founder hesitated at that point and started to say "Well no we haven't really talked to anyone yet but" and that's when I cut him off I suggested that instead of demonstrating a working product they start with showcasing the promise or unique value proposition their product was going to deliver to their customers In their case this boiled down to a single report Their potential customers were currently outsourcing this report to expensive consultants who took weeks to analyze data to create the report and charge them tens of thousands of dollars The startup's product would not only shrink this time from weeks to hours but their real value proposition according to the founders was creating a more powerful report with better insights than the current report the consultants were creating And that was it I told them to treat the report and not their product as the demo Instead of waiting to finish their product I asked them to instead create a sample report using real data and then set up a few calls with potential customers where they would share a before and after story Here's the rough outline of the script I shared with them Start by telling a before story of how your potential customers currently hire consultants to generate this report Make sure to point out how long it takes and how much it costs the customer both in terms of time and money Then tease a better new way you're working on and tell them why it's different and what it promises Faster and better insights in their case Pull up the sample report and show them why it's different and better Then ask them what they think Well will that work the founder asked me "What if they don't believe us?" I said "Well let's see what happens if they need more proof asked them specifically what they'd like to see next and set up a follow-up meeting with them After a slightly more convincing the founder agreed to try this approach out The next day I got a call from him He had signed up his first paid pilot When I asked him if they needed to schedule that second meeting with a working demo the founder just laughed That's the best part he told me The customer wasn't interested in wasting time with another demo They just wanted to see what new insights of our product could uncover using their actual data So they proposed we start on a three-month paid pilot right away When we mentioned it would take us about 2 months to get that ready they told us that was already an aggressive timeline Getting the project approved through legal and procurement alone would take about 2 months And so their suggestion was we get started right away They signed a letter of intent and got the ball rolling Now think about that for a moment The team was planning on waiting two months before even approaching customers with the demo Instead by using a demo first approach focused on outcomes they not only closed the customer immediately but got the customer to start the process of getting them paid for a pilot while they built out the functionality they were going to

build out anyway This is a perfect example of demo cell build versus build demo cell Now in case you're wondering the demo cell build approach isn't limited to just software or digital products I've seen it work across hardware services B2B and B2C While a few tactics change along the way the principles largely remain the same So in the next section I'm going to outline the main principles of Demo Cell Build and show you how you can adapt them to different types of products Here's the first principle Customers don't buy working products but a promise of something better Communicating better doesn't start with your product's features but your product's promise or unique value proposition This is universal across all types of products The first battle for any product is earning attention which is the job of your unique value proposition or UVP Think of your UVP as the headline you would use in an ad for your product or a short online descriptor you would use in an email to a prospect A good UVP should either nail your prospect's problem promise a better outcome or better yet do both Once you get a customer to pay attention the next step is earning trust That's the job of your demo Remember the art of the demo is showing the smallest thing possible to get them to buy Here's a list of different types of demos ranked from low fidelity to high fidelity across different product types Now I always recommend starting with the lowest fidelity demo possible that lets you tell a compelling before and after story And if and only if your prospects need more proof should you build something that's higher fidelity If you nail the problem that they want it solved with your UVP they'll have no issues setting up a follow-up meeting when you're ready This brings me to the next principle Use your demos to identify what customers want A demo is a perfect stand-in for your product And because they are much easier and faster to create and update than a working product they let you quickly home in on what customers want and exactly what to build But this cuts both ways It's very easy to overpromise features in your demo and then you're left with a rocket ship that goes to Mars that you have to then deliver And when you cram in too much into your demos you not only increase the scope of what you have to build but you can also easily overwhelm and even scare away your customers And this is why I recommend showing less not more in your demos Treat your demos like a movie trailer and start with the most valuable thing first and then pause to see how the customer reacts If the customer is ready to buy at that point you're done If on the other hand they still need to see more move on to the next thing The biggest objection I hear from founders about the demo cell build approach is what if I can't actually build what I demo Well then you really have no business building this product in the first place The demo cell build approach isn't about promising vaporware but about testing demand for a product you know you can build before you build it This of course requires that you are a builder yourself or have access to a builder on your team who can assess the technical feasibility of your product When dealing with new technology it's perfectly okay to reserve some time upfront to do a quick product spike This is where you build a technical proof of concept which is not a working prototype but rather a quick product feasibility test Once you're 80% confident that you can build what you plan to demo then move on to the demo cell build process So that is the biggest objection I often hear The biggest fear I hear from founders with demo cell build is what if the customer actually says yes on the spot and wants to buy my unfinished product What do I do then well first I want to remind you that making a sale is exactly what you're aiming for and a good problem to have Most founders start with building products they hope customers will buy down the road With demo sell build you go from hoping to knowing they'll buy what you're going to build And so if they say yes remember that principle number three customers seldom move

faster than you The time from closing a deal to starting a trial or pilot is directly proportional to the size of the deal As you saw in my B2B example most large companies will move a lot slower than you And the time from when they say yes to a paid pilot to when they actually complete legal procurement and assign resources to the product could be anywhere from two to four months For more complex sales this time could even be longer 6 to 9 months or more This is precisely why you don't want to wait until your product is ready before engaging prospects At the other extreme the smaller the sale the more willing the customer is to wait for a product of course up to a certain limit If you've ever placed a pre-order for a product you've experienced this While it is certainly possible to make these types of customers wait as long as a year I still recommend aiming for something that is more along the lines of 2 to 3 months or less This often requires rethinking the scope and definition of your product so you can start delivering the most valuable thing as quickly as possible For a more concrete example of this check out this video over here that shares a concrete case study of the very first product I launched using the demo cell build approach Thanks for watching and until next time take

what's the one thing that both investors and entrepreneurs want more than anything else it's not a better pitch deck It's not a perfect product It's not even money in the bank It's traction Walk into any investor's office with the beginnings of a hockey stick curve and you'll automatically trigger a Pavlovian response where they'll sit you down and try to understand your business model That's the power of traction But here's the problem Traction is a poorly understood concept And so in this video I'm going to break down what traction really means why it matters so much to investors and how to measure it correctly for your specific business model Most importantly I'll show you how to avoid the vanity metrics trap that trips up so many founders So let's get started Hi there If you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the popular one-page business modeling tool Lean Canvas used by millions of startup founders around the world On this channel I share systematic strategies and techniques for launching and growing a startup So take a look at these two charts Which one do you think communicates more traction you probably instinctively picked the chart on the left because it looks like a hockey stick curve but take a look a little closer Both charts were plotted using exactly the same data set The chart on the left plots the cumulative number of signups over time which can flatline but never go down This is your classic vanity metric The chart on the right normalizes the data and plots signups by month which is a more accurate progress indicator but maybe not the story you want to tell This type of charting trick used to work but it doesn't anymore A more sophisticated investor will see right through this facade Next I don't know if you noticed this earlier but in the hockey stick curve I showed I didn't even label the y-axis Yet it still communicated growth Whenever anything starts trending up and to the right it creates this visceral reaction It indicates that good things are happening that people other than yourself your team and maybe your mom care about your idea But not all metrics are created equal If a product signups for instance are going up but retention is tanking that's not something to celebrate So while it can be tempting to try and pass off any metric that happens to be going up and to the right at the moment as traction that too could be a vanity metric As a founder you need to level up your game and get much smarter about traction So what do you think is the right metric to plot on the y-axis of a traction chart what about revenue or better yet profit those however aren't the right metrics either And here's why The problem with using revenue and

profit as measures of traction is twofold First with any new product your revenue is going to be zero or near zero for a while while you are building and launching your product and your profit is actually going to be negative So how do you communicate progress to your stakeholder a lot of people fall back on tracking the build velocity of their product or execution of a plan but how do you know your plan or product is actually going to work executing a flawed plan or building something nobody wants on time and within budget isn't a good measure of progress either So we need a different measure of traction Even when you have positive revenue and profit these metrics aren't the right traction metrics because revenue and profit are still lagging indicators They happen as a side effect of something else And here's the tell When a company has a good quarter everyone rushes to take credit for it But when a company has a bad quarter everyone points fingers at one another A good traction metric isn't a trailing but a leading indicator of progress And when it goes up it automatically signals that so well revenue and profit So what does such a metric look like here's my definition of traction Traction is the rate at which a business model captures monetizable value from its users Let's break this definition down a little further The rate part is important to avoid falling into the cumulative metrics trap I outlined earlier And this definition is worded very precisely to measure the rate of monetizable value which is not the same thing as revenue The job of any business model is to create and deliver value to customers and capture some of this value back as revenue which is an after effect of value creation This is why revenue by itself is not all that actionable To grow your business model you need to uncover what customer actions drive this revenue And that's how you uncover the right actionable traction metric to measure here Now this may be a little fuzzy at the moment So let me illustrate this concept with a case study Howard Schulz took a vision of bringing the Italian coffee house tradition to the United States and turned a single coffee shop in Seattle into a fast growing company Like any coffee shop Starbucks was in the business of selling coffee Now you could measure traction in terms of the number of coffee cups sold but like revenue this is an after effect and not actionable by itself In other words it doesn't tell you how to make people buy more coffee Their billiondollar insight came by studying what key activities cause people to come to Starbucks and buy their coffee That's when they started noticing something interesting Many people would come to Starbucks order a coffee and instead of leaving they pulled out their laptops and started working Soon they were joined by others for meetings and this pattern repeated throughout the day with multiple groups This was happening at a time when Starbucks wasn't even a comfortable place to work in There was no artwork on the walls the chairs weren't all that comfortable You had to pay for Wi-Fi and the bathrooms required a key While this behavior might have annoyed some store managers the company quickly realized something critical by analyzing their sales data The lifetime value of these lingering customers was significantly higher than their typical customer who simply bought coffee and left In other words the time spent in store correlated directly with money spent To test if this correlation was causal Starbucks studied a few more test stores more closely Rather than turning these customers away they invited them in essentially launching the first co-working space before that was even a turn This spawned a massive rebranding campaign on the company's part And over time they upgraded their stores to provide more comfortable sofas put artwork on walls offered free Wi-Fi and yes they even unlocked the bathrooms Yes this was a massive investment on their part but the potential ROI was already validated with their test stores And so they went all in This key inside transformed them from a fast growing coffee shop into a multi-billion dollar company that

didn't just sell coffee but created a third space between home and office. A place where people can relax, connect, and feel a sense of belonging. So hopefully this case study helped illustrate the difference between traction and revenue. You might be wondering how to map this to other types of business models. So let me quickly cover the three main types of business model archetypes: that there are direct, multi-sided, and marketplaces. Now Starbucks is an example of a direct business model with one actor, the user, who becomes a customer. In this type of model, your traction metric is determined by the rate at which you create monetizable value from this customer. And your leading indicator here is tied to the key activity that drives this. For Starbucks, that key activity was time spent in store. Facebook, TikTok, YouTube are all multi-sided models with users who use the platform and customers, in their case, advertisers who pay for the platform. Here too, you don't need dozens of data points to communicate traction. As there are two sides to this market, you need just two key metrics: daily active users to measure the monetizable value from the user side, and the value of user engagement to advertisers, which they measure and report as ARPO or the average revenue per user. In fact, these two metrics are the only metrics Facebook highlights in their quarterly earnings calls. Now marketplaces are a special case of multi-sided models where you also have two actors, but instead of users and customers, you have buyers and sellers. Airbnb is a classic marketplace model here. Simply reporting the number of listings or the number of buyers in the marketplace is not enough because a marketplace with lots of inventory but no transactions is not healthy. It would be like going into a grocery store and having lots of inventory that no one is buying. The value capture step here occurs when you bring buyers and sellers together to conduct a transaction. And transactions here are the right traction metric to measure. This is also why Airbnb uses a single traction metric, guest nights booked, to communicate their business model growth. Note that this isn't revenue, but if this number is going up and to the right, so will revenue. So yes, different business models will have slightly different traction metrics, but the key in all of them is finding the key user and customer activities that drive monetizable value. So if you're currently passing off any metric that happens to be going up as traction, stop and try to identify your single traction metric that drives your business model. That's the first step. The next step is learning how to optimize and grow traction. To learn how to do that, you should check out this video over here where I deconstruct traction into five component metrics and show you how to optimize them. Thanks for watching and until next time, take

if I had asked people what they wanted, they would have said faster horses. This famous quote gets thrown around by founders as an excuse not to talk to customers, but here's the irony: if customers had actually said faster horses, they would be telling you something really valuable about a big problem worth solving: talking to customers is still the fastest way to learn what people want, but you have to know how to talk to them. That's what I'm going to share with you today. Hi there, if you're new to this channel, my name is Ash Moria. I'm an entrepreneur and author and the creator of the popular one-page business modeling tool, Lean Canvas. On this channel, I share systematic strategies and techniques for starting and growing a business. So today, I'm going to show you why three of the most common approaches to understanding customers fail and then share a much better way to uncover what customers actually want. The first approach is what I call the default founders way; it's built on the premise of release early and release often, which is where I started too. As a founder, the basic idea is to quickly build a

product or better yet a minimum viable product or mvp put it out in the world and then wait for customer feedback to roll in now this approach used to work at a time when barriers to entry were higher and customers had fewer product choices going back a decade you could afford to give your customers a halfbaked alpha or beta and then iterate with them to create something better but when you launch a product this way today you get back crickets because customers today have many more choices competing for their attention when they encounter a halfbaked product that doesn't immediately deliver value to them they don't turn into beta testers they instead ghost you and switch to another product without direct customer feedback you're left guessing on how to fix your product you try one feature after another in search of that mythical killer feature which after a while feels like throwing spaghetti on the wall to see what sticks flying blind without customer feedback is not an optimal strategy for building what people want the second approach is to directly ask customers what they want this seems very logical on the surface but here's the problem with this approach customers struggle to articulate what they want especially when it comes from innovative products they have never seen before this is where the faster horses sentiment comes in customers didn't ask henry ford for a cheaper automobile or steve jobs for a smarter phone with no physical keyboard or the uber founders for a way to order a taxi from their mobile phone most new ideas start out a little crazy and don't look or sound like anything people are used to but this still doesn't mean you shouldn't talk to customers you just have to know what to talk to them about to channel steve jobs it's not the customer's job to know what they want customers are experts at telling you what frustrates them but not so good at inventing new solutions that's your job as the entrepreneur so what about asking them about their problems instead this is certainly a better approach but it too has its fair share of landmines and pitfalls especially when your goal is trying to validate problems you think your customers have this usually involves asking customers to rank a list of problems on a scale of importance or urgency but there are several issues with this approach first if the problems on your list don't resonate strongly with them you hit a dead end get stuck with nothing else to say or ask them the interview is over second when you lead with problems you cast a spotlight on specific issues which tend to exaggerate the customer's response this is known as the spotlight effect you're biasing their answers simply by bringing up the problem and third we are all prone to confirmation bias we tend to hear what we want to hear when validating problems we often selectively filter information that confirms our preconceived notions about what customers want i've seen many founders walk out of a customer interview convinced their solution is exactly what customers want only to then spend the next 6 to 9 months building something nobody really wanted in the first place so if these three common approaches don't work is there a better way yes there is and it starts with understanding something i call the innovator's gift the innovator's gift is a simple but powerful concept and here's the basic premise new problems worth solving come from old solutions think about it all innovation is about solving problems but truly worthwhile problems don't appear out of thin air they come from the limitations frustrations and pain points of existing solutions let me give you an example why did we switch from cassette tapes to cds or if you're too young to know what a cassette tape is put yourself somewhere else on this timeline and ask the same question these are massive billiondollar switches and it wasn't because of sound quality first most people don't have the ear to distinguish the sound quality differences across these different solutions but more importantly while sound quality technically went up when we moved from cassettes to cds it went downhill

from there so there were different reasons at play cassette tapes were just fine until cds came along and broke the cassette tape by making a problem that was already there rewinding and forwarding to find your favorite song a problem worth solving cds allowed you to instantly jump to any track which can be really cool when throwing a party or when you want to play that one song in the moment the reason we then switched from cds to mp3 players wasn't again because of better sound quality but the ability to first download and then eventually buy the songs that we wanted and not the entire album on a cd the reason we switched from mp3 players to the cloud was because a,000 songs in our pocket that steve jobs promised us on the ipod was no longer enough we now wanted access to 40 million songs in the cloud that we don't even want to own but rather rent on demand this led to the rise of streaming services do you see the common thread here in each of these switching stories in each case the new technology that gained traction didn't address new problems no one cared about but rather specific problems with the old technology that were familiar specific and compelling so how does this help with uncovering what customers want if new problems worth solving come from old solutions the best way then to uncover these new problems is by studying how people currently use these old solutions that you intend to displace and here are the steps step one target customers of the old way instead of trying to find people who might be interested in your new solution target people who are actively using popular existing alternatives like the music example above note that these existing alternatives will most likely look nothing like your product your true competition is usually not some shiny startup down the street that no one is using but rather the current status quo solution email and spreadsheets have killed more startups than other startups step two study when why and how they use the old way this here is the key step don't ask them what they want don't even ask them about their problems directly instead ask them to walk you through when why and how they use their current solution get them to tell you stories about specific instances when they used the product in my book running lean i provide a comprehensive step-by-step guide for conducting these customer discovery interviews including a detailed interview script that you can follow the book walks you through exactly what questions to ask how to ask them and in what order so that you can systematically uncover the insights that matter most the script isn't just based on theory it's the exact process i've used to launch best-selling books and dozens of products like the lean canvas when developing the lean canvas especially i didn't start by asking entrepreneurs what they wanted in a business planning tool instead i asked them to walk me through when why and how they used business plans what i discovered was that most entrepreneurs hated writing 40-page business plans but felt obligated to do so they weren't creating them for themselves but for investors and stakeholders they would waste weeks writing these fictional plans only to have investors then skim their executive summaries these pain points led me to create a lightweight business plan alternative that fit on a single page took just 20 minutes to create and most importantly was built for founders and not investors so how do you uncover the right pain points during an interview contrary to popular belief real problems worth solving don't sound like obvious save the planet type of problems they come disguised as pet peeves struggles or workarounds as customers tell you their stories listen carefully for pet peeves these are small annoyances that customers have grown accustomed to but still find frustrating number two struggles these are more significant pain points that make using their existing solution difficult or timeconsuming and finally workarounds these are creative solutions customers have developed to overcome the

limitations of their existing alternatives this interviewing approach isn't focused on validating a list of problems but rather discovering using a backdoor technique potential problems worth solving by picking up on these little cues the magic of this type of customer interview is that people are more alike than unlike it only takes 10 interviews for patterns to quickly emerge and when you hear customers describe the same pet peeve struggles and workarounds over and over again it's time to put your entrepreneurial cap on not to build your solution and here's another counterintuitive insight but instead to sell your solution to these same customers before you build it yes using a demoell build versus a build demoell approach which is something i've covered in other videos this is the only way i know to go from hoping people will buy your product to knowing that they will now if you're more of a technical founder like me the word sell probably makes you cringe but did you know that founderled sales are the highest converting type of sales and this is a totally learnable skill if you want to learn how check out this video over here thanks for watching and until next time take

you have probably heard that speed is a startup's only unfair advantage Move fast break things get outside the building go talk to customers and start building an MVP But here's the thing Simply moving fast is not enough In fact it can be a recipe for just getting lost faster I learned this lesson the hard way with the product I built called Cloudfire where I seemingly did everything by the book But it wasn't until I learned about a 5-minute test that I realized I was heading down a dead end This five-minute test saved my business and I'm going to share that story with you today Hi there If you're new to this channel my name is Ash Moria I'm an author and entrepreneur and creator of the popular one-page business modeling tool Lean Canvas On this channel I share systematic strategies and techniques for launching and growing a startup Okay so Cloudfire was a classic scratch your own itch product I had recently become a parent and watched my wife struggle with sharing photos and videos with family and friends On the one hand she was taking a lot more photos and videos of the new baby than ever before which she wanted to share regularly with friends and family But on the other hand neither of us were hardly getting any sleep and had no time to be uploading organizing and sharing photos To put this in context this was around the 2009 time frame when sharing digital photos was still pretty clunky And so I had the idea of building a desktop product that would automatically sync photos and videos on your computer to the cloud and make sharing with friends and family really simple Now I already had one failed product under my belt by this point and I didn't want to rush into building another product that nobody wanted So this time around I decided to do things by the book I reached out to a few friends who had also become new dads like myself to see if they too were struggling with this problem They quickly pointed me to the moms who were doing most of the sharing With the help of my wife's network referrals from other friends and a few other channels I conducted almost 40 problem interviews over the next 6 weeks What I found was that almost everyone I spoke with related to the struggle of sharing lots of photos and videos Their typical workaround was handpicking a couple of pictures every week and then emailing them as an attachment to family This only reinforced my problem assumptions and my confidence grew Over the next two weeks I stitched together a quick demo using a few screenshots from my product which I hadn't fully built yet to highlight how easily one could share a folder full of photos and videos in just minutes versus hours Then I spent the next four weeks pitching this concept Now those of you familiar with this channel will recognize this as the demo

sell build or sell before you build approach where the goal is to test demand for a new product by selling a demo before building the product In other words if you can sell the demo why build the product In my case I managed to get over 70% of my prospects to agree to test drive my product which I had packaged as a 30-day trial followed by a \$49 a year software product Now I didn't want to just rely on verbal commitments at this point because a lot of people politely lie to you at this stage where they say they are interested and then don't follow up to buy your product when the time comes So to secure a more tangible commitment I had them fill out an early access signup form where I collected their credit card information And sure enough half my prospects who told me they loved my demo decided not to move forward Just a little bit of signup friction goes a long way to separating users from customers Now I still ended up with several dozen people ready to pay for my product And so I was off to the races I spent the next two months getting the first version of my product or MVP out the door and into the hands of the first batch of my customers Now during this time I ran many in-person sessions with parents showing them how to use the product recording quick start videos and answering tons of support questions Then came the moment of truth Would people keep paying past the 30 days Now NoFunnel converts at 100% and I ended up with a 20% conversion rate Not all that great but still encouraging to keep moving forward And so over the next several months I continually refined my product signed up more customers and grew my paying customer base Fast forward 9 months I had 500 paying customers which seemed like great progress And that's when I had my wakeup call I knew I'd eventually need to bring on a co-founder but even with 500 paying customers the product just wasn't making enough revenue to justify that yet Now maybe it was time to raise a seed funding round And so I reached out to a longtime friend who was also an angel investor for advice I gave him a quick update and asked for his advice on fundraising at this point And here's how that conversation went He told me that while I had made a lot of progress I might need to show better metrics to get an investor's attention I said "Well I knew the numbers weren't all that impressive yet but doesn't 500 customers derisk the product for an earlystage investor After all the market for parents is massive with lots and lots of growth potential He said "Yes that's a great start but you need to show a road map for how you will intersect your investors expectations at product market fit." Right Now his instincts were telling him something else And that's when he pulled out his notebook and walked me through a simple 5-minute back of the envelope calculation that changed everything I'll link to the actual calculation he did at the end of this video Then he drew a simple traction road map and told me that to be able to pitch my idea to an investor I'd ideally need to increase the number of customers I had by four-fold from 500 to 2,000 in the next 3 months And then in the next year I needed to grow that number to 20,000 paying customers and then to 200,000 customers by the following year Now I was totally shocked because these numbers were a lot bigger than I thought even factoring a 10% conversion rate which is already quite high for a product like this one I'd need a funnel with millions of leads to pull that off And that's when a light bulb went off for me I said to him "I noticed one of the key metrics you used in the calculation was my pricing model which is why these numbers are so crazy and high If I could charge more for my product wouldn't I need fewer customers?" and he said "Yes pricing is one of those key inputs for business model viability but can you really charge parents a lot more than \$50 a year since their current solution is email and email is free?" I told him I wasn't thinking about parents anymore Just the other day I had a wedding photographer who was also a parent reach out over email

He had signed up for Cloudfire and loved the product He was wondering if I'd consider creating a pro version of that same product for photographers that he could use in his business with his clients He told me that he was taking thousands of wedding photos a week and struggling to manage his workflow with the current tools that he had My friend then asked me if I needed to build a different product entirely to support his needs And I didn't think so I told him I would need to support a few additional integrations to professional products like Photoshop and Lightroom that he used but it wasn't all that complicated And given that it would be a B2B product I thought I might be able to charge three to four times more And that's when my friend's eyes lit up and he told me to charge 12 times more instead of \$49 a year You could easily set your starting pricing to \$49 a month and probably go higher over time He told me to set that call up with the wedding photographer immediately On the ride home from my meeting while I was deflated about my busy parents' business model I was excited about the potential pivot to a more promising customer segment and was glad I had reached out to my friend when I did But then it hit me Nothing we did in that back of the envelope calculation required a working product I could have done that same exact math 9 months ago and would have reached the exact same conclusion In my exuberance for getting outside the building I had rushed out too quickly I seemingly did everything by the book I had sketched a one-page lean canvas ran problem interviews with potential customers pitched an offer using demo cell build built a quick MVP and even charged my customers after a 30-day trial and I had a growing customer base All this sounds exactly like what you should do But I realized that the real danger is getting stuck even after all that with a suboptimal business model six or nine months down the road that either doesn't match your ambition or isn't scalable and you get stuck in a zombie startup that is neither dead nor alive You're just stuck Had I known what I had learned in that 5-minute conversation I would have saved 9 months of my life That experience completely changed how I pursued future products I turned this 5-minute test my friend showed me into one of seven stress tests that I now apply on any new product idea before going all in Each test in this suite helps you avoid obvious cracks and pitfalls at the design or early stage of an idea so you don't waste needless resources like I did Running through these stress tests takes just a few hours but it can save you months or even years of wasted effort If you're serious about starting or working on a side hustle or startup idea I've put together a business model design challenge that walks you through these seven stress tests step by step New cohorts start every Monday and I'd love to see you there You can learn more at bmdchallenge.com and I'll link that in the description below And oh yes if you'd like to see the exact steps of the 5-minute viability stress test that my friend did check out this video over here Thanks for watching and until next time take

do you know how long it takes to form a first impression of a product in his groundbreaking book Blink Malcolm Gladwell makes a case for how people make snap judgments based on very little information marketers estimate that window to be under 8 seconds that's it that's all the time you have before they scroll past click away or simply tune out earning attention is the first battle to win for any new product and so in this video I'm going to show you my five-step framework for crafting a compelling unique value proposition that helps your product stand out from the crowd hi there if you're new to this channel my name is Ash Moria i'm an entrepreneur and author and the creator of the popular one-page business modeling tool Lean Canvas used by millions of founders around the world on this channel I share systematic strategies and techniques for

launching and growing a startup so before I get into the framework let me cover three reasons why crafting an attention worthy unique value proposition is hard the most common mistake I see is confusing a unique value proposition for features or benefits i can't tell you how many times I've reviewed business model lean canvases where founders list things like we have unique features or we have the most features or even the least features under their unique value proposition these by themselves are usually not enough to grab attention because a good unique value proposition is not about your solution or more specifically it's not about how your solution works but what people get after using your solution think of it not as features or benefits but the desired outcome people realize after using your product and this brings me to the next challenge scoping the desired outcome when picking a desired outcome how much should you promise if you promise too little you don't grab attention but if you promise too much your claim may be no longer believable andy Rascin gave this challenge a name the Cinderella trade-off because it can easily be illustrated with that fairy tale story which you're probably familiar with what promise should the fairy godmother make to Cinderella when she first meets her one attend the ball two marry royalty or three live happily ever after the last option here is the most aspirational but also quite vague and less believable the first option is quite functional and direct but is it enough to grab attention it's hard to pick the right answer here because the right answer largely depends on context which brings me to the second mistake too many founders chase the perfect headline for their product and this is particularly hard because a good headline needs to be simultaneously short and concise novel or unique and of course specific and believable this leads to number three drowning in tactics there are many ways to deliver a unique value proposition through an ad on a landing page in an elevator pitch and if you doubleclick on any of these you'll end up with a long list of tactics a quick online search or AI query will reveal hundreds of hooks taglines and elevator pitch templates which doesn't drive more clarity but instead paralyzes us with a paradox of too many choices the mistake here is overindexing on the job of the solo headline on a landing page for instance the headline never acts alone but rather in concert with other supporting elements on the page like sub headlines and images and sure copywriting and hook tactics can help tighten your headline but your overall positioning strategy matters even more than these specific tactics and that's what I want to focus on in the next section before drowning in a sea of tactics it's far more effective to home in on your overall positioning strategy which is what my five-step framework is all about once you complete these five steps you'll have the necessary raw ingredients to then remix them into an ad landing page or elevator pitch so let's jump into them step one identify what it's for think of this as the core job or use case of your product what it does not how it does it for example when Tesla was building their first electric car the primary or core job they were competing for wasn't sustainability because while there was one other hybrid car no one else had or cared about electric cars at that time the bigger context here was still mobility or transportation the reason I want you to go broader in this step is to unlock step number two identify existing alternatives this is an often overlooked step that's critical to crafting a compelling unique value proposition grabbing attention requires being better and better implies comparison to some alternative you can't say you're better without saying better than what and here's the critical misstep many founders make when looking for an existing alternative they limit their search only to products in their immediate product category as there were no electric cars in 2006 Tesla could have declared they had no competition which of course would have been a gross overstatement

because people were buying other cars every day and Tesla's real challenge was getting some of them to choose to buy their car instead so a better way than to uncover your true competition is to transcend your supposed product category in this case electric cars and more generally look for what people use and buy to get the core job done then move on to step three identify what's broken with these existing alternatives anchoring against problems with the status quo is the secret to crafting an effective unique value proposition that grabs attention and causes a switch because it's specific familiar and compelling but it's not enough to simply promise something that's incrementally better if you're only incrementally better the incumbent will always win they win because they were here first and already have an established and trusted relationship with your customer going back to 2006 would you rather choose a car from Toyota or a new upstart company that had no history or experience with building cars to cause a switch then your unique value proposition has to promise something significantly better as in 3 to 10 times better but of course creating something 3 to 10 times better can be hard to pull off when competing on features the incumbents already have and this is precisely why a much better strategy is to focus on things that your incumbents don't have things that your customers still care about and then go to extremes to find your differentiation which is what step number four is all about craft a difference that causes a switch in our example Tesla picked two interrelated yet compelling axis for differentiation that mattered to their customers sustainability and performance at the time you could buy a high-performing supercar but these cars had very low sustainability or you could buy a hybrid which had higher sustainability but lower performance tesla chose to go on extremes on both of these axis in order to position their first electric car the Tesla Roadster as the fastest greenest car on the planet the final step in the framework is step five identify who's it for all new products need to home in on ideal early adopters because if you try to market your product to everyone you end up talking to no one if you completed all the steps up until this point a clear image of your ideal early adopter should automatically pop into your head in the case of Tesla this would be someone who cared about the environment and wanted to drive a high-performing sports car so let's put it all together with your ingredients all assembled remixing them into an ad landing page or elevator pitch becomes a whole lot easier this is what Tesla's first landing page look like the headline here is burn rubber not gasoline which highlights the performance and sustainability axis are better but so that this isn't taken out of context notice also how they then list more bullet points in the sub headline remember that a headline alone doesn't have to carry all the weight supporting copy images and the overall design of the page all work together in concert to tell a story that grabs the attention of your ideal early adopter these same ingredients can also be remixed together into a 30-second elevator pitch that you can use to hook anyone if you'd like to learn how to do that you should check out this video over here thanks for watching and until next time take

and so becoming a startup founder is hands down one of the most rewarding decisions i've ever made in terms of the learning opportunities growth opportunities and the freedom it has given me but when i started my entrepreneurial journey there was one question i kept hearing that nearly drove me nuts but will it scale it's a question every investor adviser and expert loves to ask about new ideas and i'm here to tell you why it's the wrong question to be asking especially at the early stages hi there if you're new to this channel my name is ash moria i'm an entrepreneur and author and the creator of the popular one-page business modeling tool lean

canvas used by millions of people around the world on this channel i share systematic strategies and techniques for launching and growing a startup so let me take you back to when i first started blogging about startup methodologies there was no master plan or grand content strategy in place i started the blog simply because i was struggling to grow my own startup and found that writing publicly clarified my thinking and kept me externally accountable i spent nearly 8 hours yes a whole day writing each blog post for the first month i had exactly four readers and i was one of them my entrepreneur friends and advisers thought i had lost my mind and asked me how i could afford to take so much time away from my startup i told him that yes there was no master plan and i was really writing for myself but that i had just recently doubled my readership from four readers to eight readers which represented a 100% audience growth of course they weren't amused and i was met with "sure but will it scale?" i kept writing and funny enough that doubling continued to 16 readers and then i had 32 until 4 months later i had over a,000 readers and then something interesting happened a few of my readers asked if i'd consider turning my posts into an ebook of some sort again i had no bookw writing experience or master plan for writing a book i was mostly curious by the request and engaged them further to learn why they wanted a book and decided to start testing demand for the book by speaking publicly which is something i used to dread doing delivering workshops on topics that could go potentially into the book which is something i'd never done before and hosting a local lean startup meetup group in austin i also ran a few founder office hours where i'd meet with founders one-on-one to help them think through their early business models all this extra work took even more time away from my startup and i was again met with but will it scale now while researching the book i had also started tinkering with the idea of capturing a business plan on a single page this led me to the business model canvas which i found helpful in many ways but overkill for an earlystage startup and so i created an adapted version that became the lean canvas being a technical founder myself i considered turning it into an online tool and was again met with but will it scale 16 months later i had managed to turn those early blog posts into a best-selling book running lean that's still selling strong some 12 years later and a lean canvas software tool on book launch day many of the founders i had met with while writing the book publicly showed up in numbers to review it and support it the lean canvas tool started gaining traction and i decided to sell my company and go allin on a new early stage startup which became leanstack many of my friends tried to talk me out of it because the early stage is unpredictable messy and harder to monetize but i believe that the early stage journey doesn't have to be any of those things with the right thinking processes i believe that the early stage could be made predictable and systematic and so i went on to then spend the next several years curating synthesizing and testing an earlystage framework by taking the best of several methodologies and organizing them into a systematic process that tinkering resulted in another best-selling book scaling lean the continuous innovation framework and playbooks the leanstack accelerator platform that we now license to dozens of startup accelerators universities and corporates around the world to help them run their startup and innovation programs the lean canvas tool today which started off as just a simple blog post is now used by over 3 million people and what started as a simple innocent humble side project has mushroomed into something a whole lot bigger than i could have imagined now this chapter of course is still being written and yes i still continue to be met with but will it scale hopefully by now you can see why this is still the wrong question to be asking a lot of entrepreneurs i find myself included are

usually in a rush to get to the right side of the hockey stick curve they obsess over scaling risks prematurely when they haven't even validated if they are building something worth scaling in the first place it's like worrying about traffic jams on your rocket ship to mars when you haven't even built an engine that works next unless you know how to measure the right side of the hockey stick you'll never know when you get there and this is a problem because what you do on the left side is very different from what you do on the right side and even more importantly you can't get to the right side of the hockey stick without going through the left side first in other words every unicorn went through the flat portion of the hockey stick curve and even though nothing seems to be happening here that's where the real magic transpires the best startups don't start with scaling they start with learning that's where successful founders try a lot of things behind closed doors and at small scale which help them unlock insights or secrets where they start seeing truths that others don't yet see they then turn these insights into something repeatable which is the gateway to building something scalable in other words you can't scale something that isn't first repeatable i somewhat accidentally and totally out of necessity took a different approach early on that started tiny and by focusing on tiny it allowed me to defer a lot of these scaling risks and just focus on starting risks and here's the counterintuit by not focusing on scale early on i actually built something that ended up scaling massively because starting tiny allowed me to test lots of ideas quickly without fear of sunk costs or reputation get real feedback fast from motivated early adopters pivot or make drastic changes when and as necessary and only move forward with building things that people demonstrably wanted for many of the successful products i showcased early on there's a much bigger list of bad ideas that went nowhere but because i was moving fast and course correcting in real time they didn't really feel like failing but rather learning through iterations and the most successful founders manage to pack in the most number of iterations per unit time than others so instead of asking will it scale from day one here are some better questions you should be asking is this idea worth pursuing at all what assumptions must be true for this to work and how can i test the riskiest assumptions first quickly and cheaply then what is the smallest version i can build to start the learning process not six months from now but in under three months or 90 days from now in my case writing blog posts was a smaller version than writing a book creating a pdf version of a lean canvas and teaching it in workshops was a smaller version than building a software tool and just how tiny of an audience is tiny i like to aim all my new ideas now at just 10 handpicked early adopters yes you heard me right not a hundred or a thousand just 10 people if you can't repeatedly deliver value to just 10 people what makes you think your product will work for hundreds or thousands of people even today i never start by asking "will it scale?" when i have an idea my first questions are always "can i test this with 10 people?" what's the fastest way which is often the opposite of the most scalable way i can use to deliver value to them my blog started with just 10 readers which grew to hundreds and then thousands when i considered writing a book or building the lean canvas tool i first ran workshops with tens of people then pre-sold my book and opened my tool up to hundreds of people before i was ready for the thousands do you see the pattern here instead of doing an allout or go big or go home public launch you counterintuitively learn and grow faster with a stage-based 10x product launch each stage like levels in a video game test your riskiest assumptions first and as you complete level one you don't immediately turn the dial up to level 10 but instead progressively level up which makes the scaling journey a lot more manageable and systematic if you'd like to learn more

about this 10x product launch strategy you should check out this video over here thanks for watching and until next time take

[Music] hi there my name is Dalton I'm a managing partner at ycombinator and I'd like to talk to you about some startup terminology today all right so I'm going to go through some terms that are common in uh in startup land and give you some more details and Define it okay let's talk about the term MVP or minimum viable product so let's be specific the keyword here is viable a product that doesn't work at all and is useless to everyone is not viable and so when you're thinking about what is an MVP or how should I build my MVP it has to be useful enough to serve some kind of purpose for the customer again that's that viable word and so it doesn't just mean uh a simple product that you built uh that doesn't do anything it's got to be useful to someone for it to be viable and so remember this next time you're thinking about what should go in an MVP the next term I'd like to talk about is the term Venture Capital sometimes the people that work in the Venture Capital industry are referred to as VCS uh the way Venture Capital works is they invest a small amount of uh money uh to buy equity in startup companies with the hope that enough of those companies become very large to return minold the original investment that they made they're also comfortable taking more risk than you would take in a traditional investment it's often the case that the majority of a venture Capital portfolio does not succeed but the investments in the really big successful companies uh pay for everything so for instance imagine you were an early investor in a company like Google or Apple or Facebook that small investment ended up being worth so much um it was worth taking the risk when those were tiny unprofitable companies and so the way to think about venture capital is it's an industry that's looking for businesses that may be risky but could be very huge if they're successful is I understand the original uh Venture Capital was in the whaling industry the way it worked is when people uh would go out to to hunt whales a lot of times the ventures would fail um and so the people that needed money to start a ship needed to raise money from investors the way they did a portfolio was they would they would invest in multiple ships in the hope that if one of them was successful in capturing the whale it would pay for all the failed Expeditions I'd like to Define what an angel investor is uh no that's not someone that is angelic it's a type of venture capital investor that is investing usually their own personal money not out of a VC fund and they tend to be the earliest stage investor in a company they also tend to write smaller checks say \$20,000 or \$50,000 or something like that and they tend to do it not as a full-time job it'll be a hobby or a side project uh they might be running a company they might be retired there's no qualification to be an angel investor it's usually just someone that has money and so you'll see just a wide a wide type of people that do this and the thing they have in common is they just writing personal checks into into small startups and they're doing it um not as a full-time job so that's that's the best definition of an angel investor okay another term in startups that I'd like to Define is profitability and look there's some pretty obvious definitions of profitability which is just you make more money every month then you spend and that's a pretty good definition but to add a little bit more to it it's good to think about if a business as it grows bigger and bigger either has stable profit margins or if the profit margins uh increase or decrease it's common to have a startup that at a very small scale might not be making money but as it gets bigger and bigger the profit margins increase it's good to think about if you're starting a startup or if you're working at a startup how your margins I.E the difference between how much you're making and how

much you're spending change as your company grows bigger and bigger and what I'd be looking for is at scale the profit margins are uh pretty good and there's a clear way you make more and more money to give you an example something like Google Google did not make any revenue for its first few years of existence um but the profit margins on online advertising are very high and so once Google turned on their monetization engine they started to make an enormous amount of money they are very profitable you can look them up they're publicly traded and so that's a great example of a company that initially was not making money was not profitable but was able to have an incredibly attractive business at scale once they turn on the monetization engine and so that's the kind of profitability engine you should be looking for as a startup founder too next I'd like to talk about burn rate burn rate is how much money at the end of the month has uh been burned by your company or uh how much your bank account has gone down so hypothetically if you had a million dollar in the bank and at the end of the month you had \$900,000 in the bank you're burn rate would be \$100,000 as a startup founder it is critical to watch your burn rate you may be making money in some ways you may have a lot of Topline Revenue but if you're burning money every month you might go out of business and so it's great as a startup founder to think hard about where the money is going and to pay careful attention to the bank account balance and make sure that your burn rate does not get out of control not paying attention to this is harmful to your startup's health next I'd like to define a seed round there's not a technical definition of what exactly is or isn't a seed round so let me give an example say someone raises \$300,000 on a safe you could call that a seed round say that there's some uh crazy company that's uh founded by celebrities and they raise a 100 million on a billion dollar valuation sometimes they refer to that as a seed round and so because of this big variability it's sometimes hard to tell exactly what is and isn't a seed round U for the sake of argument here's my suggestion a seed round is usually the first amount of money that a new startup raises of any consequence and so usually when you begin a company and you raise the first amount of money and you say okay we're done raising money whatever amount of money it is that you raised you would refer to as a seed round in addition to other fundraising terms you may have heard of a series A or a series B or a series C um the difference between one of those rounds in a seed round for one it is often the case but not always that in a series A B or C a lead investor is involved you also may be giving a board seat to that person it's also the case that it traditionally uh the lead investor gets a significant ownership percentage so for instance traditionally in a series A the lead investor might get something like a 20% ownership in a seed round anything goes it could be that it's entirely composed of 50k checks and there is no lead investor right it's a very it's a very wide uh definition but with a A there's usually one primary lead investor that leads the series A to use the terminology and the same thing goes with series B and C for uh startups that have been around a while and when you keep raising a new round you tend to give it a new name and again traditionally you just keep incrementing the letters in the alphabet and so you'll sometimes see companies that are like a series E or a series G or a series H I think I've definitely seen that before what are the normal valuations for these I don't know it's a wide range and so you can't just look at what the round letter is you also want to look at what the valuation is next I'd like to Define product Market fit or pmf product Market fit is something we talk about a lot at Y combinator and it's one of those terms where people talk about it so much you might think you know what it means um but the actual definition is a little bit tricky and there's not actually a scientific explanation of it a good way to think about product

Market fit is when you've built something and people are using it and they like it a lot and your biggest issue is no longer trying to Define what people want or trying to make something people want it's to um start to be in growth mode and serve as many people as you can okay and so one way to think about product Market fit when you're a Founder is that needing to get more customers is not your biggest problem you probably have other problems like scaling or like performance like sales you have all these other problems versus most startups when they first start do not have product Market fit essentially all of them do not have product Market fit and what this means is they may build something they may have some assumptions about what customers want but they don't have any customers or they haven't worked with enough customers to really figure out if it's serving their needs properly and so startups and the pre-product market fit stage are just spending all their try time trying to you know test their assumptions trying to build trying to design trying to talk to customers to really zero in on what these customers want and so from our perspective there's just a very different set of priorities when you're pre-product Market Fit versus post- product Market fit when you're pre-product Market fit all you should be worried about is finding product Market fit when you're post product Market fit your job is to stay in that state to keep product Market fit and to grow and scale to the best of your ability and so it's good for you as a Founder to realize that the tactics and PRI priorities you should have are very different depending on which of these two modes you're in I'd like to define the term bootstrapping bootstrapping is when you start a company and you do not raise any Venture Capital you just use your own personal funds or the revenue from the business to get off the ground so for instance if you were to start a new company that built an iPhone app and you didn't raise any venture capital and you just launched it on the App Store and starting making lots of Revenue and built a successful company you would call that a bootstrapping situation you would say you are a bootstrapper because you didn't raise any money to do it one of the reasons is a great option is it's entirely within your control you don't need the approval if invest to go bootstrap a company it's also a good option if you're doing something that is not traditionally a venture business a venture scale business um which is something they could grow really really big really really fast bootstrapping is a much much better option for businesses that you expect to get uh to 5 to 10 million a year in Revenue something like that and to probably not grow beyond that bootstrapping is a great option a convertible note in the context of startups is a financial instrument whereby an investor gives a startup money and they sign a piece of paper you should read carefully what this piece of paper says in the case of a convertible note it is a debt like instrument there are usually terms in a convertible note by which you would pay some amount of Interest or you might need to pay the investor back and so it's your job as a Founder to read the fine print very carefully an alternative to a convertible note is something called a safe note a safe also known as a simple agreement for future Equity is a financial instrument that was actually initially created by y combinator specifically Carolyn Levy and it is an alternative to a convertible note if you're raising as a startup founder and you are not doing a priced round and selling preferred Equity a safe is a great option to quickly close money in a seed round ahead of when you would raise a series a at a future date if you're thinking about whether or not to raise on a convertible note or a safe I would encourage you to read carefully the fine print and understand the pros and cons of each the advantage of a safe is it's there's just less terms to worry about as well as uh different rights SL fewer rights in a convertible note and so that's often very useful to Startup Founders Equity

is ownership in a startup company Equity would refer to what percentage of that would add up to 100% of the company that a founder or employee or investor would own if you work at a startup you may not directly get Equity you may get stock options which are basically a right to in the future execute on the stock options to receive Equity at that point in the future and so it's important for you uh in the fine print as both a Founder a startup employee or an investor to read the fine print and understand if you are getting stock options or if you're getting Equity directly or if you're investing in a safe or you're investing in a convertible note or some other instrument always read the fine print and understand exactly what you are buying buying and selling Tam or total addressable Market is a term term that you would hear a lot um in the land of startups what it usually refers to is hypothetically if 100% of the potential customers of your product all purchase your product how much money would you be making no one actually would get to 100% of their Tam it's more of just a thought experiment for how big the market could possibly be so for instance if you were trying to establish the Tam of something like a Tesla or a car manufacturer you would look at how many total cars people buy across the world and that would be the total addressable market and you would make an estimate of how many of the cars could be sold by Tesla one um interesting point about Tam calculations is they can be wrong they can underestimate how big the market could be again to give you an example when Tesla first started the total addressable market for electric cars was Tiny and so you had to believe they the market for electric cars cars would grow and be so big it would take over and be effectively the market for all cars for the Tam to seem sufficiently big in addition for a company like uber when they first started the total addressable market for taxis or for car services was quite small but Uber dramatically increased the size of the market because they created a better user experience and they encouraged people to start taking ride sharing that didn't before and so this led to the initial Tam seeming much much smaller than it ended up being and so think of Tam is sort of just a a potentially helpful thought experiment versus something that is set in stone great products tend to grow The Tam next I'd like to Define valuation uh valuation is a term that people in startup land talk about a lot um what it usually refers to is what valuation the last investor invested at and so say there was a company that raised \$2 million on a \$20 million post money uh safe the valuation would be 20 million the thing about valuation is it doesn't actually mean there are always buyers and sellers this doesn't work like the stock market in the stock market the stock price is the valuation and anyone could go and publicly trade the stock at whatever their current market price is with startup companies they are privately held there's not really a liquid market and so it's best to think of valuation is just some measure of how it might be valued by some folks versus a true measure of how much that startup uh would be worth if it were to sell that day or if it were to go public that day often you might have noticed that startups with high valuations uh don't always succeed and so just think of it as a a helpful term but not necessarily always accurate next I'd like to Define an IPO or initial public offering and an IPO um there is a company that is privately held I.E it is owned by its investors or its founders or its employees and it issues shares or it sells shares to the public markets and the public markets are things like NASDAQ or the New York Stock Exchange or other you know public exchanges like that and anyone in the public that has a some kind of stock brokerage account can buy some of those shares the reason IPOs are important to startups is it's often a way for their employees or their Founders or their investors to be able to realize uh money from from the companies they have built and it's also a great um

sign that the company is doing well this isn't always the case but IPO is the Big Goal that a company is financially mature that it is growing well and has built something of enduring value next I'd like to Define ARR or annual recurring Revenue you will hear this term thrown along around all the time in startup land and let's break it down annual means every year here recurring means the customers are either in some sort of subscription that auto renews or they've signed contracts that renew in some way the third R is revenue which should be obvious that's just revenue and so the way to think about this is say you have a company and you have 10 customers that have each signed uh yearly contracts for \$100,000 a piece that renew yearly if you have 10 thou \$100,000 contracts that R new yearly that would be a million dollars of a r r and so the important thing here if you're going to use this term is to understand recurring is important and so make sure if you're reporting if you're telling an investor you have ARR make sure it actually recurs um and it also is best if it recurs on an annual basis if you're quoting ARR traditionally if you're billing people on a monthly basis you would quote mrr or monthly recurring revenue and so say it's a subscription to chat GPT or something like that that renews monthly you would more commonly see that Revenue reported as Mr monthly recurring Revenue versus ARR which is more traditionally companies that bill once a year all right that was startup terminology with Dalton I went through a number of terms you may have heard before and I'll be sure to Define more in the future thanks so much

[Music] hi I'm aarin Epstein group partner at YC and in this video I'm going to talk all about how to write cold emails that convert so first I'm going to give you the all-time best email Outreach hack you ready get a warm intro this is the most effective way to get people to respond to emails that you're sending to them and you're going to have a conversion rate two to three times what you would get if you were just sending a regular cold email and so there's a lot of different ways to get warm intros to people that you're trying to get in touch with mostly you want to use your network and go through LinkedIn all of your contacts look up your friends your friends of friends current or former co-workers your uh School alumni networks that you're a part of and even employer um alumni networks at past companies that you've worked at and you basically want to turn over every Rock in stone to try to find people that might be able to get you a warm connection to the person that you're trying to get in touch with it's not always possible to get a warm intro though and many times you got to go in cold so that's going to be a big focus of what we're talking about in this video whether it's for sales recruiting Partnerships or whether you're just trying to get some of your users to talk to you or even reach out to other uh founders as mentors to be able to give you advice all of the tips in this video should be useful for you and the good news is that most cold emails are actually terrible so the bar is really low for you to stand out and get somebody to pay attention and respond to you so the first thing that I'm going to talk about here is mapping out your funnel and to do this you want to start with your goal and for many of you if this is a sales context your goal is going to be I want to get new customers so your goal is to get one new customer let's say and then what you want to do is you want to work backwards from that goal to build your funnel which I'll walk you through now so we're going to take a look at what a typical conversion funnel might look like if you're a B2B software company I'll give some sample conversion rates as we go through this example here um but it's important to note that yours may differ and you're going to need to figure that out through trial and error

yourselves so let's say your goal is to get that one customer and then let's say you have a funnel where you actually need to give product demos to convert people to a customer and so let's say you know that your demo to customer conversion rate is 10% well in order to get one customer that means you're going to have to give 10 demos to get that one customer now in order to get 10 demos let's say you know that you have a 25% conversion rate from people that respond to your email to people that actually sign up and show up for a demo so that means that you need 40 responses from the emails that you send in order to get 10 demos now in order to get 40 responses you need 400 people to open your email if you have a 10% conversion rate from opens to responses and then in order to get 400 people to open your email if you have a 50% conversion rate from emails sent to emails opened that means that you need to have you need to send 800 emails to get those 400 opens so when you look at this all in aggregate basically what that means is you need to send 800 emails in order to get one customer conversion so if you're expecting to just send a handful of emails every day every week every month and see results that's not going to cut it you're going to need to send dozens of emails per day possibly even 50 per day in order to see meaningful results with conversion rates similar to those that I showed and you should plan to start this writing these emails manually and personalized doing it yourself not starting with automation you have to do it manually first so that you can learn and figure out what works so that you can then start to scale the process more and it's important to remember that the goal is not to make the sale right away in the first email your goal should be actually to get to the next step in the funnel that's all you should be focused on here and as you're optimizing your funnel you want to make sure that you're tracking and measuring your conversion rates so you can figure out what they are for your specific situation and this is really important because it helps you understand where to focus your efforts if you have an especially low conversion rate at one step in the funnel it might mean that there's a lot of room for improvement that you can do to bring those numbers up which will help improve your conversion rates across the entire funnel and I wish I could give you industry standard conversion rates for each of these steps but the truth is they're all different it really depends on your industry your brand your product and even the customer type that you're going after but one thing that's important to note is that conversion rates will decrease as you scale so if you're starting out in the early days and you're writing these emails manually and you're not getting good conversion rates then that's something you should fix before you start to scale because they're only going to get worse as you grow in scale because by definition you're going to be going after potential customers that are not your most ideal Target as you are starting to grow all right now let's talk about how you can increase open rates the most effective way to increase your open rates is going to come through better targeting we talk a lot at YC about making something people want and targeting is really all about finding the people that want it and this is the highest leverage thing that you can do to improve your open rates and your responses because it's better to send 100 targeted emails that are going to have a much higher open rate much higher likelihood to respond rather than a thousand untargeted emails that are mostly going to be deleted and the thing is you should get better at this over time as you learn to qualify your leads better so this is an iterative process this is effectively the screen that your recipients are going to see when they're trying to decide if they should open your email or delete it it's an email client you basically see the name of the sender and you see the subject line and maybe a tiny preview of that first sentence in the email so the

from in your email should just be your personal name it's better because it feels like it's coming from a human rather than a company and the subject should be something that's short relevant interesting hey quick question can I get your advice help a fellow founder hello from your company name these are all great examples that are just really simple don't feel overly salesy and feels like you know your friend could have written it and when reaching out to people I found that the ideal channels to contact our email is usually better LinkedIn is usually worse and if you're text messaging somebody it can be even more personal but only do that if you have their explicit permission otherwise if you get a text from somebody and you don't know them it can almost feel like an invasion of privacy sometimes now this isn't always true for all industries there's some people where you know they get LinkedIn messages all the time and it feels overwhelming for them and they're feel like it's filled with Spam and so you don't want to fall in that category there's some people that never get LinkedIn messages and it feels special to them when somebody reaches out so you're going to have to adapt this for your own specific industry and use case when it comes to finding strangers emails there's a few different ways that you can go about that first is you can ask someone who knows them uh if they have their email address that they can share with you although an intro from that person would obviously be better you can uh try to connect with them on LinkedIn um or look up their blog or the website if they have one oftentimes people will put their own personal email address there you can use the LinkedIn Sales Navigator tool which is a great way to find relevant people to reach out to and also contact and then sometimes you can even guess based on the company format if you know that everyone at the company has first name. last name at companyname to com then you can probably guess just about anybody who's working there and be able to reach them and then there are even really great tools that can help make this pretty simple too like [apollo.io](#) [hunter.io](#) [clear bid](#) and many others so it's worth checking those out to be able to find the right email address to find somebody building your brand is really important when you're reaching out it's important because your company brand when you're really small actually isn't going to help you it's not going to open doors nobody knows who you are are but it will help you as you scale if you do things right and so what's important to remember in the early days is that you are the brand the words that you use the way that you reach out the level of personalization and the effort and work that you've shown in reaching out to somebody will really stand out to people you basically are trying to get users customers Partners to not just make a bet on your company but to make a bet on you personally in order to work with you it's risky working with a startup and so if you can put your personal cell phone number in there and tell them to reach out to you at any hour of the night if there's anything that they need that's going to feel like you really care and you're going above and beyond to make them successful but it's important to remember that the highest ROI when it comes to increasing open rates is really going to come from better targeting now let's talk about ways to get more responses once people have opened your email it all comes down to what you write and what you say in that email whether they're going to respond or take the action that you want and so in order to guide you through this I've come up with seven principles of effective email copy that are going to help you write emails that stand out the first is to have a focus specific goal your goal can be getting to the next step in the funnel and starting a conversation with them and you want to keep it focused on a single outcome you want them to respond to click to intro you to somebody whatever the action is that that you want them to take and you want to focus just on that one outcome and moving them

towards that action if you have multiple asks or multiple things that you want them to do in the email it can create a paradox of choice and then this feels hard and overwhelming for the recipient if they have too many things they want to do or it's not clear which is important and they're just going to either delete your email or shelf it and archive it and forget about it and move on so that's why it's really important that you have this one Focus goal and all the copy in your email should drive towards that single goal and every word counts if there's anything that doesn't move the recipient towards that goal you should delete it the second principle for writing effective emails is to be human this really helps to talk about emotions things like I'd love to it would mean a lot I'd really appreciate thanks you have no idea how much this helped because humans talk about emot and Bots or llms or whatever else you're using to try to automate this process is not good at this type of thing and it helps to be informal instead of hello or sometimes I get emails hello Mr Epstein and I don't take those very seriously versus if somebody says hey or hey Aaron and you can even have no capitalization typos can be okay these are all things that make me think that a human has written this email rather than a robot and you can even get creative with gifts or videos or other types of custom content to get people's attention and the more personalized it is the better I remember one time somebody sent me an email and in it they had an animated gif of them holding a little whiteboard and it said Aaron it had my name on it it said hi Aon and she's waving to me and so that got my attention I clicked through I wanted to see what this was about because it felt like they had done something that was very personalized that probably took time to create and that made me think that they actually cared about building a connection with me rather than just spamming thousands of people of which I was one of them and I think the main point to emphasize here is that you really want to write how you talk to a friend this is super important a lot of times people will go and they'll open up a Google doc and they'll start writing out a generic email with sequences and placeholder variables for company name and recipient name and all these things and that's not a good way to do it instead you want to open up your email editor just like you're composing an actual email to a single person put the specific person's name or email address in the two field and then write the email with that specific person in mind and I know it's tempting to use llms and other techniques to try to automate a lot of this but they often struggle with a lot of this personal connection here and then final trick here once you've written that personalized email to one specific person read it out loud either to your co-found founder if you have one or to yourself and see if it feels awkward anything that you're saying if there's something that you've written that you wouldn't feel comfortable saying out loud to somebody that's probably an indication that you should change it to be a little more human the third principle here is to personalize everyone's used to getting tons of spam and people can smell spam from a mile away so that's why personalization and making it feel targeted is super important to avoid the delete button everyone loves their name so the difference between hi there which feels generic versus hey Aaron feels like it was written for me very simple to do very simple bar across and it helps to be specific in the personalization that you're writing a lot of times I see Founders say things like hey love what you're doing at creative Market which was my startup which feels kind of generic it feels like there was a placeholder variable for company name and they just swapped my company name in instead if somebody writes to me and they say something like I'm a huge creative Market fan ever since you launched the photos category it's now my go-to resource that shows me that the very least they've done some research on my product and the history of of

what we've built and how it's evolved and at the highest level maybe they're actually a user of my product in which case I would be super excited to respond to them and get to know them so the key takeaway here is that if you're just swapping out a few words it's probably not specific enough and one really important Point here to help with personalization is you want to try to find the uncommon commonalities with the people that you're reaching out to now uncommon commonalities are things that you have uniquely in common with somebody else things that are not obvious to have in common with other people so for example if I'm reaching out to somebody and I say hey I see that you are a man I also am a man we should do business this together then they're going to be like okay that's a little weird it's a lot of people that are like that versus if somebody reaches out to me and they say hey we went to the same college and went to class in the same buildings instantly I'm starting to build a connection with them or I feel like we have something in common and I want to get to know them better and I want to help support them because I know what it's like to be in their shoes as well and it's not easy to figure out what these uncommon commonalities are and so that means that you have to do the work you have to put in the work to research the company find the right contact look them up on LinkedIn use their product so you understand at a deep level how it works and then reach out to the person and that's how you're going to be able to build the deepest connections and get the most responses all right the next principle is to keep it short if you've got a wall of text that's just going to be an instant delete for most recipients and really what you want to focus on on here is you want it to be short because your email will then be easy to read and respond to right away most people are pulling up emails on their phone and if you can make it so simple that they can just hit reply fire off a quick response quick a link whatever the thing is that you want they're going to do it right there in the moment if it's something that has more cognitive overhead longer to read then it means that people are going to put it on archive maybe flag it to try to resp respond later or else just delete it all together and your email will be lost the fifth principle for effective cold emails is to establish credibility if you're in YC often that can be credibility enough to open doors but if you're not in YC this can be through former schools that you've attended companies that you've worked at or other impressive things that you've done you can include all of this in your email to get people to take you seriously right out of the gate also if your company is live and you have customers you can share some well-known customer names as social proof in the email too if people see that either they're competitors or other well-known customer names that they know are using your product then that can provide a lot of credibility for them to get excited to use you too and if you have any interesting or useful data or Trends or anything that's industry specific that your customers might find interesting or relevant you can publish that too to help establish your yourself as an expert in the space and if you have any shared connections people that you know in Comm and that sort of thing it can be great to mention that too because that'll create a baseline of trust the sixth principle here is that it's all about the reader not about you and so this means as you're writing your copy you want to reframe all the eyes as you and yours and really the trick here is to tell your story as the quest to solve the problems for your users and this works especially well if you are solving a problem that you have felt yourself so for example if you know at your past company you ran into this problem it was a huge headache for you and now you're building this company to solve it you should tell the user that and tell them that you're dedicating the next 10 years of your life to build this company to solve this problem that you felt so deeply that you know that they feel too people

are really going to connect if they know that you understand their problem too and they're going to want to share everything with you so that you can hopefully fix it for them it's also important that you use the language that your users use to describe you not necessarily how you think about how you describe your company a good trick for this is to ask your users say how would you describe my company and they'll typically tell you in a short phrase how they would describe it and and you want to take that exact phrase and use that as the language when reaching out to other customers and I would even recommend putting that exact phrase right as the header on your website because the language that your users use to describe you is almost certainly the same language that's going to resonate with other people just like them and then it's important to remember you shouldn't make demands in these emails respond to me by this date or whatever you're on their time you're in their inbox and it's not their responsibility to get back to you finally the last principle number seven here is to have a clear call to action you want to end with a concrete Next Step reply to let me know click here to get started Can You intro me to Aaron Or whoever you're trying to get in touch with this makes it really clear what action you want the user to take and then it's really important to make this its own paragraph make it its own Standalone sentence right before you sign off at the end often times people will scan an email get down to the end and try to figure out what is it they're asking me to do is this something that I could take care of right now in just a few seconds or is this something that's going to take more time and effort in which case I'm going to have to think about it and process it some more so by ending with a clear call to action you're more likely to get somebody to take that next step all right so these are the seven principles of effective email copy have a focus specific goal be human human personalize keep it short establish credibility make sure it's all about the reader not about you and have a clear call to action and if you do all of these things the good news is you'll be the top 5% of all emails that are sent and it's going to be hard for your recipients to ignore them but one email is often not enough people are busy they're out on vacation they get distracted and so you should plan to manually follow up two three four times as needed and now there's a fine line between being persistent and being annoying so you want to give it a few days between emails and also you can get creative with each follow-up I've done this in the past I was emailing somebody they weren't responding send an email subject line free donuts they opened that one and I went and brought some donuts to their office to get them to talk to me so sometimes you just got to get creative and then if somebody doesn't respond don't get angry don't get frustrated nobody owes you anything here just move on you can check back in in a couple months maybe it's not a problem for them right now maybe it will be in the future all right so let's see some examples so first we're going to take a look at a couple emails that are not effective and need some work and we'll critique those and then we're going to take a look at a few emails that are actually really effective and point out some of the good parts of them and it's worth noting these are actually real email emails that I have received and I'm going to be reading them out of my inbox but I'll be anonymizing some of the details to protect the innocent here all right so the first one says hi Aaron hope all is well wanted to follow up because I noticed your order processing time could be faster our company plugs into your e-commerce platform to pull orders in real time and guarantees all orders are fulfilled and on their way to your customer within one day or your money back all right the problem with this is that my company sold digital design assets that were downloadable from the internet we did not ship physical products so clearly this is a company that's trying to sell me a shipment service and because

this is not targeted we are never going to be their customer this could have been the most amazingly written most personalized email and nothing that they could do would make me their Customer because the targeting is not right so this illustrates the importance of having really strong targeting with your emails and why that will help you see much better conversion rates all right this next one hey there hope you are doing great I've just checked your website and your audience and content look interesting to us so here's a quick question do you partner with companies or collaborate somehow to make extra bucks best in waiting for your reply PS if you don't want to hear from me anymore just let me know okay a lot of problems with this one first they didn't even have my name it just says hey there so they couldn't be bothered to personalize with my own name so not a great start there's nothing personalized in here checked out your website your audience looks interesting to us and then I think this is their ask do you collaborate somehow to make extra bucks I don't even know what they're specifically asking for here and then finally nobody actually signed their name to this email and the PS says if you don't want to hear from me anymore just let me know which is basically telling me that this is Spam they've added me to some list and now it's my responsibility to get off that list so this is an example of an email that I could not delete fast enough okay here's the last one which I almost instantly deleted hi Aaron my name is so and so from the Philippines I saw your LinkedIn profile and took an educated guess and sending this email you don't need to tell somebody um how you found their contact information that's relevant to you not relevant to them I'm a freelancer that offers contractual work to Executives all around the globe I have been helping companies since 2014 during my past jobs I was able to facilitate good business relationships I can help assist you in your sales team I hope to share my skills and expertise with you you can see that this is all about the person who's sending it not about the recipient at all basically everything about this email is I I I it's it's all focused on the person who sent it not on me the recipient and why I should reach back out to this person to work with them so this is an example of not focusing on the recipient make sure it's all focused on how you can help their problems that's all they care about all right now let's take a look at some good ones that actually worked well on me and converted first one subject line go turps this was a LinkedIn message of which I respond to very few of them hope you don't mind the cold reach out but saw you also spent time in Van munching Hall so I went to the University of Maryland the Maryland terapin which we call the TPS um and I actually had a number of classes in Van munching Hall on campus so right away this is somebody that it says to me um has context when I went to school likely went there themselves um we have some uncommon commonalities uh together here as a quick intro my co-founder and I are both exg googlers working together on a meeting driven task manager so this tells me they're building some credibility they've worked at Google in the past makes me think maybe they're uh solid Engineers I was hoping you might help out a fellow TP and review my YC app I've already had a few friends review so it's been cleaned up significantly and this is really helpful because it tells me that they've done the work to get it to a point where they're not going to be wasting my time and that I'm going to be able to help them with the high value things not the obvious loow hanging fruit if you have a few moments let me know the best email to send you the doc and thanks in advance so this is a very clear call to action share your email with me and they'll follow up with a doc that I can just leave some feedback in so this was super effective I responded to this person um when that's something that I very rarely do okay now this next example is one that I actually wrote myself uh back when we were launching creative

Market Marketplace for graphic design assets and we were recruiting some designers to be our first sellers on the marketplace when we open the doors want to be one of the first creative Market Sellers and start adding your stuff we're just starting to open the doors for sellers to come in and add their content to be ready on day one of launch here's a special link to start setting up your shop it's still super early in the rollout process for us so I'd love any thoughts or feedback you have on how things are working right now we're working hard to improve things every day but definitely let me know if you run into any bugs weirdness or anything else you think we should know your feedback is super important to us oh and please don't share any info or screenshots about the new site and the seller terms with anyone else just yet we're inviting handpick sellers only at this point so trying to keep it super exclusive for now welcome to the club look forward to hearing your thoughts so what's interesting about this email is this is entirely a templated email except for the person's first name and the special URL that they need to come and sign up early but I use a lot of tricks throughout in order to make it feel very special and personalized so for one it's bunch of smiley faces you know makes it feel a little more informal um I write how I talk you know it's like oh and please don't share any info that sort of thing I also use the word special and make it feel exclusive a lot here's a special link it's super early for us i' love your feedback we're working hard to make it better um don't share anything because you know we're inviting handpick people only at this point it's exclusive welcome to the club so it makes it feel very special for the recipient rather than something that I'm spamming out to everybody and hoping anyone responds to me okay and this last email is going to be a little bit different we're going to do a before and after with a company that I worked with in the batch a few years back now they were uh company that sell uh in-office smoothie machines and pre-made smoothies that they were trying to get startups and other companies bu subscriptions with them and so they had this email they were sending out hey we're in the current YC batch hustling to achieve our demo day goal can you forward me to your office manager to chat about trying our delicious smoothies in the office for free in exchange for feedback to improve our product we got Uber Fitbit GoPro and others using us and thought your team would enjoy them too so there's some good stuff in here they've got the social proof that Uber Fitbit GoPro those are logos that we recognize so it makes it seem like they're more legit but you know it's all about them trying to get their demo day goal and um you know it doesn't seem as enticing for somebody to want to try to help them out it's less clear what's in it for the recipient so after brainstorming a bit and iterating on it here's what we came up with working with the founders the subject was smoothie party current YC company hey first name I'm Oliver the founder of snack Blends from the current YC badge and I'd love to throw free Smoothie party for the whole company team at your office it's like happy hour but smoothies and free are you interested all we ask in return is for some feedback on the smoothies is there an afternoon I can come by to treat your team thanks and so when they started doing this one it almost seemed like a no-brainer for their recipients yeah free Smoothie party somebody's going to come and give smoothies to my team sounds great and so that helped get them in the door to be able to then sell those um as long term deals all right so I'm going to leave you with some final advice here the first you should be doing this manually to learn and focus on scaling later if you're trying to automate right out of the gate you're doing it wrong instead if closing customers by sending cold emails is an important part of your growth strategy you should be blocking off hours per day to do this and do it incredibly well it's worth it for the return once you've got it working really well

with you doing it personally then you can try to figure out how to automate and scale the process more in order to do that you've got to be tracking and measuring remember that funnel you got to figure out at each step of the funnel what's the conversion rate how can I improve it figure out where you're dropping off and focus on those areas you the founders should be sending these people are going to take them way more seriously when it comes from the founders or the CEO much more so than if it comes from some account executive or some intern or some other automated process that you set up here and you should be sending dozens of emails per day block off the time and do the work to get it right and you will see the results so you may be small but that is your advantage because you can give your personalized attention to making these dedicated emails feel special to the recipient so personalize be human be persistent and do the work so thanks for watching and I hope this video helps you turn more of your cold emails into customers thanks

[Music] welcome to metrics for Consumer startups in our video on metrics for B2B startups we talked about net dollar retention and gross margin metrics that are most important for B2B companies now we're going to dig into metrics that are particularly important for Consumer companies I was previously the founder of a consumer online bank called monzo it's now up to about 8 million customers in the UK and I also worked at grouper a YC company that built a a group social club and dating app so two consumer companies I've also worked with dozens of consumer companies here at YC for Consumer companies growth headline user growth is the most obvious metric that a lot of people track the reason is often monetization comes later um you might have to build up some kind of network effect or viral coefficient things will go into later a good growth rate is 15% month over month at that rate you'll 5x your user base every year 10% monthly growth for Consumer company is okay it means you'll approximately triple your user base every year 5% a month or lower is unlikely to reach breakout success I'm afraid but growth is much more complex than simply headline user numbers we'll split first of all into organic versus paid growth so organic growth is really anything you don't pay for and Founders running consumer companies often neglect this we got to a million customers at monzo before we spent any money on Direct marketing or advertising and really we did this in two ways virality and network effect it's worth pausing on these because they're so important virality is the idea that one user using your product introduces it to other users somehow in the use of your product whereas Network effect is the idea that the product gets better uh that more nodes in the network exist I'll give you an example from Facebook's early days so when you took a a picture on Facebook and uploaded it you prompted to tag your friends even if they weren't already on Facebook and those friends would get an email saying hey someone's tagged a photo of you sign up to view the photo that's a viral mechanic by uploading the photo and tagging your friends you spread it to New users another example might be Wordle so when people play Wordle they post their score on social networks you see those little green and and gray dots that's a signal for everyone else there they're playing uh this game and it attracts new people into the game so that's virality a network effect comes from meta's law the value of the network is the square of the nodes in a network and what that basically means is the more people who use this thing the more valuable it gets and so WhatsApp is a great example of this if you're the only one on WhatsApp you know you can't message with anyone it's pretty useless but the more people you add to the product the more people you invite the more useful it gets for you you can

message all these people around the world for free and so the best consumer companies incorporate both virality and network effect which are different concepts but very closely related in order to grow their user base organically so let's think about your product How Could You incorporate both of these things virality and network effect first of all for virality what are the sharable moments what are the points at which you you know you accomplished something new in the product you've you know Duolingo you've reached a new level something you want to brag about or Wordle you've completed it in two tries or something uh what are those points in the product uh where people naturally are inclined to share it and then how can you make it really easy with all of those sharing prompts that um both iOS and Android offer the second is Network effect how could my product get better than more people who join you have to shift from thinking about your product as a single player journey to a multiplayer Journey so for something like Monzo which was a Neo Bank the network effect with things like being able to send and receive money really quickly within the bank so we've built a Venmo style um money transmission within the bank you could also open joint accounts or have big pots for groups of people who are going on a holiday and so what we'd often see is a group of six or seven people go on a holiday the start only three people have Monzo and by the end of the holiday uh all of the group have been bullied to sign up to Monzo so they can jointly manage their expenses that's a network effect working on these Network effect and viral Loops will pay back every day for the rest of the life of the company where with ad spend you spend the money one day tomorrow it's gone you've got to keep spending that money to keep acquiring users viral loops and network effects pay back forever so every one or 2% extra you can optimize in your viral loops and your network effect will pay back for the rest of the life of the company paid referral schemes are a sort of interesting blend it seems like member get member where you know if you refer a friend you get \$5 and they get \$5 or maybe with Uber you get a free ride they get a free ride I would treat this as paid acquisition actually you're spending money to acquire customers and if you stop spending those customers won't appear there are two things to watch out for if you're doing this uh these paid referral schemes first of all is cannibalization this is the idea that people would have referred their friends anyway and now by paying them you're simply paying for users that would have signed up for free so that's cannibalization and you can test that by only running your paid referral schemes in certain parts of the country or certain cities or turning it off for a period of time and seeing what natural organic rate of referral you get the second thing you need to watch out for is fraud honestly people somehow milking your referral scheme so I had a friend who in the early days of um of Zipcar just set up a bunch of cheap Google ads that bid on Zipcar and then would redirect them straight to Zipcar and milk the referral scheme and so he drove free Zip Cars for a year and then got banned for life from Zipcar so there are always people doing this you've just got to watch out for it it's just an annoying cost okay so we talked about organic growth and particularly Network effect and viral Loops now we're going to talk about paid growth so this is the idea that you you know you do a pay-per-click campaign maybe you do some TV advertising or advertising a newspaper or whatever the first thing is you have to have good tracking set up you need to know where every user is coming from did they come from your Facebook ads or your Instagram ads or that TV ad the simplest way for pay-per-click ads is that UTM referral in the URL if you can't get that or I know recent changes to iOS has made it much much harder to track you should just ask your users when they signed up where they heard about you so you have to measure this paid versus

free and you've got to know where they came from you can get really convoluted with you know first touch attribution last touch multi-touch attribution it's it's often way more hassle than it's worth simply using those UTM referrals or asking your customers where they came where they heard about your your business is probably the best way for most of you so understanding where each user came from and then how much you spent on each Channel lets you understand your customer acquisition cost how much you spent for each channel to acquire each User it's important that you track this per Channel and then crucially record that in your database where each user came from record it forever because you can then monitor the performance of those customers over time back at monzo we found a particular um money-saving blog that was very very cheap to get users from they sent us hundreds and hundreds of users uh when we were eventually paying for advertising uh it seemed very very cheap but the customers it turns out were deeply unprofitable they would load money onto their monzo card they'd go on holiday and then they instantly just go and take ,000 out from the ATM and just spend in cash and we couldn't understand why this was for a very very long time we researched it but the the net result of it was we shut down that advertising Channel even though the cost of acquisition looked really really good for that channel the lifetime value of those customers was negative the the revenue and the profit they generated was negative for the company because they generated so much cost the second thing for to watch out for for CAC for customer acquisition cost is you have to measure it to an active monetized retaining user whether whatever that's defined as for your business it might be a subscriber for monzo it was a weekly active user you have to measure it to get to a good user not simply a sign up because you might have 80 or 90% drop off rate in your first week for example you've got to track what does it cost us to generate a user who sticks around for the longterm who performs and retains like a like one of our good users that's your customer acquisition cost the best consumer companies have a split of organic versus paid growth of something like north of 80% organic to 20% paid even 100% organic to 0% paid for some of the absolute best consumer companies like Facebook and and WhatsApp in the early days a 50/50 split between paid and organic is okay anything below 50/50 for any period of time honestly is pretty worrisome that's because if you're relying too much on the big ad platforms like Google and meta to increase your growth you're basically just going to have to pay them more money and as you pay them more money to acquire more users the cost to acquire each user goes up and these ad platforms are really well tuned to extracting the maximum value from you and your competitors as possible and so what happens is all these competing companies bid and bid and bid to get more and more and more customers and see they're making less and less profit on each customer because they're requiring more and more to to acquire them and at the end of the day only Google and meta really win in that battle You all take your margins to zero and Google and meta end up making all the money that's why it's so dangerous to be so reliant on paid growth similarly a big platform shift like the changes to uh to the iOS platform to the broke advertising tracking just wipes out half of your business I've seen so many companies overnight just die from changes that made were made to the big advertising platforms so please please please focus on organic growth and that's viral loops and network effect so to finish up on paid growth I've not seen any great consumer company get to True scale where more than 50% of their signups are coming from organic JS and I'm sure someone out there will watch this and find an example but overwhelmingly the great consumer companies that get to IPO scale to get to really

big scale um have optimized their viral loops and their Network effects to get the majority of their growth from organic channels so now we're going to dive into unit economics this is the idea that you can measure on a per customer level how much revenue they generate minus the variable or incremental cost associated with serving that particular customer so let's take monzo an online bank when I was there just a few years ago these numbers aren't current each customer generated about \$50 in Revenue but we had a lot of costs to serve each customer so for example sending out a new plastic card and a replacement plastic card whenever they were lost was a variable cost the cost of customer service so the more each customer contacted customer service the more cost that would generate any fraud on the account or any transaction fees to make a bank payment or wire fees all of those were cost that monzo would bear and then we track those on a per customer basis this is very very important because you can then understand not just how profitable or unprofitable the entire customer base is but for each single customer and each cohort of customer how they performed so for example we discovered that customers at monzo who traveled abroad very often would earn a lot more revenue or customers who came in via a certain advertising channel I mentioned earlier might take money out of ATMs and incur massive costs there or certain kind of customers might contact customer service very very regularly and incur a lot of cost there and so this really matters in an operationally complex business where you've got thin margins it's really important that you understand on a per customer basis how much revenue each customer generates and then how much variable cost each customer generates and you can optimize it so you can start reducing the cost or you can start investing in the advertising channels that bring the kinds of customers who tend to generate higher revenue and lower cost so rather than tracking these on a really broad basis the more granular you can get on these costs the better so quick note things that aren't included in variable costs are those fixed costs the things that if you doubled or tripled your customer base really those costs wouldn't change at all so those might be engineering salaries or the rent on your head office those are the things that you deduct afterwards to get to your total profit line at the bottom so for unit economics you really want to take your Revenue minus your variable costs those are costs that vary as you increase the number of customers and as we talked about in the video on Gross margins scaling negative unit economics is very very dangerous in the early days of monzo we were AT3 or 4 per customer per year and we scale to half a million customers before we fix them earn a lot of capital so beware pay attention to unit economics and try to get them positive before you scale up your user base okay next retention we talked about retention in our B2B video and particularly net dollar retention it's pretty easy in uh B2B SAS companies when you have a recurring contract with a paying customer to know whether they've churned or not with consumer it's often a little harder especially when they're not a subscriber but they just periodically use your product like Airbnb and the complicated question is what is the right period to measure to tell if there's still an active customer or not should they be using a product every day or every week or month or even year so for Facebook an active user might be checking Facebook once or multiple times a day but with Airbnb you might only book a vacation home every six months and so for your business it's really important to think for a successful customer so want someone who really likes the product how often would they typically be using this service so for monzo we chose one transaction at least one financial transaction every week it can be hard to measure retention in consumer startups especially when you've decided that the

relevant usage period might be months or even years but like Airbnb or an airline booking so what some companies figured out is you can look for what's called a magic moment this user Behavior or activity that is correlated with or predicts long-term retention so the way you go about that is you analyze a group of your best users and compare their behavior how they use the product to the rest of your customer base so a famous example was Facebook they figured out that if you added seven friends in your first 10 days of usage you'd overwhelmingly go on to become long-term happy users of Facebook whereas if you didn't add friends in your first 10 days it's much more likely you churn off for monzo we had something similar because we had a bank account but also this venmo like functionality built into the product where you could send and receive money customers who added three friends from their phone book to their monzo account so they could send and receive money as they signed up retain something like 20 percentage points better than users who didn't have any friends in their first few days so once you figured out what your magic moment is might be adding friends like Facebook or monzo or it might be booking a stay and having a fstar experience as with Airbnb you can try to re-engineer your product unboarding to make sure that as many users as possible Hit This Magic Moment as soon as possible so for Facebook it was getting that ad friend uh popup inside the signup flow making sure that everyone who joined Facebook was prompted to add friends and so for your product think about what that magic moment could be and how you can re-engineer the signup flow to get as many users as possible hitting that point there is a mistake here and then I definitely uh fell victim to this it's getting too fixated on that precise definition of that magic moment for Facebook it probably didn't matter that much whether it was seven friends or eight friends or six friends simply finding that kind of Tipping Point that looks about right from your metrics and then agreeing with everyone that that's what you're going to optimize for rather than being really pedantic about the exact definition it's probably the best way to go the next thing we're going to talk about for Consumer startup metrics is the net promoter score again this is a three-letter acronym NPS that sounds pretty complicated but it's pretty much a measure of How likely you are to recommend this product to a friend you ask it to your customers and it's a scale of 0 to 10 and you basically take all the people who are promoters and that's a n or 10 and then you net off hence the net the detractors that's people who rate you 0 to six and that'll give you a score so if everyone is a detractor all people who vote voted at zero you'd have a negative 100 100% of people were detractors if 100% of people were promoters you had zero detractors 100 minus zero you have a plus 100 net promoter score another example say you have 50 promoters 50 scoring 9 or 10 25 in the middle 25 neutral you don't do anything with those you just ignore them and then minus 25 detractors those who people who are scoring at 0 to six 50us 25 your MPS is positive 25 if your net promoter score your MPS is not extremely high as a new consumer company your toast you pretty much have to re-engineer the product to make it something that people love the reason is it correlates extremely well with Word of Mouth referral so I would argue positive 50 is pretty much a minimum Baseline for any new consumer company you have to be in order of magnitude better than your competitors monzo for example hovered somewhere between positive 75 and positive 80 while I was there I looked up Tesla it's currently at positive 96 so the best consumer companies always always have a Sky High net promoter score and you if you look at old incumbents people like cell phone companies or really old Banks their net promoter scores are often zero or even negative that's a really good sign that you could disrupt those Industries with

great customer service and a great mobile proposition how you gather this score is extremely important so you ask this question to your customers it might be every month or so with a random sample or at a certain point in the product but the crucial thing is that you keep it consistent if you change the point in the app or the the point in the customer's lifetime when you ask this question you're going to change the values you get you're going to change the responses and your net promoter score will jump around wildly and you won't know whether it's something you've changed or simply an artifact of you having changed the collection method we fell into this trap at grouper dating website I worked at we changed the collection method and the net promoter score decreased by 20 percentage points overnight we couldn't figure it out so it's crucial you ask this in the same way of all of customers at various points in time that you don't change this and finally on NPS you can influence this this figure in particular as a next question after people have answered whether they recommend this to a friend you should ask a qualitative question why do you like the product or what's wrong with it and then in particular you can go and look at all of the detractors and you can fix all of the things they don't like and that's a sure fire way to increase your net promoter score okay we've covered a lot of stuff in consumer metrics today let's quickly recap first of all is your growth rate at least 15% month-on-month growth in active users is the target 10% is okay 5% is probably not going to cut it for Consumer startup we talked about organic versus paid growth you really need at least 50% organic to get to any kind of scale if you've got more than 50% of your growth coming from Paid channels I'd suggest in the long term you have a problem that you need to fix so focus on virality and network effect to get the those organic signups humming if you're not already start tracking unit economics this is the amount of Revenue each customer generates minus the variable cost that each customer creates if your unit economics are negative you must fix them before you scale then we talked about retention retention needs to flatten off somewhere if your retention periods are really long if people only come back every 6 months or year look for a magic moment in your product that moment where users finally discover the aha moment and are more likely to convert to long-term happy users and the net promoter score plus 50 as a minimum for great consumer startups and don't mess around with how you're measuring net promoter score you're likely to throw off your metrics and confuse yourself a final warning these are all benchmarks your company and your industry May well be different you may have off the charts organic growth and very poor unit economics like early monzo or you might have really really good economics and pretty slow growth that rely on paid ads every business is different and it's hard to give cookie cutter benchmarks for everything so just think about these metrics and how they might be different for your business I hope these are useful in running your company

you about how to build an MVP or a minimum viable product so if you haven't seen this before this is a meme that we love to talk about when trying to help founders with their MVP it's called the midwit meme the person who is the Jedi these super intelligent the founder who's doing all the best things and knows all the best things and the idiot the first time founder the founder who has no idea what's going on many times these two Founders will actually come to the right decision before the founder who is really smart and is trying to work really hard and do everything right and so in this situation with the MVP the best advice is to actually launch something quickly and iterate get a product into the hands of your customers and then learn

whether it helps them or doesn't and then iterate it improve it over time the wrong answer is to do 100 surveys and 600 user interviews and contact every single one of the competitors and spend you know a year fundraising and hire 100 people and you know all these other things that you can distract yourself with that it might appear like other smart things but in reality they really don't highlight the most important point about an MVP which is you'd only really start learning about your user when you put a product in front of it that doesn't mean that the thing you build in MVP is going to work right it's probably not going to work it's just the best way to start the conversation with the user and how you can solve their problems so to summarize that point the goal that you should have as an early stage founder is you should be getting a product out into the world quickly minimum viable product second you should be talking to some initial customers and trying to figure out what you can do to make that product useful for them you should care about how to help them accomplish their goals and you should try to figure out how can I change and iterate my product so that it actually helps them accomplish those goals and then rinse and repeat talk to more users iterate your product talk to more users iterate your product more often than not after three four five six iterations your MVP is going to be very different you have learned so much but by having that conversation with users and by letting them see your product evolve you can actually make them more excited more likely to use your product more likely to pay for your product and you can learn 10 times more than just talking your co-founders or thinking about in your head so the challenge today is that a lot of people are knocking MVPs a lot of people are talking about minimum lovable products or minimum useful products and honestly a lot of Founders actually just want to build you know God level products you know the Steve Jobs level make the iPhone and change the world there's this misconception that starting with something small that might not work very well is a bad idea there are a lot of people who worry that if you start with something small and you give it to a customer and the customer doesn't like the product you'll never be able to talk to them again what I will tell you is this in most cases the people who are interested in talking to a startup are early adopters they're used to using products that don't work very well and the reason why they're talking to you is not because they think your product's going to work great it's because they have a real problem and they're open to using new software so you don't have to worry about losing these people these are the kind of people who try new products all the time these are the kinds of people if you tell them hey look I can't promise it's going to work perfectly from day one but if you keep working with me we'll make it better and make it better and I'll make sure it works for you over time these are the kinds people respond to that pitch it turns out the people who will run away after seeing your product break and never use you again they're never going to try your product in the first place they're not early adopters they don't use new software so you don't have to worry about losing those people because you never had them you're not going to get them to get started now one of the things we have to work on at YC a lot is fear and this is the biggest fear that Founders have it's a non-specific fear of oh my God if I give people my product and they don't like it boom my company dies and it's always like hilarious because when we think about this it's like well your company doesn't actually die right like it doesn't die tomorrow it's not like game over you haven't run out of money all your co-founders are gonna quit whenever we encounter these Fierce scenarios we like to dig in and kind of ask like well what would actually happen like imagine the worst case scenario you do talk to a customer you do demo your product it doesn't work they don't want to use it you wake up the next day is

anything that different can't you reach out to someone else can't you reach back out to that customer who you demo to a week later when you've made the product better is your startup actually dead more often than not when you have this fear what you should be doing is kind of leaning into it and asking yourself is this fear real is my company actually going to die if this scary thing happens and it's not bad to feel the fear but it is bad to act on it it is bad to spend one year building your MVP because you're afraid the first customer might not like it now there's another group of folks who thinks I know what the perfect product is and I know it's going to take a year to build why would I build shitty versions of it I like to call these folks fake Steve Jobs and it's really a massive misconception of what great product people do a lot of people thought of Steve Jobs as the kind of person who could just imagine great products in his mind and then bring them out into the world but what's funny is that most of the time when people think about the products that Steve Jobs is most known for let's say the iPod and let's say the iPhone people don't take enough time to look at all of the different iterations of those products over time often when someone tells me like oh well you know Steve Jobs released an amazing phone first time I say well do you remember that the iPhone started without an app store do you remember you couldn't take video with the first iPhone do you remember the first iPhone only had 2G and not 3G so it really really really bad internet like most people don't remember that most people the iPhone that they actually think of as an iPhone was like the third or fourth iteration of the iPhone the first version of the iPod had like an actual physical scrolling device where like Sam would get stuck into it and it would break all the time even the great Steve Jobs iterated his products over time so if you find yourself being a fake Steve Jobs thinking I know exactly what the customer needs I just needs to raise 10 million dollars and spend a year building it and then launch it think again right like if Steve Jobs needed multiple tries to get his products right maybe you need to as well next let's look at some examples and in all these examples you're going to see three pretty simple points first all of these products were fast to build they could get out of the market quickly second they all had very limited functionality the third and interestingly enough all these products appealed to a small set of users these Founders realized that just making something that is smog for people's loved was far more important than making something that could address all the needs of all potential customers from day one so here's what the first version of Airbnb looked like and if you were a user when Airbnb first launched here are some of the fun things that you didn't get to experience there were no payments if you found a place on Airbnb you couldn't pay for it there you had to arrange for payment some other way there was no map view so there was no way for you to actually see where the places were in the city that's a pretty basic one three even more funny you had to stay on an air bed like you couldn't rent out your whole house you couldn't rent out a room in your house then fourth the first version of Airbnb only worked for conferences they would literally spin it up in a city when there was a conference when the conference was over they'd spin it down that was Airbnb to start that was the MVP here's a second example this one's my company twitch twitch started as a site named Justin TV where my co-founder Justin had a camera on his head the broadcast 24 7. in the first version of twitch there was only one page the page that you're seeing here there's only one streamer his name is Justin there's no video games except for like we randomly would play video games sometimes like uh Guitar Hero or something like that and streaming was ridiculously expensive we were paying a CDN we hadn't built our video system yet but this was the first version of our product now when you go to Twitch it's completely different but this is

where it started finally we have stripe this was the first version of stripe back then it didn't even have the name stripe it was called slash depth payments back then they had no fancy Bank deal they were working with a tiny Bank there was literally no direct apis with that bank for setting up accounts so they'd have to call the bank and every night file manual paperwork for you to get your account set up and there are almost no features in their API the first version of stripe was so basic that even us back in the day at twitch couldn't use it because didn't have enough features but the folks who could use it were early stage YC startups who all they wanted to do was accept simple credit card payments from their customers that's all stripe did in the beginning and that was more than enough to get started so you might ask yourself who are these people who actually want to use crappy MVPs you're telling us that they're going to be built fast they're going to probably not work that well and we're gonna have to iterate the hell out of them in order to actually make them good who are these early adopters who'd want to go through that experience there's this fun analogy that I was told as an early stage founder it was you want to build your first version for customers who have their hair on fire and it never quite understood what that meant I mean like it makes sense I guess but I always find it more useful when I attached a story to it so imagine that you are a person and your hair is on fire right now as you're watching this now imagine if I was sitting in the room next to you what is the thing that you wish I could sell you to solve this problem your hair is currently on fire probably most of you will think some version of a bucket of water hose some kind of water thing now that is a great product that's like the iPhone today that would solve your product immediately I don't have that I'm a Founder I've got an MVP what I'm selling is a brick now what would you do if I was selling you a brick now some of you are like well I would you know I would leave the room like I couldn't use a brick your hair's on fire you would buy that brick and you would hit yourself on the head with the brick to smother the fire that's an MVP it's not the perfect solution but you are in so much pain as a customer you will use a non-perfect solution to solve your problem that's the customer you should be going after for customers who are not desperate you can wait you don't have to go after them now just go after the desperate ones first don't make your life a lot easier now I know some of you um especially those who've gone to business school I know a lot of you have said I can skip this step instead of building an MVP iterating iterating why don't I just survey my users why don't I just talk to 100 users and they'll tell me what to build I wish this was the case I wish that users could just tell you what to build and then if you built those things you'd win in fact I think every business wished that was the case here's the problem your customers are experts in their problem but they actually don't have all of the answers at how to solve their problem that's your job that's the job of the person who's building a new product surveys might help you understand the pain that your customer is going through but they will never help you figure out how to solve that pain the only time that you start having that conversation with the customer is when you can put a product in front of them preferably a crappy MVP and start saying does this solve your problem I haven't really seen a shortcut to this step I haven't seen a shortcut of building something pretty fast that's pretty crappy to get started and even for larger companies even for enterprise software companies if you go back in time the first versions of their product they were not perfect they were far from it they were the minimum that those customers were willing to use so across the entire board you gotta start with the minimum viable product I think one of the most important points that I want to leave you with is that you don't start your startup with all the answers building a startup especially the first phase of building a

startup pre-product Market fit is all about learning it's all about taking some of the insights that you start with bringing them to the market and learning most of the solutions most of the best parts of product to use today were discovered after those products were launched when those Founders were learning from their users and building and launching MVP is the fastest way to start the process of learning and the faster you learn the more likely you are to build something that people love before anyone else so let's say I've convinced you that now you actually want to build an MVP how do you make sure you do it quickly here are some tricks one give yourself a very specific deadline it's a lot easier to make sure that you're building something that's the minimum viable product if you give yourself two weeks or a month or a month and a half to complete it versus if you don't give yourself a deadline second write down your spec if you think that there are five or ten features required in order to launch an MVP write them all down don't put yourself in the position we are constantly trying to figure out should we have that feature should we not have that feature I don't remember the feature we talked about the other day how should it look how should it work if you write it down then you can just focus on building instead of continuously debating what should be built number three cut that's back after you write all that stuff down go through each one of those items and ask yourself there's a truly desperate customer need that feature to start you're probably surprised at how many features you can leave off for the second third or fourth version of your product and just get the basic stuff out first and then number four and most important don't fall in love with your MVP It's Gonna Change you're going to iterate it it's going to get very very very different over time you want to do it fast and you don't want to fall in love with it you want to fall in love with your customer with your user not in love with the crappy initial product that you're building to start learning from that user all right so hopefully you don't need any more convincing you understand that the simplest and easiest path and the smartest and most Jedi path is to build and launch your product and then iterate it and so I wish you all a lot of good luck and while you're building remember one thing it's far better to have a hundred people love your product than a hundred thousand who kind of like it so when you're releasing that mvp it's totally okay to do things that don't scale and recruit those initial customers one at a time if you care about those customers I promise you they will talk to you that you can work with them and you can help them figure out how to solve their problems and as a result help figure out how to build a great product for them thank you very much and good luck

School my name is Gustav and I'm a group partner here at y combinator today I'm going to talk about how to go from talking to users getting your first customers here's what I plan to cover today one what does it mean to do things that don't scale and why is this mindset so so important at this stage of your company two how to do sales I'll make the argument the founder should be the ones doing sales in the beginning then we'll cover some sales funnel information and then why is it so important to charge for your product and finally we'll learn how you work your way backwards from your goals and why that's important I hope you've read this article or this essay the most important essay ever written about the very early stage of startups is do things that don't scale by Paul Graham Paul is the co-founder of Y commner he published this essay about the early days of Airbnb Airbnb is perhaps the best example of a successful YC company who got their feet off the ground this way many Founders who never worked for a startup or an early stage company incorrectly believe that all you need to succeed is a good

product and growth will take care of itself this is not the case the truth is that good product is very rarely built in isolation but together with your customers and as a result it's not actually that good when you show it to your first customers set this another way startups don't take off by themselves startup takes off because Founders make them take off and you have to manually recruit your customers it's not enough to push a button on an advertising Network this is uncomfortable and Founders continuously find many ways to avoid doing this the most common way is believing that you can recruit people by just writing more code or doing more work on your machine or your robot or whatever you're building I know this from my experience of YC that this actually don't work so why am I talking about this right now learning the tactics of sales is just one side of this uh of of this learning the most important side is just really realizing that it comes down to you it's not just knowing exactly how to do sales in theory but actually doing it and actually wanting to succeed another great visualization is what's called a startup curve this was initially drawn by YC found program and then labeled by Trevor Blackwell and you've probably seen this curve before most companies go through something like this it's kind of like a timeline for startups here's how it goes first you launch these days most companies don't launch on TechCrunch but probably on product hunt or Hacker News or some other internet board the launch energy that you get from this launch eventually starts wearing off as early adopters are looking out for something new if you don't have instant High retention nobody does for what you are building then you'll enter the through of Sorrow this can take a long time and many companies die during this stage they just give up and don't move fast enough with testing new things some startups do move fast enough and release new improvements of their product they'll listen to users and they improve many still don't get anywhere further and becomes victims of the crash of ineptitude it's the founders to stay the course and don't give up that reaches the Wiggles of false hope and eventually the promised land of crack Market fit the learnings we draw from the start curve is that every moment in the early days of startups the founders are the ones that make the difference between success and failures if you are in the wrong Market it's the founders that switch to a new one and if you don't know how to do sales it's the founders who learn so you have to really want it otherwise this won't work all right let's talk about sales and how to do sales first Founders should learn how to do sales you should learn how to do sales because you'll need to learn to know your customer talking to customers and sales are effectively different sides of the same coin and the same reasons Founders can't understand what to build they don't understand what the problem is you don't know how to sell unless you know your customers two learning how to do sales actually gives you full control of your destiny as a startup just like you can't Outsource engineering sales has to be part of the DNA of the founders sometimes you just have to learn it as a result you should not hire a sales team until you know how to do sales yourself only then will you know what good looks like you also can't do sales if you practice bad and you won't know if the product is bad unless you've had some effort in trying to sell it first if you don't know how to sell don't worry you you can learn it's probably the easiest job to learn in startup if you know the problem you're solving if you know your product intimately if you know the market you are an expert in the eyes of the customer they will want to hear what you have to say finally a love for solving customer problems is really infectious if you're really passionate about solving this problem they will be able to tell if you don't believe me here are some examples of Founders who took on the sales job and learned to get really good at it so Tony from doordash matild from front Tracy from plangrid and Steve Jobs

let's get straight into an example so these are the brex founders Pedro and Henrique when brex was in Y Combiner in Winter of 2017 they recruit the first 10 customers directly from the YC batch June YC you have the benefit of being around other startups I.E potential customers the brex founders asked themselves what would the minimum product look like that they can build to be useful to other startups and then they went with strain straight into signing up those customers the first version was very very simple customers just had a virtual credit card and Enrique from brex actively onboarded everyone of the customers himself of course they could have waited until they had a full-blown product a website a Mobile app all of those things but they decided to get going when they have something that was really useful this is how their first physical card looked like this before they had this card they just had a virtual card Rex reached out to the their YC batch and otherwise the companies and this is the email that they sent I'm just going to read a brief portion of it hey guys we're opening up our beta for winter 17 batch friends with the 10 spots for beta users 10 spot this sounds like there's a limited spot so I should take actions brex is a corporate credit card focused on technology companies that's me perfect you're actually writing the email directly towards your customers we don't require a personal guarantee it can underwrite startups who just got started this was the value prop most other alternatives to brex did not have something like this so how much does it cost it's free the merchants are paying us so there's zero Annual fees this seems like a no-brainer I would argue that this email is probably a little bit too long but it did work so let's talk about how to write a great sales email so first it should be short Max 6 to 8 sentences the brexit sample on the previous slide is probably too long it still worked but probably too long people don't have time to read long emails if you're coming out of Academia your culture is going to be very different you write very long emails but in the world of sales you want to get to the point and be brief as much as you can two you want to make sure you have clear language no jargon no buzzwords just say exactly what you do and how it works and then three address the problem that the potential customer is having four do not use any HTML formatting write your email in plain text only like you would written it to a friend say you are the founder of the company who makes this product many people forget to do this describe why you and your team are impressive include social proof and remember to show not tell don't say you're an expert don't say how many years that you have been an expert if you're in the YC match if you worked at impressive companies in the past those are other piece of social proof that you can include you won't include a couple of these ones so that the reader knows the source and even if they don't know you gives assign you some authority six you want to include a link to your website the website needs to be simple you have to have information about the product the website should not have a lot of drawings or sort of like paid for graphics you should just have screenshots from your product and bullets about what your product does sometimes it works to send a short video a YouTube video that you can embed in the email that's very easy for the receiver to click on and View and I've even seen people using gifs now those videos and those gifs needs to get to the point right away because the the receiver is kind of intimately familiar with the problem but not really have time to watch two or three or four minutes of a potential solution and then finally you want to include and ask for a call or a meeting or a self-serve whatever is appropriate for your company but there needs to be a call to action in the email that you're sending all right let's talk about the sales funnel the concept of sales funnels is really quite easy I think people get confused by the language the sales people are using so I try to simplify it here on the left hand side I call it the founder speak

on the right hand side I call it the sales speak these are not going to be perfectly mapping but you get the idea so first you want to make a list of customers you plan to reach out to in sales it's called prospecting or lead generation we'll just call it make it the list and you can use Google spreadsheets or something like that to make this list then we want to send them an email or a LinkedIn message or add them on LinkedIn or whatever is the appropriate way to contact these people after that you want to schedule and run a demo or a meeting from that response to the email and then you want to talk pricing and then finally close them as a customer the last thing which you should not forget is after you've closed them you still need to onboard them to make sure that they start using your product if this is successful and you have good retention that could lead to long-term Revenue if you forget the last step then you will have lots of churn because people don't actually know how to use your product and this is common with early products because they are not easy to onboard in the beginning this is not something you spend a lot of time optimizing so make sure that you do the onboarding as part of this process if you go back to the Google spreadsheets that I'm that I'm making that I'm putting in all the information you should start simple but you should have some Columns of things that you're tracking so industry uh the company the title the name the email maybe the LinkedIn this could be enough to start with a lot of CRM software comes with these categories so these columns it's pretty good idea to kind of use a simple CRM software um to kind of accomplish the same goal but the key thing here is doing this work up front and I've seen a lot of YC Founders that when they are getting to a thousand of these they're like oh this is a very simple task I can actually Outsource this and I think that can work if you know exactly what it is you're Outsourcing storing all this information is going to be helpful for you in the future now I made my list I understand this the sales funnel so who should I be going after and how should I be prioritizing as I'm doing the Outreach here's my most important advice when it comes to sales your first customers should be your easiest this is not the time to bite off the hardest one focus on the easiest ones what I mean by that is you should try to do sales make the sales processes easy for you as you possibly can startups don't really have time to chase every lead there's a lot of leads out there you you don't have to pick all of them you really don't you're so early you can pick only the ones that are the most likely to close the best way to do this I have a big pipeline where that means a lot of people that you're emailing are potential customers and then as you're getting responses and you're getting to meetings start prioritizing those who are the most likely to close you can probably tell from their answers to your qualifying questions during the sales call avoid those who are moving slow and don't be afraid of letting customers go don't be afraid of letting customers go what I mean by that is that if someone is dragging you along two or three calls you can always be like it's been great getting to know you um and I've learned a lot but um we should talk again in six months that's totally fine to say two selling to people you know is going to be easy to selling to strangers so you should take advantage of your network three selling to startups is the easiest category and I've I've learned this On and On Again with YC company specifically the ones that sell software it just turns out that bigger companies have more bureaucracy more processes they even have a specific Department that is in charge of negotiating with you and that takes a long time and startups don't have any of these things because they don't have time to create these things but it's not a priority for them so startups have short decision-making lines you can often find that the decision maker right away as you do in the Outreach and you don't have to go through a difficult process that's why startups are

easier and that's why we recommend most companies to sell to startups at least leads me to the fourth Point most people are not early adopters and I keep saying this to the white companies I work with all the time the reason you have to sell send hundreds of emails is not that most of those people get really upset and be like I can't believe you emailed me like I really love this alternative product by hate your product that's not what's going on most people they email are just be like archive they just don't care they're not going to try a new product that comes in through your LinkedIn or your email and they might not be the people that try a new product at all in their career that's most people some other people I remember being one of those people when I worked at Airbnb I would love when founders emailed me with new new products and I would be the one signing up for them so when I worked Airbnb and you were a startup email me was great I am an early adopter I love trying new things I don't mind the risk of trying new things so for every outbound uh to an average company that you send you will mostly like most likely on the average outbound average email average LinkedIn reach someone who is not an early adopter to reach early adopters you just have to send more out by messages because then you don't have time to convince anybody to become an early adopter you have to find Aero adopters and just go for them early on don't worry about everybody else you just don't have time to convince them let's talk about charging it's attractive for you as a founder and for your company to offer your product for free offer free trials or unpaid pilots and these things come in many shapes and forms however if you don't charge your customers they are not a customer and you don't have a company customers paying you money is a great sign that you're providing them real value so you should resist the fear of getting a no because of price instead of figuring out what the price should be if they don't want to pay and you learn this during the qualification process in the first call or the first meeting if they don't want to pay that's a great sign that you should move on to the next customer again fire the ones who seem like they're not good fit move on to the next customers free trials are common for consumers but if you thought about it most consumer free trials ask for the credit card up front and then we forget and then we pay anyway that's because that actually works the best the bdb version of this is a better one than a free trial is a money back guarantee so we charge you if you're not happy you can get the money back in 30 days so 60 days um or even better you have the ability to opt out from the annual contract you just pay for one month instead of the annual fee but you should not offer free trials in B2B sales go for a money back guarantee and go for the ability to opt out instead increasing your price until your customers are complaining but still paying is the right way to go all right let's talk about the thing that most Founders get wrong I've seen as many times but there are a few things that most wanted to get wrong and this is one of them working backwards from your goal with your sales funnel in order to work your way backwards from a goal of say two signed customers you have to understand that each step in the sales funnel is going to have a drop-off when you haven't started sales yet you don't know what these draft off percentages are maybe you haven't done a lot of sales before you don't know what you're not good at maybe you're really good at sending emails but really bad at closing or vice versa you don't know that so as you're sending these outbound emails you need to take notes and start tracking all of these conversions in this example I'm sending 500 Outreach emails or LinkedIn messages I have a 50 open rate that means 250 people will open the email five percent will respond that's about 20 potential customers 50 of those will convert to demo from the response which means I'm doing 10 demos that's pretty good but I'm not that good at doing demos only

two end up becoming customers from the demos that's 20 I bet you most of you don't even track this data but you should if you track this data you will have some idea of how long it will take to get to 10 paying customers if you don't track this it's very hard for someone to give you feedback of what's working and not working right it's just like when you're launching a new product you want to have some metrics and some user data to be able to tell if it's working when you're doing sales you want to have this data if you have this data people will be able to give you feedback on what you're good at and what you need to get better at my advice is to use a simple sales CRM software that tracks these conversion rates automatically let's look at the same second example this is how it looks like for most startups even the ones that I work with in the batch in the second example I'm sending 100 Outreach email it feels like a lot to me if I keep the conversion rates constant from the previous example I actually end up with zero customers and the conclusion the founders draw after this is that sales is not working for me and I should just do marketing or SEO or something else or referrals or something that sounds attractive this is simply wrong you don't have the data to make that call you did not do enough Outreach to actually get to correct conversion rate percentages in your sales funnel so the answer here is you sent a few minutes too few emails you don't have the data you can't draw the conclusion that sales is not working even though you have several customers and this is the mistake that founders do on and on and on again so to summarize what I just went through here you don't know your sales conversion rate that's why you need a CRM to keep track of it two because you don't know who is an early adopter you have a lot of drop off in the outbound sales that makes up on sales ultimately a numbers game and successful startups we like this and internalize this three you cannot close five customers from 10 leads it's not possible you need a lot more app on than that a lot more and unfortunately most founders don't work their way backwards from this sales funnel and they don't do this exercise and the result they don't succeed as sales and they don't really know why so a friend of mine from Airbnb Atlanta rashitzki he writes an excellent blog and he wrote a great blog post about how YC and a bunch of non-yc B2B startups um got their sales go to market strategy going I recommend reading this and other posts uh newsletter it's it's one of the best ones I've come across it has a lot of real data that he collected from real companies uh many of them being YC companies so in this example here in the second column Lenny is describing the initial sales motion of some of these companies as you can see some of the early ones like amplitude stripe front they were doing app on sales emails just like the one we described to get started those founders were doing those sales emails as they got started some of the other ones was called Product LED product LED could mean something else than just doing up on sales but it doesn't mean having a big sales team and it usually does not mean doing marketing or SEO or something else practically it means something that the product itself is sort of like driving the growth as you're running the demo um your goal is to close your first customers you want to ask a lot of questions up front in the demos and there's the founders who should do the demos because you are the one knowing the product and you know the customer pain points here are three examples of YC emails that led to customers so I'll let you guys look at the details of these afterwards but this is an app on email that led to uh 72 000 a year contract this one LED is a very specific email that led to out Landing a goalie as a customer and this third example here is the one email the same email they got them 22 different customers all right I'm going to summarize this again the biggest mistakes that most founders do is they don't do enough Outreach because they don't work

package from the goal believing that something else then sales is going to solve your sales problem Outsourcing sales is wrong you should do it yourself and you need to qualify your customers during your first call here are some of the tools I recommend so there are many many many tools this is perhaps one of the biggest categories of potential things you could use as you're doing sales but I recommend apollo.io close.com formerly called closed.io pipedrive or hunter.io these are great tools that you can use either as a simple sales CRM or Hunter you can use to get contacts or potential people to email from LinkedIn here are two additional resources if some people ask me for books usually there aren't good books but there is actually one that I come across I find really good it's called founding sales and then I also recommend lineage newsletter.com there are of course other ways that you can grow as a startup but the truth that I've learned is that even if you end up with say like Airbnb where the sources of growth is Word of Mouth Google search referrals Facebook advertising if those are the kind of end states of your growth strategy that's not how ambica started they didn't start by running Google sem or Google SEO the referral program did not bring in the first 2000 customers they did things that didn't scale and they looked different than the one they do at scale so a lot of companies are shorting straight into What's called the scalable growth channels the channels that they've heard work which is true at scale but that's not the same thing as when you're getting started so in this slide I'm outlining kind of like just a rough idea of like even if it turns out the Google sem and Google SEO is what's going to work at scale you need to find another place online where these people that you're going to reach through sem and SEO is identifying themselves online right and that might not be the same as Google if you're trying to go after sem which means search engine marketing it's going to be expensive probably because there's competition if you're going after SEO it's going to take a long time if your growth is say proc LED or virality referrals then personal networks selling through your personal Network to your co-workers is the way to get started of course if you're doing sales you should be doing sales it doesn't change very much like early stage sales to to large sales basically means all the things that I just described here done by 100 people in a sales team with more automation more tools more metrics but it's the same thing and if you practice setup to do online marketing it's not usually how most people start why because you can't really easily talk to people you can't learn from users if the first thousand or first-handed customers are brought in through Google and Facebook those people are not the kind of people that you can easily get on a 30 minute phone call with all right that's all I had today thank you everyone foreign

foreign [Music] I'm Aaron Epstein I'm a group partner here at Y combinator and in this video we're going to be talking about business models and pricing there's three main things that we're going to cover in this video the first is the nine business models of nearly every billion dollar company it turns out there's just a handful of them that build the biggest winners next we're going to talk about business model lessons from the YC top 100 companies list and finally we're going to cover some startup pricing insights that we've taken from the thousands of companies that have gone through YC so first let's talk about business models that build winners if you're not familiar a business model is a fancy term for how you make money and it turns out the business models are important because we see Founders that often get frustrated when investors won't fund them and their business won't grow and oftentimes they're not sure why and usually this is because they're not using a proven business model and they're actually only

a handful of business models that are responsible for nearly all billion dollar companies and rather than trying to reinvent the wheel you should actually just copy one of these and here they are nearly every billion dollar company is one of these Nine business models there's SAS business models which is software as a service which is cloud-based subscription software that customers pay either monthly or annually in order to access the software there's transactional business models that facilitate transactions and take a cut of those transactions these are often fintech companies and then there's marketplaces which facilitate transactions between buyers and sellers these are often referred to as two-sided marketplaces and there's also hard tech businesses there's usage-based business models there's Enterprise there's advertising there's e-commerce and there's bio and so in this video I'm actually not going to get too deep into the specifics of each of these business models instead we're going to have a business model guide that I've put together that's going to be linked in the description down below this guide is going to cover the metrics that matter most for each business model key takeaways for each of them and other similar companies that you can learn from depending on which business model you are using for your company in this video what I want to focus on is things that we can learn from the top 100 YC companies the top 100 YC companies is pulled from ycombinator.com top companies which is a list of the most valuable companies that ycombinator has ever funded and so for the purposes of this video I've gone through this list and I've matched each company up with their primary business model to try to see what interesting insights we can get from them now some later stage and larger companies actually have multiple business models however for your purposes as an early stage startup you should just have a single business model that you're focused on and so here they are these are the top 100 YC companies organized by business model and there's some interesting things that we see here first is that that SAS businesses actually make up 31 of the top 100 YC companies transactional businesses make up 22 percent of the top 100 YC companies and marketplaces actually make up 14 so just with these three business models SAS transactional and marketplaces it makes up 67 percent of the top 100 YC companies on the flip side with business models like advertising and e-commerce they barely register on the top 100 YC companies list if you're familiar with startup outcomes and Venture Capital returns you know that there's a power law effect which means that the biggest winners far far outperform all other businesses by orders of magnitude and this is true for the YC top 100 companies list as well turns out that 50 of the overall value of the top 100 YC companies actually comes from just the top ten and so it's interesting to look at what insights we can get from these 10 companies too and here they are these are the top 10 YC companies by value there's Airbnb there's stripe there's instacart there's coinbase there's doordash there's Reddit there's a number of companies here that you're probably very familiar with or use on a regular basis and what's especially interesting is that five of the YC top 10 are actually marketplaces there's Airbnb there's instacart there's doordash there's openc and there's Fair the interesting takeaway here is that marketplaces are most likely to build winner take all companies they tend to become so big and dominant in their industry that it doesn't leave much room or market share for other competitors once marketplaces actually get huge so marketplaces are 14 of the top 100 companies but they actually create 30 of the overall value because so many are represented here in the top ten and while marketplaces are really tough to get off the ground they have a chicken and egg problem where you can't just build your product and then sell it to customers you actually need to solve for both sides of the marketplace the supply and the

demand at the same time in order to get customers however once they hit the inflection point and they start to work they get massive Network effects where each new user of the platform increases the value for everybody else that's what makes them dominant winners so you can think of companies like Airbnb if you are looking to rent out a place short term to stay then chances are you would go to Airbnb because that's where all the inventory is similarly if you wanted to buy or sell nfts you would probably go to openc because that's where everyone is that's how these become the big Winners it also turns out that three of the YC top 10 are transactional businesses too so these are companies like stripe coinbase and brex and the main takeaway here is that transactional business is far outperform because they're directly in the flow of funds this means that they are the platform that money flows through making it very easy for them to just take their cut and so transactional companies are 22 of the top 100 YC companies but they actually create 29 of the overall value and this is because there is close to the transaction as possible this was advice that I received during my YC batch back in 2010 and that was to get as close to the transaction as possible if you're a company like stripe that literally processes money for companies or brex that is the corporate card that they use to spend money then you're directly in that flow of funds and so it's really easy to take your cut on the opposite extreme if you are an affiliate business multiple things have to happen before you ultimately get paid which means that you are very far from the transaction which makes those not as good of a business for transactional businesses because they're so close to the transaction they often become critical infrastructure for other companies that they build on top of and that usually means that they are solving a top three problem for them so you can imagine if you use stripe as your primary method to get paid from your customers the thought of ripping that out sounds terrible you would never want to do that and that's why these transactional businesses become so dominant we also see that SAS businesses are most likely to make the top 100 list and this is because they have consistent Revenue so 31 of the YC top 100 companies are actually SAS businesses that's nearly a third and this is because the recurring Revenue makes them great businesses this means that customers keep paying them every single month or every single year until the customer explicitly says to stop so this has lots of benefits including the predictable Revenue that they get which allows them to compound and grow their business we can also see that very few advertising businesses become big Winners and this may be surprising because we're so familiar with so many companies that have built their business off of an advertising business model there's Google there's Facebook there's Twitter just to name a few but really only three percent of the top 100 YC companies use an advertising business model as their primary way to make money and that's because advertising businesses need organic virality to win they need to catch lightning in a bottle and become the Hub where all users go to to hang out or to see live streams in the case of twitch but when that happens they get really strong Network effects just like marketplaces so people go to hangout on Reddit and form communities there because that's where everybody else is people go to Twitch to watch live streams because that's where all the streamers are and so it's really important to remember member that you should not use ads as your primary business model unless you expect to be a top 10 site on the internet otherwise it's too hard to monetize and build a huge scale to become a massive company so what are some overall lessons that we can take away from this list first it's interesting to look at what's not in the top 100 list there are no services or Consulting businesses there and so it can be a good idea to start doing services or Consulting for your

customers primarily as a way to learn and make sure that you're building the right product for them but Consulting businesses suffer from having non-recurring Revenue scaling with people rather than software and having very low margins as a result so that's why these businesses are not Venture scale similarly affiliate businesses they tend to be too far away from the transaction that means that you have to acquire a customer so send them off to another product or service hope that they actually make a transaction on that other product or you will get some small commission from that 30 to 90 days later so it's too hard to make a lot of money at scale doing an affiliate business similarly Hardware businesses they require lots of capital to get off the ground to buy physical parts and they have low margins as a result so that makes it really difficult to start these businesses and also to scale them even if they're working just requires so much capital and then businesses that are built on other platforms you don't see in this list either that's because they tend to have a lot of platform risk if your business is built on top of another big successful platform and your business starts to work then it's actually in the interest of that platform to shut you down and capture all of that revenue for themselves so that's why even if these look like they're working in the early days they can be turned off at any moment we also see that recurring Revenue consistently creates winners and this is because it is highly predictable once a customer has committed to pay they're going to continue paying until they explicitly say that they want to stop paying they also have higher customer lifetime values versus one-off transactions and this results in lower customer acquisition costs so you don't have to keep reacquiring customers over and over if you have a one-off transactional business then you have to invest money in acquiring that customer the first time and then also keep putting more money into trying to get existing customers to spend more with you that's not the case with recurring Revenue businesses but recurring Revenue only works when you have strong retention it's not enough for your product to deliver value right up front and then never again you need to keep delivering value over and over again otherwise your customers will churn and stop paying and then you can't scale a leaky bucket if you have lots of churn and to give you an example of that if you had 95 monthly retention for your recurring Revenue product so that means that five percent of your customers will churn and stop paying you every single month and if you started with 100 customers at the beginning of the year then by the end of the year you would only have 54 customers of your original 100. that means that you would lose 46 of your customers in just one year and you would need to get 46 new customers just to break even with where you started the year and let's say for example you had 90 monthly retention instead of 95 just a five percent difference there and that would actually lead to only 28 customers at the end of that first year that's a huge difference and a huge hill to climb so just that five percent difference in monthly retention can actually be the difference between life and death for a startup we can also see that some of the biggest winners are built with Moats there are network effects that many marketplaces have right where each new user increases the value and they become the dominant player in the market there's also lock-in and high switching costs we see this with transactional businesses like stripe if you're the primary way that people actually accept money and process payments then chances are they're not going to switch off of you in SAS businesses you get the recurring Revenue where customers keep paying over and over again until they say to stop you can also get lock in by having customer data on your platform that once they stop paying all that customer data goes away and then Enterprise businesses while they're often difficult and have long sales Cycles to be able to sell into large

companies usually once you've sold into the company the churn is a lot lower technical Innovation is another way to build really strong moats and we see this often in hard tech and bio companies especially so you can think of companies like Cruise building self-driving cars and Boom which is building supersonic jets it takes a really long time to even get to a working product for these types of businesses and so for anybody to compete with them it takes years of difficult technical development just to catch up we also see that higher margins and better unit economics can build moats in the example of companies like DoorDash and Instacart they've reached economies of scale where they're so large now that they've been able to drive their costs further down at this scale and improve their margins which new entrants are not going to be able to compete with and finally if you get organic distribution for your product through virality or word of mouth you can dominate your market through that as well if you are able to get users for free because other users of your product tell new users to come join and you're competing with a company that has to pay to acquire their customers then you are going to grow much faster and capture way more of the market so to recap the best businesses generate recurring revenue have high retention build defensible moats are as close to the transaction as possible they scale with software not people and they're proven and use business models that are familiar to customers and so it's important that you focus on innovating on your product that's what should be new and copying your business model from one of these proven winners all right now let's talk about pricing it's important to think of pricing as a tool to help you learn faster it can help teach you who wants your product how much they want it how much value your product provides to your users and which channels you can afford to use to acquire your customers so to help you get started I've compiled five pricing insights from the top YC companies the first is you should charge this is actually the most common mistake that we see founders make often founders are afraid to charge for a number of reasons they're often afraid that their customers are going to tell them no they're afraid that their customers are going to walk away and never come back and they're afraid that their customers are actually going to go and use their competitors product but it turns out that charging is actually one of the most effective ways to learn a lot of really important things about your business the first is are your users even willing to pay or not this is often binary where either they're willing to open their wallet or they don't even see enough value in your product to overcome that hurdle it can also teach you which users are most willing to pay if you're trying to decide whether you should go after customer segment A or customer segment B trying to charge and figuring out which one is most excited to pay can give you really good signal on who wants your product more it can also teach you how much they're willing to pay by setting higher prices you can try to figure out how much value they see in your product even if everyone refuses to pay that's still valuable information for you to get because it teaches you that you haven't built enough value into your product yet or you're talking to the wrong customer segment stripe is a great example of this in the early days stripe wanted to test the amount of value that they were building in their product so while most of their competitors were actually charging around three percent per transaction stripe decided to set their price at five percent per transaction nearly double what their competitors were charging and the reason that they did this is because they wanted to test how much value their customers saw in things like one-click sign up and being able to get started quickly and really in-depth detailed developer API documentation that would help developers get started faster and so rather than trying to undercut the competition in order to win customers

they did the exact opposite and set a really high bar for themselves to prove that they had built enough value into their product so where should you begin the first thing that I recommend is that you don't overthink it if you look online there are tons of charts and graphs and formulas and all these different complicated ways to maximize your pricing and figure out the right price to charge but really when you're just getting started the important thing is to just find the right order of magnitude for your pricing and what I mean by that is if you're charging ten dollars for your product and your customers are willing to pay a hundred you should probably change your price you're off by an order of magnitude however if you're charging ten dollars and your customers are willing to pay 15 or 20 don't worry about it you're in the right ballpark which is the really important thing and pricing isn't permanent this is really important it often takes years to iterate and capture the full value of the product that you've built from your customers and so don't worry about capturing that full value early on you'll have plenty of time to maximize that the next insight is that you should price on value not on cost and so there's three important components here the first is the cost this is what it costs you to be able to serve your customer the next variable is price this is what you're charging and then there's the perceived value that your customers see in your product and so Founders often start with something called Cost Plus pricing I would not recommend this what this usually looks like is looking at how much it costs you to serve a customer and then adding an amount on top of that say ten dollars and that's your price but this actually ignores the full value of what your customers see in your product so the difference between your cost to serve your customer and the price that you charge that's your margin that's how much you make on each transaction and the difference between the price and the value that your customers see in your product that's your opportunity to be able to raise your prices to be able to capture more of that perceived value and now if your cost is higher than your price well that means that you're going to have negative margins and you cannot scale a business with negative margins similarly if your price is higher than the value that your customers see in your product that means they're just not going to buy from you so how do you find your value well there's a couple interesting ways to be able to do this the first is talk to your users you can ask them about the problem that you solve and get them to articulate the value to you and so what this often looks like is if you reach out to a customer and you get them on a call and you can ask them what is the problem that you are hoping that our product could solve for you and they'll often tell you and similarly if you have a user that's signed up for your product but is not actually paying you you can reach out to them and talk to them and ask them the question what problem were you hoping that our product could solve for you and their response is usually going to be one of four interesting things the first is they're probably going to tell you that they were hoping you could help them make more money this is something every company wants or they might tell you that they were hoping that you could help reduce costs maybe your product saves them time or money they might also say that they were hoping that your product could help them move faster maybe they have something they were looking to launch in six months and with your product they can actually get it launched in a couple weeks that sounds really valuable or they might say that your product could help them avoid risk if you help with compliance or offloading something a headache that they don't want to deal with another way to find your value is to keep incrementally raising prices until you get pushback from users and when you keep incrementally raising your prices you will ultimately find the ideal price which is when customers complain but they still pay this is actually a good thing right it

overcomes that fear of charging a high price and customers walking away because the ideal scenario is when you tell the customer a price they say they have to think about it they go back and then they come back to you a week later and they say all right that seems good you're the best solution we're willing to pay up on the other side if you were to actually charge a lower price and they say yeah that sounds great and accept immediately well that probably means that you're pricing too low and you're leaving a lot of money on the table which brings me to my third Insight which is that most startups are actually under charging you almost certainly are and lower prices are not a sustainable Advantage sometimes we talk to Founders and they say well our product is just like our large competitor except ours is cheaper and that actually does not sound like a good idea that's not a way to build a winner all that means is that your large competitor can underprice you even way lower than your cost because they have way more money and they're way larger than you until they put you out of business so I do not recommend having price as your only differentiator it also turns out that when you charge more you get higher margins and you're able to build a bigger moat this means if you have higher margins than your competitors you can pay more to acquire a customer which means you can acquire all of the customers before they do it's also important to remember that pricing implies value when customers are evaluating your product they typically don't have a lot of signals on how valuable your product is but the price that you're charging is actually one of the primary ones so if your price is lower than your competitors then your customers might assume that your product is less valuable than theirs similarly if you charge a higher price then your customers might assume that your product is even more valuable than your competitors so that can work really well and so it turns out that raising prices is actually the easiest way to grow Revenue if you have a thousand customers and you want to double your Revenue well it sounds pretty difficult to spend all the time energy and money to go get a thousand more customers however if you're able to just double your price just changing a number on the website or changing the price that you're quoting to customers in a sales call and your product supports that higher value well you've just doubled your Revenue with almost no work at all but what if users won't pay more this usually means one of two things it either means that you need to build more value into your product right maybe the price that you have raised it to is now higher than the value that your customers see or it could mean that you need to solve a bigger problem maybe the problem that you're solving for customers is just a nice to have that they would never be willing to spend a lot of money for so in this instance it usually means you want to move to a more important top three problem that they have there's a third option too which is you could give a lower price in exchange for one of four key things one you could give a lower price in exchange for your first user if you're just looking for initial feedback and getting somebody on the platform totally reasonable to give a lower price for that or if you're talking to a valuable customer that has a recognizable logo that can be another good scenario where you would give a lower price you can then use this logo that you get as social proof to get other customers onto your platform at your regular price also if your product builds lock-in Say by getting customer data on your platform that they would lose if they leave that can be another reason to offer a lower price and if you're able to renew after the first year and bump your customers up to that higher price that can be a good reason to get people in at the lower price because you know you can capture more value from them further down the road it's also really important to remember that pricing isn't permanent this is another common fear that we see from Founders where they're afraid that

they have to nail their pricing the first time or they're going to lose their customer and never have a chance to get them again or sometimes Founders are afraid that the set of customers that they're talking to are the only ones they're ever going to get and so they have to close them all and if that's the case you should probably work on a different business but it acts is relatively painless to be able to increase prices on customers over time too and there's a couple different ways to do this you can exclude existing customers by letting them keep their current pricing and only raising prices for all new customers that's one way to do it or you could give advanced notice that you plan to raise prices and as long as you build in enough value into your product to cover that price increase you shouldn't see much churn most people will probably be willing to pay it if you have a sticky product Netflix is a great example of this this chart actually shows price increases that Netflix has made over the last seven or so years and it's really interesting to see that they are not shy about raising prices on their customers and now Netflix has 221 million paid subscribers and they've been able to figure out how to raise prices because that is the easiest way for them to grow Revenue rather than continuing to try to scale subscriber growth at the same rate so if Netflix is able to find a way to increase their prices on 221 million customers you should be able to figure out how to do it on your handful of early customers as well and the fifth Insight is to keep it simple this is an example of a pricing page for Quicken and as you can see it's very complex there's five different buy buttons there's prices there's 349 399 599 899 there's crossed out prices there's one dollar off with a symbol right next to it it's really complicated to figure out even if you want to be a Quicken customer which plan you should go with and so this likely results in decreased conversion rates so it's important to remember that when you're creating your pricing you don't want it to create friction that prevents customers from signing up and paying you on the flip side here's a great example from gitlab they have three very clear simple plans with clear pricing and so their pricing and their pricing page is not going to be the thing that adds more friction and prevents customers from signing up and paying them and so I'll leave you with this story of segment which helps companies capture and use their customer data when they started out they were a couple of Engineers that were not used to paying for products themselves and so they thought they had to give their product away for free in order to get anybody to use it and then they wanted to raise money from investors so they decided maybe we should actually charge our customers money so we can show Revenue growth so tail between their legs they reached out to all their free customers and sheepishly told them that they were actually going to start charging them ten dollars per month which was a hundred and twenty dollars per year and so they were really nervous about telling their customers this but surprisingly their customers started responding to them with messages like I hope you would charge me more than that otherwise I'm worried about keeping my customer data with you right the low price was signaling to their customers that maybe their product was invaluable or it couldn't be trusted in the long term and so in order to grow even more they hired a sales advisor and that sales advisor told them you should not be charging a hundred twenty dollars a year instead you should be charging a hundred twenty thousand dollars per year this is an Enterprise product and this scared them to hear this it was unfathomable to them that anybody would ever pay a hundred twenty thousand dollars a year for their product and so when they were going into of their first sales meeting with their sales advisor the advisor told them if you don't tell this customer that your price is a hundred twenty thousand dollars then I quit as your sales advisor so they went into the meeting and at the end when it came time to talk

price and the customer said so how much is it the CEO got really red and he got nervous and he said a hundred twenty thousand dollars and the customer responded how about twelve thousand dollars and they ultimately ended up agreeing on eighteen thousand dollars as their price so while they didn't actually get the Thousand X price increase they were able to increase their price 150 times from 120 dollars a year all the way up to eighteen thousand dollars a year and it wouldn't have happened if they didn't ask for the higher price and so they used this philosophy to continue growing their deal sizes all the way up to six figures and Beyond and ultimately led to their acquisition by Twilio for more than three billion dollars so the story of Segment hopefully is instructive to you that they started out giving away their product for free ultimately ended up selling to huge Enterprises and building a business worth over three billion dollars so to wrap up the five key pricing insights the first is you should charge next is you should price on value not on cost the third is most startups are under charging and you probably are too the fourth is that pricing isn't permanent don't have fear that you need to get it right the first time you can change it over time as you learn more and build more value into your product and finally keep it simple don't add complexity which adds friction to customers giving you their money thank you

foreign [Music] my name is Gustav and I work here at Y Combinator as a group partner I've been here since 2017. before YC I was a practically to Airbnb and actually a YC founder back in 2007. today I'm going to talk about how to talk to your users and your future customers here's what I plan to cover today why the best Founders talk to the users throughout the lifetime of the company two how to find your users and how to talk to them three what questions to ask them and what not to ask them and four how to turn your conclusions into an MVP most people in the world have the idea on how new startups to form completely wrong they think ideas of new products is something the financials come up with on a lazy Sunday or a late night coding session you probably know it doesn't work this way this scene as you can see here here is a scene from The Social Network movie it's a great movie but they got a lot of things wrong on how Facebook actually got started this is Brian Chesky Brian is the co-founder and CEO of Airbnb on the left side of the photo is Amal Amal was the very first guest on Airbnb they actually spent a weekend together in San Francisco when they'd be kind of watched you notice the difference between this photo and the previous photo well this photo actually is a real photo it includes a two-way conversation with a real customer great Founders talk to future customers before they even have a product in fact the very best Founders in the world learn directly from their users throughout the life of their company but that's again if you have correctly identified who your users are you should learn from them throughout the lifetime of your company why you might ask users and customers will keep you honest they are the only stakeholders actually paying you anything if anyone will tell you the truth it will be them so my talk today is about how to do this well so let's talk about another m b story in 2010 um and I remember this uh myself Brian Chesky the CEO of Airbnb he'll decide to launch an experiment he was going to give up his apartment and live in 50 different airbnbs over the next couple of months you might ask yourself why would anyone do that so much hassle most people read the articles about this experiment because he did announce it they missed a point um I personally remember this being kind of crazy by doing this Brian will literally get a chance to talk to every one of these 50 hosts each single day on this trip and one incredible source of honest feedback on your product

without the Airbnb hosts MB would not exist exist today what Brian Joe and Nate did so early is deeply understand the motivations um and the feedback from their hosts still today Brian and Joe gets calls from hosts on their personal cell phone numbers I remember them telling me that that on their first day of adworks at Airbnb why do they do that well it's the number that they put on the website and share with all of their hosts early on they weren't hiding behind Anonymous email they wanted to hear from the customers at the time this seemed almost radical most Founders would spend their time in front of the computers trying to find scalable growth channels like Google ads unfortunately most Founders still don't build personal connections with their users today behind behind info at emails or don't do not reply emails you don't believe me you should just do a search in your email for do not reply at and see how many people don't want to talk to their customers so let's start by trying to figure out who I should talk to it's always easy to interview people that you know or people who are on your network they're simply the most likely to respond but perhaps can be less honest in their answers to not offend you don't be afraid of reaching out to them and don't be afraid of rejection the second group here is co-workers or former co-workers they can be a really great source they might know the topic really well and if you're building software for startups you can easily and easily navigate yourself to someone who's a potential User it's also very common that the early users you speak to are outside of your personal circuits or your co-workers circles when asking YC Founders how they found their early users some of the most common answers were LinkedIn red forms slack or Discord communities and sometimes in-person events so to illustrate this process um a little better I'm going to start a new mock startup this is not a real company I'm just making it up but I'm going to go through the process as I would have if this was a real company and first I want to understand if the problem is real my hypothesis that I have here or kind of like the idea space that we sometimes call as NYC is that companies want to reduce their carbon emissions but for whatever reasons don't do that so my plan is very simple I want to first interview some potential customers to learn about the problems and motivations around carbon emissions and three try to understand what an MVP will look like MVP is a minimal viable product to do this research I plan to start by reaching out to Founders CEOs CFOs at startups or bigger companies I'm also going to be shocked to people on LinkedIn that have titles like carbon or climate or sustainability basically Wars that gives me hint that they might be relevant people to talk to so what am I looking to learn well first I'm trying to understand do the company that they work for care about their carbon emissions and two why do they care and why do they not care if they don't care and three who in that company might be the one who cares the most about this uh and why all right so so here are two examples of Outreach messages so the first one is a LinkedIn message to a CFO who I used to work with at Airbnb the message will go something like this first I introduce myself I mentioned something about our time at Airbnb then I say I'm starting a new project briefly describe it but not too much in detail and I just asked for 20 minute phone call or video call that's it and here's another example of a message to someone I don't know it's also on LinkedIn to the same group that I mentioned earlier it's similar but geared towards people I don't know so the message will and the tone will be a little bit different all right so once I get on the phone or once again on the video call let's talk about uh how to actually interview potential customers so first you want to make sure that these interviews are over video calls phone calls or in person you can learn a lot more from a five minute video interview than 500 or 5 000 sugar responses secondly you want to build some Report with interviewee they're going to give you

answers to questions that maybe no one have asked them before so you need to make sure that they can trust you and feel comfortable in this situation next uh the most important thing here the most most important thing here is to not introduce your idea until maybe at the end of the call or maybe not at all doing this too early can bias them in their answers your role here in this interview is to listen not to talk there are some great techniques to get people to open up and talk about their problems and one good one is to ask follow-up questions that are open-ended for example tell me about that if you're not recording the interview you should at least take notes as much as you can you need to translate the recordings to notes anyway so you might as well take notes in the in the actual interview I'm going to play an example video here on uh how a potential customer for my carbon emission company and how that conversation will go like Hi how are you um it's been a long time since we worked together Airbnb yeah great to see you so I don't know if I told her this but I'm thinking about starting another company and I have a couple questions I wanted to ask you about this era that I'm interested in uh does your company monteview Inc do you care about your carbon emissions we do actually care and we use a consultant who creates these PDF reports once a year interesting uh what do you do with a report I mean right now I don't think we really take much action on it unfortunately well why not it's just really hard to know what to do with the information um the information is really dense and um uses words we don't really understand tell me more about that well we hired this consultant um they asked us to fill out this word doc with information but most of the data that goes into it uh seems inaccurate and I just feel like we need another expert to figure out what to do with the data got it got it um but why is it important for your company at all to track carbon emission well our um and I think there's some regulations coming up too you notice here how I never introduced a product or a solution I only ask questions to learn about the problem that Amy's having I don't even say what I'm going to build that's how you want to do it here are some very specific questions that you can use in your interviews one tell me how you do X today by X of course I'm referring to a specific problem a task or goal that you are trying to solve two what is the hardest thing you are doing about x three why is it hard four how often do you have to do x five why is it important for your company to do X make sure you dive deep into this question like understanding that motivation is going to be critical here and six what do you do to solve this problem for yourself today it's really important to understand what they're doing now if you can watch them do this that's even better if they can screen share during the video call or show you their laptop as you're doing the interview and show you how they actually get the PDF report what they do with it um how it looks like that's the ideal State you want to deeply understand their behavior not just what they're saying but what they're doing because changing the behavior will be hard you can also ask follow-up questions and please learn how to make use of these ones it's very hard to get someone to say everything in just one answer to one question get comfortable with asking questions like what do you mean by that or can you tell me more about that or why is that important to you here are some questions that you should not ask like there are ways you can kind of derail this interview will you use our product they're probably going to say yes but they're not going to mean anything to you the answer two which features would make product X better remember their job is to tell you about the problem your job is to think about what features to solve that problem so asking them about your job isn't really going to help you yes and no questions it's not really that helpful for you you want them to explain and give you as many concrete and real examples as possible so just simply asking yes no

questions is not ideal here and four um how would a better product X look like to you how would a better Carbon emission counting software look like to you uh many of the people aren't product developers they're not software Engineers they're not designers they're not product managers this is not their job their job is to do a different job and you are the one trying to understand what is the challenging part about their job and finally um asking two questions at the same time that's going to confuse them it's going to confuse your answers so this is when you're eager to get um get answers it's very easy to do this this thing but try to avoid it but I want to highlight one of the things I mentioned here there's one big danger during interviews and that is to focus on features instead of problems it's very natural for you to do that your brain is thinking through all the ways you're going to solve this problem but really what you're here for during this interview is to deeply understand the problems not actually come up with Solutions that's for for us for a separate event so users generally have good problems but also generally bad Solutions so I'll give you two specific examples so early days of Gmail users were asking um Paul Buchheit the founder of Gmail to view both the Inbox and the actual email that they were reading on the same screen now why would they ask for that well the reason was simply that Gmail is too slow and people did not want to wait to load each of the emails in the inbox they want to see everything at the same time similarly in early Airbnb a lot of guests want to have the phone numbers of the host so they can call them we're like why do you need that it just turned out that they didn't fully trust the platform like we had not displayed enough trust in Airbnb so they needed to feel comfortable uh with getting to know the host before it actually um making the booking secondly um users don't have incentive to say no to really any additional features if you ask for this feature or this feature this feature they'll probably say yes to everything right you however are in charge of the projections and you have a lot more incentives than they have to figure out which are the most important of the features so let's talk about next steps so you've done your um five or ten of these user interviews you've written down your notes let's let's talk about what you do then one you want to make sure you have notes from all each of the interviews you can use sticky notes or some similar software to organize these learnings you can bucket them in different buckets that kind of describes different problems and see which one is actually the thing that matters the most and then you want to write down your conclusions what are you learning from all of this you want to use all of this information to create a hypothesis or what the solution to this problem might be don't over intellectualize this process really you just want to start assigning MVP as fast as you can but you want to make sure you have accurate information when you decide the MEP and then you'll want to test it with the same users it's also important to know if the problem you're solving is actually valuable what I mean by this is that people will value the solution to the problem enough to pay for it or the problem itself solving the problem is valuable so here's some good tips to determine if it is one are people paying money for other Solutions in the space today are the people that make the PDF reports for carbon emissions accounting are they getting paid well if they are getting paid that's a good sign that this is probably a valuable thing do people already have solutions to this problem they are very happy with even though it might appear Basics to you for example like Excel or Google spreadsheets is actually competitors to many many many hundreds of startups actually quite a formidable one to move someone off Excel a Google spreadsheet you need to make the experience of your solution dramatically better they're not going to pay you hundreds of dollars a month for something they can almost as easily do in

Google spreadsheet or Excel and three you want to evaluate how easy it is to sell to this audience and this is one thing that I like to do a lot with the companies I work with for example selling to Plumbers or contractors is notoriously difficult compared to selling to startups the first two groups just don't change their tools or the software very often versus startups are open to trying new things all the time so if you are solving a problem is valuable you still have to think about whether it's going to be easy to sell this particular audience once you have an MVP prototype you can start by showing it to users even if it's just a design prototype in Envision or something like that you can just click through we used to do this at MB all the time we would go downstairs in our in our office and we would find some people that were waiting for an interview or waiting for getting a coffee or something and we just show them the latest version of the app this would be a Envision prototype on our phone it would be Spike hand them our phone and and show it to them this is stuff that we haven't even built yet the key thing but if you're doing this tactic is to not tell them what to do do not tell them what to do just watch them play around with it you can tell them a specific goal like try to make a book in Airbnb or try to do a search with dates and even b or something like that but do not tell them exactly how to solve each screen remember if this was a real product you wouldn't you wouldn't be standing there next to them to give them advice another good trick when you're doing this either when you're listening or having them or recording them is to have them speak their mind while they're doing it have them describe exactly what they're thinking on each of the steps maybe the words that they're reading maybe that will give you hints of what words that they understand and which words they don't understand or maybe what specific screen means or what purpose is and after you've done a bunch of these interviews and then maybe MVP protest sessions it's a great idea to keep these interviewees involved throughout the process one common idea that a lot of wasting companies are using is to create a slack instance or a WhatsApp group for with their customers now you want to make them feel special right you want to make them feel like they have exclusive active access to the Future world changing product so think about how you're wording or or how you communicate this WhatsApp group that you adding them to it's a great idea to keep showing them your product as they are progressing like kind of give them this exclusive feeling that I'm the first one to see this product assets progressing and also as you are reacting to things that they're saying you can ship a new a new screen with a new version of the product um and that builds trust with it with them they now know that you react to their feedback very fast finally some of them will love connecting with other people doing the same thing as they are they don't get to do this very often and um you are the one enabling that if you do all these steps you will collect the right information um from your future users you will keep them involved and transfer the information uh and that allow you to transfer the information into your first prototype and MVP so to summarize here's what I covered today why the best Founders talk to their users throughout the lifetime of the company how to find your users and how to talk to them what questions to ask them and what not to ask them and finally how to turn some of those conclusions into an MVP thank you everyone

so I'm gonna move fast Buckle in if you are looking for a startup idea right now I'm going to try to help but more importantly I'm going to try to give you the conceptual tools to think about startup ideas in a sophisticated way the way that we think about them at YC here's the thing uh no one not even YC knows for sure which ideas will succeed and in any case if your idea succeeds has

much to do with how well you execute as your initial idea anyway but certain ideas are much more likely to succeed than others and so my goal here is to help you stack the deck in your favor by starting with a promising idea the advice in this talk came from several places first I analyzed the top 100 YC companies by evaluation and I looked at how they all got their idea so I started with some hard quantitative data on how recent billion dollar companies actually came up with their idea it also draws on a classic essay by Paul Graham that I really recommend it's called how to get startup ideas um it also comes from helping YC companies that pivot in the middle of the batch and learning over the years what advice helps them to find a new good startup idea and then finally it comes from Reading thousands of YC applications that we rejected and looking at the mistakes that caused good Founders to come up with bad ideas and those are the mistakes I want to help you all avoid this Talk's got three parts first I'm going to tell you the most common mistakes Founders make with startup ideas then I'm going to talk about how to know if your idea is good and then about how to come up with new ones okay the four most common mistakes with startup ideas so the most common mistake is just building something that doesn't solve a real problem for your users typically you can articulate the problem that you're solving you can put it in words but when you actually go and talk to the users it's just not something that they really care about we call it a solution in search of a problem or a cisp let's go through an example so a lot of Founders come up with an idea with this kind of thought process they go hmm AI is cool what could I apply AI to and then they go look for a problem that they could solve with AI That's a solution in search of a problem and the reason it's dangerous is that if you do that you'll probably find a problem but it will it will be a superficially plausible problem it'll be a made-up problem that people don't really care about rather than a real problem that people actually care about and if people don't really care about the problem they won't really care about your solution so instead you want to fall in love with a problem the best way to find a startup idea is to start with a high quality problem now Sunrise Founders hear this and they decide to interpret that as guidance to work on some like huge societal problem like I don't know Global poverty or something um no doubt those are real problems but they're they're too abstract to make good starting points for startup ideas you need something that's more specific something that's tractable with a startup the next mistake is getting stuck on what we call tar pit ideas what's a tar pit idea so there's this certain set of common startup ideas that have been around for forever they have been applying inroads to YC batch after batch for years and when founders start working on these ideas it's like they've gotten stuck in tar they never seem to go anywhere so we call them tar pit ideas here's what causes tar pit ideas they all form around some like widespread problem that lots of potential Founders encounter and it's a problem it seems like it could be easily solved with a startup but it's an illusion there's actually a structural reason why it's very hard or impossible to solve which is why after all these years no one has solved it and you can see why ideas like this would be so dangerous why they will cause so many Founders to waste months of their life stuck on a tar pit like they're very tantalizing from a distance because they're so superficially plausible as startup ideas here's a concrete example this is a very common tar pit idea that's been applied to YC for like 20 years this is like the stereotypical college student idea and it goes like this you think man every Friday or Saturday Saturday night when I'm making plans to meet up with my friends it's so inefficient I'm in all these different text threads and chat groups and we're like trying to make plans to meet up I'm just going to make an app to make it more efficient Well turns out that there

are some structural reasons why this idea is hard which is why in like 20 years of people applying to YC with this idea nobody has actually pulled it off you can see why so many people have been attracted to it it's like it's a problem that almost everyone encounters at some point and it seems like it would be so easy to solve like you can just imagine the app it's just got like a list of events and you invite friends to it like it seems so simple the thing about target ideas is that they are not necessarily impossible like I'm even open-minded that somebody will eventually make the like app to meet up with your friends idea of work is more accurate to think of them as common ideas that are much harder than they seem so if you want to work on one um here's my advice first Google it it's amazing how many Founders skip the step of just like Googling for their own startup idea to see who has worked on it in the past you should find who's worked on this in the past and actually talk to them if you can try to figure out what the hard part of this idea is that has caused other people to not be able to solve it yet the next mistake is simple it is amazing how many Founders will basically just like jump into the first idea they have without even stopping to consider whether it would actually make a good business but more dangerous is the founders on the opposite side of the spectrum who sit around waiting for the perfect startup idea and of course there is no such thing so these people just never actually start a company so if you imagine that there's like a spectrum between picking the first idea that comes to mind and waiting for the perfect idea and you know somewhere in the middle there is this like happy place which is the place that you want to be right and the way that Paul Graham put this is that you should think of your idea as a good starting point new startup idea is perfect and no matter what you start with it's probably going to morph anyway so you just want to have an initial idea that has enough interesting qualities that can morph in the right direction so now suppose you have a startup idea and you want to know if it's good I'm going to give you a framework for this and the format of the framework is 10 key questions to ask about any startup idea so the first one is do you have founder market fit if I depict like one most important criteria it'd probably be this one and what I mean by founder market fit is just are you the right team to be working on this idea and a great example of what good founder market fit looks like is plan grid so plan grid makes an iPad app to view construction Blueprints and to the founders of plan grid were Tracy and Ralph and Tracy had worked in the construction industry and she knew a lot about construction and Ralph was an awesome developer who was like the perfect person to build this iPad out if you're going to imagine a team to start playing grid the team that you would imagine would look you know something like that and that's what good founder market fit looks like it's like this team is obviously the right team to work on the idea in fact founder market fit is so important that I would recast your search for a startup idea when most people go to pick a startup idea they try to look for a good startup idea like in the abstract and instead I would think about this exercise as an exercise to pick a good idea for your team you with me it doesn't matter if something is a good startup idea for someone else if it's not a good idea for your team so you may as well just look for ideas that you would actually be good at executing okay number two how big is the market obviously you need a big Market which for startups typically means like a billion dollar market but actually less obviously there are two kinds of markets for startups that are good um ones that are big now and ones that are small but rapidly growing and an example of the second one is coinbase so when coinbase got started in 2012 the Bitcoin trading Market was minuscule but even at that time it was pretty obvious that if Bitcoin succeeded the way people hoped that it would that this would eventually

be a billion dollar market number three how acute is this problem so as I said earlier the most common mistake is just like working on something that just isn't really a problem or it's just not a problem that people care enough about um here's an example of the opposite here's an example of what a good problem looks like Rex so Brax from Winter 2017 makes a credit card for startups and before brex if a startup NYC wanted a corporate credit card they literally could not get one because a no bank would give a credit card to a startup that's a good problem like if you're if the alternative to your solution is literally nothing that's what a good problem looks like okay next do you have competition now most Founders think that if you have competition that that's bad but counter-intuitively it is the opposite most good startup ideas have competition but if you were going up against especially entrenched competition you typically need a new insight next one is like do you want this personally do you know people personally who want this it's amazing how often people start companies where the answer to both these questions is no if that's the case you definitely got to worry that you know maybe nobody wants this so definitely time to go talk to some users only recently become possible or only recently become necessary so something has recently changed in the world like a new technology regulatory change or a new problem that is often what creates a new opportunity and a great example of this is company called Checker which does background checks via VIA an API so it's an API for doing background checks on people and roughly the story of Checker is delivery services like doordash and instacart and Uber started to take off and they were all hiring huge pools of delivery people and workers and they needed to run background checks on all of these people and there were at the time already a bunch of large existing companies that run background checks but they weren't well suited for this very new use case and that is like exactly the kind of change in the world that creates a new opportunity let's talk about proxies so a proxy is a large company that does something similar to your startup but it is not a direct competitor and so um a good example of this in practice is a company called rapid which does food delivery in Latin America and when rapping got started there were already a few delivery companies in other parts of the world like doordash they're doing very well they just hadn't caught on in Latin America yet and so doordash was a great proxy to show that this idea of doing food delivery in Latin America would probably work is this an idea you'd want to work on for years but this is a tricky one like sure if the answer to this question is yes that's a good sign but often it's not often an idea grows on Founders over time as it starts to work as I'm going to talk about in a moment a lot of the best startup ideas are in boring spaces like tax accounting software or something like that like no one is particularly passionate about like nobody starts off being passionate about tax accounting software um but tax accounting software is probably a good business and if you're actually running a successful business you tend to become passionate about it over time okay is this a scalable business so if you're building pure software the answer is yes because software skills infinitely and you can just like check this one off um the place for Founders most often get into trouble here is with Services businesses like agencies or Dev shops anything that requires like high skill human labor in order to serve your customers okay and my last question is is this a good idea space which of course means I need to tell you what an idea space is this is a concept from my colleague Dalton who you'll hear from later in this course an idea space is like one level of abstraction out from a particular startup idea it is a class of closely related startup ideas like software for hospitals or infrastructure monitoring tools or food delivery services and here's the thing different idea spaces have wildly different hit rates over the last 10 years if you

started a company that did like fintech infrastructure or vertical SAS for Enterprise the probability that your company became a billion dollar company was astonishingly High whereas if you started something in consumer Hardware or social networks or ad Tech the success rate was like orders of magnitude lower and I can't say that that will continue to be the case for those specific areas because spaces flipped from hot to cold over time but it is still worth thinking about picking a good idea space and a good idea Space is really just one that like you expect is going to have a reasonable hit rate for new startup ideas and one that has founder market fit that way even if your initial idea isn't quite right there are probably good adjacent ideas that you can sort of like drift into I'm going to give a good example of like how this played out in practice so a good example of picking a good idea space is this company called 5tran from yc1213 and basically it's already 5tran is they started making this tool for data analysis and they went to some companies and they tried to sell it and the companies didn't want it so they pivoted and they built a different tool for data analysis and they went back to the same companies and they tried to sell them that one and the companies didn't want that either but each time they went to companies and tried to sell them some tool for data analysis they would learn more about what those companies actually wanted and So eventually they sort of stumbled into an actual problem into an actual tool for data analysis that companies actually wanted and this is why picking a good idea space to start with is so important like because the five Tran Founders were shopping for ideas and a fertile idea space they put themselves in a good position to like bump into a good startup idea if they had picked a bad idea space they probably wouldn't have found anything okay before I talk about how to generate startup ideas I've got one important topic to tell you about these are three things that make your startup idea seem bad but actually make them good and the reason that they make them good is that most Founders will shy away from ideas like these which leaves them on the table for smarter Founders to go and grab them and here they are ideas that are hard to get started ideas that are in a boring space and ideas that have existing competitors ideas that are hard to get started so Paul Graham wrote a terrific article about this called schlep blindness which I'd really recommend reading and the example that Paul discusses is stripe you all know stripe they make it easy to integrate credit card payments to your website and the fascinating thing about stripe is that when stripe launched there were thousands of developers who already knew that this was a problem they had tried to integrate credit card payments to their site and they realized that the existing options sucked but strangely not one of them even tried to start striping and it's kind of a kind of a fascinating question why nobody else tried when so many people were in a perfect position to see this problem and the reason is that getting started building stripe required some things that seemed really hard you had to get a special deal with a bank you get to learn a lot about the nitty-gritty details of credit card infrastructure those things seemed so hard that they scared off all the other people who might have started stripe which caused them to leave this like 100 billion dollar opportunity on the table for the stripe Founders to go and pick up okay the second one is ideas that are in a boring space and a great example of this is Gusto which makes payroll software payroll software pretty boring right the thing is there are thousands of people who must have realized that payroll software sucked but because it was kind of a boring problem nobody tried to fix it until the Gusto Founders came along and the thing is that because most Founders shy away from ideas like this boring ideas like payroll software have a much higher hit rate than fun ideas like apps to find new restaurants to eat at or

like apps to find the next song to listen to something like that like fun ideas get picked over boring ideas get left on the table for a long time now you might be thinking Jared why would I want to work on a boring idea that sounds you know boring but here's the thing even if you work on an idea that sounds fun at the outset the day-to-day reality of your startup is going to be mostly the same anyway either way you'll be mostly writing code fixing bugs talking to users like pretty much the same stuff and so I would argue that once the initial excitement of your idea has worn off and you are 6 or 12 months in and you are grinding out the execution that makes your idea actually work how fun the initial idea sounded actually has little to no correlation with how much fun you will actually be having working on your company and the last one is that Founders incorrectly shy away from spaces where there are existing competitors counter-intuitively most startup ideas most good startup ideas have existing competitors when founders go into spaces with no existing competitors they often find out that the reason that there are no competitors is because no one wants the product a great situation is actually a market where there are existing competitors but you've noticed something that they all seem to have missed or they all just kind of suck a classic example of this is Dropbox so when Dropbox launched they were already about 20. cloud-based file storage companies Dropbox was like the 20th company and it's space to launch naively you might have thought that that made this a bad Market I mean you would have gone and looked and said like oh there are already 20 competitors it seems like a bad Market to go into but if you were Savvy about startup ideas you would have realized that it actually made it a great Market and the reason is that even though there were like 20 companies doing this most people didn't use any of them and that strongly suggests that there actually was a problem here but the existing products hadn't solved it and Drew the founder of Dropbox had a very specific insight about what all of them were missing his Insight was basically their UI sucked and the reason their UI stopped was that at the time the way that they all worked is you had to like go to their website and manually upload your files one at a time into their website which sucked of course and Drew had really a technical Insight which was that if he integrated directly into the host operating system he could just sync your files automatically without you having to do anything and that was a real step function change in how convenient these Services were to use and that was the right insight okay let's talk about how to come up with startup ideas so it is possible to sit down and explicitly think of startup ideas and in a moment I'm going to talk about how to do this but it is actually not the best way the best way to have startup ideas is to just notice them organically and if you look at the YC top 100 companies at least 70 percent of them have their startup ideas organically rather than by like sitting down and explicitly trying to think of a startup idea and the problem is that when people sit down and try to think of startup ideas they tend to think of bad ones they're especially likely to think of the same set of tar pit ideas that I talked about earlier whereas startup ideas that occur to you organically are more likely to be good ones so if you're not planning on starting a company imminently and you just want to put yourself in a position to have organic startup ideas in the future here are three ways to do that this is like playing the long game to set yourself up for future success um first is just like become an expert on something valuable if you're working at the Forefront of some field you'll see good startup ideas in that field and a great way to do that is to go work at a startup Harge talked about this in his talk last week if you're working at a startup you will become an expert in the thing that that startup does and that is really putting yourself in a position to have great startup ideas and finally if you're a programmer one thing that can work

is to just build things that you find interesting even if they're not businesses they're not clearly startup ideas sometimes they like turn into them over time and a really striking example of this is the story of replica this is exactly how replica started it was just something that amjad found interesting it wasn't supposed to be a startup originally okay but if you want to generate ideas for startups right now I'm going to walk through seven recipes for doing that I've tried to list these in order of How likely they are to lead to actually good ideas so start with the first ones okay here's the first one and the best one start with what your team is especially good at and think of ideas that take advantage of your expertise the reason that this is so effective is that any idea you come up with this way has automatic founder market fit do you see how this is almost like a hack to generate the set of ideas that has founder market fit here's a great example of like how this worked in practice so a good example is this company resi which is like open door for rental apartments and before starting resi the founders have worked in real estate and debt financing and they were experts in those areas and where they got into YC they spent the first month looking for ideas but the smart thing that they did is they only looked at ideas in that idea space in like the rough idea space at like the intersection of like real estate and fintech and that was a smart move because that is a very fertile idea space for startups like many billion dollar companies have come out of that idea space and the resi founders were experts in that idea space and so because of that their search for a startup idea was pretty quick and painless and pretty quickly they came up with the idea for Rezi which is like an excellent idea and has perfect founder market fit so if you have specific expertise like the resi founders did you should definitely start by looking at ideas in you know the things that you're experts in um it is weird how many startups apply to YC and we look at their applications and the founders like are actually legitimate experts in something but the idea that they're applying with is like something completely different now if you're if you're a young founder if you're in college or something you may not have had a chance to develop it's like the level of domain expertise that the resi founders had so this may not be the right recipe for you so let's talk about some other ones the next recipe is to start with a problem you've personally encountered ideally one that you're in an unusual position to see so vetco is a website for veterinarians to order supplies so you can think about it like amazon.com for vets and the short story of vetcove is that the founders are brothers and their dad is a veterinarian and growing up they would notice that the way he ordered supplies was like super old-fashioned like you'd have to like call up a supplier on the phone and like order stuff through like a 1-800 number or something it was like very obvious that you could build an amazon.com kind of thing that would replace that and I I love the story of vetco because it's such a great example of what a great startup opportunity looks like because thousands of veterinarians must have known that this was a real problem that it was really annoying there wasn't like a basic website where you could just go to order supplies but the thing is veterinarians don't start Tech startups very often and then on the other hand you had like thousands of programmers in Silicon Valley who were begging their heads against cisps and tarpet ideas totally unaware that over here there was like a really great genuine problem to work on and because of this when the vet co-founders got started they had no competition so this amazing idea just got left on the table for years so if you want to try to actually use recipes one and two here's a specific set of instructions for how to do it this is advice I often give to Founders NYC who are pivoting and who are looking for a new idea here's how it works for each founder on your team go through every job you've ever had plus all your internships plus

like other life experiences and think really carefully about each of them what problems did you come across what did you learn that other people don't know What are problems or opportunities that you've been in kind of a special position to see those are the best places to start looking for startup ideas okay the next one is to just think of things you personally wish existed this is like a really classic recipe this is very common advice great example of this is doordash the short story of doordash is that the founders of doordash were undergrads at Stanford and the thing they really wanted was to be able to just order food from local restaurants and have it delivered to their dorm and before doordash you couldn't do that so they started doordash and this is a great recipe but this is the recipe that is most dangerous and potentially leading to tar pit ideas so if you're using this recipe you just gotta stop and think for a second is there a reason why this thing doesn't exist yet okay the next one is to look for things in the world that have changed recently that might have created a new opportunity a great example of this is covet so when the pandemic started it changed daily life for all of us and many Founders realize that this created the opportunity for new companies and some very successful startups came out of it and one of them is this company called gather town which builds like this fun way to hang out with other people online and the founders of gathered town were actually working on a different idea that wasn't going so well and when the pandemic started they pivoted to this because it was obvious that like the change in behavior of the pandemic had created a bunch of new opportunities you can also look for companies that have been successful recently and look for new variants on them a good example of this is a company called Nuvo cargo Nuvo cargo is a good example of explicitly sitting down to try to think about startup ideas and actually finding a good one which is the thing that I told you is hard to do pneumo cargo is basically flexport for Latin America they help U.S companies to import stuff from Mexico and the story of nuva cargo is that Deepak the founder was working on a different idea NYC and he realized that his idea wasn't going to work and he went on like a systematic search for better ideas and he picked Nuvo cargo for for very analytical reasons he picked it because it was a large Market because they were good proxies from other companies flexport and he picked it even though he didn't have deep domain expertise in the import export space because he had some connections that would enable him to get started and he felt like he would just be very good at running this kind of operationally intensive business and that worked really well Niva cargo is doing super well you can also go and talk to people and just ask them what problems they have this this can work the the downside with this recipe is it actually requires a lot of skill if you want to do this I would recommend first picking a fertile idea space and then going and talking to people within that idea space and I would also recommend talking not just to potential customers but also to potent but also to founders of companies in that idea space to get advice about what ideas are actually worth pursuing and a good example of doing this successfully is a to B and A to B was in the position that a lot of Founders that struggle to find good startup ideas are in which is that the founders were pretty young and they hadn't acquired a lot of specific domain expertise like the resi founders had yet but they really wanted to do a startup and they wanted to do a startup that had like a genuinely good idea the way that they came up with the idea for ADB was very systematic and so I'm going to walk you through how they did it and really break it down for you so A to B makes fuel cards and if you haven't heard of a fuel card it's like a special kind of credit card for truck drivers when the A to B Founders got into YC they pivoted and they spent the whole YC batch looking for a new idea

and here's how they did it first they picked an idea space and the idea space that they picked was essentially software for the trucking industry and they picked this idea space despite not being experts at the trucking industry because they felt that it just should be a fertile idea space to go hunting for startup ideas the trucking industry is as like Big Industry hasn't been that disrupted by startups and software yet so they just felt like there were probably some good problems to work on in the trucking industry but the problem is they didn't know that much about the trucking industry so they didn't know what those problems were and so they decided that they would turn themselves into experts in the trucking industry and what they did is they actually physically drove two truck stops which were places where truck drivers are just kind of Milling about and they would just walk up to truck drivers and like start talking to them and ask them questions about what their problems were they also talked to a lot of Founders who had started companies in the trucking space to get ideas for what problems were actually worth working on they would basically talk to like anyone who knew anything about Trucking that was willing to talk to them and as they did that they began to put together like a mental map of the space and where the good ideas were where the bad ideas were and they actually went through a whole bunch of different potential ideas before eventually deciding to work on fuel cards and I love the example of a to B Because A to B is one of the best new ideas to come out of YC in several years A to B is a phenomenal company and the approach that they used to find this idea is something that really anyone could do and most Founders don't do this because it just sounds like too much work so if you're willing to put in the work this is an amazing way to find a startup idea okay and my last recipe is to just like look for big industries that seem broken any Big Industry that seems broken is probably right for disruption and finally I've got kind of a bonus recipe which is to just find a co-founder that already has an idea they're actually like a lot of people just on Startup School co-founder matching right now that already have an idea and are looking for a co-founder so if you don't have a co-founder and you don't have an idea that could be a great hack to getting both at the same time the last point that I want to leave you with is just to remember that it's often hard to tell if a startup idea is good or not and so while I hope the concepts that I talked about here will help typically the only way to know for sure if your startup idea is good is to Just Launch it and find out so if after all this you've got a startup idea and you're still kind of on the fence about whether it's actually a good idea or not that is my advice for you just launch it and find it

most founders get this completely backwards when they want to learn from customers their first instinct is to create a survey build a landing page or start building a product but these approaches can actually do more harm than good especially at the early stages of your product today I'm going to show you why these popular methods are traps reveal the fastest way to actually learn from customers and give you my three tactics for maximizing learning from customers with the least amount of effort so let's dive in hi there if you're new to this channel my name is Ash Moria i'm an entrepreneur and author and the creator of the popular one-page business modeling tool Lean Canvas used by millions of founders around the world on this channel I share systematic strategies and techniques for launching and growing a startup so let me start by breaking down why the most common approaches to customer learning set you up for failure so let's start with surveys surveys seldom lead to breakthrough insights this is because they assume that you know the right questions to ask but true innovation typically

comes from non-obvious insights and at the earliest stages of a product you often don't know what you don't know when you couple that with the fact that what people say seldom matches what they do surveys either end up confirming just surface level insights that were already obvious leading to no new learning or breakthrough or worse they result in false positive insights that take you down the wrong path wasting needless time money and effort next up is landing pages landing pages often result in an expensive guessing game and here's why the first challenge with landing pages is getting enough traffic to them but let's say you manage to do that the next challenge is optimizing your landing page by trying to figure out why people aren't doing the thing you expect them to be doing like buying your product adding analytics only tells you what you already know that no one is buying but not necessarily why you could of course try AB testing but there are too many things you could potentially change and test and each test splits your traffic in half and we're back to challenge number one unless you have a ton of traffic reaching statistically significant results can take several weeks and sometimes even months and you're still guessing at what exactly to test next it's like trying to solve a puzzle while blindfolded finally let's talk about taking a build first approach now a lot of people believe that giving customers an initial working product is the fastest way to learn but a build first approach today often ends up in a build trap while vibe coding or no code AI assisted coding tools are all the rage these days the reality is that unless you know exactly what customers want these tools only help you build more stuff faster not necessarily the right stuff and customers today already have too many choices to pick from so imagine what happens when that increases three-fold or tfold their patience for half-baked solution goes way down when they encounter a halfbaked solution they don't turn into beta testers and give you feedback they simply leave and move on to the next product and so you're back to the landing page challenge where without real customer feedback you're still left guessing at what to improve and there are too many things you could potentially improve so where do you start in order to earn the attention of customers to where they give you meaningful feedback you have to start by nailing their top problems exactly and better than anyone else right out of the gate this begs the obvious next question how do you do that in other words how do you determine exactly what customers want after trying all the ways I've shared with you so far for many years I have found time and time again that the fastest way to actually learn from customers isn't through surveys landing pages or beta testing a product but rather through carefully scripted one-on-one customer conversations or interviews and here's why this works when everything else fails customer conversations or interviews start with discovery before validation surveys and landing pages are validation tools they help you validate hypotheses or assumptions in your head that you already have customer interviews on the other hand are discovery tools they help you generate new hypotheses or new insights which is key to uncovering breakthrough you need to start with discovery before validation because you need to generate new insights before you can test them the next reason is the power of why unlike a landing page in an interview you can ask why you can dig deeper you can explore unexpected directions when someone tells you that they use a competitor's product you can ask them why they chose it what alternatives they considered and what almost made them choose something else it's in these stories where you're going to find the breakthrough insights and finally customer interviews aren't product pitches but learning devices where you prioritize learning before you pitch or more specifically getting to deeply understand problems before solutions problems not solutions creates space for innovation starting with a

solution no matter how small is like building a key without knowing what door you're trying to open if you flip that around and start with problems solution building becomes a whole lot easier you start building keys to doors that actually take you places okay so hopefully I have somewhat convinced you that you should start with talking to customers before using any of these other tools for validation as talking to customers is new and uncomfortable for most founders the most common next question I get is how many people or how many customer interviews do I have to do this is where most of the advice goes wrong again many accelerators and incubators will tell you to conduct at least 100 customer interviews some even withhold funding until you hit these arbitrary codas this again is backwards thinking just like playing the scales on the piano for hundreds of hours doesn't make you a world-class piano player simply talking to hundreds of people doesn't automatically lead to breakthrough insights the key is to focus on the quality of learning versus quantity of interviews i've been coaching founders on this for over a decade and I found that 10 good interviews will beat a 100 mediocre interviews every single time and the best part is that anyone can run 10 interviews and learn to run good interviews if you're willing to invest a little time to learn how to do so in my book Running Lean I provide a comprehensive step-by-step guide for conducting customer interviews including a detailed interview script that you can follow the book walks you through exactly what questions to ask how to ask them and in what order so that you can systematically uncover the insights that matter most the secret here isn't in the number of interviews you conduct but it's in knowing who to interview the reason people think they have to run hundreds of interviews is because they aren't talking to the right people so in the next section I'm going to share my top three tactics for finding the right people to interview let's start with tactic number one don't target early adopters yet this trips up most founders most people start customer discovery by trying to find their ideal early adopter it seems logical but it's wrong why because your early adopter definition is an output of customer discovery not an input when you start with your best guess of who your early adopters are you risk going too narrow finding some validation and falling victim to what I call the local maximum trap i'll illustrate this with an example if I define my audience for this channel which is early stage startup founders as two guys in a garage in Silicon Valley I could fly there tomorrow and validate this assumption because I would surely find founders that match this definition but if I then targeted just these founders there is a 99% likelihood that I would miss you currently watching this video looking through my YouTube channel data almost half my audience comes from India and the US comprises only 13% and if I double click into the US cities Silicon Valley totals just 1% and so in other words if I limit focus on just this Silicon Valley market it would be like climbing a 1% hill and missing the 99% mountain of other founders like yourself who don't fit that stereotype this local maximum or false positive is actually worse than finding invalidation because it leads you to waste time chasing the wrong market so if you shouldn't prematurely define your early adopter segment what should you do instead to avoid this trap I recommend running customer interviews in two phases first you run broad match interviews where you intentionally cast a wider net so you can map the overall market and identify your real early adopter criteria then you follow up with narrow match interviews where you home in on your identified early adopters for specific problems next let's cover tactic number two don't target specific use cases yet just as prematurely narrowing down on early adopters can lead to a local maximum so does prematurely narrowing down on too specific a use case the danger here is getting stuck in the solution context consider this popular quote people don't want a quarter inch

drill bit they want a quarterinch hole if you're a drill bit manufacturer you could obsess about helping your customers drill perfectly around quarter-in holes and build stronger drill bits but what happens when a product like 3M's Command Strip comes along and steals away half your customers because they let people do the same job without having to drill any holes drilling better quarterin holes is too specific a use case and not really what customers want so how do you uncover what they want by focusing on what comes after the whole or what I call the bigger context features and benefits live in the solution context but what customers really care about are jobs and desired outcomes and those live in the bigger context your customer interview should prioritize uncovering the bigger context by asking a few why questions before getting into how questions the next tactic is by far the biggest mistake I see when people start doing customer research most founders try to target potential customers or prospects people actively looking to buy their product this seems again logical but active buyers make terrible interview subjects which is tactic number three don't target active shoppers yet why because they haven't bought anything yet and maybe they never will whatever they tell you is factual only up until the point they are in in their current buyer journey everything else they tell you is hypothetical or made up and one of my golden rules for running good customer interviews is measure what they did not what they say they'll do because what people say is highly unreliable so the most actionable insights come from customers who have successfully hired and used the product not from active buyers who might still be shopping for one what about if you haven't finished your product and have no customers to interview here you can start by interviewing customers of the closest existing alternatives that you are competing with and only interview people who have recently spent time invested effort and ideally money on these existing alternatives that's what separates customers from prospects or active buyers now talking to customers of existing alternatives may seem like moving you away from the goal of building a hot prospect pipeline but counterintuitively this is the fastest way to build a prospect pipeline let me illustrate this concept with yet another example let's say you're a home builder the best people to interview aren't people who are actively looking for a home because they may never buy and can't reliably tell you why because they're still figuring that out you'll need to run potentially a 100 interviews like these to weed through all the noise here but happy customers are more alike versus unlike which in this case is someone who has recently bought a home now someone who has recently bought a home will most likely not buy another house for several years so they won't be your customer anytime soon but because they have completed the complete customer buyer journey they can tell you what worked what didn't and where they got stuck along the way and it is this information that is gold this is how you uncover non-obvious insights not to convert this one person who bought the house but all the others out there who are earlier in their customer buyer journeys and so hopefully I've convinced you by now to stop building before you understand the problem stop surveying before you've discovered what to ask and stop guessing when you can learn directly from the people who matter the most and instead start with problems not solutions start with discovery not validation and start with customer conversations not building a product the first secret to maximizing learning from customers per unit of effort is starting with who to interview the next is knowing what to ask them if you'd like to learn that you should check out this video over here where I walk you through the exact steps for uncovering what customers want thanks for watching and until next time take

and so here's the brutal reality most startups don't fail because of a lack of funding poor timing or tough competition they fail because they build something nobody wants and here's where most founders go wrong they become prematurely obsessed with their solution before validating the most critical parts of their business model i call this the innovator's bias and it happens to everyone as with any cognitive bias the key isn't trying to avoid it because that's usually impossible but rather building systems that sidestep the bias in the next few minutes I'll show you how to capture and stress test your startup idea in a way that sidesteps the innovator's bias and increases your odds of success and if you stick around till the end I'll share a free template with real examples from companies like Airbnb and Netflix that show you exactly how to describe their breakthrough ideas using the same process hi there if you're new to this channel my name is Ash Moria i'm an entrepreneur and author and the creator of the popular one-page business modeling tool Lean Canvas used by millions of founders around the world on this channel I share systematic strategies and techniques for launching and growing a startup and today's strategy is all about speed specifically how to stress test your startup idea in under five minutes using a leaner canvas now before I show you what a leaner canvas is let me quickly explain where it comes from you might have heard of a lean canvas it's a one-page business modeling tool that replaces those long boring 40-page business plans that nobody reads instead of spending weeks writing a business plan you can capture the entire business model on a single page the lean canvas has 12 boxes covering everything from your customer segments and problems to your solution and revenue streams now while the lean canvas is a great way to model your complete idea I recommend starting even smaller that's why I created the leaner canvas and here's what one looks like now the first thing you'll notice is that there is no solution or product box on the leaner canvas and that's completely intentional because I find that this is where most founders stumble with a lean canvas when describing their idea it's natural for them to consciously or unconsciously start with their solution when asked to fill out a lean canvas they ask "Who's the ideal customer for my solution?" to fill the customer segment and early adopter boxes then they ask "What specific problems can I solve for these customers with my solution to then fill the problem box?" Do you see the pitfall with this approach it suffers from the hammer problem when you've already decided to build a hammer everything starts looking like a nail and this is how you easily fall into the innovator's bias trap the key to sidestep this bias is viewing your idea through a completely different lens or perspective like a prosecutor in a courtroom you need to be able to make an ironclad case for your idea without having to rely on your solution and that's why you don't see a solution box on the leaner canvas the leaner canvas zeros in on just two crucial boxes customer segment and problem this customer problem quadrant is the foundation that holds up your entire business model if you get these wrong everything else on your business model falls apart because you end up describing a solution that nobody wants and even if you build it no one buys it your business model at that point is doomed i'm going to show you some real world examples of how successful startups filled out these exact boxes at the end of the video including companies that are now worth billions but what's even more powerful with the leaner canvas is that you can use these boxes to also stress test your idea for desirability viability and feasibility in under five minutes so let's start with desirability addressing desirability is where I start with all of my ideas because earning the attention of your customers is the first battle to win no matter how elegant your solution is if you fail to stop your customers in their tracks and pay attention to your product no one will ever learn

how awesome your product actually is it's game over at that point and contrary to popular belief the best way to grab attention isn't by pitching or touting the benefits of your solution but rather nailing a real customer problem worth solving so what is a real customer problem a real customer problem should ideally be familiar specific and compelling to your prospects and the secret to uncovering familiar specific and compelling problems is reframing them not in terms of your solution or your solution's benefits but rather your customers existing alternatives instead in other words don't focus on describing problems you can solve with your solution rather focus on describing problems your customers are already encountering with their existing alternatives and yes no matter how disruptive your product you should be able to always find existing alternatives your customers are currently using if you can't list any such existing alternatives that's already a huge red flag this subtle but important change in perspective is often the difference between inventing fake problems that just justify the solution you want to build and uncovering real problems worth solving okay so desirability addresses the question do customers want this but not everything customers want is worth building in order to build a repeatable and scalable business model you need to chase those real customers worth solving this is where viability stress testing comes in which is the next step now when it comes to viability a lot of founders simply rely on the size of their market and think that if they are operating in a large enough market they'll be okay after all 1% of a billion dollar market is still a lot of zeros the problem with this top-down approach is that it doesn't address how you're going to get to this 1% market share with your specific problem and yes sure operating in a large market is key but the riskier assumption when it comes to viability isn't market size but rather your pricing model simply put if you can't or don't charge enough your business model won't be viable this leads to another common mistake I often see too many founders think of pricing as an afterthought where they set pricing relative to the cost of their solution this of course is backwards when you pause to think about this customers don't really care what it costs to build your product they care about solving problems and they buy desired outcomes pricing then should be set relative to problems and desired outcomes not your solution or cost structure so how do you do this by looking for the best evidence of viability the best evidence of viability is actual money being spent on an existing alternative and this is the next question to ask are customers already spending time money and effort on existing alternatives to solve these problems the answer to this question helps anchor and position your pricing model against familiar and specific problems and alternatives making your offer a lot more compelling and once you have your pricing model defined you can then build a bottoms up versus a top-down model to evaluate the real viability of your chosen market if you're interested in learning how to do that you should check out this video over here now on to the final stress test the feasibility of your solution many founders obsess over feasibility too early in the process but remember that the goal of a startup isn't building a working product but rather a working business model the beauty of starting with the customer problem quadrant on a leaner canvas is that you don't need to worry about complex technical questions until you have first validated that you are addressing a real problem for real customers problems and solutions are two sides of the same coin most people start with the solution and search for problems but when the biggest risk is building something nobody wants it's a lot smarter to reverse this order let me now bring this all together with a five-step framework next and remember I've got that free template with real startup examples waiting for you at the end of this video to make this even easier step one draw two

boxes side by side on paper step two label the right box customer segment and the left box problem under customer segment write down who are your target customers then who are your early adopters specifically and what makes them different from mainstream customers and this is the critical next step under the problem section of the canvas write down what existing alternatives do they currently use today to solve these problems then think about what's broken with these alternatives and write down those problems in the problem box this is how you go from vague or general problems to something a lot more familiar specific and compelling and then finally step five evaluate your idea by asking the following questions start with the desirability question are these problems familiar specific and compelling enough to grab attention then move on to the viability question are customers already spending time money and effort to solve these problems and finally the feasibility question can you build a different and compelling solution to these problems that will grab attention and cause a switch if you can confidently answer yes to all three questions you've got a promising starting point now if you want to put this into practice right away I've created a free leaner canvas template with five real examples from successful startups like Airbnb Dropbox and Netflix so you can see exactly how to fill the customer problem quadrant and make a case for an idea without relying on your solution this template makes it easy to capture your own idea using the same format and the examples show you exactly what good looks like you can download it for free at the link in the description below now this simple 5-minute exercise creates a solid foundation for your business model the next step from here would be sketching out a complete lean canvas business model and then start prioritizing and testing your riskiest assumptions from there for more on that you should check out this video over here thanks for watching and until next time take

I've saved founders over \$2 million using a simple five-minute test that most people think is too simple to work. Steve used this exact test and avoided building the wrong product for 6 months. I wish I'd known about this before wasting \$47,000 on one of my early products, CloudFire. In the next 10 minutes, I'll walk you through the complete framework, and I've created a step-by-step toolkit that makes running this test foolproof. I'll show you exactly how to get it at the end. Hi there. If you're new to this channel, my name is Ash Moria. I'm an entrepreneur and author and the creator of the popular one-page business modeling tool, Lean Canvas, used by millions of founders around the world. I've also worked with thousands of startups over the years. And I can tell you this, most business failures happen before founders ever write a single line of code. Here's the expensive reality. 90% of founders waste 6 to 18 months building products nobody want because they skip one simple test. This test takes just 5 minutes and skipping it can potentially cost months of your life and thousands of dollars. What I'm about to show you is the overview of this validation method. I'll show you how to get the complete implementation toolkit including templates, calculators, and real case studies at the end. So, let me start by telling you about Steve's close call. Steve had what seemed like a brilliant idea, a virtual reality software development platform that made it really easy to create rich and immersive virtual reality apps with no expensive equipment and no complex 3D modeling skills required. He spent weeks researching competitors and even talked to a bunch of software developers and agencies and everyone seemed super excited. So, he quit his job and spent the next 6 months building out this platform. But things always take longer than one expects. And

after six months, he's still not ready to launch. And so he decides to hit the pitching circuit to raise half a million dollars to speed things up. That's when he runs into Mary, a former mentor of his who asked him one question that changed everything. Steve, before you risk half a million dollars, can you show me the math that proves this will work as a business? Steve was confused. I've talked to a dozen developers. They all want this. Well, wanting something and paying for it are two very different things, Mary told him. But before testing real intention, let's run your pricing model through this simple five-minute test. It will tell you if your business model is viable or if you need to pivot before you waste any more months building. That 5-minute test saved Steve from what would have been a \$500,000 mistake. Now, the reason I'm obsessed with this test myself is because I learned about it the hard way. With one of my early products, Cloudfire, I spent 9 months and \$47,000 building a photo sharing product for parents. I even had 500 paying customers, great reviews, and thought I was killing it until my investor friend pulled out a napkin and did a quick 5-minute calculation that completely destroyed my business model. He showed me that even in the best case scenario, my business model mathematically could not hit the growth targets needed for investment or sustainable growth. That's when I learned that before you ask, can I build this? You need to ask, should I build this? And this test answers that question in just 5 minutes. I call it the rapid viability test. And it's based on a technique called firmy estimation. The same technique physicists use to make accurate calculations with very limited data. Now, I'm going to walk you through the framework here, but the complete implementation, including the calculation templates, industry benchmarks, and step-by-step worksheets, that's all in the business model validation kit I've created, but more on that in a few minutes. Let's walk through the rapid viability test, which has three steps. Step one is goal sizing. This is where you define your minimum success criteria. Now, most founders and investors will typically target five or 10 year goals, which in a startup results in fictional thinking. And that's because it's impossible to see that far out into the future with a startup. Which is why the minimum success criteria flips goal setting on its head and forces you to think deeply not about how big your idea can get in 5 or 10 years, but rather what's the smallest outcome that would make your startup worth 3 years of your life. Now, why three years? Because that's usually more than enough time for most founders to hit product market fit with any idea. And you can make much better follow-on growth plans once you hit product market fit. So, setting a tangible minimum success criteria is the first and I'd argue the most important step in this process. Next, we move on to customer sizing. This is where you estimate your annual revenue per customer by thinking of your pricing models. Most founders defer this kind of thinking to later, which is probably the second most costly mistake they make in the startup process. As you'll see shortly, pricing is not only part of your product, but it determines your customers and your overall market viability. And the way you test that is in step three. This is where you calculate how many customers you'll need to make your model work. And then you verify that your market can indeed support this number. Now the magic of firmy estimation is that unlike financial forecasting, you don't need perfect numbers. You only need to be accurate within an order of magnitude or power of 10. But these simple calculations can still reveal fatal flaws that can save you months of building the wrong thing. Let's see it in action with how Mary walks Steve through this test right there at the coffee shop. This is what she asked Steve. Steve, what would make this VR platform worth spending three years of your life on? And Steve answers, well, for one, I'd want to build a real and profitable business. That's a typical answer that many

founders give. But to help him get more concrete, Mary asks him about his fundraising plans. You mentioned fundraising. Can you pull this idea off without any VC funding? And to that, Steve replies, I don't know how. this is a massive undertaking and I'll need to hire a big team of people and raise a bunch of money and and that's when Mary cuts him off. Okay. So, in that case, your minimum success criteria is no longer set by you, Steve, but your investors. Using these firmy estimation values, you'll need to aim for a level three business to earn the attention of an investor at the product market fit point, which puts your minimum success criteria in the ballpark of building roughly a \$10 million ARR or annual revenue business by the three-year point. She then moves on to step two, where she starts to size his customers. How much would software developers pay you monthly for this platform you're envisioning? And Steve replies, "Well, software developers are highly budget conscious and price- sensitive, and I want to attract lots of them, and so I was thinking something along the lines of \$50 a month." And this is where Mary pulls out her napkin sketch, and she starts doing the math. Okay, so that's \$600 per customer per year. Let's round that up to \$1,000 just to make the math simple. To which, of course, Steve doesn't object. To hit \$10 million with a \$1,000 per customer, you would need 10,000 customers. Do you know how many software developers are currently building these types of VR apps? Steve drew a complete blank. And so they did a quick online search, and the goal again here isn't three-digit precision, but a quick ballpark. Their quick search revealed that there were only 2,200 companies and independent software developers at that point in time building these kinds of apps. But this is a new and growing market, Steve protested. And sure, you know, Mary got that. So she said, let's assume this market grows 10x over the next couple of years. And so you will have instead of 2,200, 22,000 software developers to work with. You still have a problem here because no funnel converts at 100%. And \$50 a month products typically report a 1 to 3% conversion rate, which means you would need 300,000 at the low end to roughly a million leads to make your business model work. Do you see the problem here? And that's when Steve really gets it. Even at a 20 or 50% conversion rate, this model will never work. The business model is just broken. So Steve's business model just failed the five-minute test. But here's where the story gets even more powerful. Instead of giving up, Steve asked the right next question. The model failed because of my pricing. What if I could charge 10 or 100 times more? That's the right approach, Mary replied. But how would you get software developers to pay you that much? And now it was Steve's turn to interrupt Mary. I wasn't thinking of software developers anymore, but architects. I just finished a small remodeling project and the architect build me \$1,000 for a pretty basic 3D rendering. My tool would deliver a much more immersive virtual reality experience. And given the size of a typical construction project, I think I could potentially charge architects \$5,000 per project. And that's when Mary gets excited. Wow, yes, that seems completely reasonable. And if we assume that they do 10 projects a year, that's a \$50,000 annual revenue per year, which changes things significantly. And this is what the new math looks like. Same \$10 million goal, but at \$50,000 per customer per year, Steve would only need 200 architectural firms. Now, while this is not necessarily easy to pull off, it's not an impossible model. There are about 70,000 architectural firms in the US alone. And assuming that only 20% do high-end work, that still makes the model highly viable, at least on paper. And the key insight here is that Steve could use the same technology, build the same product or the platform, but instead of targeting price sensitive software developers, he'd pivot to serve architects who could justify billing their clients for highly immersive virtual

reality experiences of their dream homes. And that's the power of this test. It doesn't just tell you if your idea will work or fail. It helps you think through a path to a version that can actually succeed. Okay. So, what I've shown you here is just the overview of the framework. You can use the first 5 minutes in this exercise to test the viability of any idea using the three-step goal sizing, customer sizing, and market sizing process. Once you get your model to pass the first 5-minute test, the next step is refining your Fermi estimate to create a more accurate but still actionable not fictional model using another tool I build called the traction road map. The traction road map uses a few more inputs like churn and referrals to help you create a more complete milestone-driven timeline for implementing your idea. And from here, you can then plan out a stage-based go-to market validation plan and chart a course for launching and growing your idea in 90-day cycles. The complete business model validation toolkit I mentioned earlier includes the 5-minute rapid viability test, the traction roadmap tool along with industry specific benchmarks that eliminate guesswork and real case studies showing exactly how to pivot when your models fail. Now, here's the thing. I see thousands of founders waste 6 to 18 months and tens of thousands of dollars because they skipped this crucial validation and planning step. The toolkit gives you everything you need to run the test on any business model, software, hardware, services, anything for that matter. It's the same system that would have saved me \$47,000 and 9 months on CloudFire. And I've used it to help prevent other founders save millions in wasted resources and countless months building the wrong product. If you'd like to grab the toolkit, click the link in the description below. And next week, I'm going to show you how to find the one constraint that's killing 90% of startups and the systematic approach for breaking it that unlocks exponential growth. Until then, if you'd like to hear my personal CloudFire story, check out this video on how this 5-minute test saved my business. Thanks for watching and until next time, take

I've helped over a thousand startups identify the one constraint slowing down their growth and save them millions in wasted time and resources. What I realized is that 90% of founders are focused on the wrong problem. That's why I've created a complete free constraint-driven innovation toolkit. It's the same system I use with startup founders to uncover their true bottleneck and break through it. Think of your business model like a traffic jam. You can go faster than your slowest lane. Yet, most founders try to fix everything all at once. More features, more marketing, more hires, and you end up burning time and money on the wrong things. In the next 9 minutes, I'm going to walk you through the exact system that's helped founders to stop guessing, focus on what really matters, and finally unlock the next stage of their growth. Stick around because once you spot your true constraint, you'll never look at your startup the same way again. Hi there. If you're new to this channel, my name is Ash Moria. I'm an entrepreneur and author and the creator of the popular one-page business modeling tool, Lean Canvas, used by millions of founders around the world. So, here's the harsh reality. When growth stalls, most founders panic and try to fix everything simultaneously. This spreads already thin resources even thinner. And this divide and conquer approach can cost you 6 to 12 months and tens of thousands of dollars. Why? because your business can only grow as fast as your biggest constraint allows. What I'm going to show you is the systematic approach to constraint-driven innovation, and I'll show you how to get the full system at the end of this video, complete with diagnostic frameworks and constraint mapping templates. But first, let me take

you back to January 2012. Lean Canvas, one of my early products, had been live for 4 months. We had bootstrapped our way with a team of five to hundreds of paying customers and positive reviews. Everything looked good from the outside, but underneath something was terribly wrong. Our activation rate, the percentage of new users who actually used the product after signing up, had crashed from 80% to 35% in just 2 months. We panicked and immediately jumped into solution mode. Our developer started building new features. Our designer began redesigning the onboarding flow. And our marketer wanted to change our entire messaging. We were burning \$25,000 per month trying to fix everything all at once. If we kept going at that rate, we'd be out of money in 6 months. That's when I discovered or more accurately rediscovered the theory of constraints and realized we were making the classic premature optimization mistake. The theory of constraints is a systematic approach to optimization that saved manufacturing companies billions of dollars. I'd read about it many years ago in Eli Yaho Goldrat's book, *The Goal*. But I had not made the connection to startups and business models until that moment. As I looked at our conversion funnel, I realized that business models work a lot more like factories than a simple funnel. A simple funnel is linear, but customer funnels are not. They're a lot more complex with many different feedback loops. I started to wonder if it might be possible to lay out the customer funnel like steps in a factory where the output wasn't making more widgets or products but rather making happy customers. This led to some early sketches that eventually became my customer factory framework. And this isn't just a cute visual. The real power in this framework is that it opens the door to applying the same systematic techniques El Yaho Gold used to optimize factories to optimizing business models. I've included the complete constraint analysis system in the constraint-driven innovation toolkit that you can download in the description below. But let me walk you through the main steps. Step one is where you map your system. Every business is a system with interconnected steps. And I borrowed another framework, the pirate metrics model popularized by Dave Mccclure to identify those steps as acquisition, activation, retention, revenue, and referral. If you look closely, every business in the world has these five universal steps. Step two is where you now baseline your customer factory. You can't manage what you don't measure. But the real challenge is knowing what to measure without drowning in a sea of data. To avoid analysis paralysis, I recommend starting with measuring just these five key macro metrics on a weekly basis. One, because they are universal to every business, and two, they track every major step in your customer journey. Then the critical next step is step three, finding your bottleneck or constraint. Your constraint in this model is the slowest step in the customer factory that limits everything else. The way you find it is by looking for places where your users or customers are piling up or where they are leaving in large numbers. That's the single domino you should focus on, which takes us to step four. Focus 80% of your energy and resources on your constraining step. Stop trying to optimize everything. Instead, put 80% of your team's attention towards breaking the constraint. And that's how you'll make the most impact in your business model. But even here, it's easy to chase too many possible solutions, but not all solutions will break the constraint. The key to shortlisting the right solution is step number five, using an evidence-based discovery and traction loop to solution finding. In other words, don't simply guess at solutions. Take the requisite time to first discover the root cause behind the constraint. Then propose solutions with supporting evidence and test them quickly to see if they move the needle or generate traction. If they do, you double down on those solutions and otherwise you

shift to another solution. Once your constraint is broken, identify the next one and repeat the process. Let me show you how I applied these five steps to my Lean Canvas activation constraint that I described earlier. Instead of group brainstorming, I sent the team away for a week to individually research our activation constraint. And the key requirement that changed everything was that they couldn't just come back and propose solutions that they wanted to implement. They had to provide evidence for the specific problem their solution would solve. A week later, we had just three evidence-based proposals instead of a dozen random ideas that we started with. And within 10 minutes, we had our winning proposal. Our designer had conducted a series of usability tests with new users. And after just seven tests, he found a pattern. Everyone hesitated when filling out their first theme canvas. When he asked them why, the answer was obvious. I don't know how to fill this out. Is there some kind of guide? They asked. Our early users knew lean canvas from my workshops and books. But as we grew, many of the new users had no prior context. They were staring at a blank canvas with writer's block. The quick solution we came up with was creating one helper video using content from my past workshops. Nothing fancy, just a 20-minute guide and walkthrough with an example for first-time users to follow. Within 2 minutes, activation jumped significantly. Users loved it. comments poured in. That single constraint focused solution saved our startup and probably \$50,000 in wasted product development. Now, our startup founder, Steve, who you met last time working on a virtual reality idea, learned the same lesson, too. He was getting demos with potential clients, no problem. But he couldn't close those deals. He assumed the constraint was lead generation and wanted to optimize his outreach campaign. But Mary, his mentor, used this constraint-driven framework to show him that the real constraint wasn't acquisition, it was revenue conversion. He was getting enough demos, but as they reviewed his pitch, it became apparent that his product's value wasn't coming through clearly enough to cause a switch in his prospect's mind. The quick solution fix they implemented was to use quick price anchoring. During the pitch, Steve anchored his pricing against what his prospects, architects, actually used and paid for when doing 3D renderings for clients. To do that, he looked through his past notes from past demos and saw that architects typically charge \$250 an hour and spend roughly 12 hours creating a single 3D rendering. That's \$3,000 per rendering that they build on to the client. If Steve could deliver a much better outcome with immersive virtual reality walkthroughs over a 3D rendering and do that in a fraction of the time, he could easily justify charging at least \$3,000 and probably a whole lot more for his solution. That price anchoring section in the pitch transformed his value proposition from yet another 3D rendering tool that was off the shelf to a premium architect solution that helped them sell more. Same technology but completely different positioning. Okay, so now that I've shown you how the constraint driven framework works, it's your turn to put it to action. You can download the complete toolkit using the link in the description below, which includes the customer factory mapping templates that reveal hidden bottlenecks, constraint diagnostic frameworks for different business types, root cause analysis worksheets that prevent surface level fixes, and an implementation guide for breaking your constraint using an 8020 approach. This systemsbased approach beats guessing, and it has helped thousands of founders systematically identify and break their growth constraints. It's prevented millions in wasted resources and saved countless months of scattered effort. Click the link to get your copy while it's still available to my YouTube audience. Next week, I'm going to show you the 30inut customer discovery method that I use that beats 50 traditional interviews

and how to uncover what customers actually want without biasing their answers. Until then, if you want to learn more about the customer factory framework, you should also check out this video over here, which shows you how to correctly map your customer journey and measure those key macro steps. Thanks for watching and until next time, take

Meet Steve. He spent 3 months running customer interviews. 50 interviews later, he was more confused than when he started. If you've ever talked to customers, gathered feedback, and ended up with more questions than answers, you're not alone. The problem, most founders ask the wrong questions. They collect opinions, not real insights. But there's a 30inut method that flips that. It focuses on what customers actually do, not what they say they do. And it's shockingly effective. Stick around till the end and I'll even give you a free customer interview cheat sheet that makes this super simple to run. It's the same system I've taught to over a thousand startups and the exact one I break down in my book, Running Lean. No surveys, no guesses, just a proven script that reveals what really drives people to buy. Hi there. If you're new to this channel, my name is Ash Moria. I'm an entrepreneur and author and the creator of the popular one-page business modeling tool, Lean Canvas, used by millions of founders around the world. I'm also the author of Running Lean, where I documented the exact customer discovery methodology that's helped over a 100,000 startups uncover breakthrough insights. So, here's the frustrating reality. Founders spend weeks doing customer interviews and come away with a list of problems that don't lead to breakthrough products. Why? Because they're asking the wrong questions. When you ask customers directly about their problems, you get surface level complaints, not the deep insights that create successful products. What I'm going to show you today is the exact 30inut interview framework from Running Lean that helped a thousand founders uncover real customer forces instead of just polite lies. I'll walk you through the framework here, but I've created a complete demo cell build implementation toolkit with the full interview scripts, validation templates, and systematic revenue validation guides. I'll show you exactly how to get that at the end. So, let me start by telling you about Steve Steve's customer discovery nightmare specifically. He was validating his VR platform idea that we talked about in previous videos and took the traditional approach. He created surveys asking architects to rank their top problems. He did focus groups asking what features they wanted. He even conducted 50 one-on-one interviews asking directly, "What are your biggest challenges with 3D rendering?" After 3 weeks, Steve had a spreadsheet with over 200 problems, conflicting feature requests, and no clear direction. Worse, when he tried to build and pitch some of these solutions, his customers didn't want to buy. That's when Mary introduces him to the systematic approach from running lean. Instead of asking about problems, she had him study how architects actually used their current solutions. Within one 30inut interview, Steve uncovered an insight that completely changed his product direction. Now, here's why traditional approaches fail. Problem number one, people don't know their real problems. When you ask directly, customers give you obvious surface level issues they are consciously aware of, but breakthrough products solve problems customers didn't even know they had. Problem number two, you bias their answers. The moment you mention a problem, you put a spotlight on it and exaggerate its importance in their mind. This is called the spotlight effect. Problem number three is you get opinions and not real customer behaviors. Customers are terrible at predicting their future behavior. They tell you what they think they should want, but not what they actually do in

the future. The running lean approach flips this completely. Instead of asking about problems, you study their current behavior and let the problems reveal themselves. Here's the exact 30-minute interview structure from running lean that cuts through customer lies and gets to real customer forces. Now, this isn't just another set of questions. This is a systematic approach I've refined over the years of working with thousands of startups. And the beauty is in how each section builds on the previous one. You start off with just 2 minutes for welcoming and setting up your interview. And here's what you say. Thanks for your time. I'm building something for people just like you and I want to understand how you currently do X. This is where you introduce the high-level job or bigger context that includes the space you're operating in. Think of the bigger context as a circle that includes both your solution as well as the other existing alternatives in your space that your customers are actually using. Once the stage is set, then you ask them to walk you through their last experience using their existing alternative of choice. Notice what I'm not asking. I'm not asking about problems. I'm not asking what they want. I'm asking them to walk me through something specific that they actually did. And then you spend 5 minutes anchoring them in recent usage. And this step is absolutely critical. Don't let them speak hypothetically. Instead, ask them to tell you about the last time they might have used the current solution and ask them what triggered that need. The key here is specificity. You want them thinking about Tuesday afternoon at 3:00 p.m. when they actually open the app, not some general impression of what they usually do. The next five minutes then explores triggers. You're digging deeper. What prompted you to look for a solution that day? Had anything changed? What was the situation you found yourself in? You're looking for the moment something shifted in their world that triggered the need for that job. The next 5 minutes are about understanding their selection process. Can you walk me through how you chose this? What else did you consider? Where did you hear about this chosen solution? These questions reveal their decision-making patterns or solution hiring criteria and what influences them. The longest section in the script is the next 10 minutes where you unpack specific usage scenarios. Walk me through how you got started, what did you do next, and then what happened after that. Notice that here too, I'm not asking at any point in time for problems. I'm instead simply getting the story out. And every story that a customer has has drama. When I hear excitement or disappointment in their voice, I chase that thread further. The art here isn't to expect a big problem banner in the interview, but rather to listen for small frustrations, pet peeves, and workarounds, things they've just accepted as the way it is. That's where you're going to find real interesting problems worth solving. And the final minutes of the interview are for wrap-up. And this is also an important step. I end each interview with three critical things. The hook, the ask, and the referral. The hook is not a place to pitch or design your solution. There's no time for that. You need to first learn before you pitch and should defer talking about your solution to the next conversation. What I do instead in the hook is to summarize their story in 30 seconds, highlighting a few key problems that may be worth solving for them. If you can describe those problems better than they do, that's the best tease for your solution. I then ask for permission to follow up in a couple of weeks from now to show them something I'm working on that I think would address these problems. If you have identified a true problem worth solving, you should have no problem setting up this follow-up meeting. And the last thing I ask for is a referral to more people like them or if this is a multi-actor purchase, other influencers in the buying process that I should speak with. So, here's how Steve's first systematic interview went using the running lean script. Instead of asking about problems, Steve

asked Sarah, a senior architect, "Can you walk me through your last client presentation project?" Steve followed the script anchoring around her specific experience. "When did you create those renderings? What prompted the need for 3D renderings in the first place? And what tool did you use? How did you select it?" Sarah explained that she had spent \$800 on a professional 3D rendering for a kitchen remodel. The client loved them, but wanted to see the island moved 3 ft to the left. So, I had to go back to the 3D modeler, pay another \$400, and wait 3 days for the revision. Then, the client wanted different cabinets and appliances. Another \$400, and another 3 days later, she had a rendering. In 30 minutes following the systematic script, Steve discovered that the real problem here wasn't the quality of the renderings. It was the cost and time of revisions during client decision-making. This insight completely changed his product from building a better 3D rendering tool to instant client revision capabilities that even an architect could make on their own. Now, here's why the running lean interview method is so powerful. It is based on actual behavior, not hypothetical scenarios. People can accurately tell you what they did yesterday. They can't reliably tell you what they'll do tomorrow. It reveals the complete customer journey. When you understand the full timeline from trigger to outcome, you see opportunities that direct problem questions miss. It also uncovers emotional switching forces. And this part is absolutely key. The frustration in Sarah's voice when she talked about revision delays told Steve everything about the intensity of this problem. Finally, it follows a proven script. The 30 to 45 minute structure from running lean ensures you capture customer forces systematically, not randomly. Again, this isn't just theory. It's an exact battle tested methodology I've used with over a thousand startups in my workshops and coaching programs, which I then documented in running lean after years of testing and refinement. So, here's how to implement this approach. Weeks one and two, target and interview recent users. Here's where you find 10 to 15 people who recently used existing alternatives to what you're building, not prospects, actual users with real experience. Then use the 30 to 45 minute script structure. Ask them to walk you through the last usage story following the question sequence. It doesn't take long for patterns to quickly emerge. In weeks three and four, you then focus on pattern recognition and customer forces mapping. This is where you look for recurring themes across interviews and build customer clusters around the jobs they're trying to do, existing alternatives they're currently using, and the desired and actual outcomes they're experiencing. Remember that the initial goal isn't validating your assumed problems, but instead discovering the landscape of problems through systematic behavior analysis. In weeks four and six, you then turn these insights into something I call a mafia offer. A mafia offer is an offer your customers cannot refuse because you pitch them a solution at that point that fits their problems like a glove. And yes, I also have a detailed mafia offer pitch script in my book, Running Lean. Okay, so what I've shown you here is the problem discovery framework overview from Running Lean, the detailed implementation including the complete interview script, question sequences, and systematic validation approach. That's in the demo cell build implementation toolkit that I've created. The toolkit helps accelerate your customer discovery process and includes the complete 30inut interview methodology that beats 50 interviews. Running lean systematic interview structure with exact timing and a backdoor problem discovery set of questions that you can use to reveal true customer forces. It jumpst starts customer interviewing and gives you everything you need to run systematic interviews that reveal customer forces and turn those insights into revenue before you build anything. Click the link in the description below to get your

copy of the toolkit. Now, next week, I'm going to take this a step further and show you how to validate any startup idea in under 90 days using a systematic approach that proves customers will buy before you build anything. Thanks for watching and hope to see you next week. Take care.

In just 90 days, I can help you validate your startup idea without having to first build or finish a working product. I've helped over a thousand founders do exactly that using a simple, proven framework. And today, I'm revealing the complete 90-day validation system that makes it possible. Now, here's the truth. Most founders waste 6, 12, even 18 months building something nobody wants. But it doesn't have to be this way. You can prove demand before you build and start turning ideas into paying customers really fast. A typical founder in one of our coaching programs uses this framework to secure \$5 to \$10,000 of monthly recurring revenue before building anything. In the next 10 minutes, I'm going to break down the exact 90-day system that makes this possible step by step. So, stick with me until the end, and these might just be the most valuable 10 minutes of your startup journey. Hi there. If you're new to this channel, my name is Ash Moria. I'm an entrepreneur and author and the creator of the popular one-page business modeling tool, Lean Canvas, used by millions of founders around the world. I've also developed a systematic business model validation framework that's helped over a thousand startups prove customer demand before building anything. So, here's the expensive reality again. I see founders wasting months and burning through hundreds of thousands of dollars because they build first and validate later. Traditional startup advice says, "Build an MVP and see what happens from there." That's backwards and expensive. Tesla got \$50,000 deposits before building their first Roadster. Dropbox used a demo video to attract over a h 100,000 users before launching their product. And even a company like Apple, who is no longer a startup anymore by any measure, still uses pre-orders from demos to validate demand before investing millions in manufacturing. What I'm going to show you today is the exact 90-day validation framework that turns any startup idea into a demand validated product before you overinvest. I'll walk you through the complete framework and at the end I'll show you how to get the guided implementation through our business model design challenge where I personally walk founders through this process. So let me start by telling you about Steve's near disaster that this 90day framework prevented. If you're a regular viewer, you've met Steve before. Steve had a grand virtual reality platform idea. He spent weeks writing a business plan which didn't get funded. He had mapped out 18 months of product development and set out to building it out on his own. That's when Mary introduced him to the systematic validation framework. And instead of building for 18 months and hoping, she had him prove demand in just 90 days using the exact framework we're about to get into. Using this framework, Steve got 12 out of 15 architects committed to paying \$5,000 a month before he wrote a single line of code. That's an 80% conversion rate. This framework helped him sidestep the traditional validation trap. And here's why traditional build first validation fails. Problem number one, you're validating the wrong thing. You build features and ask your customers, do you like this? But most customers don't yet know what they want or more specifically what they need to solve their problems. And it's easy to mistake their response for validation. Why does this happen? Because of problem number two. building biases your validation. Once you've invested months building something, you're psychologically committed. You'll interpret weak signals as strong validation because you can't

afford to be wrong. And finally, problem number three, time kills startups. When the time for an idea comes, there are often a dozen other founders in different parts of the world working on the exact same idea. The longer you take to validate, the more runway you burn, the more the pressure builds and the less objective you become about real market signals. The 90-day validation framework flips this completely. You validate demand for your product before building anything, making decisions based on customer behavior, not just your assumptions. So, here's exactly how the 90-day framework works. I broken it down into three phases, four weeks each. And I'll walk you through what you're doing each week. Phase one is all about problem discovery. That's your first four weeks. In week one, you're researching customer forces. What I mean by that is you're studying what your customers are actually using today. Not what they say they want, but their actual current behavior. This is crucial because behavior reveals truth. Opinions do not. In week two, you run systematic customer interviews, aiming for 10 to 15 of them. And here's the key. In these interviews, you use behavioral questions. Instead of asking, "What's your biggest problem?" You ask, "Walk me through your last experience with your current solution." You want them describing actions, not giving opinions. By week three, you're mapping these insights into customer problem forces. You're looking at what pushes customers away from existing solutions and what would potentially pull them towards new alternatives like yours. Where are those moments of highest frustration? That's where you're going to find the opportunity to go after. Week four is where you validate that this problem is indeed real. You need to at least get 30% of your interviewees showing high problem intensity. people who are actively frustrated and looking for solutions or living with inefficient workarounds. This is how you systematically identify your primary early adopter segment. If you don't hit that threshold, the problem just isn't painful enough at this point to necessarily build a business around. In phase two, we shift towards solution design. Those are weeks five through eight. In week five, you develop your solution framework. And this is where most people go astray. You're not designing features, you're designing outcomes. You're, in other words, looking for the transformation you want to create in your customers with your solution. In week six, you test your value proposition with the same people that you interviewed earlier. Does your proposed outcome actually resonate with the problem they experienced? This is where you find out if you really understood their pain points. Week seven is about demo creation. Build the minimum demo needed to communicate your solution. This could be mock-ups, wireframes, a video demo, whatever shows the outcome most clearly and succinctly without overbuilding. Remember that you're not building the product at this stage. Just demonstrating the concept. If you can get people to be interested by the concept, you're not going to have any different outcome much later once the product is actually built. Week eight is where you validate the solution with fresh prospects. You show your demo and measure their engagement. Remember, we are measuring actions, not just words. Are they asking excited questions? Are they leaning in when you show them your demo? Are they asking you about pricing and release dates? Remember, you need at least 30% of the population at this point showing strong interest to validate for problem solution. F. Phase three is offer delivery. This is your final four weeks. In week nine, you design your complete offer. This isn't just your solution. It's how you package it with clear pricing and a delivery timeline. When done well, you end up creating what I call a mafia offer, which is an irresistible offer your customers cannot refuse because you nail their problem exactly. Week 10 is where you test this offer with qualified early adopters. And this is

where the rubber actually hits the road. This is where you ask for meaningful commitment. Not hypothetical interest, but actual money, time commitment, or other resources that are proxy for money. Week 11 is optimizing your offer. You're starting to now get real commitments from real customers. Not I would buy this, but rather take my money now. There's a huge difference, of course, between those two statements. This is now where you further lean into your early adopter segmentation and continually optimize your offer for maximum conversion. Finally, in week 12, you analyze your demand validation. By the end of this whole process, it is not atypical to end up with 80% or higher commitment rate from your qualified early adopters. At this point, you've proven demand and it's time to start planning and building out your MVP. The beauty of this process is that you know exactly what to build. Your customers bought your demo and that's your product design spec. The other nice thing about this framework is that each phase builds on each other and validates the next one. Problem discovery validates into solution design. Solution design validates into offer delivery and offer delivery into demand validation. You can't skip phases, but you can iterate quickly within each phase if something is not working. So, let's now go back to Steve. Here's exactly how his 90-day validation worked using this framework. In phase one, Steve interviewed 15 architects around their current 3D rendering process. He discovered the real problem wasn't rendering quality. It was revision speed and time delays during client decision-making. The key insight here was that these slow revision cycles were killing project profitability. So, in phase two, he designed a solution to this problem. Instead of positioning his product as a better 3D rendering tool, Steve decided to position his product around instant revisions even an architect could do during client meetings. He created mock-ups showing how architects could make realtime changes and win clients. He then reached out to a few friendly architects and demoed his concept. When they started asking him about pricing and release dates, he knew he was on to something in phase three. Then Steve offered his virtual reality platform with instant revisions at \$5,000 a month with a threemonth pilot commitment. He presented it to 15 qualified prospects from earlier who had shown strong problem intensity. He got 12 of them to commit to start a paid pilot which translates to an 80% validation rate. Now before this process, Steve was trying to sell his platform to software developers at \$50 a month. But simply by refocusing the same technology to a completely different market, Steve went from targeting \$50 a month software developers to \$5,000 a month architects. And the best part, of course, is that Steve had paying customers lined up before finishing his product. Now, if you do the math, he managed to secure \$180,000 in customer revenues for a 90-day pilot. He was crystal clear at this point on exactly what to build next and use this revenue to bring on additional help to speed through his MVP build and start those paid pilots over the next 6 weeks. So that's the 90-day validation framework and here's why it's so powerful. One, it's based on behavior, not opinions. Each phase tests what customers actually do, their current behavior, their responses to demos, their willingness to commit resources. Two, it validates incrementally. You don't bet everything on one big assumption. You first validate the problem which leads to the solution, then the offer in systematic progression. Three, it uses real market signals. Customer commitments are the ultimate validation. When people put money where their mouth is, you know the demand is real. Four, it prevents expensive mistakes. It's always better to learn your idea won't work in 90 days than 18 months. It's much better to pivot on customer behavior than your assumptions. All of this isn't just theory. It's the exact methodology I've used with over a thousand startups and

documented after years of testing and refinement. It's prevented millions in wasted startup resources. Now, what I've shown you here is the complete 90-day framework overview. But here's what I know after working with thousands of founders. There's a critical difference between understanding a framework and successfully implementing it. That's why I've created a systematic journey that takes you from idea to paying customers. It starts with a business model design challenge, which is a foundational program where you first master the seven stress tests that bulletproof any business model. You build systematic variance to find your strongest idea. You create a personalized 90-day validation road map and then use that to develop the systematic thinking for testing your idea. Think of it this way. You wouldn't start building a skyscraper without architectural blueprints. And the BMD challenge creates those blueprints for your specific idea and business model. Then with roadmap in hand, you're ready for the demand validation playbook. The full 90-day implementation you just saw Steve complete. Phase one includes problem discovery with proven interview scripts. Phase two is solution design with demo frameworks. And phase three is offer delivery with mafia offer conversion templates. The business model design challenge is where we start every founder and new cohorts begin every Monday. We limit each cohort to ensure everyone gets proper implementation support. And once you complete it, you can then unlock the full demand validation implementation. Now, if this is right for you, click the description below to secure your spot in the next BMD challenge starting next Monday. And if you're not ready to commit to the full program yet, you can always start with the free 7-day email course to get the core mindsets and concepts first. Next week, I'm going to show you why your biggest strength might actually be your biggest weakness and how turning constraints into advantages can unlock exponential growth. Thanks for watching and until next time, take

startup ideas can easily consume years of your life this is time you're never going to get back which is why you need to ensure that your idea is worth pursuing before investing lots of time money or effort into it in this video I'm going to show you how to use a simple five minute test you can use to check the viability of any idea hi there if you're new to this channel my name is Ash Moria I'm an entrepreneur and author and the creator of the onepage business modeling tool lean canvas on this channel I share systematic strategies for starting and growing business let me start by sharing what we are not going to do we're not going to build a fictional hockey stick forecast using an Excel magic spreadsheet the problem with using these spreadsheets is that they are built on too many unknowable numbers that quietly mask your riskiest assumptions in layers of Innocent Lies that Compound on each other we're also not going to rely on a top-down sizing model this is where you try and justify an idea simply by attaching it to a large enough market the logic goes that if you can capture just 1% of this Market you'll be all set after all 1% of a billion Doll Market is still a lot of zeros the problem with this approach is that it doesn't address how you're going to get to that 1% market share with your given product what we are going to do instead is build a bottomup model using a simple back ofth envelope estimation technique devised by physicist Enrico Fermi Enrico Fermi was an Italian physicist famous for making rapid order of magnitude estimations with with seemingly little data he worked on the Manhattan Project developing the atomic bomb and if you've seen the Oscar winning movie Oppenheimer he's featured in it he's the one taking bets from his fellow physicists when the bomb is tested at the Trinity site to see whose estimate of the blast power comes closest yes of

course he wins but he does this by dropping a few pieces of paper during the blast and measuring the distance they traveled as they fell to the ground now even if you've never heard of fmy estimation if you've ever played this game of guessing the number of jelly beans in the jar this is a firmy problem as emptying the jar is not an option A better approach would be to estimate the Jar's height and radius and then doing some volume calculations in your head to arrive at a number to make this video more practical let's pretend I have a \$100 product targeted at SAS companies I already have 30 customers ready to pay now and dozens more in the pipeline I think I can get hundreds of customers over the next 6 months and then raise a seed round is this idea worth pursuing this might look like a promising idea with early traction but let's work through the numbers using firy estimation the first step to stress testing viability is estimating your idea's ballpark goal this code sums up why if you don't know where you're going any road will get you there in other words you need to draw a line in the sand with a goal before you can test the viability of your idea now the mistake a lot of people make with goal setting is trying to estimate their ideas maximum upside potential getting to an exit or an IPO often takes at least 5 to 7 even years making it a hard if not impossible Milestone to estimate because it is too far out in the future all startup ideas are enveloped in a thick fog of uncertainty in the early stages this is precisely why instead of estimating your idea's maximum upside potential I recommend estimating your ideas's minimum success criteria the minimum success criteria is the smallest outcome that would deem your project a success 3 years from now why 3 years first because 3 years is a lot easier to visualize than 5 years second three years is roughly how long it takes an average product to get past the value of death and hit product Market fit making it a good time box to set yourself up for and finally three years still represents a significant enough time investment and so if you were going to invest three years of your life on any idea what would be the smallest outcome that would make it worthwhile now you don't need to overthink the step it helps to measure outcomes as annual revenue and limit the choices to firmy style order of magnitude values when we do that the possible choices shrink to only four possible outcomes you can either aim to build a sixf fig seven figure eight figure or nine figure business in the first three years which one do you pick there is no right or wrong answer here but you should have an answer because as you'll see shortly this is one of the critical inputs that's going to shape your idea for our example idea since we intend on raising seed funding this puts us at a level three minimum success criteria the next step is customer sizing here we estimate arpa or how much revenue you expect to make per customer in a given year to do that yes you need some ballpark pricing for your product and while you may not have sorted out exact pricing you should still be able to come up with a firmy estimate for your pricing model do you expect your customers to pay you 10 100 1,000 10,000 or \$100,000 per year in my example I already had a pricing model of \$100 a month that's equivalent to \$1,200 over the year which is still closer to ,000 than \$10,000 so that's what we'll use at this step the final step is Market sizing this is where we test whether your target market is big enough to support your goal for my idea as you can see from this visual in order to build a \$10 million AR business at \$100 a month I will need 10,000 customers but we need leads to create customers and no funnel converts at 100% And so the last input we need to estimate is the conversion rate from leads to customers if we stick with firmy values the only realistic option is 1% while this number may seem low to you a 1% conversion rate is fairly accurate for a \$100 SAS product in fact according to data from Salesforce a 1% conversion rate is also fairly accurate to use for a B2B

b2c or e-commerce product at scale this means that in order to get one customer I will need 100 leads so in order to get 10,000 customers I will need a million leads is this realistic a quick Google search reveals that there are only 30,000 active SAS companies in the world today we're off by two orders of magnitude here and so even if you were wondering whether using a 3 five or 10% conversion rate would have made a difference it wouldn't have this idea is a non-starter given my goal now it's quite depressing to end the video here so let's see what we can do to fix the model because a firmy estimate uses order of magnitude estimations when a model breaks like it just did the way you fix it is by searching for one or more 10x levers here are some possible ways to do that raise pricing this is one of the most underutilized growth lever could we 10x pricing and charge \$1,000 instead of \$100 a month what would we need to do to the product to justify this 10x pricing if step one doesn't get us there could we target a bigger problem that is worth \$1,000 or \$10,000 to a SAS company we could also consider pivoting to a different customer segment while there were only 30,000 active SAS companies there are millions of e-commerce and S&B companies out there finally if you can't find a single 10x growth lever to pull you can often find a combination of two 3x levers to get you there even though F me estimates are rough estimates they're highly effective at quickly invalidating non-starter ideas as we just saw and because they're built on just a handful of inputs when a model doesn't work you often know why and also how to fix it now once you have a business model that passes the viability test the next step is turning it into a traction road map which charts your threeyear minimum success criteria on a timeline that you can use to start validating your idea I'll link some resources for that down in the description below if you enjoy this video I've got lots more techniques like this one coming please subscribe to the channel and leave a comment below thanks for watching and until next time take care